



**ARBA MINCH UNIVERSITY
COLLEGE OF BUSINESS AND ECONOMICS
MANAGEMENT DEPARTMENT**

Course Materials for Theme 2 in Management Program

***THEME 2: HUMAN RESOURCE MANAGEMENT &
ORGANIZATIONAL BEHAVIOR***

This module contains three courses:

- 1. Human Resource Management**
- 2. Organizational Behavior**
- 3. Leadership & Change Management**

March, 2023GC.

**HUMAN RESOURCE MANAGEMENT
STUDENT HANDBOOK**

CHAPTER ONE

OVERVIEW OF HUMAN RESOURCE MANAGEMENT

Chapter Outline

- 1.1. Definition and back ground
- 1.2. Importance of Human resource management
- 1.3. Evolution and Development of Human resource Management
- 1.4. Human Resource management objectives

Chapter Objective

At the end of this chapter, students should be able to:

- Define what human resource management mean.
- Identify the role of human resource management
- Describe evolution and development of human resource management
- Identify human resource management objectives in the organization

1. Introduction

Personnel management, in the sense of human resource management, can be said to be part of the role of every person who is responsible for the work of others. However, the HRM approach implies a very broad meaning of ‘personnel management’ and does not tell us anything about the particular areas of work in which personnel specialists make a distinctive contribution to an organization. In this lesson the expression ‘Personnel management’ refers to the duties and activities of personnel specialists.

1.1. Definitions:

- a) HRM is that part of management concerned with people at work and with their relationships within an enterprise. It is to bring together and develop into an effective organization the men and women who make up an enterprise and, having regard for the well being of the individual and of working groups, to enable them to make their best contribution to its success. (Graham et al).
- b) HRM refers to the concept or techniques needed to carry out the people or personnel aspects

of a management position including recruiting screening training rewarding and appraising (Dessler,)

- c) Human resource management is the process of accomplishing organizational objectives by acquiring, retaining, terminating, developing and properly using the human resources in an organization. (Ivnkevich)
- d) HIRM is the planning, organizing, directing and controlling of the procurement development, compensation, integration, maintenance, and separation of human resources to the end that individual organizational, and societal objectives are accomplished (Flippo)

In the above definition Flippo has tried to point out that a personnel/human resource manager is a manager who exercises authority and leadership over other personnel and thus must perform the basic function of management. This holds true to all functional managers (such as Marketing, Operations, production, Human Resource, etc managers)

Functions of Human Resource Management

The main functions of human resource management are classified into two categories:

- (a) Managerial Functions and
- (b) Operative Functions

(a) Managerial Functions Following are the managerial functions of Human Resources Management.

- 1. Planning:** The planning function of human resource department pertains to the steps taken in determining in advance personnel requirements, personnel programs, policies etc. After determining how many and what type of people are required, a personnel manager has to devise ways and means to motivate them.
- 2. Organization:** Under organization, the human resource manager has to organize the operative functions by designing structure of relationship among jobs, personnel and physical factors in such a way so as to have maximum contribution towards organizational objectives. In this way a personnel manager performs following functions:
 - preparation of task force;
 - allocation of work to individuals;
 - integration of the efforts of the task force;
 - coordination of work of individual with that of the department.
- 3. Directing:** Directing is concerned with initiation of organized action and stimulating the people to work. The personnel manager directs the activities of people of the organization to get its

function performed properly. A personnel manager guides and motivates the staff of the organization to follow the path laid down in advance.

4. **Controlling:** It provides basic data for establishing standards, makes job analysis and performance appraisal, etc. All these techniques assist in effective control of the qualities, time and efforts of workers.

(b) Operative Functions: The following are the Operative Functions of Human Resource Management

1. **Procurement of Personnel :** It is concerned with the obtaining of the proper kind and number of personnel necessary to accomplish organization goals. It deals specifically with such subjects as the determination of manpower requirements, their recruitment, selecting, placement and orientation, etc.
2. **Development of Personnel :** Development has to do with the increase through training, skill that is necessary for proper job performance. In this process various techniques of training are used to develop the employees. Framing a sound promotion policy, determination of the basis of promotion and making performance appraisal are the elements of personnel development function.
3. **Compensation of Personnel :** Compensation means determination of adequate and equitable remuneration of personnel for their contribution to organization objectives. To determine the monetary compensation for various jobs is one of the most difficult and important function of the personnel management. A number of decisions are taken into the function, viz., job-evaluation, remuneration, policy, incentive and premium plans, bonus policy and co-partnership, etc. It also assists the organization for adopting the suitable wages and salaries, policy and payment of wages and salaries in right time.
4. **Maintaining Good Industrial Relation:** Human Resource Management covers a wide field. It is intended to reduce strife's, promote industrial peace, provide fair deal to workers and establish industrial democracy. If the personnel manager is unable to make harmonious relations between management and labor, industrial unrest will take place and millions of man-days will be lost. If labor management relations are not good the moral and physical condition of the employee will suffer, and it will be a loss to an organization vis-a-visa nation.

Hence, the personnel manager must create harmonious relations with the help of sufficient

communication system and co-partnership.

5. **Record Keeping:** In record-keeping the personnel manager collects and maintains information concerned with the staff of the organization. It is essential for every organization because it assists the management in decision making such as in promotions.
6. **Personnel Planning and Evaluation :** Under this system different type of activities are evaluated such as evaluation of performance, personnel policy of an organization and its practices, personnel audit, morale, survey and performance appraisal, etc.

1.2.Importance of Human Resources Management

Human Resource Manager is an individual who normally acts in an advisory or “staff” capacity, working with other managers to help them deal with human resource matters. Now days, HRM has a great deal of contribution in strategic decision making involving the HR perspective. They play a major role in strategic decision making.

Employees do have direct relationship with their line managers and thus their day-to-day activities, needs and aspirations are left to be dealt with their immediate superiors. However, the HRM should develop HR policies and programs to be implemented by the line manager and function as a catalyst and energizer of the relationship between the employees and the line managers.

For example, a line manager may seek an able person for a vacant position in his/her department. This information (with all the requirements including qualifications, years of experience, etc) will be communicated to the human resource manager who takes the responsibility of placing an ad and start the recruitment process based on the specified requirements and arrange an interview or any other selection mechanism. Usually, an interview, as a selection mechanism, is done in the presence of the hiring department to ensure that potential candidates are asked appropriate and job related questions during the interview. Once the selection is done, HRM will proceed with the placement process including orientation of the new employee. Again, orientation is done by both HRM and the hiring manager. Usually, the kind of orientation provided by the hiring department is job specific and will not cover other parts of human resource related policies in the organization. This task of familiarizing new employees with company policy and other aspects are covered by HRM.

Everything that is done by the HRM is done with a support from the other line departments and what HRM does supports the line managers in effectively executing their tasks.

Basically, the HRM performs three major roles functions:

a) **A Service Function:** According to the needs of the other departments, the HRM is required to render coordinating services such as

- Posting job advertisement
- Organizing Training Courses
- Keeping personnel records
- Operating wage/salary systems
- Looking after the firms health and safety arrangements at work, etc

b) **Control Function:**

- Analyzing key operational indices in personnel field like labor turnover, wage costs, absenteeism, etc.
- Monitoring labor performance
- Recommending appropriate remedial action to line managers.

Example: identifying training needs, change of work methods, improved work environments, etc.

c) **Advisory Function:** Offers expert advice on personnel policies and procedures such as:

- Which employees are ready for promotion (as per the policy of the organization, e.g. Based on number of years of service, etc.)
- Who should attend certain training course?
- How a grievance procedure should be operated.
- Interpretation of contracts of employment, health and safety regulation, etc.
- Ensuring equal employment opportunity etc.

Because of the diverse activities performed by the HRM and the fact that both external and internal factors affect its movement, the human resource manager is required to have general knowledge of what goes on inside or outside the organization.

Check Point

Dear Learner:

-
- ❖ *List down roles played by human resource manager?*
-

1.3.Evolution and Development of Human resource Management

HRM appears to have its origin in the United States in the 1950s. It did not gain wide recognition until the beginning of 1980s, and in the UK until the mid to late 1980s. The major reasons for its emergence are;

1. Major pressures experienced in the product markets during the recession of 1980-82.
2. In USA, trade union influence in collective employment was reaching fewer employees.
3. US economy was being challenged by overseas competitors, mainly Japan.
4. Declining rate of innovation in American industries.
5. Adoption of management styles and concepts – employee commitment and empowerment

The evolution of the concept of Human Resource Management is presented below

Period before industrial revolution – The society was primarily an agriculture economy with limited production. Number of specialized crafts was limited and was usually carried out within a village or community with apprentices assisting the master craftsmen. Communication channel were limited.

Period of industrial revolution (1750 to 1850) – Industrial revolution marked the conversion of economy from agriculture based to industry based. Modernization and increased means of communication gave way to industrial setup. A department was set up to look into workers' wages, welfare and other related issues. This led to emergence of personnel management with the major task as

- Worker's wages and salaries
- Worker's record maintenance
- Worker's housing facilities and health care

An important event in industrial revolution was growth of Labour Union (1790) – The works working in the industries or factories were subjected to long working hours and very less wages. With growing unrest, workers across the world started protest and this led to the establishment of Labor unions. To deal with labor issues at one end and management at the other Personnel Management department had to be capable of politics and diplomacy, thus the industrial relation department emerged.

Post Industrial revolution – The term Human resource Management saw a major evolution after

1850. Various studies were released and many experiments were conducted during this period which gave HRM altogether a new meaning and importance.

A brief overview of major theories release during this period is presented below

Frederick W. Taylor gave principles of scientific management (1857 o 1911) led to the evolution of scientific human resource management approach which was involved in

- Worker's training
- Maintaining wage uniformity
- Focus on attaining better productivity.

Hawthorne studies, conducted by Elton Mayo & Fritz Roethlisberger (1927 to 1940). Observations and findings of Hawthorne experiment shifted the focus of Human resource from increasing worker's productivity to increasing worker's efficiency through greater work satisfaction.

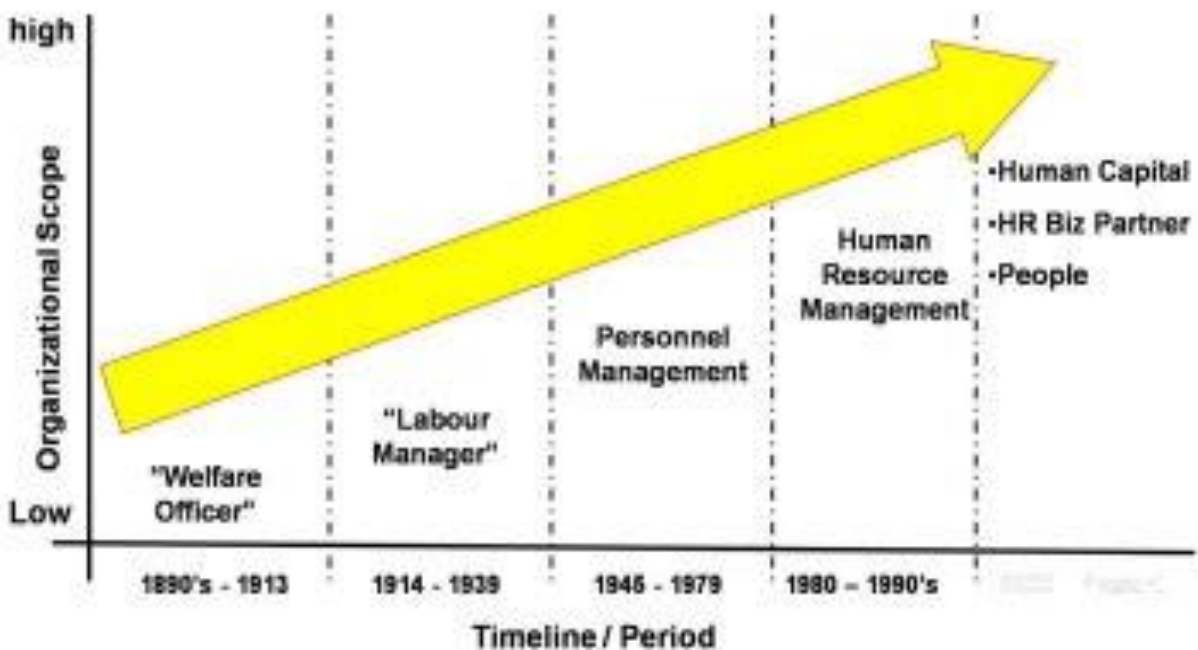
Douglas McGregor Theory X and Theory Y (1960) and Abraham Maslow's Hierarchy of needs (1954) – These studies and observations led to the transition from the administrative and passive Personnel Management approach to a more dynamic Human Resource Management approach which considered workers as a valuable resource.

As a result of these principles and studies, Human resource management became increasingly line management function, linked to core business operations.

Strategic Human Resource Management Approach

With increase in technology and knowledge base industries and as a result of global competition, Human Resource Management is assuming more critical role today. Its major accomplishment is aligning individual goals and objectives with corporate goals and objectives. Strategic HRM focuses on actions that differentiate the organization from its competitors and aims to make long term impact on the success of organization.

Evolution of HRM ...



Personnel Management VS Human Resource Management

Some experts assert that there is no difference between human resources and personnel management. They state that the two terms can be used interchangeably, with no difference in meaning. In fact, the terms are often used interchangeably in help-wanted ads and job descriptions.

For those who recognize a difference between personnel management and human resources, the difference can be described as philosophical. Personnel management is more administrative in nature, dealing with payroll, complying with employment law, and handling related tasks. Human resources, on the other hand, is responsible for managing a workforce as one of the primary resources that contributes to the success of an organization.

When a difference between personnel management and human resources is recognized, human resources is described as much broader in scope than personnel management. Human resources is said to incorporate and develop personnel management tasks, while seeking to create and develop

teams of workers for the benefit of the organization. A primary goal of human resources is to enable employees to work to a maximum level of efficiency.

Personnel management can include administrative tasks that are both traditional and routine. It can be described as reactive, providing a response to demands and concerns as they are presented. By contrast, human resources involve ongoing strategies to manage and develop an organization's workforce. It is proactive, as it involves the continuous development of functions and policies for the purposes of improving a company's workforce.

Personnel management is often considered an independent function of an organization. Human resource management, on the other hand, tends to be an integral part of overall company function. Personnel management is typically the sole responsibility of an organization's personnel department. With human resources, all of an organization's managers are often involved in some manner, and a chief goal may be to have managers of various departments develop the skills necessary to handle personnel-related tasks.

As far as motivators are concerned, personnel management typically seeks to motivate employees with such things as compensation, bonuses, rewards, and the simplification of work responsibilities. From the personnel management point of view, employee satisfaction provides the motivation necessary to improve job performance. The opposite is true of human resources. Human resource management holds that improved performance leads to employee satisfaction. With human resources, work groups, effective strategies for meeting challenges, and job creativity are seen as the primary motivators.

When looking for a job in personnel management or human resources, it is important to realize that many companies use the terms interchangeably. If you are offered a job as a personnel manager, you may be required to perform the same duties as a human resource manager, and vice versa. In some companies, a distinction is made, but the difference is very subtle.

Human Resource Management (HRM) differs from Personnel Management (PM) both in scope and orientation. HRM views people as an important source or asset to be used for the benefit of organizations, employees and society. It is emerging as a distinct philosophy of management aiming at policies that promote mutuality-mutual goals, mutual respect, mutual rewards and mutual responsibilities. The belief is that policies of mutuality will elicit commitment, which in turn, will yield both better economic performance and greater Human Resource Development (HRD). Though

a distinct philosophy, HRM cannot be treated in isolation. It is being integrated into the overall strategic management of businesses. Further, HRM represents the latest term in the evolution of the subject.



1.4.Objectives of Human Resource Management

Objectives are pre-determined goals to which individual or group activity in an organization is directed. Objectives of personnel management are influenced by organizational objectives and individual and social goals. Institutions are instituted to attain certain specific objectives. The objectives of the economic institutions are mostly to earn profits, and of the educational institutions are mostly to impart education and/or conduct research so on and so forth. However, the fundamental objective of any organization is survival. Organizations are not just satisfied with this goal. Further, the goal of most of the organizations is growth and/or profits.

Institutions procure and manage various resources including human to attain the specified objectives. Thus, human resources are managed to divert and utilize their resources towards and for the accomplishment of organizational objectives.

Therefore, basically the objectives of HRM are drawn from and to contribute to the accomplishment of the organizational objectives. The other objectives of HRM are to meet the needs, aspirations, values and dignity of individual employees and having due concern for the socio-economic problems of the community and the country.

The objectives of HRM may be as follows:

- To create and utilize an able and motivated workforce, to accomplish the basic organizational goals.
- To establish and maintain sound organizational structure and desirable working relationships among all the members of the organization.
- To secure the integration of individual or groups within the organization by co-ordination of the individual and group goals with those of the organization.
- To create facilities and opportunities for individual or group development so as to match it with the growth of the organization.
- To attain an effective utilization of human resources in the achievement of organizational goals.
- To identify and satisfy individual and group needs by providing adequate and equitable wages, incentives, employee benefits and social security and measures for challenging work, prestige, recognition, security, status.
- To maintain high employees morale and sound human relations by sustaining and improving the various conditions and facilities.
- To strengthen and appreciate the human assets continuously by providing training and development programs.
- To consider and contribute to the minimization of socio-economic evils such as unemployment, under-employment, inequalities in the distribution of income and wealth and to improve the welfare of the society by providing employment opportunities to women and disadvantaged sections of the society.
- To provide an opportunity for expression and voice management.
- To provide fair, acceptable and efficient leadership.
- To provide facilities and conditions of work and creation of favorable atmosphere for maintaining stability of employment.

Management has to create conducive environment and provide necessary prerequisites for the attainment of the personnel management objectives after formulating them. The primary objectives

of HRM are to ensure the availability of competent and willing workforce to an organization. Apart from this, there are other objectives too. Specifically, HRM objectives are of four fold: societal, organizational, functional and personal.

Societal Objectives

The Societal Objectives are socially and ethically responsible for the needs and challenges of society. While doing so, they have to minimize the negative impact of such demands upon the organization. The failure of the organizations to use their resources for society may limit human resources decisions to laws that enforce reservation in hiring and laws that address discrimination, safety or other such areas of societal concern.

Organizational Objectives

The Organizational Objectives recognizes the role of human resources management in bring about organizational effectiveness. Human resource management is not an end itself; it is only a mean to assist the organizations with primary objectives.

Functional Objectives

Functional Objectives try to maintain the departments' contribution at a level appropriate to the organizational needs. Human resources is to be adjusted to suit the organizational demands. The department's level of service must be tailored to fit the organization it serves.

Personal Objectives

Personal objectives assist employees in achieving their personal goals, at least in so far as these goals enhance the individuals' contribution to the organization. Personal objectives of employees must be met if they are to be maintained, retained and motivated. Otherwise, employees' performance and satisfaction may decline giving rise to employee turnover.

Check Point

Dear Learner: Try the following questions:

- *Explain the activities performed by human resource manager.*
 - *Please state the objectives of human resource management.*
-

1.5.The nature and Challenges of HRM

HRM is one of the most complex and challenging field of management. A human resource manager

is responsible for fulfilling the requirement of the firm for an effective workforce and also be greatly concerned with the expectation of both employees and society at large.

The role of the personnel manager has thus changed through time. At first, the dominant role was to satisfy top management in processing and maintaining a workforce that would be instrumental to organizational productivity. As knowledge expanded in executing this role, the manager began to understand the necessity for ascertaining and accommodating to the needs of the employees who constituted that work force. Trying to satisfy employee's needs and interests are seldom the same. Although vast majority of people work to support themselves and their families, some work for various reasons such as:

- To keep busy and feel useful
- To create and achieve something
- To gain recognition and achieve status (ambitious to gain power and prestige)
- To test and stretch their capabilities

Thus among other things, human resource management faces several challenges. The following are some of the factors contributing to the challenges of HRM.

- a) Multifarious (diverse) needs of employees as individuals, as groups and also the organization.
- b) The rise of modern labor union.
- c) The increasing level of educational level of societal members. Such work force seems to have higher expectations about the work they are willing to perform, the degree of autonomy they expect in making decision, and sharing financial gains achieved by the organization.
- d) The increasing size and complexity of the organizations
- e) Changes in the demographics of the workforce. Composition of the workforce in terms of sex (more women in the workforce), age (more younger and educated workforce), ethnic groups (more and more minorities), religion, whether or not the work force constitutes dual-career families or single-parent families, etc.
- f) Increasing government regulation involving employment relation. Example. Equal employment opportunity.
- g) Technological advancement such as office automation (computers, word processing, and

management information systems) will change the work environment by decreasing labor-intensive jobs and clerical functions. On the other hand it increases technical, managerial, and professional functions. One other significant technological advancement is in telecommunicating where by communication within organizational units has become so easy that it is now very common for employees to work from work.

Summary

Human resource is the most indispensable asset to any firm. Without sound management of human resources nothing can add value to firm's profitability. For this reason, managers of every organization designs different course of actions to get used human talents, skills and abilities to the possible extent.

Different authors defined the term human management in different way and words but, the common points for all of the authors focused on managing the human side of the organization for the effective utilization and maximizing the benefits from theme.

Function of human resource management can be categorized under two basic group such as, managerial function and operative function. Effective human resource management plays a central role for organizational competitiveness and success. Generally human resource manager plays three basic roles such as; service function, control function and advisory functions in a given organization.

The evolution of human resource management starts from 1950's in USA and other part of the world. From 1890-1913 the basic objective was welfare aspect of the worker, from 1914-1939 the intention were shift to labour management, from 1946-1979 organizations accepted the concept personal management. Starting from 1980's it is accepted as human resource management. Human Resource Management (HRM) differs from Personnel Management (PM) both in scope and orientation. HRM views people as an important source or asset to be used for the benefit of organizations, employees and society.

Self-check Questions 1

1. Among the following alternatives which one is differ from others;
 - A. Planning
 - B. Organizing
 - C. Compensation of personnel

D. Directing

2. _____ is concerned with the obtaining of the proper kind and number of personnel necessary to accomplish organization goals.

A. Development of personnel

B. Procurement of personnel

C. Personnel planning and evaluation

D. Personnel record keeping

3. All of the following alternatives are the roles which are expected to be played by HRM manager except;

CHAPTER TWO

Human Resource Management Environments

Chapter Outline:

- 2.1. The external environment
- 2.2. The internal environment
- 2.3. Human resource management model

Chapter Objectives;

At the end of this chapter, students should be able to:

- Identify internal and external environments which affecting human resource management practice
- Describe human resource management models

Introduction

Human resource management (HRM) is a subset of the study of management that focuses on how to attract, hire, train, motivate, and maintain employees.

Strong employees become a source of competitive advantage in a global environment facing change in complex ways at a rapid pace.

As part of an organization, HRM must be prepared to deal with the effects of these changes. This means understanding the implications of globalization, technology changes, workforce diversity, labor shortages, changing skill requirements, continuous improvement initiatives, the contingent workforce, decentralized work sites, company mergers, offshore sourcing of goods and services, and employee involvement. Let's look at how these changes are affecting HRM goals and practices in organizations functioning in a global environment.

2.1 The external environment affecting HRM

A. Economic Conditions

- **The population and the Labor Force:** The qualification, attitude, career interest and motivations of people in the available workforce will influence human resource activities and ultimately the effectiveness of the organization.

First, we need to clarify what we mean by available work force.

Population: Includes all the people

Those eligible to work + those ineligible to work because of age or institutionalization.
(Below age of 14 and those in prison or hospital)

Eligible to work = Labor reserve + total labor force

Labor reserve: those not working for economic gain even though they are eligible to work.
(Homemakers, college students, and retirees).

Total Labor force = Armed forces + civilian labor force

Civilian Labor Force = Unemployed + Employed

Impact of the labor force on the human resource function of an organization may include

- Percent of minorities and women in the workforce influences equal employment opportunity decisions.
 - Qualifications and skills in the workforce influence need of training programs, design of jobs, etc.
 - Availability of various skills and demand for these skills by employers influence salary and compensation decisions.
 - The demand of the workforce for full-time or part-time jobs affects decision on work schedule.
- **Labor Market Conditions:** The labor market involves the job opportunities and compensation offered by employers and the skills and contributions offered by employees. The scope of the labor market is influenced by three factors:
 - **Occupation:** The skills and qualifications required in an occupation. This refers to required training, education, or even licensing requirement to perform a given type of job. E.g. accountant, medical doctors, lawyers, etc. this may limit mobility among occupations.

- **Geography:** Distance employees are willing to relocate or commute. Supply of labor force could be limited to a specific geographic area or region. Example, supply of qualified human resource is very limited in some regions of Ethiopia.
- **Industry:** The industry in which the organization competes for labor and sells its products/services is also important. The more competition an organization faces in the industry the more it is expected to offer employees better compensation for their contribution. This becomes even more important if the supply of qualified employees is very limited.
- **Product/Service Market:**
 - **Demands for products and services:** The quality and quantity of people an organization hires and its ability to pay its employees is affected by the changes that occur in the product/service market. For instance, in times of market growth, organizations increase employment levels while in times of market decline, organizations economize their use of human resources.
 - **Inflation:** It is the rate of change in prices we pay for goods and services. A change in inflation rate affects human resource management especially on cost-of-living adjustments (COLA) to salaries and pension plans. It also has impact on cost of recruiting interviewing, and training employees.
 - **Technology:** Changes in technology will influence the nature of jobs to be performed and consequently the qualifications and skills of people required to perform them.

B. Government Influences: Government regulations have direct impact on human resource management decisions by regulating terms and conditions of employment. Involvement and intervention of government in employee and employer relations is increasing over time. Some are of legislation and regulation includes:

- Equal employment opportunity: it affects recruiting, selection, evaluation, and promotion directly and employment planning, orientation, career planning, training, and development indirectly.
- Sex and age discrimination.

- Compensation regulation: specifying the minimum pay for any job, for employees with a certain educational level, etc.
- Hours of work, national holidays, etc.
- Benefit Regulations: In some countries government requires employs to have basic medical insurance plans for its employees.
- Worker's safety laws: affects health and safety programs in organizations.
- Privacy laws protecting employees' personal information.
- Labor relations laws and regulations: affects the conduct of collective bargaining.

C. Union Expectations and power: Labor unions exist to protect employees' right in a more organized and effective way. Union's interest, expectation and power differ from one union to another. It depends on the kind of industry they are in, the number and involvement of its members and the response of the management to the demands and questions of the unions. However the case may be, the presence of a union directly affects most aspects of human resource management-recruiting selection, performance evaluation, promotion, compensation, and benefits, among other things.

2.2 Internal Environmental Conditions

A. Strategies and Operational Objectives: Organizations have strategic and operational objectives determining the direction of the business. When organizations change their strategies, they are determining the direction that is should take. Consequently, all plans that follow the strategic decisions will also change including the human resource requirement in terms of quantity, skill and experience.

B. Financial Condition and Flexibility: Financial status of an organization has a particularly critical influence on personnel activities. If an organization is in a good financial condition, it is likely to increase the quantity of its employees or even offer higher salary increments to its employees. However, if the organization is not in a good financial condition, it is most likely to reduce its employees. This is especially true for those labor intensive organizations such as education, health care, and government institutions where majority of the budget is assigned to cover salaries and other benefits.

C. Nature of the Task

The kind of employees found in a given organization is highly influenced by the kind of tasks/activities performed. Some of the issues relevant for employees in choosing to work for a certain organization include degree of physical exertion required, degree of environmental unpleasantness, physical location of work, time dimension of work, human interaction on the job, and degree of autonomy in the task.

D. Culture and Philosophy of Organizations

Organizational culture refers to the “values, beliefs and traditions shared by all members in an organization.” If an organization has a well defined and practiced culture its employees should be able to feel comfortable to operate in that environment and adhere to the established culture

E.g. Culture of Productivity through people-described as

“Treat employees as the root source of quality and productivity gain.” Or “Respect for the individual.”

Culture of Autonomy and Entrepreneurship-“Foster many leaders and innovators through the organization”

Check Point

- ❖ *What are the factors in internal & external environment which affecting human resource management?*
-

2.3 Human resource management model

▪ The matching model of HRM

One of the first explicit statements of the HRM concept was made by the Michigan School (Fombrun *et al*, 1984). They held that HR systems and the organization structure should be managed in a way that is congruent with organizational strategy (hence the name ‘matching model’). They further explained that there is a human resource cycle (an adaptation of which is illustrated in Figure 2.1), which consists of four generic processes or functions that are performed in all organizations. These are:

1. *selection* – matching available human resources to jobs;
2. *appraisal* – performance management;
3. *rewards* – ‘the reward system is one of the most under-utilized and mishandled managerial tools for driving organizational performance’; it must reward short as well as long-term achievements, bearing in mind that ‘business must perform in the present to succeed in the future’;

4. *development* – developing high quality employees

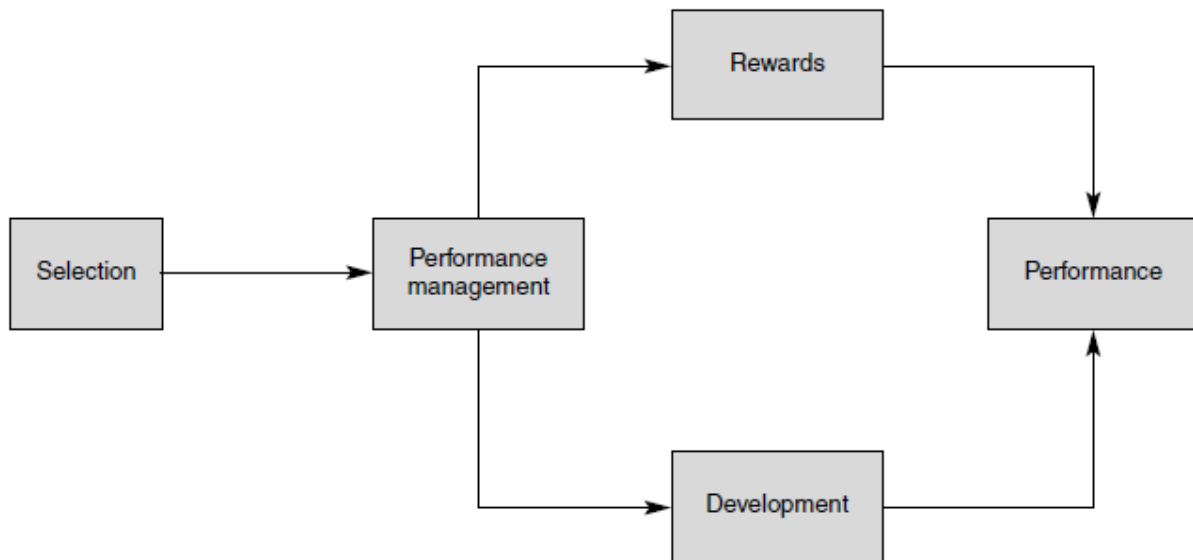


Fig. 2.1. The human resource cycle (source:- Michael Armstrong – A hand book of Human resource management practice 10th ed. PP 30)

▪ The Harvard framework

The other founding fathers of HRM were the Harvard School of Beer *et al* (1984) who developed what Boxall (1992) calls the ‘Harvard framework’. This framework is based on the belief that the problems of historical personnel management can only be solved: ***when general managers develop a viewpoint of how they wish to see employees involved in and developed by the enterprise, and of what HRM policies and practices may achieve those goals. Without either a central philosophy or a strategic vision – which can be provided only by general managers – HRM is likely to remain a set of independent activities, each guided by its own practice tradition.***

Beer and his colleagues believed that ‘Today, many pressures are demanding a broader, more comprehensive and more strategic perspective with regard to the organization’s human resources.’ These pressures have created a need for: ‘A longer-term perspective in managing people and consideration of people as potential assets rather than merely a variable cost.’ They were the first to underline the HRM tenet that it belongs to line managers. They also stated that:

‘Human resource management involves all management decisions and action that affect the nature of the relationship between the organization and its employees – its human resources.’

The Harvard school suggested that HRM had two characteristic features:

- 1) Line managers accept more responsibility for ensuring the alignment of competitive strategy and personnel policies;
- 2) personnel has the mission of setting policies that govern how personnel activities are developed and implemented in ways that make them more mutually reinforcing.

The Harvard framework as modeled by Beer *et al* is shown in Figure 2.2.

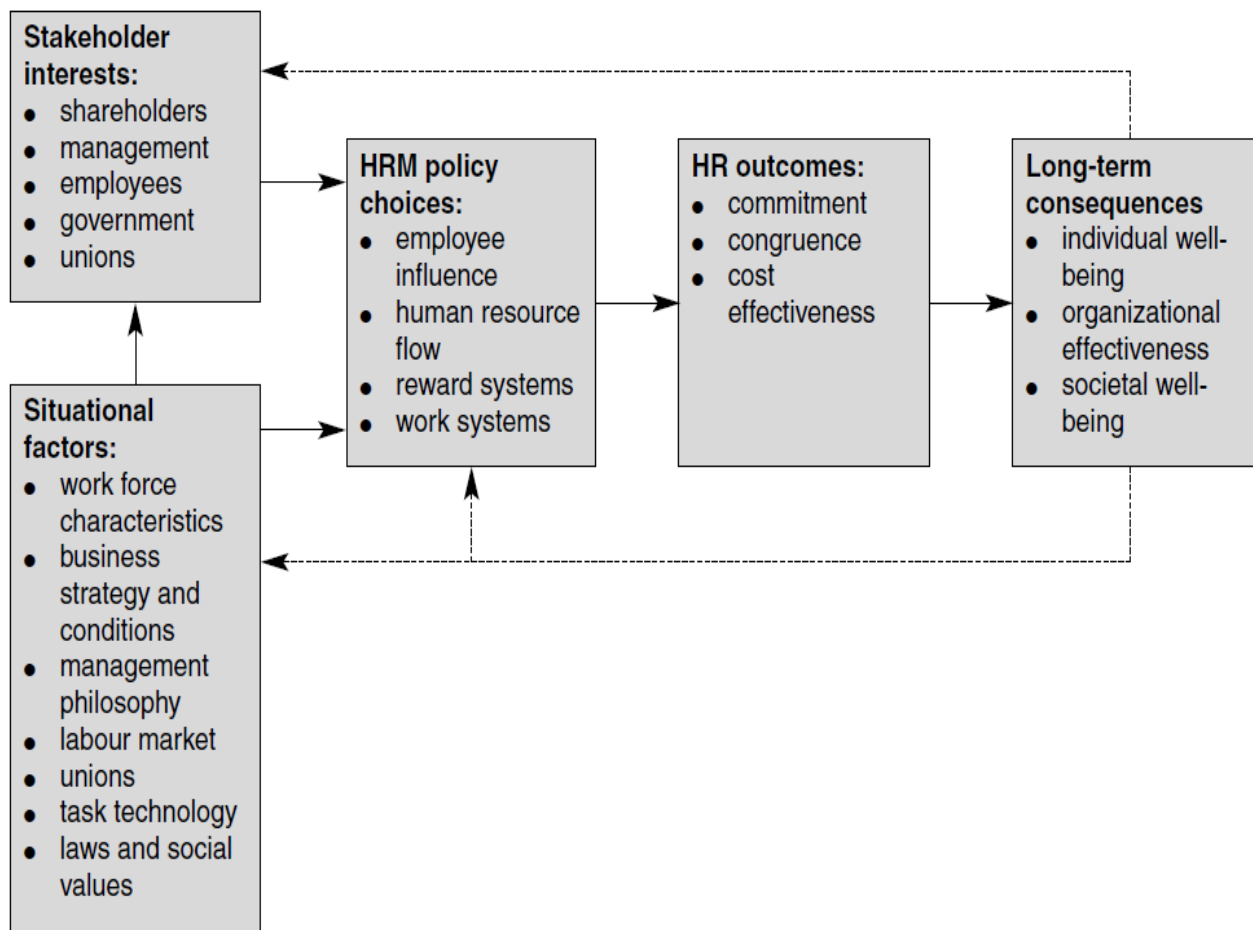


Fig. 2.2.- The Harvard Framework for human resource management

Employees are significant stakeholders in an organization. They have their own needs concerns along with other groups such as shareholders and customers.

The Harvard framework outlines four HR policy areas;

- **Employee influence:-** delegated levels of authority, responsibility, power
- **Human resource flow:-** recruitment, selection, promotion, appraisal, termination, etc

- **Reward system:-** pay system, motivation, etc
- **Work system:-** design of work and alignment of people

Which in turn lead to the four “C’s” or HR policies that have to be achieved:

- Commitment
- Congruence
- Competence
- Cost effectiveness

Beer et al (1984) proposed that long-term consequences both benefits and cost of human resource policies should be evaluated at three levels; individual, organizational, and societal. These in turn should be analyzed using the four C’s.

Summary

Since organizations are within the environment and HRM is part of an organization, HRM activities must be prepared to deal with the effects of these changes. We can categorize the environmental factors which affecting HRM activities under two broad groups;

1. The external environment:- includes variables like;

B. Economic Conditions

- The population and the Labor Force, Labor Market Conditions, Product/Service Market

C. Government Influences:- Some of government legislation and regulation which may affecting HRM function includes;

- Equal employment opportunity, Sex and age discrimination, Compensation regulation, Hours of work, national holidays, and Worker’s safety laws etc.

D. Union Expectations and power:- Labor unions exist to protect employees’ right however, the presence of a union directly affects most aspects of human resource management- recruiting selection, performance evaluation, promotion, compensation, and benefits, among other things.

2. Internal Environmental:- this factors includes;

- Strategies and operational objectives, financial condition and flexibility, nature of the task, culture and philosophy of organizations.

There are two basic models in human resource management;

- A. **The matching model of HRM :-** They explained that there is a human resource cycle, which consists of four generic processes or functions that are performed in all organizations. These are: *selection, development, rewards, and appraisal*
- B. **The Harvard framework:-** This framework is based on the belief that the problems of historical personnel management can only be solved: *when general managers develop a viewpoint of how they wish to see employees involved in and developed by the enterprise, and of what HRM policies and practices may achieve those goals. Without either a central philosophy or a strategic vision – which can be provided only by general managers – HRM is likely to remain a set of independent activities, each guided by its own practice tradition.*

Self-check Questions 2

1. _____ those not working for economic gain even though they are eligible to work.
- A. Ineligible to work
 - B. Labor reserve
 - C. Total labor force
 - D. All of the above
2. Impact of the labor force on the human resource function of an organization may include;
- A. The question of equal employment opportunity for women & minority groups.
 - B. Need of training programs to improve skill & knowledge
 - C. The demand for flexible work hour by different groups
 - D. Value, perception, & attitude variations among the work force & administering it.
 - E. All of the above
3. Among the following alternative one is not under the category of external environment affecting HRM function.
- A. Economic Conditions
 - B. Government Influences
 - C. Financial status of an organization
 - D. Union Expectations and power

CHAPTER THREE

JOB ANALYSIS & Human Resource Planning

Chapter Outline:

- 3.1. Meaning and definition of job analysis
- 3.2. Steps in job analysis
- 3.3. Methods of collecting job analysis information
- 3.4. Importance of job analysis information
- 3.5. Potential problems with job analysis
- 3.6. Meaning and definition of Human resource planning
- 3.7. Importance of human resource planning
- 3.8. Steps [procedures] in human resource planning
- 3.9. Factors affecting human resource planning

Chapter objectives

Up on the completion of this chapter, students will be able to:

- ✓ Define what we mean job analysis
- ✓ Describe steps in job analysis
- ✓ Identify importance of job analysis information
- ✓ Explain the nature and characteristics of human resource planning
- ✓ Describe the importance of human resource planning
- ✓ Identify problems of human resource planning
- ✓ Identify factors and components of human resource planning
- ✓ Show human resource planning processes

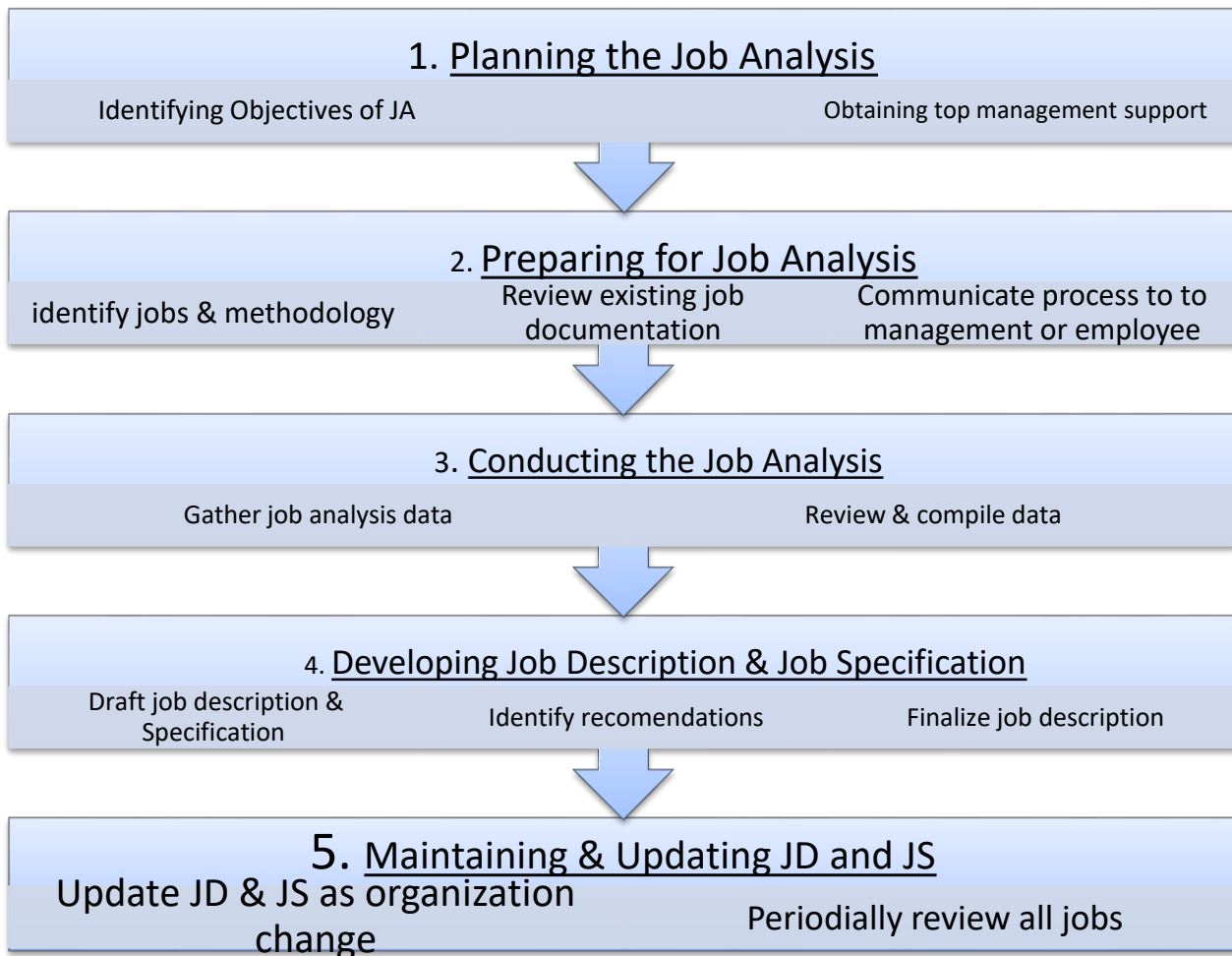
3.1. Meaning and definition of job analysis

A **job analysis** is a systematic exploration of the activities within a job. It is a technical procedure used to define a job's duties, responsibilities, and accountabilities. This analysis “involves the identification and description of what is happening on the job accurately and precisely identifying the required tasks, the knowledge, and the skills necessary for performing them, and the conditions under which they must be performed.”

Job analysis provides information about jobs currently being done and the knowledge, skills, and abilities that individuals need to perform the jobs adequately

3.2. Steps in job analysis

Job analysis begins with a clear understanding of the job and its link to organizational strategy. HR next determines the tasks necessary to successfully complete the job, and then determines the skills necessary to complete those tasks. Workers and supervisors need to be involved in the process.



Source;- Mathis & Jackson (2003)- HRM , PP 184

3.3. Methods of collecting job analysis information

The basic methods by which HRM can determine job elements and the essential knowledge, skills, and abilities for successful performance include the following.

- **Observation Method**

Provides information about jobs currently being done and the knowledge, skills, and abilities that individuals need to perform the jobs adequately. Using the observation method, a job analyst watches employees directly or reviews films of workers on the job. Although the observation method provides firsthand information, workers rarely function most efficiently when they are being watched, and thus distortions in the job analysis can occur. This method also requires that the entire range of activities be observable, which is possible with some jobs, but impossible for many others—for example, most managerial jobs.

- **Individual Interview Method**

Meeting with an employee to determine what his or her job entails. The individual interview method assembles a team of job incumbents for extensive individual interviews. The results of these interviews are combined into a single job analysis. This method is effective for assessing what a job entails. Involving employees in the job analysis is essential.

- **Group Interview Method**

Meeting with a number of employees to collectively determine what their jobs entail. The group interview method is similar to the individual interview method except that job incumbents are interviewed simultaneously. Accuracy is increased in assessing jobs, but group dynamics may hinder its effectiveness.

- **Structured Questionnaire Method**

A specifically designed questionnaire on which employee's rate tasks they perform in their jobs. The structured questionnaire method gives workers a specifically designed questionnaire on which they check or rate items they perform in their job from a long list of possible task items. This technique is excellent for gathering information about jobs. However, exceptions to a job may be overlooked, and opportunity may be lacking to ask follow-up questions or to clarify the information received.

- **Technical Conference Method**

A job analysis technique that involves extensive input from the employee's supervisor. The technical conference method uses supervisors with extensive knowledge of the job, frequently called subject matter experts. Here, specific job characteristics are obtained from the experts. Although a good data-gathering method, it often overlooks the incumbent workers' perceptions about what they do on their job

- **Diary Method**

A job analysis method requiring job incumbents to record their daily activities. The diary method requires job incumbents to record their daily activities. This is the most time consuming of the job analysis methods and may extend over long periods of time—all adding to its cost.

These six methods are not mutually exclusive; nor is one method universally superior. Even obtaining job information from incumbents can create a problem, especially if these individuals describe what they think they should be doing rather than what they actually do. The best results, then, are usually achieved with some combination of methods—with information provided by individual employees, their immediate supervisors, a professional analyst, or an unobtrusive source such as filmed observations.

Check point!

✓ *Explain benefits of different sources of information for job analysis*

3.4. Importance of job analysis information

No matter what method you use to gather data, the information amassed and written down from the conceptual, analytical job analysis process generates three tangible outcomes: ***job descriptions, job specifications, and job evaluation***. Let's look at them one by one.

A. Job Descriptions

Job description is a written record of the duties, responsibilities and requirements of a particular job. It is concerned with the job itself and not with the worker. It is a statement describing the job in such terms as its title, location, duties, working conditions and hazards. In other words, it tells us what is to be done and how it is to be done and why. It is a standard of function, in that it defines the appropriate and authorized contents of a job.

Job description contains the following:

- 1. Job identification**, which includes the job title, alternative title, department, division, plant and code number of the job. The job title identifies and designates the job properly. The department division, etc. indicate the name of the department where it is situated. (eg. whether it is the maintenance department, mechanical shop etc.) The location gives the name of the place.
- 2. Job Summary** serves two important purposes. First it provides a short definition which is useful as additional identification information when a job title is not adequate. Second, it serves as

a summary to orient the reader toward understanding of detailed information which follows. It gives the reader a — quick capsule explanation of the content of a job usually in one or two sentences.

3. Job duties give us a comprehensive listing of the duties together with some indication of the frequency of occurrence or percentage of time devoted to each major duty. It is regarded as the heart of a job.

4. Relation to other jobs: This helps us to locate the job in the organization by indicating the job immediately below or above it in the job hierarchy. It also gives us an idea of the vertical and horizontal relationships of work flow and procedures.

5. Supervision: Under it is given the number of persons to be supervised along with their job titles, and the extent of supervision involved – general, intermediate or close supervision.

6. Working conditions usually give us information about the environment in which a job holder must work. These include cold, heat, dust, wetness, moisture, fumes, odor, oily conditions, etc. obtaining inside the organization.

A job description enables us to frame suitable questions to be asked during an interview. It is particularly helpful when the application form is used as a tool for eliminating the unfit personnel. A job description helps us in:

Job grading and classification;

- Transfers and promotions;
- Adjustments of grievances;
- Defining and outlining promotional steps;
- Establishing a common understanding of a job between employers and employees;
- Investigating accidents;
- Indicating faulty work procedures or duplication of papers;
- Maintaining, operating and adjusting machinery;
- Time and motion studies;
- Defining the limits of authority;
- Indicating case of personal merit;
- Facilitating job placement;
- Studies of health and fatigue;
- Scientific guidance;

- Determining jobs suitable for occupational therapy;
- Providing hiring specifications; and
- Providing performance indicators.

B. Job Specifications

The **job specification** states the minimum acceptable qualifications that the incumbent must possess to perform the job successfully. Based on information acquired through job analysis, the job specification identifies pertinent knowledge, skills, education, experience, certification, and abilities. Individuals possessing the personal characteristics identified in the job specification should perform the job more effectively than those lacking these personal characteristics. The job specification, therefore, is an important tool for keeping the selector's attention on the list of necessary qualifications and assisting in determining whether candidates are essentially qualified.

Job specifications relate to:

- a) **Physical characteristics**, which include health, strength, endurance, age-range, body size height, weight, vision, voice, poise, eye, hand and foot co-ordination, motor co-ordination, and color discrimination.
- b) **Psychological characteristics** or special aptitudes which include such qualities as, mechanical aptitude, ingenuity, judgment, resourcefulness, analytical ability, mental concentration and alertness.
- c) **Personal characteristics** traits of temperament such as personal appearance, good and pleasing manners, emotional stability, aggressiveness or submissiveness, extroversion; or, introversion, leadership, cooperativeness, initiative and drive, skill in dealing with others, unusual sensory qualities of sight, smell, hearing, adaptability, conversational ability, etc.
- d) Responsibilities which include supervision of others, responsibility for production, process and equipment; responsibility for the safety of others; responsibility for generating confidence and trust; responsibility for preventing monetary loss.
- e) Other features of a demographic nature, which are age, sex, and education experience and language ability._____

Check point!

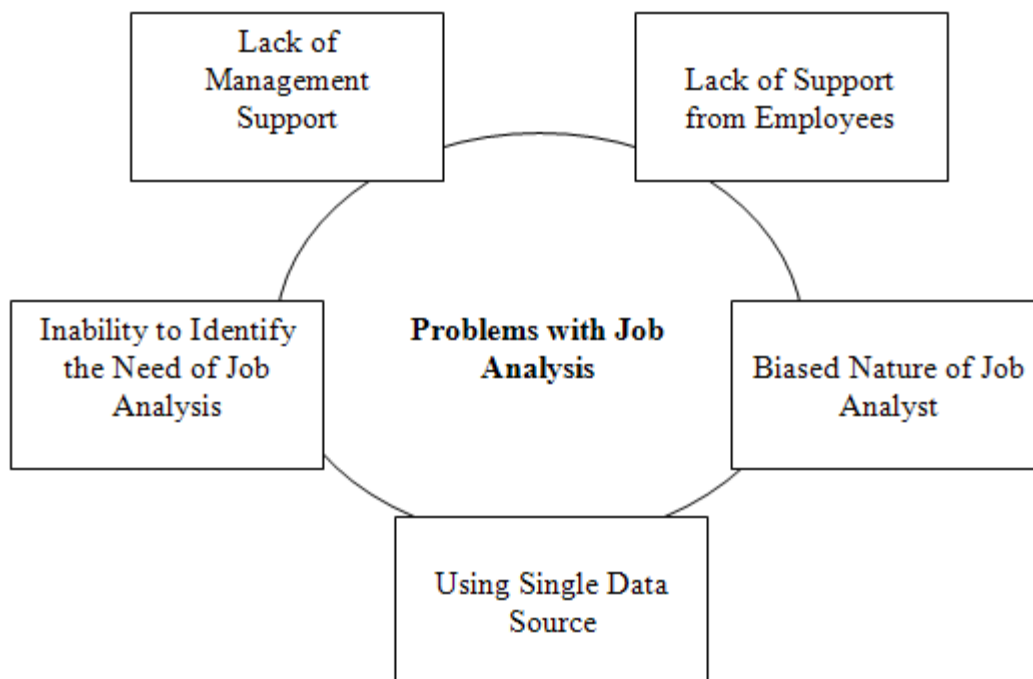
- ✓ *Explain the difference between job description & job specification*
-

3.5. Potential problems with job analysis

No process can be entirely accurate and fully serves the purpose. Job analysis is no exception to it. The process involves a variety of methods, tools, plans and a lot of human effort. And where there people are involved, nothing can be 100 percent accurate. However, they may be appropriate considering various factors including organizational requirements, time, effort and financial resources. Since the entire job analysis processes, methods and tools are designed by humans only, they tend to have practical issues associated with them. Human brain suffers with some limitations, therefore, everything created, designed or developed by humans too have some or other constraints.

Coming back to the subject, even the process of job analysis have lot of practical problems associated with it. Though the process can be effective, appropriate, practical, efficient and focused but it can be costly, time consuming and disruptive for employees at the same time. It is because there are some typical problems that are encountered by a job analyst while carrying out the process. Let's discuss them and understand how the process of job analysis can be made more effective by treating them carefully

Problems with Job Analysis



- **Lack of Management Support:** The biggest problem arises when a job analyst does not get proper support from the management. The top management needs to communicate it to the middle level managers and employees to enhance the output or productivity of the process. In case of improper communication, employees may take it in a wrong sense and start looking out for other available options. They may have a notion that this is being carried out to fire them or take any action against them. In order to avoid such circumstances, top management must effectively communicate the right message to their incumbents.
- **Lack of Co-operation from Employees:** If we talk about collecting authentic and accurate job-data, it is almost impossible to get real and genuine data without the support of employees. If they are not ready to co-operate, it is a sheer wastage of time, money and human effort to conduct job analysis process. The need is to take the workers in confidence and communicating that it is being done to solve their problems only.
- **Inability to Identify the Need of Job Analysis:** If the objectives and needs of job analysis process are not properly identified, the whole exercise of investigation and carrying out research is futile. Managers must decide in advance why this process is being carried out, what its objectives are and what is to be done with the collected and recorded data.
- **Biasness of Job Analyst:** A balanced and unbiased approach is a necessity while carrying out the process of job analysis. To get real and genuine data, a job analyst must be impartial in his or her approach. If it can't be avoided, it is better to outsource the process or hire a professional job analyst.
- **Using Single Data Source:** A job analyst needs to consider more than one source of data in order to collect true information. Collecting data from a single source may result in inaccuracy and it therefore, defeats the whole purpose of conducting the job analysis process.

However, this is not the end. There may be many other problems involved in a job analysis process such as insufficient time and resources, distortion from incumbent, lack of proper communication, improper questionnaires and other forms, absence of verification and review of job analysis process and lack of reward or recognition for providing genuine and quality information.

3.6. Meaning and definition of Human resource planning

Human Resource Planning is concerned with planning the future manpower requirements in the organization. HR manager ensures that the company has the right type of people in the right number at the right time and place, who are trained and motivated to do the right kind of work at the right time. Obviously, human resource planning primarily makes appropriate projections for future manpower needs of the organization or envisions plan for developing the manpower to suit the changing needs of the organization from time to time, and foresees how to monitor and evaluate the future performance. It also includes the replacement plans and managerial succession plans.

Meanings and Basic Concepts

- ❖ Human resource planning is the process by which an organization ensures that it has the right number and kinds of people, at the right places, at the right time, Capable of efficiently and effectively completing those tasks that will help the organization achieve its over all objectives (Decenzo & Robbins)
- ❖ Human resource planning can be defined as "a process by which an organization should move from its current man power position to its desired man power position"(E.W. Petter). Through planning management strives to have the right number and right kind of people, at the right places, at the right time, doing things, which result in both the organization and the individual receiving maximum long-term benefits.
- ❖ According to Leon C. Meggision, human resource planning is "an integrated approach to perform the planning aspects of the personnel function in order to have a sufficient supply of adequately developed and motivated people to perform the duties and tasks required to meet organizational objectives and satisfy the individual needs and goals of organizational members.

In this definition, human resource planning is valued as foreseeing the human resource requirements of an organization and the future supply of human resources and, making necessary adjustments between these two and organizational plans; and foreseeing the possibility of developing the supply of human resources in order to match it with requirements by introduction of necessary changes in the functions of human resources management.

In general, HRP translates the organizations objectives and plans in to the number and type of workers needed to meet those objectives. Without clear-Cut planning, estimation of organization's

human resource need is reduced to mere guesswork. After the short-term and long-term objectives are determined, organizations engage in human resource planning to ensure that people are available to provide the continued smooth development of an organization.

Check point

- ✓ *Explain the concept of human resource planning as discussed by Decenzo & Robbins*
 - ✓ *Discuss the objectives of human resource planning*
 - ✓ *Discuss how human resource planning help managers to have basis for human resource development*
-

3.7. Importance of human resource planning

HRP is important for a nation, organization and employees.

National importance of HRP

At the national level it helps the government to forecast the demand and supply of human resource for the country and to take steps to adjust the demand by altering its economic, industrial and agricultural policies and adjust the supply through its population policy, family planning, and educational policy. It also serves the government to plan for occupational distribution, sectoral and regional allocation of human resources.

Organizational importance

HRP anticipates not only the required kind and number of employees but also determines the action plan for all functions of HRM. These action plans serve the organization in different ways.

The major payoffs of HRP are:

- ❖ It checks the corporate plan of the organization. The corporate plan of the organization regarding expansion, diversification, technological change, etc., should be packed up by the availability of human resources. If it is anticipated that the required manpower will not be available, then the HRP suggests the need for modification of corporate plans.
- ❖ It offsets uncertainty and change. HRP offsets uncertainties and changes to the maximum extent possible and enables the organization to have right men at the right time and the right place. Without the HRP, everything regarding requirement, availability, and internal

movements of human resources would be in a liquid state and all managers will be in a dilemma about securing suitable manpower.

- ❖ It helps in anticipating the cost of salary, benefits, and all other human resource functions and this in turn facilitates the formulation of budget on an organization.
- ❖ It tries to foresee the need for redundancy and plan to solve it or to provide for alternative employment in consultation with trade unions, other organizations, and government through remodeling organizational, industrial and economic plans. This helps maintain good industrial relation.
- ❖ Avoidance of disruption in production. Through well-developed recruitment and training policy, HRP estimates the future human resources needs that production or other activities of organization will not be interrupted.
- ❖ Promotes equal employment opportunity. HRP helps organizations to cope with different labor laws and respond satisfactorily to the information demands of different legal institutions.
- ❖ It gives an idea of the type of tests, interviews, and other techniques of selection based on the level of skills, qualifications, intelligences etc., of future human resource.
- ❖ Serve as a guide for coordination of different personnel programs such as recruitment, selection, training and development of employees
- ❖ It facilitates the control of all the functions, operations, contribution and cost of human resource.

Employee importance

- ❖ Creates more satisfied and better-developed employees: HRP provides scope for advancement and development for employees through training, development and succession planning. Thus employees are likely to feel their talents are important to the employer, and they have better chance to utilize their talents. This situation often leads to greater employee satisfaction and its consequences like lower absenteeism, lower turn over, fewer accidents, higher quality of work etc.
- ❖ It helps to satisfy the individual needs of the employees for promotions, transfers, salary enhancement, better benefits etc.

Check point

- ✓ *Hello dear learner! Have you go through the contents of the above topic? Good! So please discuss the national, organizational, and individual importance of human resource planning.*

3.8. Steps [procedures] in human resource planning

The following figure illustrates the steps involved in human resource planning

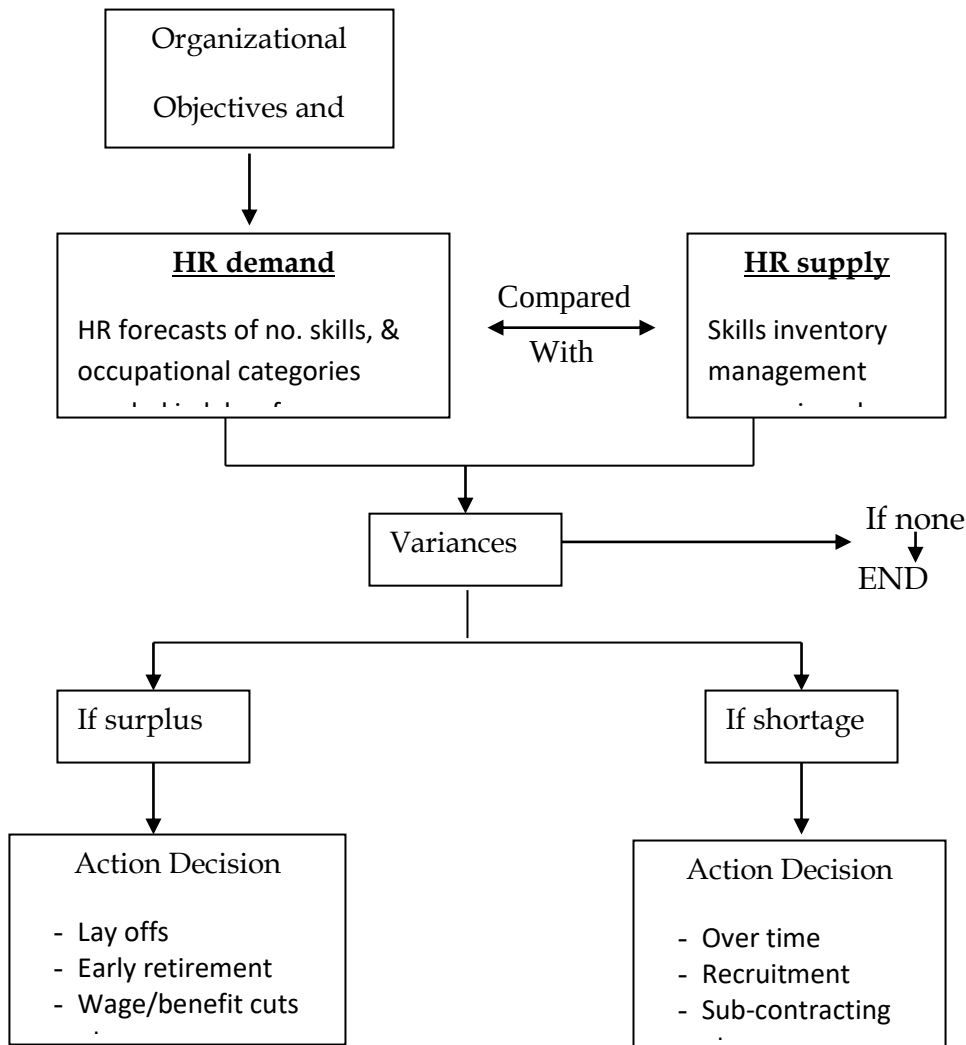


Figure 3.1: Human Resource Planning Process

The process of HRP broadly involves the following process stages.

1. Analysis of Organizational Plans and Objectives:

Human resource planning is a part of overall plan of organization. Plans concerning technology, production, marketing, finance, expansion and diversification give an idea about the volume of future work activity. Each plan can further be analyzed into sub-plans and detailed programs. It is also necessary to decide the time horizon for which human resource plans are to be prepared.

The future organization structure and job design should be made clear and changes in the organization structure should be examined so as to anticipate its manpower requirements.

2. Forecasting Demand for Human Resources:

Estimation of future demand for human resources is the core of any organizations human resource planning process. Most organizations predict their future employee needs, at least informally, even if they do not estimate their sources of supply. Demand forecasting is the basis on which manpower planning is built. Almost all HRP begins by determining future human requirements.

HR demand forecasting is the process of estimating as closely as possible, how many and what type of employees the organization will need in each job category by the end of the planning period to do the work that will have to be done.

The logical place to begin this process is with an organization's business plans. Some organizational plans to be considered include: Sales and production volume, financial levels, expansion programs, market coverage and other strategies.

The basic fact to be remembered is that the estimation at this stage is a rough projection as HR in an organization constantly changes in terms of quantity and quality. Therefore, the net requirement (the real shortage or surplus) may be found out after matching adjustments to changes in manpower due to increase or decrease in internal mobility, losses due to separation, and changes in qualities and attitude of the existing employees during the planning period.

3. Forecasting supply of human resource

Once future demand for manpower is projected, the next major concern is how to fill projected openings.

There are two major sources of supply of manpower for an organization. These are:

I. Internal source of supply- includes present employees who can be promoted, transferred, or demoted to fill external openings

II. External source of supply - consist of people who do not work for the organization currently like employees of other organization and the unemployed group of the society.

Requirements for human resource supply forecasting

To begin planning how to satisfy manpower the planner should have:

- ❖ A clear picture of forward manpower requirements in each category (may be based on function, level of position, skill level, age etc)
- ❖ A clear picture of current manpower inventory in each category, using the same basis
- ❖ Data on manpower flows through the structure, loss rates, additions and other factors result in change in current inventory
- ❖ Data on availability of various skills and experience required to be recruited from external sources (external supply analysis)

4. Estimating Manpower Gaps:

Net human resource requirements or manpower gaps can be identified by comparing demand and supply forecasts. Such comparison will reveal either deficit or surplus of human resources in future. Deficits suggest the number of persons to be recruited from outside whereas surplus implies redundant to be redeployed or terminated. Similarly, gaps may occur in terms of knowledge, skills and aptitudes. Employees deficient in qualifications can be trained whereas employees with higher skills may be given more enriched jobs.

Thus, the **possible outcomes** of this stage can be.

a. Future supplies more or less matches future demand: In this case, the result of net human resource equals zero. However, such situation really exists in reality, unless the organization is small, stagnant, the workforces and the environment is stable.

b. Future supply exceeds future demand for human resource: In this case the result of net human resource requirements will be negative, which indicates that there is surplus / excess manpower in an organization.

This situation is more likely if there are downsizing and contraction of a business may be due to bad economic situation, competition or legal restrictions.

c. Future supply falls short of /less than future demand for manpower: This indicates shortage in manpower. Shortage in manpower is likely to occur in large and expanding organization, where there is high turnover, and stiff competition for labor.

5. Matching Demand and Supply:

It is one of the objectives of human resource planning to assess the demand for and supply of human resources and match both to know shortages and surpluses on both the side in kind and in number. This will

enable the human resource department to know overstaffing or understaffing. Once the manpower gaps are identified, plans are prepared to bridge these gaps. Plans to meet the surplus manpower may be redeployment in other departments and retrenchment in consultation, with the trade unions. People may be persuaded to quit through voluntarily retirement. Deficit can be met through recruitment, selection, transfer, promotion, and training plans. Realistic plans for the procurement and development of manpower should be made after considering the macro and micro environment which affect the manpower objectives of the organization.

Options to address shortages

Short -term options

- Increase overtime or part time
- Increase contract works
- Increase productivity through training
- Buy back vacations and holydays
- Temporary assignments
- Transfer work -out temporarily

Long-term options

- Recall form leaves
- New hires
- Permanent transfer in worker
 - Training and development
 - Transfer work -out permanent

Options to Address Surplus

Short -term options

- ❖ Freeze hires
- ❖ Reduce part-time or part-time
- ❖ Transfer work -in tempera rely
- ❖ Reduce work weeks
- ❖ Temporary shutdown or layoff
- ❖ Excuse absenteeism
- ❖ Temporary assignment to other units
- ❖ Retrain or train

Long-term options

- ❖ Freeze hires
- ❖ Encourage attrition
- ❖ Permanent transfer -out of worker
- ❖ Retrenchment

- ❖ Provide incentive for early retirement
- ❖ Transfer work-in

Check point

- ✓ *After estimating the demand and supply of human resources, management should determine the net human resource requirements in terms of different factors. What are these factors*
 - ✓ *Discuss the possible relationships that are helpful for determining the net requirements of human resource*
 - ✓ *Discuss the long and short term option to cope up with surplus*
-

3.9. Factors Affecting Human Resource Planning

Human resource planning process can be affected by different factors. The process of estimating demands and supplies of manpower as well as the action programs to be implemented are influence by various factors. These factor can be broadly categorized as External and internal.

3.9.1. External Factors

External factors are forces outside the organization, which directly or indirectly affect the HRP process of an organization. Some of these external forces include.

1. Government: a major element that affects labor demand and supply is the government. Today managers are confronted with an expanding and often bewildering array of government rules as regulations of HR activities has steadily increased. As a result, HR planning must be done by individuals who understand the legal requirements of various government regulations.

Some of these laws may include:

- Trade policies and restrictions such as closed-import and open -import policies
- Taxation policies
- Wage and work hours laws
- Pension provisions and social security legislation.
- Employee health and safety laws

E.g. America workers compensation (WC) Act which demands benefits to employees that suffered a work related illness or injury.

2. Economic Conditions: Economic conditions like business cycle, interest rate, inflation, economic growth rate, per capita income etc, determines the plans and objectives of the organization and consequently the requirements and availability of workers. Decision on wages, hiring, training and development, lay-off workers all hinge on economic condition.

Example, in good economic conditions organizations can pay better salaries and able to attract qualified individual.

As the economy changes from expansion to contraction during a course of a business cycle, organizations must modify their plans. These changes in the business cycle demand that human resource planners assist their organizations in meeting their new plans. When the economy expands, new employees and training program are needed; voluntary departures by employees, employee's benefits, and improved work conditions also grow. When the business cycle turns-down, overstaffing, excess benefits, higher wages become serious problems.

Recession in business results in reducing labor costs, reduce working hours, lay-off workers and so on. These in turn affects the HRP process.

3. Social Conditions: - The society is the sources of manpower. Thus the diversity of the workforce is the result of social conditions. The major social factors are the culture and the demography.

- **Societal culture:** refers to the belief and customs of a society that affect the attitude, the behavior and ethics of a workforce. The changing attitudes, beliefs and viewpoints have confronted personnel departments in the form of requests for longer vacations, more holydays and non-traditional work schedules. In addition, attitude about honesty, commitment to work, believe on teamwork, attitudes toward HIV / AIDS victims are the results of societal culture and attitude. It is impossible to identify every changing value in society that may affect HRM in general & HRP in particular. Nonetheless, as society becomes more diverse in its attitude, culture and other dimensions, HR planners must try to anticipate the impact of these changes on HR demand and supply.
- **Demography:** defines composition of workforce in terms of educational level, ethnicity, age, sex, population number, birth rate, death rate, percentage of population participating in the workforce and other characteristics. Changes in workforce demographics usually occur slowly but it can relatively be measured and anticipated by demographers.

4. Technological challenges: - Technology impacts HRM by changing the product, production technique, or the skills required.

The innovation of computer and robotics are some of the results of technological changes. The introduction of computers changed employment needs. Before the invention of computers, organizations recruited large number of unskilled and semi-skilled clerks to perform routine works like payroll filing etc. The introduction of computer however, reduced the number of unskilled labor, and introduced the need for highly skilled programmers and system analysts. Thus, this changed the techniques of recruitment, training and compensation programs. Technology in general complicates human resource planning because of the tendency to reduce employment in one department like filing while increases employment in other departments like computer operation.

5. Competition for labor: The existence of other employers in the area can greatly expand or diminish the labor supply. The Opening of a new business in the area may decrease the supply of potential employees in a labor market. Sometimes, however, other competing business can be a source for especially contingent employees. As a result, failure to consider the competitive labor market and to offer pay scales and benefits which is competitive with those organizations in the same general industry and geographic location may cost a company clearly in the long-run. Underpaying or under competing may result in a much lower quality workforce.

In addition to local competition, **international competition** is also part of external environment. A global competition for labor shifts jobs and workers around the world. Without effective human resource planning and subsequent attention to employee recruitment, selection, placement, development, and career planning, the growing competition for international professionals may lead to expensive and strategically disruptive turnover and loss of important individuals.

Check Point

- ✓ *Please discuss the external factors that affect the normal operation of a given companies human resource planning function*
- ✓ *Explain how government affects the human resource functions of planning*

- ✓ *Technology impacts HRP by changing the product, production technique, or the skills required. Discuss these challenges using related examples*
-

3.9.2 Internal Factors

These are factors that emanate from within the organization. These factors reflect the weaknesses and strengths of an organization. Some of these factors include:

1. Organization's strategies and objectives: the long -range objectives of an organization like growth rates, new product development, and enlargement of market coverage, diversification and so on affect HRP. If long term objectives are to be met, personnel specialists must develop human resource plans that accommodate the strategic plan. In the short run, planners find that strategic plans become operational in the form of budgets.

e.g. If a retail company faces a sharp decline in sales volume due to recession, the management will be forced to freeze new hiring and reduce the existing employees.

In addition, expansion and entering new venture through acquisition or merger cause an immediate revision of human resource demand.

2. Organizational size and structure: the size of the organization (whether it is large or small) determines the manpower needs of an organization. Jobs are the basic units of organizational structure. Thus, the characteristics, the number and relationships among jobs affects number and type of employees required. Re-organization after a merger or acquisition can radically alter human resource needs. Likewise, the redesign of jobs changes the skill level required of the workers e.g. Job enrichment. At a time when companies are constantly merging, spinning off divisions, entering new businesses, and getting out of old ones, management should consider its HR. The type of structure, organizational hierarchy, level of centralization and decentralization all affects HRP.

3. Organization culture and management philosophy: an organizational culture is a predominant system of beliefs and values held in an organization by its members.

It is a pattern of basic assumptions which has been considered valid and taught to new members as the correct way to perceive, think, and behave in relation to some problems.

E.g. it may be the culture of the organization to promote employees based on seniority.

Further, management philosophy (mgt assumption about human behavior) and Consequent Leadership they follow affects manpower plan.

E.g. Democratic leaders can produce better and productive workforce than autocratic leaders.

4. Work force factors: the demand for human resources is modified by such employee actions as retirements, terminations, death, leaves of absence, lateness and so on. The rate of maternity leave, sick leave, workers' death due to spread of epidemic & HVI/AIDS will significantly affect more and more organizations and their human resource plans.

5. Labor union: labor union is a group of employees acting collectively to promote their common interest. In a unionized company, the employer and the labor union sign a collective agreement that specifies recruitment issues, compensation, hours of work, the working condition, promotion, transfer etc. Thus, this agreement affects HRP.

6. Organizations financial ability: the financial strength of an organization to pay compensation to the existing workers and to attract additional workers affects its HRP.

7. Organization of HRP activities: This shows to whom HRP responsibilities are assigned and how it is carried out. HRP can be carried out and line departments may be given an authority to prepare their manpower plan. In general, HRP may take top down or button- up approach, or preferably the combination of the two. The possible conflict between the two approaches is that top management try to squeeze the number of future employees where as line managers try to provide them selves with extra manpower. Therefore, negotiation and compromise are necessary. If the top-down view is tough (prevails), it may result in understaffing of many works, inadequate time to prepare and delay in staffing where as the dominance of bottom-up approach results in overstaffing and unnecessary cost.

8. The nature of the jobs & tasks: - the simplicity/ complexity of the tasks in the job and other aspects affect HRP

Problems of human resource planning

Though HRP is beneficial to the organization, employees and labor unions, some problems may crop up in the process of HRP. Some of these are:

1. Uncertainties due to changes. Human resource planning suffers problem of preparing long range forecasts accurately due to uncertainties in future turnover, recruitment etc, and changes in economic, technological, marketing, legal and labor conditions. These changing conditions make long-term forecasting unreliable.
2. Inadequacies of information system. HRP requires a well-developed Human Resource Information System (HRIS). However, this has not yet fully developed in most organizations (in developing countries) due to the level of technology, low status given to HR department, and less importance attached to HRP. Further, the reliable data and information about the economy, other industries, and labor market etc is not available.
3. Resistance by employers. Many employers resist HRP as they think that it increases the cost of manpower as trade unions demand for employees based on the plan, more facilities and benefits including training and development. Further, in a situation when there is high unemployment, managers feel that HRP is not necessary as candidates are available when required.
4. Resistance by trade unions and employees. Trade unions and employees also resist HRP as they view that it increases the workload of employees and prepares programs for securing the human resources mostly from outside. The other reason for their resistance is that HRP aims at controlling employees through improved performance, productivity maximization etc.

In addition to the above problems, HRP may suffer from the following specific problems:

- Lack of top managements support. Sometimes, HRP activities don't enjoy top management support and thus human resource specialist find it difficult to obtain information on various vital inputs and get frustrated.
- Difficulty to coordinate HRP and other human resource activities.
- Impediments to strike harmonious balance between quantitative and qualitative aspects of HRP. Greater emphasis on the quantitative aspect may force the organization to discount the more important qualitative aspect.

- Skepticism and growing mistrust from the side of operating managers. HRP requires active participation and coordinated efforts of operating managers.
- Human resource specialists' has lack of proper understanding of the HRP. Human resource planners may not fully understand the HRP, and suffers from identity crises and they fail to develop a strong sense of purpose.

Organizing human resource planning

HRP is not the sole responsibility of one department rather every line manager, the top management and human resource department participate in the process.

- The top management is responsible for preparation of organizational strategic plan in consultation with other managers
- Every line manager is then responsible for planning manpower of his respective department based on the overall objectives of the organization.
- The personnel department supplies different information and data to all the line managers and help them regarding interdepartmental transfers, promotions, demotions etc.
- The personnel departments help the organization in forecasting manpower using different techniques
- The department also forecasts surplus or deficit of human resources for the organization and prepares action plans regarding redeployment, redundancy, employment, development and internal mobility and submits the plans to top management.
- The top management then reviews departmental plans and the overall plans (either by him/herself or by appointing committee) and makes necessary adjustments and modification on the plans.
- Personnel department in its turn prepares modified plans for the departments based on the finalized overall plan and communicates them to respective heads of department.
- Finally, personnel department may coordinate the control activity of HRP and sends report to top management for actual review, control, and monitor the human resource system.

The top management then appoints a committee consisting of different individuals (like heads of departments, and external experts or specialists) to suggest the management regarding identification of deviations, reasons for deviations, and steps to be taken to correct the deviations.

Summary

Job analysis is a systematic exploration of the activities within a job. It is a technical procedure used to define a job's duties, responsibilities, and accountabilities. It should have pass through the following five basic phases; *planning the job analysis, preparing for job analysis, conducting job analysis, developing job description & job specification, and maintaining & updating job description & job specification.*

Information which is required in order to conduct job analysis can be collected through by using one of the following methods;

- **Observation Method:-** Using the observation method, a job analyst watches employees directly or reviews films of workers on the job.
- **Individual Interview Method:-** this method assembles a team of job incumbents for extensive individual interviews.
- **Group Interview Method:-** this method is similar to the individual interview method except that job incumbents are interviewed simultaneously.
- **Structured Questionnaire Method:-** this method gives workers a specifically designed questionnaire on which they check or rate items they perform in their job from a long list of possible task items.
- **Technical Conference Method:-** technical conference method uses supervisors with extensive knowledge of the job, frequently called subject matter experts.
- **Diary Method:-** A job analysis method requiring job incumbents to record their daily activities.

The result of job analysis can be used for the following two basic things;

- A. Job Descriptions:-** is a written record of the duties, responsibilities and requirements of a particular job. It is a statement describing the job in such terms as its title, location, duties, working conditions and hazards. In other words, it tells us what is to be done and how it is to be done and why.
- B. Job Specifications:-** it states the minimum acceptable qualifications that the incumbent must possess to perform the job successfully. Individuals possessing the personal characteristics identified in the job specification should perform the job more effectively than those lacking these personal characteristics.

Job analysis faced to the following basic problems; lack of management support, lack of co-

operation from employees, inability to identify the need of job analysis, biasness of job analyst, and using single data source.

Organizations are required to plan their human resource requirement according to the overall plan of the organization. Human resource planning is valued as foreseeing the human resource requirements of an organization and the future supply of human resources and, making necessary adjustments between these two and organizational plans.

Human resource planning is important for national strategies towards human resource development, organizational plans at different level and Creates more satisfied and better-developed employees.

As any other process, HRP pass through the following five steps;

- Analysis of Organizational Plans and Objectives
- Forecasting Demand for Human Resources
- Forecasting supply of human resource
- Estimating Manpower Gaps
- Matching Demand and Supply

Human resource planning process can be affected by different factors. These factor can be broadly categorized as External and internal. External factors are forces outside the organization. eg. Government, economic condition, social condition, and technological condition. On the other, internal factors are factors that emanate from within the organization. Some of internal factors are; Organization's strategies and objectives, Organizational size and structure, Organization culture and management philosophy, Organizations financial ability, labor union, etc.

CHAPTER FOUR

RECRUITMENT AND SELECTION

Chapter Outline:

4.1. Employee Recruiting

- 4.1.1. Features of recruitment
- 4.1.2. Purpose of recruitment
- 4.1.3. Factors governing recruitment
- 4.1.4. Sources and methods of recruitment

4.2. Employee Selection

- 4.2.1. Selection criteria
- 4.2.2. The selection process
- 4.2.3. Factors governing selection

4.3. Orientation [induction]

- 4.3.1. Purpose of orientation
- 4.3.2. Levels of orientation

Chapter objective:

At the end of this chapter, students should be able to understand and appreciate

- The concept of recruitment and selection
- Sources of recruitment
- Methods of recruitment and
- Process of employee selection
- Method of employee orientation (induction)

4.1. Employee Recruiting

Successful employment planning is designed to identify an organization's human resource needs. Once these needs are known, an organization will strive to meet them. The next step in staffing, then—assuming, of course, that demand for certain skills, knowledge, and abilities is greater than the current supply—is recruiting. The company must acquire the people necessary to achieve the goals of the organization.

4.1.1. Features of recruitment

Recruiting is the process of discovering potential candidates for actual or anticipated organizational vacancies. Or, from another perspective, it is a linking activity that brings together those with jobs to fill and those seeking jobs. Recruitment involves seeking and attracting a pool of people from which qualified candidates for job vacancies can be chosen. In effect, it involves:

- Identifying the sources where the required number and kind of employees are/will be available.
- Developing suitable techniques to attract the desirable candidates
- Stimulating as many candidates as possible and be able to attract large number of candidates. The higher the number of applicants the better chance of being selective in the hiring process.

In short, its basic purpose is to develop a group of potentially qualified people. The term “qualified” indicates the difficulty involved in the recruitment process. The ideal recruitment process will attract a large number of qualified applicants who will take the job if offered. The most effective way of making sure unqualified applicants are not attracted to a job is by providing adequate information about the nature of the job so that unqualified applicants may self-select themselves out of the job candidacy. This dual objective minimizes the cost of recruiting unqualified candidates.

4.1.2. Purpose of recruitment

1. To attract people with multi-dimensional skills and experiences that suits the present and future organizational strategies.
2. To induct outsiders with a new perspective to lead the company.
3. To infuse fresh blood at all levels of the organization.
4. To develop an organizational culture that attracts competent people to the company.
5. To search or head hunt people whose skills fit the company's values.
6. To devise methodologies for assessing psychological traits.
7. To seek out non-conventional development grounds of talent.
8. To search for talent globally and not just within the company.
9. To design entry salary that competes on quality but not on quantum.
10. To anticipate and find people for positions that does not exist yet.

4.1.3. Factors governing recruitment

Recruitment is not a simple task and like most of the human resource functions, it is affected by both internal and external environmental factors. These factors could facilitate or limit the recruitment process in attracting large number of qualified candidates. Among the factors influencing effective recruitment are the following:

Internal Factors:

- Working Conditions
- Promotional Opportunities
- Salary levels, type and extent of benefits
- Other personnel policies and practices
- Image of the organization
- Ability and skill of the management to stimulate the candidates
- Quality of the recruitment process

External Factors:

- Personnel policies and practices of other organizations regarding working conditions, salary, benefits, promotional opportunities, employee relations, etc.
- Career opportunities in other organizations
- Government regulations

4.1.4. Sources & methods of recruitment

A. Sources of recruitment

There are two sources of recruitment-Internal and External sources

1. Internal Sources:

Vacant positions in organizations could be filled by those existing employees through transfers, promotions and recall from lay-off. Most large organizations attempt to develop their own employees for positions beyond the lowest level.

The internal source is most effective if the organization has been effective in recruiting and selecting employees in the past and has a strong employee development program. This source of recruitment has its own advantages and disadvantages.

Advantages:

- a. The company has better knowledge of the strength and weakness of job candidates. If accurate information is gathered about an employee under consideration through qualification inventory, performance evaluation, interview with prior and present supervisors of the employee, there is a high chance of recruiting the best employee from within the organization.
- b. Inside job candidates have better knowledge of the organization and its operations. Thus, they require less orientation and training than outsiders. Moreover, the likelihood of inside candidates having inaccurate expectations and/or becoming dissatisfied with the organization is very low.
- c. Employees see that competence is rewarded and moral and performance may thus be enhanced. Recruiting from within an organization creates promotion opportunities to employees. Thus, organizations providing first job opportunity to their employees are likely to win the loyalty and good performance of their employees.
- d. The return on investment that an organization has on its present work force is increased. Most organizations spend sizable amount of investment on their employees in a form of short term trainings, fringe benefits, etc. Being able to use this workforce to its maximum capability is considered as a return on investment to the organization.

Disadvantages:

- a. People can be promoted to the point where they cannot successfully perform the job. An organization can suffer if it uses inferior internal sources just for the reason of boosting the morale of its employees.
- b. Infighting for promotions can negatively affect morale. Competition among employees for promotions may be very intense to the extent of damaging the morale of employees.
- c. Inbreeding of ideas can stifle new ideas and innovations. When an entire management team has been brought up through trends, there may be a tendency to make decisions “by the book” and to maintain the status quo. It is, therefore, necessary to take into consideration external sources in order to bring “new blood” from the external sources.

2. External Sources

External sources provide a larger pool of candidates. It is often needed by organizations that are growing rapidly or have a large demand for technical and skilled managerial employees.

Advantages:

- a. The pool of talent is much larger. Internal source may not lead to large number of possible candidates for a given open position. Thus, using external sources provides the advantage of choosing from among large pool of candidates.
- b. New insights and perspectives can be brought to the organization Expertise, excellence and experience in other organization can be easily brought into the organization.

Disadvantages:

- a. Attracting, contacting, and evaluating potential employees is more difficult. This is especially more difficult for higher level jobs
- b. Adjustment or orientation time is longer for external candidates. As a result, it might take sometime before they can perform with their full potential.
- c. Morale problem can develop among internal employees who feel qualified to do the job. Current employees might feel neglected and their level of performance may be affected.

B. Methods of Recruitment

a. Job posting: It means posting notices of job openings on organization bulletin boards for recruiting possible internal candidates. Accordingly, interested employees could apply for the job. Job posting usually not used when promotion to a supervisory position is involved, since management often prefers to select personnel itself for promotion to management levels.

Some organizations develop implementation policies for job posting to be successful.

This may include

- 1. Posting for a specific period of time before going to external sources
- 2. Set eligibility rules and communicate it to the employees
- 3. Specify standards that may be required for the job.

b. Skill inventory: it is an internal recruitment method to identify employees with the attributes needed for a particular job. It is the systematic record, either manual or computerized, listing employee's education, career and development interests, languages, special skills, etc.

c. Job Advertisement: It is a widely used recruitment method in order to reach relatively large numbers of potential applicants. Advertisements are commonly placed in daily newspapers, trade and professional newspapers, and occasionally on radio, TV, and billboards. However, the choice

of appropriate media for a specific advertisement should depend on the type of job and the required degree of coverage.

In addition to the media used, the construction of the advertisement is also important. There are four basic guidelines job advertisements should follow:

- **Attract intention:** using wider borders or a lot of empty space around it might help the advertisement to stand out by itself.
- **Develop/ Create interest in the job:** Mentioning some key aspects of the job that might spark interest of potential applicants. (Location and exciting and challenging assignments, etc.)
- **Create desire:** amplifying on the interest factors and other benefits that may part of the job (job satisfaction, career development, travel, etc.)
- **Instigate action:** adding phrases such as “call today,” “write today for more information,” etc. Could make potential applicants take action towards applying.

Generally, if advertising is to be used as a primary method of recruitment, planning and evaluation of the advertising program should be a primary concern of the human resource department.

Advantages and Disadvantages of some Major Types of Media

Type of medium	Advantages	Disadvantages	When to use
News papers	Short deadlines ad size flexibility Circulation concentrated in specific geographic areas Classified sections well organized for easy access by active job seekers	Easy for prospects to ignore. Considerable competitive clutter. Circulation not specialized you must pay for great amount of unwanted readers. Poor printing quality	When you want to limit recruiting to a specific area when sufficient numbers of prospects are clustered in a

			specific area. When enough prospects are reading help wanted ads to fill hiring needs.
Magazines	Specialized magazines reach pinpointed occupation categories. Ad size flexibility. High quality printing. Long life-prospects keep magazines and reread them.	Wide geographic circulation usually cannot be used to limit recruiting to specific area. Long lead time for ad placement.	When job is specialized When time and geographic limitations are not of utmost importance. When involved in ongoing recruiting programs.
Radio and TV	Can reach prospects that are not actively looking for a job better than newspapers and magazines. Can be limited to a specific geographic area. Creatively flexible. Can dramatize employment story more effectively than printed ads. Little competitive recruitment clutter.	Only brief uncomplicated messages are possible. Lack of permanence; prospect cannot refer back to it. (Repeated airings necessary to make impression). Creation and production of commercials particularly TV can be time consuming and costly. Lack of special interest selectivity; paying for	In competitive situations when not enough prospects are reading your printed ads when there are multiple job opening and there are enough prospects in specific

		waste circulation	geographic area. When a large impact is needed quickly. Useful to call attention to printed ads.
Point-of-purchase” (promotional materials at recruiting location)	Calls attention to employment story at time when prospects can take some type of immediate action. Creative flexibility	Limited usefulness; prospects must visit a recruiting location before it can be effective.	Posters, banners, brochures, audiovisual presentations at special events such as job fairs, conventions, as part of an employee referral program, at placement offices, or whenever prospects visit an organization facilities

- d. **College recruiting:** It involves recruitment from educational institutions that offer opportunities to recruit recent graduates. Educational institutions are particularly excellent source of potential employees for entry-level positions in organizations. It could also be an important source of professional and technical employees.
- e. **Employment Agencies:** There could be public or private employment agencies. These agencies have information on job seekers in terms of qualifications, skills, interests, etc. and can be a good source of employment by organizations. Public agencies are a major source of both blue-collar and white-collar works while private agencies are important sources of clerical, white-collar, and managerial personnel.

Some specific situations in which employment agencies become handy:

- ✓ The organization does not have its own human resource department
- ✓ A particular opening must be filled quickly

- ✓ If there is a need to attract a greater number of minority and female applicants

These agencies usually pre-screen applicants for the organization. Although it is advantageous to have part of the recruitment process done by specialists, it could sometimes result in allowing poor applicants bypass the preliminary stages or blocking qualified applicants from entering the final recruitment stage. To avoid such problems, organizations are advised to do the following:

- Give the agency an accurate and complete job description
 - Specify the devices or tools that the employment agency should use in screening potential applicants
 - Where possible, periodically review data on accepted or rejected candidates
 - If feasible, develop a long-term relationship with one or two agencies.
- f. **Employee referrals:** Some organizations encourage their employees to refer potential applicants to an open position. Announcements of openings and requests for referrals are made in the organization's bulletin and posted on bulletin boards. Prizes could be offered for those referrals that result in hiring. This method of recruiting potential employees can cut recruiting costs by eliminating advertising and agency fees. It can also result in higher quality candidates since most employees would not recommend someone unless he/she believes that the individual can perform effectively.

However, there are some possible problems among those recommenders that confuse friendship with job performance and competence. As a result, employee referral method may result in nepotism and sometimes violate equal employment opportunity laws (one group favoring each other).

- g. **Executive Recruiters ("head hunters"):** There are people who are exclusively known for seeking out top management talent for their clients. Executive recruiters could be a very expensive method of recruitment but their services might result in obtaining highly qualified personnel for crucial executive and technical positions. These groups have many contacts and are especially skilled in contacting qualified candidates who are employed and not actively looking to change jobs.
- h. **Walk-ins/Write-ins or Unsolicited Applicants:** Unsolicited applications whether they reach the employer by letter, telephone, or in person, can be a source of prospective applicants. Such applications are kept in file if there are no particular openings at that

time. Qualification of unsolicited applicants is dependant on economic conditions, the organization's images, and the job seeker's perception of the types of jobs available.

4.2. Employee Selection

Definition

It is the process of choosing the individual who can most successfully perform the job from the pool of qualified candidates. This process follows an effective recruitment program which should result in supplying enough job applicants to a given vacant position.

Employee selection is important for the following key reasons:

- Employees who do not have the right abilities won't perform effectively and thus have an impact on the success and image of the organization
- There is a very high cost associated with recruitment and hiring process especially when hiring people for high level positions
- There are legal implications associated with the effectiveness of the selection procedures. Selection procedures need to be evaluated to ensure that potential applicants are not discriminated on the basis of race, sex, etc.

4.2.1. Selection criteria

Unless the criteria against which applicants will be measured are made explicit, it is impossible to make credible selection decisions. It will be difficult to select the most appropriate selection procedure and approach, and it will be difficult to validate the selection process. Selection criteria are typically presented in the form of a person specification representing the ideal candidate, and cover such areas as skills, experience, qualifications, education, personal attributes, special attributes, interests and motivation (IRS 2003a).

Three perspectives can be used to determine selection criteria – *organizational fit, team/functional fit and job fit*.

Fit with the organization

The organizational criteria are those attributes that an organization considers valuable in its employees and that affect judgments about a candidate's potential to be successful within an organization. For example, the organization may be expanding and innovating and require

employees who are particularly flexible and adaptable. Previously, these organizational criteria were rarely made explicit and they were often used at an intuitive level.

Functional and team fit

Between the generality of the organizational criteria and the preciseness of job criteria there are functional criteria, such as the definition of appropriate interpersonal skills for all members of the HR department. Criteria may also be important when the new appointee will have to fit into a pre-existing work team.

Individual job criteria

Individual job criteria contained in job descriptions and person specifications are derived from the process of job analysis. Although it is reasonably easy to specify the factors that should influence the personnel specification, the process by which the specification is formed is more difficult to describe.

4.2.2. The selection process

A series of steps are normally followed in processing an applicant for a job. Each step in the process seeks to expand the organization's knowledge about the applicant's background, abilities, and motivation and it increases the information from which decision makers will make their predictions and final choice. The selection process used by organizations may vary depending on the size of the organization, the type of jobs to be filled and also the number of people to be hired. The basic selection process involves the following steps:

a. Application Form

It provides basic employment information to be used at a later stage of the selection process and also to screen out unqualified applicants. It involves basic questions ranging from simple name and address kind of question to extended personal history profile. Questions that do not relate to the job at hand or open for discrimination should be avoided. Such questions like race, religion, etc. are irrelevant unless they have direct impact on the job or are going to be used strictly for statistical purposes.

b. Preliminary Interview

It is used to get necessary information from the prospective applicants and to assess the applicant's suitability to the job. The information obtained may be related to the job or personal specifications

regarding education, experience, salary expected, aptitude towards the job, age, physical appearance and other physical requirements. This may help to find out, at an early stage, inappropriate applicants as a result of inadequate experience or education.

At this step, the organization could also provide information to applicants regarding the job, the work environment, salary range, etc. to help them make decisions if they still want the job or not.

c. Employment Tests

The next step is to conduct various employment tests to gather further information about applicants and thus be able to assess their suitability to the job. Some of the employment tests used by organizations include the following:

i. Aptitude tests

Measure a person's capacity or potential to learn and perform a job. Some of the tests that measure a person's aptitude include:

Verbal ability-ability to use words in communicating, planning, etc.

Numerical tests-ability to add, subtract, etc.

Perception speed test-ability to recognize similarity and differences

Spatial tests-ability to visualize objects in space and determine their relationships

Reasoning tests-ability to analyze oral or written facts and make correct judgment concerning these facts on the basis of logical implications.

ii. Job Knowledge and proficiency Test

Job knowledge tests are used to measure the job related knowledge possessed by the applicant (either written or oral). It may include questions that differentiate experienced workers from inexperienced ones.

Proficiency test on the other hand measures how well the applicant can do a sample of the work that is to be performed. The typical example is typing test for a secretarial position. Another example could be a case study for a managerial position.

iii. Interest Test

These are designed to determine how a person's interests compare with the interests of successful people who do the same type of job. For example, tests that measure a person's interest in a situation that requires him/her to work with people or deal with people could measure a person's

interest a sales person's position. The basic assumption underlying this test people perform better if places in a position that interests them.

iv. Personality Test

It measures the basic aspect of an applicant's personality such as introversion, stability, and motivation. They are expressed as self-confidence, tact, emotional control, optimism, decisiveness, conformity, objectivity, patience, fear, distrust, initiative, judgment, dominance, impulsiveness, sympathy, integrity and stability.

d. Compressive Interview

It is used to supplement information gained in other steps in the selection process. It is designed to probe in to areas that cannot be addressed by the application forms or tests. Questions to be asked in this interview should be job related. The interview is usually done by a panel of interviewers consisting of human resource personnel, potential supervisor, and other executives that may be of relevance in assessing the applicant's qualification.

The interview could be structured or unstructured. The structured interviews are preferred in a situation where it is important to cover certain basic questions related with the job to all applicants. It also increases the accuracy and reliability of questions.

Problems in conducting Interviews

- Interviewers may be favorably or unfavorably impressed with job applicant for the wrong reasons.
- Interviewers may have personal biases. Example: way of dress, hairstyle, etc.
- Interviewers may allow a simple characteristic to dominate judgment of all traits. For example, an applicant with a pleasant personality may affect the fair judgment of the interviewer. In this case other work related traits may be overlooked.

In order to avoid these problems, interviewers should be acquainted with the basics of conducting effective interviews. The following guidelines could help in ensuring effective interviews

- Interviewers should be carefully selected and trained
- Interviews should be planned by outlining the information that is to be obtained and questions to be asked.
- The interviewers should put the interviewee at ease unless it is a part of the interview process

- The fact obtained by the interview should be recorded immediately
- Effectiveness of the interview process should be evaluated

e. Reference checking/Background Investigation

It involves contacting individuals who are listed as references to the applicant. It may include contacting former employers to confirm the candidate's work record and performance level, contacting other job related, personal, and educational references to verify accomplishments shown in the application. In some cases, this step may extend to the level of doing a background investigation on the applicant.

f. Physical Examination

It is given to determine whether an applicant is physically capable of performing the job and also to determine the applicant's eligibility for group life, health and disability insurance.

Physical examination requests should be directly related to the job in order to avoid any possible discrimination against disabled or handicapped applicants. Since medical examination is very expensive, this step is usually the last step before the final decision.

In some cases, however, this step is done after the final employment decision is completed. This is a situation where the physical/medical examination is used to determine the eligibility of the person for various insurance benefits extended by the organization.

g. Final employment Decision

If the above steps successfully accomplished, the best qualified individual can be identified. This decision is made by the hiring department as per the qualifications set up for to be filled.

Basic Testing Concepts

a. Reliability

For any predictor to be useful, the scores it generates must possess an acceptable level of reliability or consistency of measurement. This means that the applicant's performance on any given selection device should produce consistent scores each time the device is used. For example, if your height was measured every day with a wooden yardstick, you would get highly reliable results, but if it was measured daily by an elastic tape measure, there would probably be considerable

disparity between your height measurements from one day to the next. Your height does not change from day today – the variability is due to the unreliability of the measuring device.

Similarly, if an organization uses tests to provide input to the selection decision, the tests must give consistent results. If the test is reliable, any single individual's score should remain fairly stable over time, assuming that characteristic it is measuring is also stable. An individual's intelligence, for example, is generally a stable characteristic, and if we give applicants an IQ test, we should expect that someone who scores 110 in March would score close 110 if tested again in July. If, in July, the same applicant scored 85, the reliability of the test would be highly questionable. On the other hand, if we were measuring something like attitude or mood, we would expect different scores on the measure, because attitude and moods change.

b. Validity

Validity refers to how well the criterion predictor actually predicts the criterion of job success. A test's answers the question: "What does this test measure?" with respect to testing employee selection, the term validity refers to evidence that the test is job related. For example, just because a test score is consistent is no indication that it is measuring important characteristics relate to the job behavior, it must also differentiate between satisfactory and unsatisfactory performance on the job. We should be aware of three specific type of validity: content, construct and criterion- related.

Content Validity: It is the degree to which the content of the test or question about job tasks, as a sample, represent the situation on the job. It shows that the test constitutes a fair sample of the content of the job. It requires identification of the most critical aspect of the job in terms of performance and including the sample of those tasks and behavior in the test. All candidates for that job are given the same test or questions so that the applicants can be properly compared.

Construct validity: It is the degree to which a test measures a particular trait related to successful performance on the job. These traits are usually abstract in nature, such as the measure of intelligence, and are called constructs. Construct validity is complex and difficult.

Criterion Related Validity: is the degree to which a particular selection device accurately predicts the level of performance or important elements of work behavior. This validation strategy shows the relationship between some predictor (test score, for example) and a criterion, job performance, (e.g. production output or managerial effectiveness). It involves demonstrating that those who do well on the test also do well on the job, and those who do poorly on the test do poorly on the job.

Check Point

Dear Learner's Please answer the following questions:

- *What do mean by employee selection?*
 - *State the steps involved in employee selection.*
 - *List the possible problems during employee interview.*
-

4.3. Orientation [induction]

Definition

It is the introduction of new employees to the organization, work unit, and job. This can be done by oral or written communications like manual, guidelines, etc

Following the final employment selection decision, one job candidate will be hired in an organization. This, however, does not ensure the employee's successful performance in the organization. The degree of the new employee's knowledge about an organization affects his/her level of performance on the job... at least in the first few months.

When should it be given?

Before or during the selection process followed by a formal orientation period once an individual is hired.

Who does the orientation?

Major responsibility of orientation falls on the human resource department, especially as it relates to the general information concerning the organization. HRD is also responsible for initiating and coordinating both the general and job/ department specific orientations.

The new employee's immediate supervisor takes the responsibility of job/department orientation as he /she is likely to give accurate and relevant information.

4.3.1. Purpose of orientation

New-employee **orientation** covers the activities involved in introducing a new employee to the organization and to the individuals in his or her work unit. It expands on information received during the recruitment and selection stages and helps reduce the initial anxiety employees usually feel when beginning a new job. For example, an orientation program should familiarize the new

member with the organization's objectives, history, philosophy, procedures, and rules; communicate relevant HRM policies such as work hours, pay procedures, overtime requirements, and company benefits; review the specific duties and responsibilities of the new member's job; provide a tour of the organization's physical facilities; and introduce the employee to his or her manager and co-workers.

4.3.2. Levels of Orientation

There are two basic level of orientation.

A. General Company orientation: it covers topics of relevance and interest to all employees. Some issues likely to be covered include:

Overview of the organization: like founding, growth, goals, priorities, problems, etc.

Traditions and customs, organizational structure and relationships of various parts of the organization, community relations, expectations and activities

Key Policies and Procedures

Compensation: pay rates, how pay is received, advance on payment, loans from credit unions, etc.

Fringe Benefits: Insurance, holidays and vacations, sick leave, maternity, etc. , retirement plans and options, training opportunities, recreation and social activities, etc..

Safety and Accident prevention: health and first aid clinic, safety precaution, fire prevention and control, etc.

B. Departmental and Job Orientation

It refers to orientation that covers topics that are specific to the new employees department and job.

It is usually given by the new employee's supervisor or assigned co-worker qualified to give the orientation. The content depends on the specific requirement of the department and the skill and the experience of the employee. Some of the topics covered include:

Department Functions: Goals and current priorities, department structure, department's relationship with other departments.. etc.

Job Duties and Responsibilities: detailed explanation of the job description, common problems and ways to over come them, explanation on where and how to get materials, have equipment maintained and repaired, overtime needs and requirements, etc.

Policies, Procedures, Rules and Regulations: Rules unique to the department, safety precaution, tour of the department and other facilities, etc.

For an orientation to be effective it should be supported by a written document incorporating basic policies and procedures all new employees need to know. Such document is usually prepared by Human Resource Department and has relevance to all employees.

Some of the information included:

- Organization Chart
- Copy of policies and procedures handbook
- List of holidays and other benefits
- Copies of performance evaluation forms, dates, and procedures, telephone numbers, etc.

In General, any orientation program should be carefully planned, be conducted by a well trained individual and also be evaluated at least annually to ascertain way to make improvements. Feedback can be gathered from employees on the effect of the orientation program on their performance and general attitude towards the organization.

Check Point

Dear Learner's: Try the following questions:

- *Why new employee's given orientation?*
 - *Who should induct employees?*
 - *Explain the level of orientation given to employees.*
-

Summary

- ✓ Recruitment involves seeking and attracting a pool of people from which qualified candidates for job vacancies can be chosen.
- ✓ There are two sources of recruitment-Internal and External sources
Internal Sources: Vacant positions in organizations could be filled by those existing employees through transfers, promotions and recall from lay-off. Most large organizations attempt to develop their own employees for positions beyond the lowest level.

External sources: Provide a larger pool of candidates from central labor market such academic institutions and others. It is often needed by organizations that are growing rapidly or have a large demand for technical and skilled managerial employees.

- ✓ Selection is the process of choosing the individual who can most successfully perform the job from the pool of qualified candidates. Employee selection is important for the following key reasons:
 - Employees who do not have the right abilities won't perform effectively and thus have an impact on the success and image of the organization
 - There is a very high cost associated with recruitment and hiring process especially when hiring people for high level positions
 - There are legal implications associated with the effectiveness of the selection procedures. Selection procedures need to be evaluated to ensure that potential applicants are not discriminated on the basis of race, sex, etc.
- ✓ A series of steps are normally followed in processing an applicant for a job:
 - Application Form
 - Preliminary Interview
 - Employment Tests
 - Comprehensive Interview
 - Reference checking/Background Investigation
 - Physical Examination
 - Final employment Decision
- ✓ Orientation is the introduction of new employees to the organization, work unit, and job. This can be done by oral or written communications like manual, guidelines, etc
- ✓ There are two basic level of orientation.
 - A. General Company orientation:** it covers topics of relevance and interest to all employees. Some issues likely to be covered include: overview of the organization: like founding, growth, goals, priorities, problems, etc.
 - B. Departmental and Job Orientation:** It refers to orientation that covers topics that are specific to the new employees department and job. It is usually given by the new employee's supervisor or assigned co-worker qualified to give the orientation

 Self-check Questions 4

1. The process of recruitment involves;
 - A. Discovering potential candidates for actual or anticipated organizational vacancies.
 - B. Identifying the sources where the required number and kind of employees are/will be available.
 - C. Developing suitable techniques to attract the desirable candidates.
 - D. Brings together those with jobs to fill and those seeking jobs.
 - E. All of the above
2. Which one of the following is not among the purpose of recruitment;
 - A. To attract people with multi-dimensional skills and experiences
 - B. To impart fresh blood in to the organization.
 - C. To develop an organizational culture that discourages competent people.
 - D. To search for talent globally
 - E. None of the above
3. Which one of the following is not among the internal factors which govern recruitment process;
 - A. Government regulation
 - B. Image of the organization
 - C. Salary levels, type and extent of benefits
 - D. Quality of the recruitment process
4. All are merits of internal source of recruitment except;
 - A. The company has better knowledge of the strength and weakness of job candidates
 - B. Facilitate infusion of fresh blood with new ideas into the enterprise.
 - C. Inside job candidates have better knowledge of the organization and its operations.
 - D. The return on investment that an organization has on its present work force is increased
5. _____ indicates posting notices of job openings on organization bulletin boards for recruiting possible internal candidates.
 - A. Job Advertisement
 - B. College recruiting
 - C. Job posting
 - D. Employee referrals

6. Which one of the following is among the criteria's for employee selection
- A. Organizational fit,
 - B. Team/functional fit
 - C. Job fit.
 - D. None of the above
 - E. All of the above except "D"
7. Among the following, which one is a guideline for effective interview?
- A. Interviewers should be carefully selected and trained
 - B. Interviewers should put the interviewee at ease
 - C. The fact obtained by the interview should be recorded immediately
 - D. Effectiveness of the interview process should be evaluated
 - E. All of the above

CHAPTER FIVE

HUMAN RESOURCE TRAINING AND DEVELOPMENT

Chapter outline:

- 5.1. Introduction
- 5.2. Objectives of training and development
- 5.3. Process of training and development
- 5.4. Training methods
- 5.5. Career development

Chapter objectives:

After studying this chapter you should be able

- ✓ To explain training & development in the organization
- ✓ To describe training & development process
- ✓ To know major training and development techniques
- ✓ To know the methods to measure the effectiveness of training and development
- ✓ To decide who should deliver training and development programs

5.1. Introduction

No organization can function without people; in fact no organization can function without developed people. Appropriately trained and developed HR can mean the difference between organizational success and failure. Organizations are in a constant state of change: production process change in order to improve the quality and output of products, systems change in order to improve the flow of inputs and outputs. If employee skills and knowledge are not also updated, then employees will be unable to adapt to these changes.

Concepts of Training and development

What is Training?

Training is defined as any attempt to improve employee performance on a currently held job or one related to it. This usually means changes in specific knowledge, skills, attitudes, or behaviors. From childhood we learn to cope with living is this training or education these terms are often using as if they were synonymous. They are not, and understanding of the difference between them is important to an

understanding of the training process in business organizations. Both are processes which help people to learn, but they differ in orientation and objectives. It is probably simplest to define training as oriented towards the needs of the organization while education is oriented to the needs of the individual. These differences can be summarized as shown in the table below.

Differences between education and training

Characteristics of the learning process	Education	Training
Objectives	More abstract objectives geared to the needs of the individual and to society generally	Specific behavior objectives to make workers more effective in their jobs
Timescale	Generally in long term process	Can be very short-term especially when concerned with the acquisition of specific skills.
Content	Widely drawn content	Often fairly narrow content specific to the employee's work situation.

Training consists of planned programs designed to improve performance at the individual, group, and/or organizational levels. Improved performance, in turn implies that there have been measurable changes in knowledge, skills, attitudes, and/or social behavior. When we examine the training enterprise as a whole it is clear that training issues can be addressed from at least two perspectives. At the structural level we can examine issues such as the following, among others: the aggregates and level of expenditures by the various providers of training (e.g. federal, state and local governments, educational institutions, private sector businesses), the degree of cooperation among the providers, incentives (for lack of incentives) for providing training, who gets training and the economic impact of training. These are macro level concerns.

At the micro level, we may choose to examine issues such as the following: what types of training seem to yield positive outcomes for organizations and trainees (i.e., what works): how to identify if training is needed and, if so, what type of training best fits the needs that have been identified; how to

structure the delivery of training programs; and how to evaluate the outcomes of training efforts. The term training is often confused with the term development.

Development refers to learning opportunities designed to help employees grow. Such opportunities do not have to be limited to improving employee's performance on their current jobs. The focus of 'development' is on the long term to help employees prepare for future work demands, while 'training' often focuses on the immediate period to help fix any current deficits in employee's skills. The most effective companies look at training and career development as an integral part of a "human resource development" (HRD) program carefully aligned with corporate business strategies.

Distinction between Training and Development	
Training	Development
Training means learnings skills and knowledge for doing a particular job. It increases job skills.	Development means the growth of an employee in all respects. It shapes attitudes.
The term 'training' is generally used to denote imparting specific skills among operative workers and employees.	The term 'development' is associated with the overall growth of the executives.
Training is concerned with maintaining and improving current job performance. Thus, it has a short-term perspective.	Executive development seeks to develop competence and skills for future performance. Thus, it has a long-term perspective.
Training is job-centred in nature.	Development is career-centred in nature.
The role of trainer or supervisor is very important in training.	All development is 'self development'. The executive has to be internally motivated for self-development

Check point!

- ✓ Explain the difference between education and training
- ✓ What is development? have you observe any difference between training and development

5.2. Needs and importance of training and development

- i. **Increasing Productivity:** Instruction can help employees increase their level of performance on their present job assignment. Increased human performance often directly leads to increased operational productivity and increased company profit. Again, increased performance and productivity, because of training, are most evident on the part of new employees who are not yet fully aware of the most efficient and effective ways of performing their jobs.
- ii. **Improving Quality:** Better informed workers are less likely to make operational mistakes. Quality increases may be in relationship to a company product or service, or in reference to the intangible organizational employment atmosphere.
- iii. **Helping a Company Fulfills its Future Personnel Needs:** Organizations that have a good internal educational programme will have to make less drastic manpower changes and adjustments in the event of sudden personnel alternations. When the need arises, organizational vacancies can more easily be staffed from internal sources if a company initiates and maintains an adequate instructional programme for both its non-supervisory and managerial employees.
- iv. **Improving Organizational Climate:** An endless chain of positive reactions results from a well-planned training programme. Production and product quality may improve; financial incentives may then be increased, internal promotions become stressed, less supervisory pressures ensue and base pay rate increases result. Increased morale may be due to many factors, but one of the most important of these is the current state of an organization's educational endeavor.
- v. **Improving Health and Safety:** Proper training can help prevent industrial accidents. A safer work environment leads, to more stable mental attitudes on the part of employees. Managerial mental state would also improve if supervisors now that they can better themselves through company-designed development program.
- vi. **Obsolescence Prevention:** Training and development program foster the initiative and creativity of employees and help to prevent manpower obsolescence, which may be due to age, temperament or motivation, or the inability of a person to adapt him to technological changes.
- vii. **Personal Growth:** Employees on a personal basis gain individually from their exposure to educational experiences. Again, Management development program seem to give participants a wider awareness, an enlarged skin, an enlightened altruistic philosophy, and make enhanced personal growth possible.

5.3. Process of training and development

Training programs are costly propositions. They are time and energy consuming too. Hence, the training program should be framed with great care and caution. The following steps should be taken while developing a training program.

1. Determining the need and Priorities for Training: The very first step in designing a training program is to determine the organization's need for such program. It is from need assessment that the entire training process will flow. If the organization does not accurately determine its need, the training process will be inappropriately undertaken. Mc-Guhee and Thayer have recommended the following three-steps approach in order to determine training need:

- a. **Organizational Analysis:** This analysis basically determines where training emphasis should be placed in the organization. *Organizational needs analysis* begins with an assessment of the short- and long-term strategy and strategic business objectives of the company. This step is essentially the same as organizational assessment, except that the focus is specifically on identifying the implications of the assessment for future training and development activities. The organizational needs analysis should result in the development of a clear statement of the goals to be achieved by the organization's training and development activities. In a certain bank, for example, it was the results of an employee survey that led the company to conclude that it needed to improve its career development activities. The survey, which was conducted following a merger, revealed that employees felt pessimistic about their future prospects at the company. An organizational needs analysis may also include an assessment of the organization's current climate for training.
- b. **Operational/ Job Analyze:** It assists to decide what the training should consist of, requiring a study of what a person should be taught if he is to perform his task with maximum effectiveness. A job needs analysis identifies the specific skills, knowledge, and behavior needed in present or future jobs. A thorough job analysis with competency modeling provides the information required for job needs analysis. If training is to be provided for existing jobs, traditional job analysis and competency modeling is appropriate. If training and development are intended to address future needs, future-oriented job analysis and competency modeling should be used for the needs analysis.
- c. **Personal need analysis:** It is used to determine who needs to be training and what skills and knowledge or attitudes should be augmented or improved. After information about the job has

been collected, the analysis shifts to the person. A person needs analysis identifies gaps between a person's current capabilities and those identified as necessary or desirable. Person needs analysis can be either broad or narrow in scope. The broader approach compares actual performance with the minimum acceptable standards of performance and can be used to determine training needs for the current job. The narrower approach compares an evaluation of employee proficiency on each required skill dimension with the proficiency level required for each skill. This approach is useful for identifying development needs for future jobs that will require a specific skill. Whether the focus is on performance of the job as a whole or on particular skill dimensions, several different approaches can be used to identify the training needs of individuals.

Output Measures. Performance data (e.g., productivity, accidents, and customer complaints), as well as performance appraisal ratings, can provide evidence of performance deficiencies. Person needs analysis can also consist of work sample and job knowledge tests that measure performance capability and knowledge. Major advantages of such measures are that they can be selected according to their strategic importance.

Self-Assessed Training Needs. The self-assessment of training needs is growing in popularity. This time, for example, in some firms top managers require the employee and his or her supervisor to identify what the business needs are for the department and the business, as well as the skill needs and deficiencies of the individual. Many major firms in our country allow managers to nominate themselves to attend short-term or company-sponsored training or education programs. Self-assessment can be as informal as posting a list of company-sponsored courses and asking who wants to attend, or as formal as conducting surveys regarding training needs. Surveys and worksheets are convenient tools for self-assessment. High-potential employees are expected to conduct a self-assessment and use it to develop a career plan.

Self-assessment is premised on the assumption that employees, more than anyone else, are aware of their weaknesses and performance deficiencies. One drawback of self-assessment is that individuals may not be aware of their weaknesses, especially if the organization does a poor job of providing honest feedback during performance appraisals. Also, employees may be fearful of revealing their weaknesses and so may not accurately report their training needs. In both cases, reliance on self-assessment may result in individuals not receiving education that's necessary for them to remain current in their fields.

2. Translating needs into Objectives and Establishing Training Goals: Once the training needs have determined the next important step is to translate the skills needed into specific training objectives or desired outcomes of training objectives. These training objectives or goals are then used to determine the specific courses that will be offered. Training objectives should include such matters as specific skills to be taught, the number of people to be trained and from which units and the period within which such training should take place. Objectives for training program that do not relate directly to specific job skills should also be considered for example, employee health and safety guidelines, promotion opportunities and self-study opportunities. Training objectives include the general content of the training to be given. The most frequently adopted objectives or training subjects by the companies are: new employee orientation, performance appraisal, leadership, selection process, interpersonal skills, word processing, new equipment operation, team building, delegation skills, and listening skills. Sometimes, orientation regarding company policy and practices can be particularly important, especially for new employers.

3. Selecting Trainees: Selecting individuals or groups for training is a very complex decision for the firm and the individuals chosen. From the firm's perspective, providing the right training to the right people can help to create and maintain a well-trained and stable work force. To impart training for individuals with limited performance partial or lack of interest is simply a waste of time, effort, and money. Overlooking individuals with ambition and potential represents a lost opportunity and can contribute to higher employee turnover. It should be assumed that ambition and potential are widespread in the firm and exist at all age levels. There are at least four important considerations important in selecting trainee:

- legal requirements and formalities
- employee needs and motivation
- skills obsolescence and retraining, and
- multi-skilling.

Employee needs and motivation can be determined with the help of previous performance evaluations as well as interviews performance evaluations as well as interviews with individual employees and owner supervisors. The rapidly change in technology is requiring that all segments of the society give higher priority to worker retraining. This also means that individual workers themselves must seek out training opportunities to avoid having their skills become obsolete. Similarly, numerous companies have moved in the direction of training their employees to have multiple skills, called multi-skilling. In particular, multi-skilling is relevant where self-managed teams are utilized. Everyone is encouraged to learn all of

the jobs of the team and employees are usually paid according to the number of skills that they have developed.

4. Making the Curriculum and Choosing Training Methods After *-deeming* training objectives and translating into specific course areas, the trainees are identified and evaluated, management will be in a position to decide the overall curriculum, *i.e.*, the arrangement of courses to be offered. The curriculum is a sort of grand plan of what training is to be presented and with what frequency. However, a part which must be added to this grand plan is the matter of training methods. Will the training be on the job, off the job, prior to employment, or prior to a formal assignment? Will it be done by lecture computer assisted, or carried out by some other method? Will it be long-term or short-term?

5. Preparation of training budget: Preparing a training budget will be an interactive process with the other steps in formulating a training program. Budget constraints may limit the human resource manager's alternatives and must, therefore, considered during all phases of the development process. Costs that must be included in the training budget are: staff planning time, trainees' wages, trainers' salary, and expenses such as cost of training materials, travels, accommodations, and meals. If the desired training program does not fit within budget constraints, the human resource manager must consider modification such as fewer trainees, different trainees, different training techniques, and a different training location.

6. Selecting trainers and providing training to trainers. An effective training program can be developed only when effective trainers are available. Firms have the option of using staff trainers or of seeking contract trainers outside, or of having both, types' of trainers. After their selection, they must be provided with the information regarding the persons who are to be trained. The trainers should be engaged after careful evaluation of their suitability and effectiveness so as to ensure quality training.

7. Using selected training technique. Under this step, the trainer speaks, demonstrate, and illustrates in order to put over the new knowledge, skills, and operations. Besides, he suggests the trainee to be at ease, without any stress and strain, and explains to him the necessity of the training program and creation of trainee's personal interest in training. The trainer tells the sequence of the entire job, the need for each step in the job, the relationship of the job to the total work-flow, the nature of interpersonal behavior required at the job, and so on. All key points should be covered and emphasized. Audio-visual aids should be used to demonstrate and illustrate. To ensure follow-up by the trainee, he should be asked to repeat the operations, and encouraged to ask questions for further classifications and understanding.

8. Performance or learning tryout: As the training continues, it is important that the progress of trainees should be monitored. This may be accomplished by periodic skill or knowledge tests or periodic assessments by the personnel department. The trainee may be asked to do the job several times. His mistakes, if any, are corrected and complicated steps should be explained again. As soon as the trainee demonstrates that he can do the job rightly, he is put at his own job and the training is said to be over.

9. Evaluation system of training program. In order to generate adequate feedback, some key purposes of conducting this evaluation are:

- I. Determining whether a program meets its objectives or goals.
- II. Identify strengths and weaknesses in the training process.
- III. Calculate the cost-benefit ratio of a program.
- IV. Determine who benefited the most from a program and why
- V. Establish a data base for further decision about the program.

Training programs can be evaluated with a variety of methods. The most popular method involves analysis questionnaires filled out by the trainees either at the end of the training session or within a few weeks. Although in some situations employees can accurately evaluate the quality of the training program, in other situations their subsequent performance or degree of improvement is a more valid measure. After specific performance measurement, the results are compared with the objectives for the training program. If the training objectives have been met, the training is said to be successful.

5.4. Training methods

Many different techniques can be used for training and development activities. Three general categories of techniques are on-the-job, on-site, but not on the job, and off-site. Choices about techniques may be constrained by the type of learning that's to occur-cognitive, skill based, or affective-as well as by cost and time considerations.

Note that the three major categories of training and development techniques do not depend on using a specific type of technology. Before the computer, film, and communications industries began to merge, the technology used was often what most clearly distinguished one training technique from another. Today, however, technology makes it possible to combine many techniques and deliver them as an integrated learning system that combines, for example, computer-based quizzes, video, interactive simulations, and so on. When such technologies are used for training and development, they often are referred to as e-Learning. The major advantage of e-Learning systems is their potential for speeding up

communications within large corporations.

On- the- Job Training

On-the-job training (OJT) occurs when employees learn their jobs under direct supervision. Trainees learn by observing experienced employees and by working with the actual materials, personnel, or machinery, or all three, that pertain to the job. An experienced employee trainer is expected to provide a favorable role model and to take time from regular job responsibilities to provide job-related instruction and guidance. Assuming the trainer works in the same area, the trainee receives immediate feedback about performance.

One advantage of OJT is that transfer of training is high. That is, because trainees learn job skills in the environment in which they will actually work, they readily apply these skills on the job. However, on-site training is appropriate only when a small number of individuals need to be trained and when the consequence of error is low.

Apprenticeship, Internships, and Assistantships. A method for minimizing the disadvantages of on-the-job training is combining it with off-the-job training. Apprenticeship Training, Internships, and Assistantships are based on combination.

Apprenticeship Training is mandatory for admission to many skilled trades such as plumbing, electronics and carpentry. These programs are formally defined as apprenticeship and Training and involve a written agreement "providing for not less than 4,000 hours of reasonably continuous employment . . . and supplemented by a recommended minimum of 144 hours per year of related classroom instruction.

Somewhat less formalized and extensive are internship and assistantship programs. Internships are often part of an agreement between schools and colleges, and local organizations. As with apprenticeship training, individuals in these programs earn while they learn, but at a lower rate than that paid to full-time employees or master crafts workers. Internships are a source not only of training but also of realistic exposure to job and organizational conditions.

Assistantships involve full-time employment and expose an individual to a wide range of jobs. However, because the individual only assists other workers, the learning experience is often vicarious. This disadvantage is eliminated by programs that combine job or position rotation with active mentoring and career management

Job Experiences. When development is the objective, employers may put people into jobs in order to facilitate their learning and development. Job rotation programs are used to expose employees to and train them in a variety of jobs and decision-making situations. Usually, job rotation programs rotate employees through jobs at a similar level of difficulty. The extent of training and long-run benefits may be limited, however, because employees aren't in a single job long enough to learn very much and may not be motivated to work hard because they know they will move on in the near future:

The philosophy of having employees learn while doing also underlies the use of developmental job assignments. However, with developmental job assignments, employees are placed in a new job that presents significantly more difficult new challenges. The assumption is that the process of learning to deal with the challenges will result in the employee developing new competencies. Components of a developmental job include

- Unfamiliar responsibilities
- Responsibility for creating change (e.g., to start something new, fix a problem, deal with problem employees)
- High levels of responsibility (e.g., high-stakes and high-visibility assignments; job involving many stakeholders, products, or units)
- Boundary-spanning requirements (e.g., working with important stakeholders outside the organization)
- Dealing with diversity (working with people from multiple cultures or demographic backgrounds)

Supervisory Assistance and Mentoring: Often the most informal program of training and development is supervisory assistance or mentoring. Supervisory assistance is a regular part of the supervisor's job. It includes day-to-day coaching, counseling, and monitoring of workers on how to do the job and how to get along in the organization. The effectiveness of these techniques depends in part on whether the supervisor creates feelings of mutual confidence, provides opportunities for growth, and effectively delegates tasks.

Mentoring, in which an established employee guides the development of less-experienced worker, or protégé, can increase employees' competencies, achievement, and understanding of the organization. At AT&T, for example, protégés are usually chosen from among high-potential employees in middle or

entry-level management. Each executive is encouraged to select two people to mentor and must decide how to develop the relationships. Usually, executives counsel their protégé on how to advance and network in the company, and they sometimes offer personal advice.

Coaching. For high-level executives and other employees who hold visible and somewhat unique jobs, traditional forms of on-the-job training are impractical. Yet, these employees often need to develop new competencies in order to be fully effective. In recent years, more and more executives have turned to personal coaching to address their training needs. A coach might sit in on a meeting to observe the employee in action and later provide feedback and guidance for how to improve interaction skills in the future. Most coaches also encourage their "trainees" to discuss difficult situations as they arise and work through alternative scenarios for dealing with those situations. Although coaching is rapidly growing in popularity, it's a relatively new technique and few guidelines are available to evaluate whether a potential coaching relationship is likely to succeed. Nevertheless, the evidence of its effectiveness is beginning to accumulate.

An effective coaching program helps managers change themselves and, in the process, change their organizations.

On-Site, but Not On the Job Training

Training at the work site but not on the job is appropriate for required after-hours programs and for programs in which contact needs to be maintained with work units but OJT would be too distracting or harmful. It's also appropriate for voluntary after-hours programs and for programs that update employees' competencies while allowing them to attend to their regular duties.

Corporate Universities and Executive Education Programs: A growing trend in the United States is the development of corporate universities that offer programs tailored to the needs of the company. Corporate universities focus on the education of employees and sometimes customers.

Programmed Instruction: Programmed instruction is an old on-site training method that has recently become the foundation for many computers based training programs. Here, the instructional material is broken down to "frames." Each frame represents a small component of the entire subject to be learned, and each frame must be learned successfully before the next one can be tackled.

An advantage of programmed instruction is that large numbers of employees can be trained simultaneously, with each learner free to explore the material at her or his own pace. In addition, it

includes immediate and individualized feedback. Although the development of several authoring systems has eased the burden of developing programmed modules, instruction still must be carefully planned. It's estimated that 1 hour of programmed instruction requires 50 hours of development work. Consequently, this approach is effective only if canned programs (e.g., word processing and database tutorials) are used or if large numbers of employees are to be trained so that development costs for an original program can be justified. The use of intranets for delivering training makes widespread use of programmed instruction much more practical today than it was **Interactive Video Training**. Interactive video training combines the best features of programmed instruction with the best attributes of video. Interactive video programs provide a short video and narrative presentation and then require the trainee to respond to it. This sequence-packaged program, learner response, and more programmed instruction provides for individualized learning. Customer-contact employees take a job knowledge test every six months; the company pays each employee for four hours of study and preparation and for two hours of test taking. The knowledge required to do well on the test is so job related that performance on the test essentially reflects performance on the job. As an incentive for employees to get serious about doing well on the test, the company links their compensation to performance on the test. Employees who excel in applying their knowledge to job performance become eligible for additional proficiency pay.

Off- the –Job Training

When the consequences of error are high, it's usually more appropriate to conduct training off the job. Most airline passengers would readily agree that it's preferable to train pilots in flight simulators rather than have them apprentice in the cockpit of a plane. Similarly, it's usually useful to have a bus driver practice on an obstacle course before taking to the roads with a load of schoolchildren.

Off-the-job training is also appropriate when complex competencies need to be mastered or when employees need to focus on specific interpersonal competencies that might not be apparent in the normal work environment. It's difficult to build a cohesive management work team when members of the team are constantly interrupted by telephone calls and subordinate inquiries. Team building is more likely to occur during a retreat, when team_members have time to focus on establishing relationships. However, the costs of off-the-job training are high. One cause for concern is that knowledge learned off the job may not executives, to work transfer to the workplace. Research has shown that the more dissimilar the training environment is to the actual work environment, the less likely trainees will be to apply what they learn to their jobs. For example, the transfer-of-knowledge problem is minimal when trainees work with machines that are comparable to the ones in their actual work environment.

However, it may be difficult to apply teamwork competencies learned during a wilderness survival program to a management job in a large service organization.

Formal Courses. Formal courses can be directed either by the trainee-using programmed instruction, computer-assisted year for outside instruction, reading, and correspondence courses---or by others, as in formal classroom courses and lectures. Although many training programs use the lecture method because it efficiently and simultaneously conveys large amounts of information to large groups of people, it does have several drawbacks. Perhaps most importantly, except for cognitive knowledge and conceptual principles, the transfer of learning to the actual job is probably limited. Also, the lecture method does not permit individualized training based on individual differences in ability, interests, and personality.

Simulation: Simulation, which presents situations that are similar pilots in its similar to actual job conditions, is used for both managers and non managers. A common simulation technique for no managers is the vestibule method, which simulates the environment of the individual's actual job. Because the environment isn't real, it's generally less hectic and safer than the actual environment; as a consequence, trainees may have trouble adjusting from the training environment to the actual environment. The arguments for using a simulated environment are compelling: it reduces the possibility of customer dissatisfaction that can result from on-the-job training, it can reduce the frustration of the trainee, and it may save the organization a great deal of money because fewer training accidents occur (e.g., pilot training by all airlines is done in flight simulators). Not all organizations, even in the same industry, accept these arguments. Some banks, for example, train their tellers on the job, whereas others train them in a simulated bank environment.

Assessment Centers. Just as they are popular in managerial selection, assessment centres are an increasingly popular simulation technique for developing managers. Certain aspects of the assessment centre, such as management games and in-basket exercises, are excellent for training. When these are used for training purposes, however, it is essential that instructors help participants analyze what happened and what should have happened. The opportunity for improvement may be drastically reduced if the trainees are left to decide what to transfer from the games or exercises to the job.

Business Board Games: Companies are finding that it pays if all employees know how the company makes money, the difference between revenue and profit, and how much such as Prudential and Sears have created board games, similar in form and shape to *Monopoly*, that reveal the workings of the

company. Employees actually play the game, and as they do, they learn about the company and how the company runs the business and makes a profit or loss.

Role-Playing and Sensitivity Training: Whereas simulation exercises may be useful for developing conceptual and problem-solving skills, two other types of training are used for developing human relations or process skills. Role-playing and sensitivity training develop managers' interpersonal insights-awareness of self and of others-for changing attitudes and for practicing human relations skills, such as leading or interviewing.

Role-playing generally focuses on understanding and managing relationships rather than facts. The essence of role-playing is to create a realistic situation, as in the case discussion method, and then have the trainees assume the parts of specific personalities in the situation. When the trainee does get into the role, the result is a greater sensitivity to the feelings and insights that are presented by the role.

In sensitivity training, individuals in an unstructured group exchange thoughts and feelings on the "here and now" rather than the "there and then." Although being in a sensitivity group often gives individuals insight into how and why they and others feel and act the way they do, critics claim that these results may not be beneficial because they are not directly transferable to the job.

Wilderness Trips and Outdoor Training: To increase employees' feelings about the here and now and raise their self-esteem, organizations sometimes use programs that involve physical feats of strength, endurance, and cooperation. These can be implemented on wilderness trips to the woods or mountains or water.

Exhibit 4 advantages and disadvantages of learning programs		
TYPE OF PROGRAM	ADVANTAGES	DISADVANTAGES
On the Job e-Learning and video tele-conferencing	. Brings employees together from many locations . Speeds up communications . May reduce costs	. Start-up and equipment costs are high . Requires adaptation to a new learning format . May be done on or off the job
Apprenticeship training	. Does not interfere with real job performance . Provides extensive training	. Takes a long time . Is expensive . May not be related to job
Internships and assistantships	. Facilitate transfer of learning . Give exposure to real job	. Are not really full jobs . Provide vicarious learning

Job rotation	. Gives exposure to many jobs . Allows real learning	. Involves no sense of full responsibility . Provides too short a stay in a job
Supervisory assistance and Mentoring	. Is often informal . Is integrated into job . Is expensive	. Means effectiveness rests with the supervisor . May not be done by all supervisors
On-Site, but Not On the Job Corporate universities	. Tailored to company needs . Supports company vision and culture	. Can be costly . Requires skilled management
Programmed instruction on an intranet or the Internet	. Reduces travel costs . Can be just-in-time . Provides for individualized learning and feedback . Provides for fast learning	. Not appropriate for some skills . Is time-consuming to develop . Is cost-effective only for large groups . Often no support to assist when trainee faces learning problems
Interactive videos	. Convey consistent information to employees in diverse locations	. Costly to develop . Do not provide for individual feedback
Off the Job Formal courses	. Are inexpensive for many . Do not interfere with job	. Require verbal skills . Inhibit transfer of learning
Simulation	. Helps transfer of learning . Creates lifelike situations	. Cannot always duplicate real situations exactly . Costly to develop
Assessment centers and board games	. Provide a realistic job preview . Create lifelike situations	. Costly to develop . Take time to administer
Role-playing	. Is good for interpersonal skills . Gives insights into others	. Cannot create real situations exactly; is still playing
Sensitivity training	. Is good for self-awareness . Gives insights into others	. May not transfer to job . May not relate to job
Wilderness trips	. Can build teams . Can build self-esteem	. Costly to administer . Physically challenging

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Who provides the training?

A key question to be addressed when setting up training and development activities is who provides the required guidance? Training and development activities may be provided by any of several people, including

- Supervisors and other managers,

- A co-worker,
- An internal or external subject matter expert, and
- The employee.

Who is selected to teach often depends on where the program is held and what skills or competencies are taught. A basic organizational orientation is usually handled by a member of the HR staff. Literacy and technical competencies are usually taught by the immediate job supervisor or a co-worker, although technical competencies may also be taught by internal or external subject matter experts. Interpersonal, conceptual, and integrative competencies for management are often taught by training specialists, university professors, or consultants.

Supervisors and Other Managers: In many organizations, on- the-job training is the only form of training offered. In these circumstances, supervisors almost always are the providers of whatever training employees receive. For development activities that involve mentoring, supervisors and managers are appropriate also, as they are in the best position to assess their employees' career needs. Furthermore, because of their position in the organization, supervisors and managers are accessible to employees and have control over the employees' work assignments, which facilitates their effectiveness.

Supervisors and managers may also be effective as trainers in off-the-job programs. Indeed, some CEOs consider training to be one of their more important duties.

Co-workers: When Disney trains new hires, the company's message is delivered by some of the best "cast" members in the company. Dressed in full costume, they show through example how to create happiness-the most important aspect of their role. After the initial training session, new cast members are paired with experienced employees for 16 to 38 hours of "paired-training," which is essentially one-on-one coaching. As the Disney example illustrates, co-workers can be very effective trainers. Often, co-workers are more knowledgeable about the work than anyone else. Co-workers also play an important role in many management development programs, which commonly bring together employees from different parts of the organization for several days of training. Participants in such programs often report that the most valuable learning occurs through conversations with their colleagues. Furthermore, exposure to the perspectives of colleagues working around the world helps employees develop more sophisticated "mental maps" of how business is conducted in different locations.

Clearly, co-workers can be valuable providers of training. Nevertheless, their effectiveness as trainers or mentors should not be assumed. A concern with relying on co-workers as trainers is that they may not be able to instruct others. They may also teach others their own shortcuts rather than correct procedures. If co-workers are to be trainers, they should receive instruction on how to train and should be given sufficient time on the job to work with trainees.

Experts: Subject matter experts may not be familiar with procedures in a specific organizational culture. As a result, they may be respected for their expertise but mistrusted because they aren't members of the work group. Still, if no one in the immediate work environment possesses the knowledge needed, or if large numbers of individuals need to be trained, the only option may be to hire experts. Experts who are expressive when delivering training and well organized are especially effective.

Employee. Self-paced instruction is also an option. With the growing popularity of computer-based training, self-paced instruction is also becoming more common. Trainees benefit from this method by learning at a speed that maximizes retention. However, if they aren't given incentives to complete the instruction in a specified period of time, they may place it on the back burner.

Concept of the Executive Development

Executive or management development consists of all activities by which executives learn to improve their behavior and performance. It designed to improve their behavior and effectiveness of managers in their present jobs and to prepare them for higher jobs in future. It is the process by which managers acquire not only the skill and competency in their present jobs but also capabilities for future managerial tasks of increasing difficulty and scope. The executive development denotes the planned efforts to improve the current and future performance of the organization.

Executive or management development includes “all activities and programs which have substantial influence on changing the capacity of the individual to perform his present assignment better and in so doing are likely to increase his potential for future management assignments”. Management development is planned, systematic and continuous process of learning and growth designed to include behavioral changes in individuals by cultivating their mental abilities and inherent qualities through the acquisitions, understanding and use of new knowledge, insights and skills as they are needed for effective managing.

This learning process involves the implication of that there will be changed behavior on the part of the individuals given the adequate training and education.

Development of the managers takes place not only by participating in informal courses of instructions drawn by the organizations, but also through the actual job experiences in the organization. It should be recognized that it is for the organization to provide the development opportunities for its managers and potential managers. But an equal, perhaps the most important concept in the whole program of management development. The participants must have the interest and motivation to learn and to develop themselves.

Nature of Executive Development

(a) **Educational Process:** Development is more akin of education than it is to specific training in the skill. Thus a manager cannot be developed only by taking a course, attending the lectures, and conferences, job rotations, and the like. The processes of learning on an executives part has to be accepted as a discipline of self-education. Management development implies the development of the people of different aptitudes, talents, aspirations, needs, and the motivation. Because of the individual differences among them, they should be provided an effective organizational climate to develop themselves.

(b) **Behavioral Changes:** Executive or Management development is a planned learning process and growth designed to bring behavioral change among the executives. It implies that there will be a change in knowledge and behavior of the individuals undergoing development program. The individual will be able to perform his present assignment better and will increase his potential for future assignments.

(c) **Self-Development:** Manager develops them by participating in training organized by the organizations. They also make use of actual job experiences in learning new behavior. The organizations can merely provide the facilities for development, but the real urge of the development should arise from within the individuals. That is why, it is often said all development is self-development which implies that the individuals must be motivated to learn and develop their competencies.

(d) **Continuous Process:** Executive development is an ongoing or never ending exercise rather than a one-time affair. It continuous throughout the executives' career because there is no end to learning. It is long-term process as managerial skills cannot be developed over night.

Organizational policies for training and development program

To ensure that the organization's work process effective, the training functions must be acquainted with or, preferably, involved in the strategic planning process. Training policies must be supportive of corporate policies and goals.

Ethiopian Federal Labor proclamation article 48-52 no. 377/2003 states the following contract of apprenticeship:

There shall be a contract of apprenticeship when an employer agrees to give a person complete and systematic training in a given occupation related to the functions of his/her understanding in accordance with the skills of the trades and the person in return agrees to obey the instruction given to carry out the training and the workers related to there to. The contract of apprenticeship shall be concluded with the person whose age is not less than 14 years. The contract of apprenticeship and its modifications shall be valid only where it is made in writing and attested by the ministry. The employer shall, upon the termination of the contract of apprenticeship give to the apprentice a certificate which indicates occupation he/she has been trained in, the duration of the trainee and other similar particulars.

Ethiopian Federal civil servant proclamation article 57-58 no. 515/2007 states the following

On training of civil servant/responsibility to train:

A civil servant shall be trained to improve his/ her capacity and attain better performance or to prepare him/her for higher responsibility based on career development. A government institution shall have a duty to identify the training needs of the institution and the civil servants and prepare plans and budgets for training and thereby ensure that civil servants receive the necessary training and furnish information thereon to the agency. The agency shall, with a view to make the training of the civil servants effective, prepare a policy with regards to conditions of training locally and abroad and submit the same to the council of ministers and supervise its implementation upon approval.

5.5. Career Development

Career development looks at the long-term career effectiveness and success of organizational personnel. By contrast, employee training and development focused on work effectiveness or performance in immediate or intermediate time frames. These two concepts are closely linked; employee training and development should be compatible with an individual's career development in the organization. But a successful career program, in attempting to match individual abilities and aspirations with the needs of

the organization, should develop people for the long-term needs of the organization and address the dynamic changes that will take place over time.

Career Development: Value for the Organization

Organization can accrue several positive results can accrue from a well-designed career development program. Some of them are;

- I. **Needed Talent Will Be Available:-** Career development efforts are consistent with and a natural extension of strategic and employment planning. Changing staff requirements over the intermediate and long term should be identified when the company sets long-term goals and objectives. Working with individual employees to help them align their needs and aspirations with those of the organization will increase the probability that the right people will be available to meet the organization's changing staffing requirements.
- II. **The Organization's Ability to Attract and Retain Talented Employees Improves** Outstanding employees will always be scarce and competition to secure their services considerable. Such individuals may prefer employers who demonstrate a concern for employees' futures and personal interests. These people may exhibit greater loyalty and commitment to an organization that offers career advice. Importantly, career development appears to be a natural response to the rising concern by employees for the quality of work life and personal life planning. A survey of college students and recent graduates by Manpower subsidiary Right Management found that they would be more likely to stay put at an employer that offered the ability to grow from within, a workplace that offers flexibility, and a culture where there is camaraderie and a good work/life balance.
- III. **Reduced Employee Frustration** Although the workforce educational level has risen, so, too, have occupational aspirations. However, as periods of economic stagnation increase organizations' efforts to reduce costs, they also reduce opportunities. This has increased frustration in employees who often see a significant disparity between aspirations and actual opportunities. When organizations downsize to cut costs, employee career paths, career tracks, and career ladders often collapse. Career counseling can produce realistic, rather than raised, employee expectations.
- IV. **Enhanced Cultural Diversity** The workforce in the next decade will continue to reflect a more varied combination of race, nationality, gender, and values in the organization. Effective organizational career development provides access to all levels of the organization for more

employees. Extended career opportunities make cultural diversity, and the appreciation of it, an organizational reality.

- V. **Organizational Goodwill** If employees think their employing organizations care about their long-term well-being, they tend to respond in kind by projecting positive images of the organization into other areas of their lives (for example, through volunteer work in the community).

Career Development: Value for the Individual

Effective career development is also important for the individual. In fact, as we've previously mentioned, it is more important today than ever. Changing definitions of careers and success have expanded the value of individual career development programs. Career success may no longer be measured merely by an employee's income or hierarchical level in an organization. It may now include using one's skills and abilities to face expanded challenges, or having greater responsibilities and increased autonomy in one's chosen profession. Contemporary workers, seeking more than salary and security from their jobs, want intrinsic career development, or "psychic income," too. They want interesting and meaningful work, such as that derived from a sense of being the architect of one's own career.

Summary

Training and development should contribute to the attainment of short-term and long-term goals, both for the company and for its individual employees. In order to be effective, a training and development program requires the full commitment and support of senior management, and it must reflect the overall philosophy of the organization. Training is defined as any attempt to improve employee performance on a currently held job or one related to it. This usually means changes in specific knowledge, skills, attitudes, or behaviors. Development refers to learning opportunities designed to help employees grow. Such opportunities do not have to be limited to improving employee's performance on their current jobs. Training need analysis is a search for solutions to performance problems. Needs analysis not only identifies areas where training is needed in your company but, also helps you determine exactly how training should be applied. Training must also be targeted at their values. They must be trained to understand and accept the new technology. It determines not only which problems are most pressing, but which can be most economically solved through training. Organizational needs analysis begins with an assessment of the short- and long-term strategy and strategic business objectives of the company. This step is essentially the same as organizational assessment, except that the focus is specifically on

identifying the implications of the assessment for future training and development activities. A job needs analysis identifies the specific skills, knowledge, and behavior needed in present or future jobs. A thorough job analysis with competency modeling provides the information required for job needs analysis. After information about the job has been collected, the analysis shifts to the person. A person needs analysis identifies gaps between a person's current capabilities and those identified as necessary or desirable.

Many different techniques can be used for training and development activities. Three general categories of techniques are on-the-job, on-site, but not on the job, and off-site. Choices about techniques may be constrained by the type of learning that's to occur-cognitive, skill based, or affective-as well as by cost and time considerations. A key question to be addressed when setting up training and development activities is who provides the required guidance? Training and development activities may be provided by any of several people, including supervisors and other managers, a co-worker, an internal or external subject matter expert, and the employee.

Who is selected to teach often depends on where the program is held and what skills or competencies are taught. A basic organizational orientation is usually handled by a member of the HR staff. Literacy and technical competencies are usually taught by the immediate job supervisor or a co-worker, although technical competencies may also be taught by internal or external subject matter experts. Interpersonal, conceptual, and integrative competencies for management are often taught by training specialists, university professors, or consultants.

Self-check Questions 5

PART I:- Multiple choose

1. All are characteristics of training except;
 - A. It is learning skill and knowledge for doing a particular job
 - B. It is job centered in nature
 - C. It emphasized on long-term perspective & prepare employee for future job.
 - D. The role of trainer is very dominant
2. All are benefits of training except;
 - A. Training program helps in increasing the quality and quantity of output

- B. It helps each individual member to utilize and develop his/her potential
- C. It results in reduced cost of production through economical & best use of materials and equipment.
- D. Trained employee needs more supervision
- E. The availability of trained personnel ensures long term stability & flexibility in the organization.
- F. None of the above

3. Which one of the following is **true**?

- A. Organizational level analysis of training need emphasized on what the training should consist of.
- B. Performance data of a given employee indicates his/her training need
- C. When employee select for training, the trainee needs and motivation should be consider
- D. Learning tryout helps to monitor progress of trainees should
- E. All are true except, "A"

4. Which one of the following is differ from another's?

- A. The Lecture method
- B. Job Rotation
- C. Simulation
- D. Business Games
- E. Case Studies

CHAPTER SIX

PERFORMANCE APPRAISAL

Chapter Outline:

- 6.1. Purpose of performance appraisal
- 6.2. Performance appraisal steps
- 6.3. Problems associated with performance appraisals
- 6.4. Performance appraisals methods

Chapter Objective:

At the end of this chapter, students should be able to:

- Express the concept of performance appraisal.
- Explain important of performance appraisal
- Describe appraisal process and techniques.
- Mention problems and characteristics of an appraisal system.

Introduction

Performance appraisal or Performance evaluation is a method of evaluating the behavior of employees in a work place, normally including both the quantitative and qualitative aspect of job performance. Performance here refers to the degree of accomplishment of the tasks that makeup an individual job. It indicates how well an individual fulfilling the job demands. Performance is measured in terms of results. Thus, Performance appraisal is the process of assessing the performance or progress of an employee, or a group of employees on the given job, as well as his potential for future development. Thus, performance appraisal comprises all formal procedures used in organizations to evaluate contributions, personality, and potential of individual employees. In other words, performance appraisal includes the comparison of performance scales of different individuals holding similar areas of work responsibilities and relate to determination of worth of the scales for the achievement of organization objective.

6.1. Definitions

- According to Edwin Flippo, “Performance appraisal is the systematic, periodic and an impartial rating of an employee’s excellence in matters pertaining to his present job and his potential for a better job.”
- According to Wendell French, “Performance appraisal and review in the formal, systematic assessment of how well employees are performing their jobs in relations to establish standards and the communication of that assessment to employees.”
- According to Dale Yoder, “Performance appraisal includes all formal procedures used to evaluate personalities and contributions and potentials of group members in a working organization. It is a continuous process to secure information necessary for making correct and objective decisions on employees.”
- Performance appraisal is a systematic evaluation of the employees’ performance at work. Performance appraisal is a process of evaluating an employee’s performance on a job in terms of its requirement. It is a process of estimating or judging the value, excellence, qualities of status of some object, person or thing.
- Performance appraisal is a formal programme in an organization which is concerned with not only the contributions of the members who form part of the organization, but aims at spotting the potential also. The satisfactory performance is only a part of the system as a whole and the management needs more information than mere performance ratings of the subordinates.

I) Performance: It is the degree of accomplishment of the tasks that make-up an individual’s job. It is a result of three elements:

II) Effort: Refers to the amount of energy (physical and/or mental) used by an individual in performing a task.

Abilities Personal characteristics used in performing the task (skills, knowledge, behavior, attitude, etc.)

III) Role Perception: refer to the direction in which individuals believe. They Should channel their efforts on their jobs, i.e. their own way of understanding their job.

If a person is weak in either of these elements, performance is likely to be very low. Beyond these factors, other environmental factors may have an indirect impact on performance level. Such factors may include lack of time, inadequate work facilities, equipment, restrictive policies, lack of cooperation from

other, type of supervision, etc. Such performance obstacles may affect any one of the performance direct element. Thus, management should provide employees with adequate working conditions and a supportive environment to eliminate or minimize performance obstacles.

6.2. Objectives of Performance Appraisal

Performance appraisal helps the employees in Self-improvement and Self-development. It helps the management in taking decisions about Placement, Promotions, Transfer, Training and Development, etc. It helps to achieve individual and organizational goals. It is useful to the employees and the organization. Therefore, Performance Appraisal should be conducted objectively from time to time. The employees should not oppose it. However, they should see that the performance appraisals are systematic, fair and impartial. It should not be for punishing the employees. It should be for improving the employees and their performances.

1. Help in Deciding Promotion: It is in the best interest of the management to promote the employees to the positions where they can most effectively use their abilities. A well-organized, development and administered performance appraisal programme may help the management in determining whether an individual should be considered for promotion because the system not only appraises the worth of the employee on the present job but also evaluates his potentialities for higher job.

2. Help in Personnel Actions: Personnel actions such as lay-offs, demotions, transfers and discharges etc. may be justified only if they are based on performance appraisal. While in some cases, actions are taken because of unsatisfactory performance of the employee, in some other cases it may be called for due to some economic conditions beyond control such as changes in production process. In former case, the action can only be justified on the basis of the result of performance appraisal.

3. Help in Wage and Salary Administration: The wage increase given to some employees on the basis of their performance may be justified by the performance appraisal results. In some cases appraisal, i.e., merit and seniority are combined for higher salaries on better positions.

4. Help in Training and Development: An appropriate system of performance appraisal helps the management in devising training and development programmes and in identifying the areas of skill or knowledge in which several employees are not at par with the job requirements. Thus the appraisal system points out the general training deficiencies which may be corrected by additional training, interviews, discussions or counseling. It helps in spotting the potential to train and develop them to create an inventory of executives.

5. Help in Self Evaluation: Performance appraisal helps the employee in another way also. Every employee is anxious to know his performance on the job and his potentials for higher jobs so as to bring himself to the level of that position.

6. Help in Creating Healthy Competition: Performance appraisal brings out the deficiencies and shortcomings of the employees. Discussions between rater and rates may be conducted in a spirit of co-operation and mutual understanding. This gives an opportunity to the employer to have an insight on their performance and to take corrective measures to improve upon their performance.

Check Point

Dear Learners; Try the following questions:

- *What do mean by performance?*
 - *What is the need to appraise employee performance?*
-

6.3 Performance appraisal steps

Appraisal Process includes;

- a) **Establishing Performance Standards:** Performance standards are established based on job description and specification. The standard should be clear and incorporate all factors.
- b) **Communicating standards to employees:** Inform these standards to all the employees including appraisers.
- c) **Measuring actual employees' performance:** As per the evaluation method used in the organization and instructions given for appraisal, evaluate actual performance of employees through observation, interview, records, and reports.
- d) **Evaluating factors affecting performance:** Finding out the influence of various internal and external factors that may have an effect on performance. Such factors may include inadequate work facilities, equipments, restrictive policies, lack of cooperation from others, type of supervision, working conditions, etc.
- e) **Comparison of actual performance with set standards:** Comparing actual performance with standards set and finding out if there is any deviation.
- f) **Discussing the appraisal with the employee:** This is a very challenging step in the appraisal process as it involves presenting accurate appraisal to the employee and have the person accept the appraisal in a constructive manner.

- g) **Initiating necessary corrective actions:** this includes guiding, counseling, coaching and directing the employee or making arrangements for training and development of the employee in order to ensure improved performance. It could also involve making suggestions for some changes to be made in the standard, job analysis, or other internal or external factors to facilitate effective performance of employees.

6.4. Problems in Performance Appraisal

The most common problems seen in performance appraisal include the following.

- **Lack of Objectivity:** Some traits used for evaluating performance are difficult to measure and thus lack objectivity. These factors may include loyalty, attitude, personality, etc.
- **Halo Error:** raters may perceive one factor as having significant importance and give a good or back overall rating to an employee based on this one factor.
- **Leniency:** rating consistently higher than the expected norm or average.
- **Strictness:** being unduly critical of employees performance and thus result in consistently lower rating than the expected norm.
- **Central tendency:** Consistently rating employees near the average. In such cases, it would be very difficult to differentiate good performers from poor performers.
- **Recent Behavior bias:** raters basing their evaluation on the employees' recent behavior. This may not be a representative of the overall performance of the employee throughout the evaluation period.
- **Personal bias:** raters having biases related employees' personal characteristics, race religion, gender, or age.

6.5 Performance Appraisal Methods

Three approaches exist for doing appraisals: employees can be appraised against (1) absolute standards, (2) relative standards, or (3) outcomes. No one approach is always best; each has its strengths and weaknesses.

1) Evaluating Absolute Standards

This means that employees are compared to a standard, and their evaluation is independent of any other employee in a work group. This process assesses employee job traits and/or behaviors. Included in this group are the following methods: the critical incident appraisal, the checklist, the graphic rating scale, and forced choice.

- a) **Critical Incident Appraisal Method:** It requires the rater to write down critical or key behaviors of an employee that make a difference between satisfactory and unsatisfactory job performance. For example, recording exceptional good or poor performances. This method focuses more on the behavior of employees on their jobs (performance) than traits (personality). Thus, it is more job-related than other methods. However, this method has drawbacks since it requires continuous and close supervision from the rater to record critical events on the employee's performance. Also, the concept of critical incident may be interpreted differently by different people making it difficult to compare evaluation results of two or more people.
- b) **Checklist appraisal method:** The rater uses a list of behavioral descriptions required to do a job and put a check mark against those behaviors that apply to the employee. In a simple checklist method, the rater is asked to provide yes and no answer to the list of behaviors.

Example: Does the employee volunteer to help other employees?

Does the employee approach customers promptly?

Does the employee complete assignments on time?

Does the employee accept constructive suggestion? Etc.

If some of the listed behaviors are more relevant to the job than others, it is possible to use a weighted checklist method that attaches a weight to each item and thus permitting the development of a more accurate rating score. Although this method minimizes bias, it is time consuming and costly to assemble the questions for each job category.

- c) **Graphic Rating Scale method:** It is a system that lists a number of traits and a range of performance for each of these traits. The employee is then rated by identifying the score that best describes his or her level of performance for each trait. The list might include such factors as quantity and quality of work, job knowledge, cooperation, attendance, accuracy of work, etc. It is one of the simplest and administer. It permits quantitative analysis and comparison. The major drawback to these scales is their subjectivity and low reliability. Moreover, the descriptive words often used in such scales may have different meaning to different raters.

Example: Quality of work: accuracy, skill and completeness of work

☐	☐	☐	☐	☐
Consistently Unsatisfactory	Occasionally unsatisfactory	Consistently Satisfactory	Sometimes Superior	Consistently Superior

- a) **Forced-Choice Rating:** It requires the rater to rank a set of statements describing how and employee carries out the duties and responsibilities of a job. The rater ranks the statement that describes most the employee as the first choice and works his/her way to the least descriptive statement. In this method, raters usually are not aware to the weights attached to each of these descriptions thus leaves little room for bias. However, raters find this method to be very difficult to choose from the list of statements especially if they feel that two or more of the traits describe the employee equally.

Example: Patient with slow learners

Lectures with confidence

Keeps interest and attention of class

Describes the objective of each class

There may be an instruction to the rate the above description from 1-4 starting from the item that best describes the person to the item that least describes the person. Raters may not have knowledge of the weights attached to each of the description. Therefore, there is little room for bias.

2) **Relative Standards Methods**

The second general category of appraisal methods compares individuals against other individuals. These methods are **relative standards** rather than absolute measuring devices. The most popular of the relative methods are group order ranking, individual ranking, and paired comparison

- a. **Group Order Ranking** Group order ranking requires the evaluator to place employees into a particular classification, such as the “top 20 percent.” This method, for instance, is often used in recommending students to graduate schools. Evaluators are asked to rank the student in the top 5 percent, the next 5 percent, the next 15 percent, and so forth. But when used by appraisers to evaluate employees, raters deal with all employees in their area. So, for example, if a rater has twenty employees, only four can be in the top fifth; and, of course, four also must be relegated to the bottom fifth.

The advantage of this group ordering is that it prevents raters from inflating their evaluations so everyone looks good or from forcing the evaluations so everyone is rated near the average—outcomes not unusual with the graphic rating scale. The main disadvantages surface, however, when the number of employees compared is small. At the extreme, if the evaluator is looking at only four employees, all may be excellent, yet the evaluator may be forced to rank them into top quarter, second quarter, third quarter, and low quarter.

- b. **Individual Ranking.** The individual ranking method requires the evaluator merely to list employees in order from highest to lowest. In this process, only one employee can be rated “best.” If the evaluator must appraise thirty individuals, this method assumes that the difference between the first and second employee is the same as that between the twenty-first and the twenty-second. Even though some of these employees may be closely grouped, this method typically allows for no ties. In terms of advantages and disadvantages, the individual ranking method carries the same pluses and minuses as group-order ranking. For example, individual ranking may be more manageable in a department of six employees than in one where a supervisor must evaluate the nineteen employees who report to her.
- c. **Paired Comparison** The paired comparison method selects one job trait, and then compares each employee in a group with the others. A score is obtained for each employee by simply counting the number of pairs in which the individual is superior at the job trait, ranking each individual in relationship to all others on a one-on-one basis.

3) Using Achieved Outcomes to Evaluate Employees

Employees are evaluated on how well they accomplished a specific set of objectives determined as critical in the successful completion of their job. This approach may be referred to as goal setting but is more commonly referred to as management by objectives (MBO).

Goal Setting or Management by Objective (MBO): It involves measuring and evaluating an employee’s performance based on the work objectives set by both the employee and the supervisor. MBO focuses attention on anticipatively set goals that are tangible, verifiable, and measurable. The emphasis is on what must be accomplished rather than how it is to be accomplished.

The basic process involved:

- Setting objectives of performance
- Developing action plans
- Allowing employees to implement the plans
- Measuring objective achievement
- Taking corrective action, if necessary
- Establishing new objectives for the future

For this process to work effectively, the following requirements need to be met.

- Objectives should be quantifiable
- Active participation of employees

- Conduct appraisal interview with the employee
- Supervisors should keep communication channel open throughout the appraisal period, i.e., to discuss progress and to modify objectives when necessary.

360-Degree Feedback

It consists of performance data generated from a number of sources, who can include the person to whom the individual being assessed reports, people who report to them, peers (team colleagues or others in the organization), and internal and external customers. It can also include self-assessment. 360-degree feedback is used mainly as part of a self-development or management development programme, and is felt to provide a more rounded view of people, with less bias than if an assessment is conducted by one individual.

6.6 Who Should Do The Appraisal?

The appraiser may be any person who has thorough knowledge about the job content, contents to be appraised, standards of contents, and who observes the employee while performing a job. The most typical appraisers are supervisors, peers, subordinates, employees themselves, users of service and consultants.

Characteristics of an Effective Appraisal System

Although an appraisal system may not reach perfection, there are some factors which may contribute to its effectiveness. Thus, for an appraisal system to be effective, it should possess the following essential characteristics.

- a) **Reliability and Validity:** An appraisal system should provide consistent, reliable and valid information and data, i.e., if two appraisers equally qualified and competent to evaluate an employee using the same appraisal technique, their rating should agree with each other. Appraisal technique should also be valid by measuring what it is suppose to measure, i.e., the factors used to measure performance need to be related to the job.
- b) **Job Relatedness:** the criteria used for appraising employee performance should be job related. Information for the criteria should be determined thought job analysis.
- c) **Performance Expectations:** Managers should clearly explain performance expectations to their subordinates in advance of the appraisal period. This will ensure that employees direct their efforts towards the expected performance level.

- d) **Standardization:** Employees in the same job category should be appraised by using techniques, ratings etc., should be standardized as appraisal decisions affect all employees of the group.
- e) **Qualified Appraisers:** Responsibility for evaluating employee performance should be assigned to the individual (S) who directly observe at least a representative sample of job performance. In order to ensure consistency, appraisers should be well trained to provide insights and ideas on rating, documenting, appraisals, and conducting appraisal interviews.
- f) **Employee Access to Results:** An effective appraisal system should provide feedback to employees on how well or bad they've performed.
- g) **Due Process:** A formal procedure should be developed to permit employees to appeal appraisal results that they consider inaccurate or unfair.

Check Point

Dear Learners; answer the following questions:

- *What are the steps to be followed in performance appraisal?*
- *Briefly explain all methods of performance appraisal.*
- *What are the characteristics of effective appraisal system?*

Summary

- It is a formal system of periodic review and evaluation of an individual's job performance. It also involves communicating to an employee how he or she is performing the job.
- Appraisal Process contains the following steps:
 1. Establishing Performance Standards
 2. Communicating standards to employees
 3. Measuring actual employees' performance
 4. Evaluating factors affecting performance
 5. Comparison of actual performance with set standards
 6. Discussing the appraisal with the employee
 7. Initiating necessary corrective actions
- Performance Appraisal Methods:

- There are three approaches in performance appraisal; employees can be appraised against: absolute standards, relative standards, or outcomes.
- An absolute standard approach includes the following methods: the critical incident appraisal, the checklist, the graphic rating scale, and forced choice. Methods categorized under relative standard approach are group order ranking, individual ranking, and paired comparison. Management by objective is a way through which employee appraised by their outcome.
- The most common problems seen in performance appraisal include the following:
 - Personal bias
 - Lack of Objectivity
 - Halo Error
 - Leniency:
 - Strictness:
 - Central tendency
- For an appraisal system to be effective, it should possess the following essential characteristics:
 - Reliability and Validity
 - Due Process
 - Performance Expectations
 - Standardization
 - Qualified Appraisers
 - Employee Access to Results
 - Job Relatedness



Self-check Questions 6

PART I:- Multiple choose

1. Among the following sentences, which one is false about performance appraisal?
 - A. It is periodical rating of an employee's excellence in his/her present job.
 - B. To measure employee performance, there should be standard against which result will be compare.
 - C. It is a one-time activity during one workers employment time

- D. In order to make it is an effective, there should be communication of appraisal result
2. Which one of the following is not among problems in performance appraisal?
- A. Lack of objectivity for some traits.
 - B. Perceiving one factor as having significant importance and give a good or bad overall rating to an employee.
 - C. Basing evaluation on the employees' recent behavior only.
 - D. Raters bias on employees' race, religion, gender, or age.
 - E. None of the above
3. To be effective, the appraisal system should be;
- A. Reliable and Valid
 - B. Job Related
 - C. Emphasized on personality rather than performance
 - D. Conduct by qualified appraiser
 - E. All except "C"
4. _____ is one of a problem in performance appraisal which is due to consistently rating employees near the average.
- A. Strictness
 - B. Recent behavior bias
 - C. Central tendency
 - D. Personal bias
 - E. Halo error
5. All are under the category of absolute standards approach except;
- A. Paired comparison
 - B. The critical incident appraisal
 - C. The checklist
 - D. The graphic rating scale

CHAPTER SEVEN

COMPENSATION

Chapter Outline:

- 7.1 Introduction
- 7.2 Overview and Objectives of Employee compensation
- 7.3. Importance of compensation
- 7.4. Factors affecting compensation
- 7.5 Types of employee compensation

Chapter objectives:

Up on the completion of this chapter you are expected to know about:

- ✓ Overview and objectives of employee compensation
- ✓ Types of employee compensation
- ✓ The difference between wages and salary
- ✓ Approaches to the determination of wages and salary
- ✓ Employee benefits

7.1 Introduction

A typical business organization furnishes different types of benefits to employees and their families in addition to wage and salaries. These benefits are typically administered by the personnel department. The relationship between employees' benefits and wages is both close and complicated. Employees place limits on total compensation costs (direct wages plus benefits). Therefore, a large wage increase will probably restrain the amount of increase in benefits, and vice-

versa. Yet no clear-cut method has been agreed upon for distinguishing between various wage payments and benefits.

This module discusses direct pay for time worked and incentive wage related to productivity and profit. The module will discuss the remaining financial payment received by employees and employee service.

First discussed are the extent, objectives, and types of employee benefits in a given industry. Next, remuneration and benefit strategies as two separate categories, direct and indirect benefits, will be discussed. Sub categories of direct benefits, wage and salary and that of indirect benefit strategies such as medical and insurance, health and welfare benefits, paid leaves benefit (payment for time not worked), employee service related benefits (retirement benefits), educational and training benefits and miscellaneous services will be given a due emphasis. Then the legal requirements from the Ethiopian civil servant and labour proclamation context will be presented. At last, the implementation aspect of the different benefit programs discussed hereunder and the major influences in the selection of benefit strategies will be discussed. As communication is the most important ingredient in any human resource practices, the importance and ways of communication the benefit plans to the concerned organizational members will briefly be presented.

7.2 Overview and Objectives of Employee Compensation

Management is concerned with attracting and keeping employees, whose performance meet at least minimum levels of acceptability and keeping absenteeism and turnover to tolerable levels. The provision of benefits and services are important in maintaining the employees and reducing or keeping turnover and minimizing absenteeism. It is important to note that financial incentives are paid to specific employees whose work is above standard.

In modern businesses, the tendency for arranging different benefit plans for organizational workers has come increasing. Management generally has the following objectives behind arranging employee benefit strategies.

Objectives of Employee remuneration and Benefit Plans include:

- To create sound industrial relations.
- To increase and improve employee moral and to create positive attitude for workers towards their employers.
- To motivate the employees by identifying and satisfying their unsatisfied needs
- To recruit and retain the best personnel.
- To provide for the needs of employees and protect them against certain hazards of life, (particularly those which an individual can not him self provide for).
- To provide security to the employees against social risks like old age benefits and maternity benefits.
- To protect the health of the employees and to provide safety to the employees against accidents.
- To promote employees' welfare by providing welfare measures like recreation facilities, get-together programs, parties and invitations.
- To make the organization on dominant influence in the lives of its employees with a view to gaining their loyalty and cooperation, encouraging them to greater productive efforts.
- To improve and furnish the organizational image in the eyes of the public with a view to improving its market position and bringing about product acceptance by it.
- To recognize the official trade union's bargaining strength, for a strong trade union
- Generally constrains an employer to adopt a sound benefits and service programs for his employees.
- To meet requirements of various legislations relating to fringe benefits which in turn satisfies the following three goals:
 - **Social Goal:** The fringe benefits act as a social lever in helping conservation of this precious resource, by guarding against its unnatural erosion and providing the climate for its development in a working environment.
 - **Human Relations Goals:** The management, through motivation, tries to develop and maintain, "Human relation", i.e. mutual interest, individual differences, motivation and human dignity.
 - **Macro Economics Goal:** For maintaining the growth and stability in the economy of a country, ideal utilization of the non-human and human resources is imperative.

Check point

- ✓ *Explain the main purpose and reason of employee compensation*
 - ✓ *In modern businesses, the tendency for arranging different benefit plans for organizational workers has come increasing. Management generally has different objectives behind arranging employee benefit strategies. Discuss these objectives briefly*
-

7.3. Importance of Compensation

A good compensation is must for every business organization and helps in the following way:

- It tries to give proper return to the workers for their contributions to the organization.
- It imparts a positive control on the efficiency of employees and encourages them to perform better and achieve the specific standards.
- It forms a basis of happiness and satisfaction for the workforce that minimizes the labour turnover and confers a stable organization.
- It augments the job evaluation process which in turn helps in setting up the more realistic and achievable standards.
- It is designed to comply with the various labour acts and therefore does not result in disputes between the employee union and the management. This builds up a peaceful relationship between the employer and the employees.
- It arouses an environment of morale, efficiency and cooperation among the workers and provides satisfaction to the workers.
- It stimulates the employees to perform better and show their excellence.
- It provides growth and advancement opportunities to the deserving employees.

7.4 Factors affecting compensation**External Factors**

The major external factors that influence wage rates include labor market conditions, area wage rates, cost of living, legal requirements, and collective bargaining if the employer is unionized.

- **Labor Market Conditions**

The labor market reflects the forces of supply and demand for qualified labor within an area. These forces help to influence the wage rates required to recruit or retain competent employees. It must be

recognized, however, that counter-forces can reduce the full impact of supply and demand on the labor market. The economic power of unions, for example, may prevent employers from lowering wage rates even when unemployment is high among union members. Government regulations also may prevent an employer from paying at a market rate less than an established minimum.

- **Area Wage Rates**

A formal wage structure should provide rates that are in line with those being paid by other employers for comparable jobs within the area. Data pertaining to area wage rates may be obtained from local wage surveys.

Data from area wage surveys can be used to prevent the rates for certain jobs from drifting too far above or below those of other employers in the region. When rates rise above existing area levels, an employer's labor costs may become excessive. Conversely, if they drop too far below area levels, it may be difficult to recruit and retain competent personnel. Wage-survey data must also take into account indirect wages paid in the form of benefits.

- **Cost of Living**

Because of inflation, compensation rates have had to be adjusted upward periodically to help employees maintain their purchasing power. This can be achieved through **escalator clauses** found in various labor agreements. These clauses provide for quarterly cost-of-living adjustments (COLA) in wages based on changes in the **consumer price index (CPI)**. The CPI is a measure of the average change in prices over time in a fixed "market basket" of goods and services.

- **Collective Bargaining**

One of the primary functions of a labor union is to bargain collectively over conditions of employment, the most important of which is compensation. The union's goal in each new agreement is to achieve increases in real wages--wage increases larger than the increase in the CPI--thereby improving the purchasing power and standard of living of its members.

- **Governmental Regulation**

Compensation management, like the other areas of HRM, is subject to government regulations. A majority of states and countries have minimum wage laws or wage boards that fix minimum wage rates on an industry-by-industry basis. Most governments also regulate hours of work and overtime payments.

Internal Factors

The internal factors that influence wage rates are the employer's compensation policy, the worth of a job, an employee's relative worth in meeting job requirements, and an employer's ability to pay.

- **Employer's Compensation Policy**

The compensation objectives of two organizations can be quite different. One might strive to be an industry pay leader, while another seeks to be wage-competitive by paying employees at the seventy-fifth percentile of their competitors' wages. Both employers strive to promote a compensation policy that is fair and competitive.

All employers will establish numerous compensation objectives that affect the pay employees receive. As a minimum, both large and small employers should set pay policies reflecting:

1. the internal wage relationship among jobs and skill levels.
2. the external competition or an employer's pay position relative to what competitors are paying.
3. a policy of rewarding employee performance.
4. administration decisions concerning elements of the pay system such as overtime premiums, payment periods, short-term or long-term incentives.

- **Worth of a Job**

Organizations without a formal compensation program generally base the worth of jobs on the subjective opinions of people familiar with the jobs. In such instances, pay rates may be influenced heavily by the labor market or, in the case of unionized employers, by collective bargaining.

Organizations with formal compensation programs, however, are more likely to rely on a system of *job evaluation* to aid in rate determination. Even when rates are subject to collective bargaining, job evaluation can assist the organization in maintaining some degree of control over its wage structure.

The use of job evaluation is widespread in both the public and the private sector. The jobs covered most frequently by job evaluation comprise clerical, technical, and various blue-collar groups, whereas those jobs covered least frequently are managerial and top-executive positions.

- **Employer's Ability to Pay**

In the public sector, the amount of pay and benefits employees can receive is limited by the funds budgeted for this purpose and by the willingness of taxpayers to provide them. In the private sector, pay levels are limited by profits and other financial resources available to employers. Thus an organization's ability to pay is determined in part by the productivity of its employees.

- **Job requirements**

The more difficult a job, the higher are the wages. Measures of job difficulty are frequently used when the relative value of one job to another in an organization is to be ascertained. Jobs are graded according to the relative skill, effort, responsibility and job conditions required.

- **Managerial attitudes**

These have a decisive influence on the wage structure and wage level since judgment is exercised in many areas of wage and salary administration – including whether the firm should pay below, average or above average rates, what job factors should be used to reflect job worth, the weight to be given for performance or length of service etc.

7.5 Types of Employee Compensation

Among the several ways to classify rewards, we have selected three of the most typical dichotomies: intrinsic versus extrinsic rewards, financial versus nonfinancial rewards, and performance-based versus membership-based rewards. As you will see, these categories are far from mutually exclusive, yet all share one common thread—they assist in maintaining employee commitment.

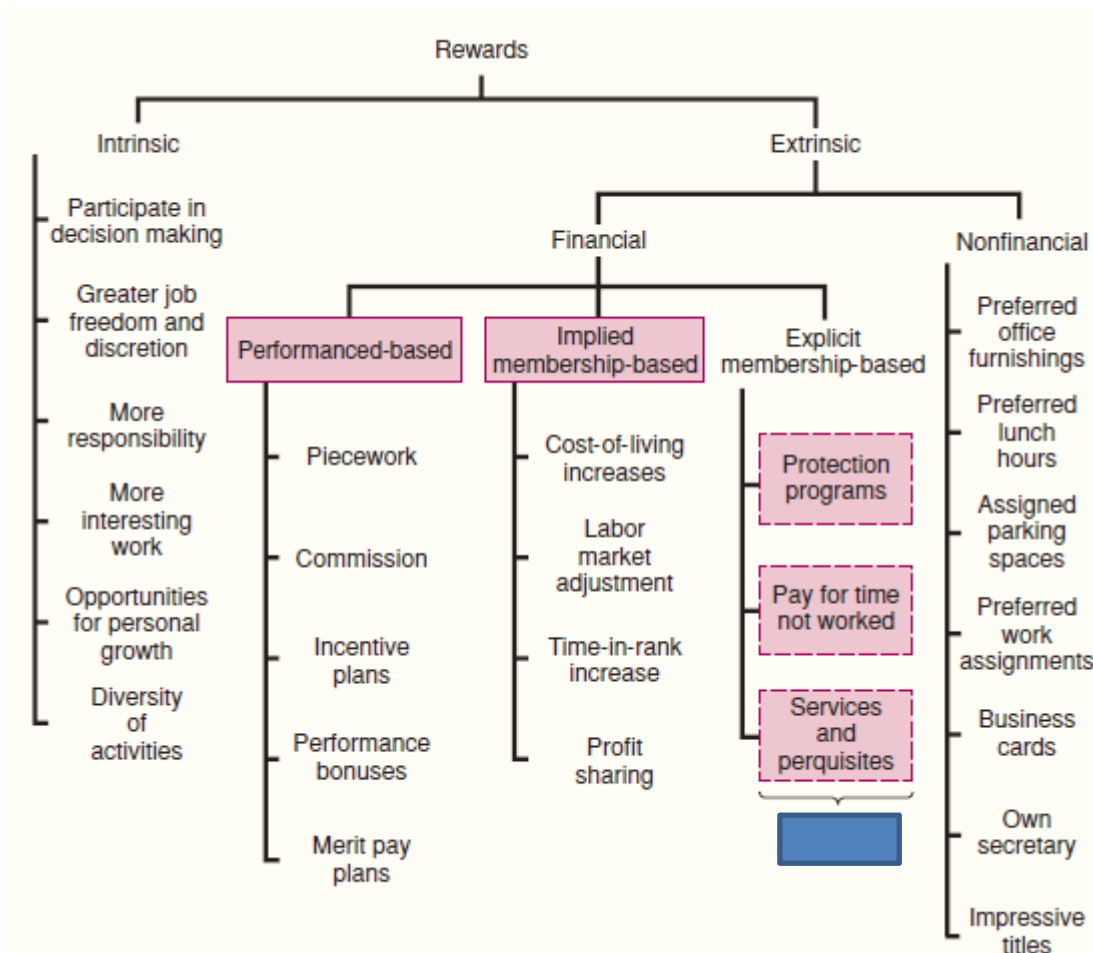


Exhibit 7.1. Structure of Reward (Decenzo & Robbins)

I. Intrinsic versus Extrinsic Rewards

Intrinsic rewards are the personal satisfactions one derives from doing the job. These are self-initiated rewards: pride in one's work, a sense of accomplishment, or enjoying being part of a work team. Job enrichment, for instance, can offer employees intrinsic rewards by making work seem more meaningful.

Extrinsic rewards, on the other hand, include money, promotions, and benefits. They are external to the job and come from an outside source, mainly management. Consequently, if an employee experiences a sense of achievement or personal growth from a job, we would label such rewards as intrinsic. If the employee receives a salary increase or a write-up in the company magazine, we would label these rewards as extrinsic.

II. Financial versus Nonfinancial Rewards

Rewards may or may not enhance the employee's financial well-being. Those that do, do so directly—for instance, through wages, bonuses, or profit sharing—or indirectly, through employer-subsidized benefits such as retirement plans, paid vacations, paid sick leaves, and purchase discounts. Nonfinancial rewards present a variety of desirable extras for organizations. These do not directly increase the employee's financial position, but rather add attraction to life on the job.

The saying “One person's food is another person's poison” applies to the entire subject of rewards, but specifically to nonfinancial rewards. What one employee views as “something I've always wanted,” another might find relatively useless. Therefore, HRM must take great care in providing the right nonfinancial reward for each person. With proper selection, organizational benefits, by way of increased performance, should be significant.

III. Performance-Based versus Membership-Based Rewards

Organizations allocate rewards based on either performance or membership criteria. HR representatives in many organizations will vigorously argue that their system rewards performance, but you should recognize that this isn't always the case. Few organizations actually reward employees based on performance. Without question, the dominant basis for reward allocations in organizations is membership.

Performance-based rewards use commissions, piecework pay plans, incentive systems, group bonuses, merit pay, or other forms of pay for performance. Membership based rewards, on the other hand, include cost-of-living increases, benefits, and salary increases attributable to labor-market conditions, seniority or time in rank, credentials (such as a college degree or a graduate diploma), a specialized skill, or future potential (for example, the recent MBA graduate from a prestigious university). The key point here is that membership-based rewards are generally extended regardless of an individual's, group's, or organization's performance. In any case, performance may be only a minor determinant of rewards, despite academic theories holding that high motivation depends on performance-based rewards.

Direct Compensation

Direct compensation is used to describe the cash received in the form of base salary, overtime pay, shift differentials, bonuses, and sales commissions etc.

Wage and Salary

In our day-to-day conversation, two terms, wage and salary are used interchangeably. The concept of wage and salary in an organization is extremely important that concern on administrating them must be one integral part of businesses. For one thing, wage and salary represent a substantial part of the total cost of running organizations. For another thing, wage and salary dictate the ability of business organizations to attract employees from the labor market, and the possibility of these organizations to motivate and hold their employees.

What Do Wage and Salary Refer to?

Though the two terms are used interchangeably, a closer look in to the concepts held behind them bears a remarkable difference. Salary is used to refer to the amount of money paid to an employee for his/her service to the organization. It is used to describe the amount paid to an employee whose output cannot be measured and quantified. This is especially true of a professional employee or an employee engaged to work as an office clerical stuff.

With a little variation, wage is used to refer simply to an amount paid to non-professional or unskilled manual labor. Unlike salary wage is paid based on some quantifiable factors such as total number of hours worked or total number of units completed.

In any cases, organizations must have a sound wage and salary administration policy. The general objective of such policy is:

- a) To control unnecessary costs.
- b) Establishment of fair and equitable remuneration
- c) To utilize wage and salary as an incentive to greater employee productivity.
- d) Maintenance of a satisfactory public relation image.

Wage and Salary Policy

Every organization has its own wage and salary policy. Various types of wage and salary policies have been developed based on such factors as:

- The nature of the business
- The location of the business, and
- Levels of competitors wage and salary etc.

The traditional approach to wage and salary policy has been to recognize that wages and salaries must be at the level that is adequate to attract, retain and motivate employees to competently perform the tasks assigned to them.

A good salary and wage policy should relate salary and wage levels to its competitors in the industry or in its regions. It may adopt a policy like this "we shall set wages and salaries which approximate the average of the companies in the industry"

Another good approach to wage and salary is the formula approach, which recognizes the change in the cost of living and wage and productivity as a basis for wage/salary changes. No doubt that wage and salary policy should be flexible based on some factors such as the employee productivity and the cost of living that change from time to time.

The following principles are worthwhile when formulating wage and salary plan.

1. Wage policies should be carefully developed, having in mind the interests of:
 - a) The employees
 - b) Management as representative of the owner
 - c) The consumers and
 - d) The community
2. Wage policy should be clearly expressed in writing to ensure uniformity and stability.
3. Wage decision should be checked against the formulated policies.
4. Management should see that employees know and understand the wage policies.
5. Wage & salary policy should be evaluated from time to time to make certain that they are adequate to current needs.
6. Departmental performance should be checked periodically against the standard set in advance.

7. Job descriptions and performance ratings should be periodically checked to keep them up to date.

Check point

- ✓ *Discuss the components of direct and indirect compensation*
 - ✓ *Wage policies should be carefully developed, having in mind the interests of different parties: discuss these parties*
-

Approaches/strategies to the determination of wage and salary

A wide variety of incentive and wage plans for operative employees have been devised and used at different times and conditions. Wage payment system consists of the pay structure and the methods used to motivate and reward work force for their contribution to the goals of the organization. The various systems that have been developed for wage payments may be regarded as variants or combinations of different principles of:

1. **The time rate system of calculating wage.** This system is perhaps the oldest system of calculating wage or salary. It is also the most commonly used system of salary and wage calculation. It refers to the payment of a predetermined rate for normal time of work and relative to a time limit, such as an hour, day, week and month. Under this system the basic rate for a job is fixed by negotiation, by reference to local rates, or by job evaluation and only varies with time, never with out-put or performance.

This method is generally common for clerical, supervisory and managerial personnel. The distinguishing characteristic of this method is that the production of the worker is not taken in to consideration in fixing the wage. An employee is paid at the settled rate as soon as time contracted is spent.

Merits of time rate method

- a) It is simple and convenient method, for the amount earned by the worker can easily be calculated.
- b) As all workmen employed for doing a particular kind of work receive the same wage,
- c) As there is no time limit for the execution of a job, workmen are not in a hurry to finish it and this mean that they can pay the required attention to the quality of their work.
- d) It provides regular and steady income to the worker that enables them to adjust their budget accordingly.
- e) Due to the slow and steady pace of the worker, there is no rough handling of machinery, which is a distinct advantage for the employer, and
- f) It is the only system that can be used profitably where the output per worker is not measurable, or where the job involves professional, technical or administrative skills.

Draw Backs of Time-Rate Method

- a) This system does not take in to account the fact that men are of different abilities and that if all workers are paid equally, better workmen may not have incentive to work hard.
- b) As there is no specific demand on the worker to complete a piece of work within a given systematic evasion of work and,
- c) This system sometimes compels a person to take up a job for which he has neither the liking nor ability.

2. The Piece-Rate System of Calculating Wage

Piece rate system pay directly related to units of out put produced. Different individuals have proposed different approaches to calculating wage based on output produced by an employee. The following are the most outstanding ones.

A. Tailor's Piecework Plan

Tailor proposed for an incentive plan that has two-piece rates. These rates are the higher and the lower piece rates. In applying such plan, management sets a standard achievable by an average employee by taking different factors that influence the performance of the employee in to consideration.

Accordingly, a worker who is able to reach or exceed the pre-determined standard will be entitled to earn wage calculated on the higher rate, and a worker who performed below the standard will be paid based on the lower rate. According to Taylor's incentive wage plan, a unit failure to reach standard will let the employee be paid on the lower rate.

B. Merrick Differential Piece Rate Plan

Merrick's differential piece rate plan is a modification and an improved version to Taylor's piece rate plan. . Merrick realized that it was necessary to have two categories of the workers, i.e. efficient and inefficient. According to him, there are some employees who produce more only for their own personal progress. These employees deserve to be encouraged. Therefore, Merrick introduced three-piece rates instead of Taylor's two-piece rate system. The lowest rate introduced was termed as "Basic piece - rate", and the rest are summarized as follows.

No	Out put	Piece rate wage
1	Less than 83% of the standard task	Basic piece rate
2	From 83 to 100% of task (standard)	110% of the basic piece rate
3	Over 100% of the standard task	120% of the basic piece rate

To workers who are potentially high producers, Merrick's incentive plan is a good one. It seems reasonable to pay to employees who produced up to 83% of the target equal to 100% of a basic piece rate. With this, it is believed that all workers should reach 83% of the targeted standard and be encouraged to go for an extra mile to escape the lowest basic piece rate, and earn a rate 110% of the basic rate. Employees who have the intention to produce more that 100% of the task for self-progress purpose would be encouraged by adjusting the highest rate, 120% of the lowest basic piece rate.

3) Payment by Result System (PBR)

Payment by result is a payment system under which money rewards vary with the measured changes in performance according to predetermined rules. It relates the pay or part of the pay received by the employee to the number of items he produces or the time he takes to do a certain amount of work.

Under the PRB system, the worker is paid a wage which bears some fairly direct and continuous relation to his output or performance, or to the average output of the group of workers to which he belongs. Under this plan, a worker working in a given condition and with given machinery is paid exactly in proportion to his output. Therefore, the worker's pay during a given period is directly related to the levels of measured performance.

The most common scheme of payment by results, which is purely individual in character, is what is called straight piecework. A worker's earning can be calculated on the basis of the number of pieces produced and the rate per piece. This means, payment of a uniform price per unit of production.

Safe Guard Conditions for Introducing PBR System

The PBR may be introduced with the following safeguard conditions.

- a) Quality of output is to be controlled through strong supervision
- b) Systems for preventing wastage of material must be designed.
- c) Protection for the health of the worker must be there
- d) Supply of raw material, maintenance of plants and efficiency of management are to be assured;
- e) Workers are to be guaranteed job security or continued employment, and
- f) Workload is to be fixed by impartial experts. Rates once fixed by impartial experts. Management without justification should not cut rates once fixed.

Advantages of the PBR-System

- a) It pays the workmen according to their efficiency reflected in the amount of work turned out by them.
- b) It involves less supervision as the workers are not likely to while-away (waste) their time.

- c) Being interested in the continuity of his work, a workman is likely to take greater care in the maintenance of machines and equipments.

Disadvantages of the PBR - System

- a) A piece rate worker in his anxiety to produce more may neglect the quality of output.
- b) The employee with the desire to earn more may work hard to impair his health, unmindful of the fact that this would ultimately reduce his earning power.
- c) Under the PBR system, the worker's earning may suffer because of causes beyond his control, such as in adequate supply of raw materials, failure of machinery, lack of demand in the market for the goods produced.
- d) Trade unions are often opposed to this system as they are of the opinion that such a system encourages rivalry among workers and endanger their solidarity in labor dispute.

? Check point

- ✓ *Discuss the meaning of payment by result system. What kind of pros and cons are found with this system*
- ✓ *Merrick's differential piece rate plan is a modification and an improved version to one of management's great expert: who is this man.*

4. Balance or Debt Methods

This is a combination of time and piece rate. The worker is guaranteed an hourly or a day rate with an alternative piece rate. If the earnings of the worker calculated at the piece-rate exceed the amount which he would have earned if paid on the time basis, he gets credit for the balance, namely the excess piece-rate earning over the time rate earnings. The question of excess payment does not arise.

Where piece rate earnings are less than time rate earnings, he is paid on the basis of the time rate; but the excess paid is carried forward as the debt against him to be recovered from any future balance of piecework earnings over timework earnings. This system presupposed the fixation of

time and piece rate on a scientific basis. The obvious merits of this system are that an efficient worker gets an opportunity to improve his earnings.

5. Incentive Rate System

The incentive rate system of wage calculation is used in a situation where:

- **Output** is measurable in homogeneous units.
- **Product** specifications do not vary frequently, and:
- **Worker's** effort can directly influence output.

Methods commonly used in incentive rate system of wage calculation involve:

- a) **Straight piece work:** - where a *constant* rate of pay per unit of output is made, and
- b) **Bonus plans:** - This involves in general the determination of *standard tasks* and *bonus payments* are made when a worker produces above a standard.

6. Job Evaluation System

This system of wage calculation is a method where jobs are described, analyzed, compared and evaluated within a unit, a branch or an industry. The main characteristics of job evaluation system include:

- a) It is a good and systematic approach;
- b) It is an analysis of the work involved in its starting point;
- c) It is an attempt to determine the requirements of the work involved for any incumbent.
- d) It is a process by which jobs in an organization are appraised.
- e) It is a process of analyzing and describing positions, grouping these positions and determining their relative value by comparing the duties of different positions in terms of their different responsibilities and other requirements.
- f) It is a system to deal exclusively with assessment of the job and not concerned with employees assigned to the job.
- g) It is designed only to establish *wage differentials* and is not concerned with the absolute wage level.

Generally, job evaluation system is a systematic approach, which provides a basis of comparing jobs, and determines the relative worth of different jobs in an organization.

The system has two basic objectives; namely:

1. Comparing jobs and determining their level within each occupational group.
2. Comparing jobs between occupational groups.

Achievement of the first objective is important for promotion, career planning and personnel development. Achieving the second objective is of interest because of wage comparisons.

In job evaluation system, one has to understand that it is not the man, but the job to be rated. It is therefore an important tool of personnel administration and wage decisions.

Job evaluation systems are useful in achieving internal equity of pay between useful selected criteria to compare jobs within an organization so that they can be ordered for the purpose of assigning differential pay. Job evaluation systems provide a rationale for paying different rates for different jobs. It is the process of analyzing and assessing of jobs to ascertain reliably their relative worth, using the assessment as basis for a fair and equitable wage structure.

Check point

- ✓ *Discuss the main characteristics of job evaluation system*
 - ✓ *Explain what incentive rate system mean and in what kind of situation is it appropriate*
 - ✓ *Balance of debt method is a combination of two different methods. Explain these two methods*
-

Indirect Compensation

Indirect compensation includes benefits and services. It can be defined as all employer provided reward and service other than wage and salaries.

Need for Extending Benefits:

Most of the organizations have been extending the fringe benefits to their employees, year after year, for the following reasons.

- Employee demands;

- Trade Union demands;
- Employers Preference;
- As a social security;
- To improve human relation.

Features of Benefits

It is difficult to classify and distinguish between direct wages and indirect benefits. Some of the differences are:

- Wages are directly related to the work done and are paid regularly, usually weekly, fortnightly or monthly. Fringe benefits, on the other hand, are those payments or benefits that a worker enjoys in addition to the wages or salary he or she receives.
- These benefits are not given to workers for only specific jobs they have performed but are offered to them to stimulate their interest in their work and to make their jobs more attractive and productive for them
- Fringe benefits represent a labour cost for the employer. In the circumstance, everything which a company spends over and above straight time pay should be considered as fringe benefits
- A fringe is never a direct reward geared to the output, effort or merit of an employee. It is offered, not on the basis of the hard work or long hours of work put in by an employee but on the basis of length of service, his sickness, sex, the hazards of life he or she encounter in the course of his work, etc.
- To be termed a fringe benefit a labour cost should be intended by an employer as a benefit desired by his staff. It is a fringe benefit when all the employees enjoy it.
- A fringe must constitute a positive cost to the employer and should be incurred to finance an employee benefit. If the benefit increases workers efficiency, it is not a fringe, but if given to supplement his wages, it is.

Check point

- ✓ *Discuss reasons that urges companies to extend their fringe benefits for their employees*
- ✓ *Different factors influence the decision to set up a particular employee benefits and service program. Discuss the criteria that govern such a program as developed by Nielsen*

- ✓ *Discuss the typical decisions most managers face in the design and management of benefits plans*
-

Types of Employee Benefits and Service

It has been recognized that certain benefits must be supplied by the organization for its employees, regardless of whether it wants to or not. Most companies' today offer a wide variety of benefits, especially larger companies. Some of the benefits are compulsory (required by law), while others are not required by law. The following are types of employee benefits and services:

- 1) Medical and safety benefits
- 2) Education and training benefits
- 3) Payment for time not worked
- 4) Employee service related benefits
- 5) Other employee benefits
 - a. Loan benefits
 - b. Pension or provident fund
 - c. Employee allowance
 - d. Funeral benefits
 - e. Dependant benefits and other

The United States Chamber of Commerce classified benefits items in five categories. These are:

- a. Payment that have to be made under any specific legislation
- b. Pensions and such other payments as have been agreed upon;
- c. Paid rest period, lunch periods, wash up time, travel time, time taken to change clothing, and get ready time.
- d. Payment for time during which an employee has not put in any work at all; and
- e. Other items, including profit sharing payments, bonus, etc.

These benefits are usually known as fringe benefits. The International Labour Organization has defined "fringe benefits" as: *"Wages are often augmented by special cash benefits, by the provision of medical and other service, or by payments in kind that form part of the wage for expenditure on*

the goods and service. In addition, workers commonly receive such benefits as holidays with pay, low-cost meals, low-rent housing, etc. Such additions to the wage proper are sometimes referred to as 'fringe benefits. Benefits that have no relation to employment or wages should not be regarded as fringe benefits, even though they may constitute a significant part of the workers total income.'"Thus, fringe benefits are those monetary and non monetary benefits given to the employees during and post employment period which are connected with employment but not to the employees' contribution to the organization. A vital benefit for all workers is the availability of safe working conditions. Industrial accidents result in both suffering for the injured worker and major in both suffering for the employer through loss of experienced employees, increased insurance premiums, and poor morale. Many large companies employ doctors and nurses to investigate working condition and treat minor illnesses and job related accidents. Some companies sponsor recreation programs. Firms can not afford to provide all benefits, so they choose those which they feel will give the most satisfaction to their employees and being out their best for the firm. Fringe benefits are primarily a means in the direction of ensuring, maintaining and increasing the income of the employee. It is a benefit which supplements to a worker's ordinary wages and which are of value to them and their families in so far as it materially increases their retirement. Benefits will have no positive effect if they are not supported by a satisfactory salary structure.

Check point

- ✓ *Explain how the United States Chamber of Commerce classified benefits items*
-

i. Employee Medical and Insurance Benefits

Employee's medical and safety should be taken care of in order to protect the employee against accidents, unhealthy working conditions and to protect the worker's productive capacity.

In Ethiopian Labour Proclamation No. 377/2003, part seven stipulated certain requirements regarding working conditions with a view to provide occupational health and safety requirements. Article 92 of this proclamation obliges an employer to take the necessary measure to safeguard adequately the health and safety requirements. These provisions step to ensure that workers are

properly instructed and notified concerning the hazards of their respective occupations and the precautions necessary to avoid accident and injury to health and ensure that the work place and premises do not cause danger to health and safety of the workers. Provisions relating to pre-executions, process of work shall not be a source of cause of physical, chemical, biological, ergonomically and psychological hazards to the health and safety of the workers. Article 93 of the proclamations also obligate a worker for proper use of all safeguards safety devices and other appliance furnished for the protection of his health or safety of others.

Article 99 of the same proclamation also defines disablement as “any employment injury as a consequence of which there is a decrease or loss of capacity to work”. The effects of such disablement are:

- a. Temporary disablement
- b. Permanent partial disablement
- c. Permanent total disablement, and
- d. Death

In addition to these, the proclamation also defined occupational accident and occupational disease as “occupational accident means any organic injury or functional disorder sustained by a worker as a result of any cause extraneous to the injured worker or any effort he makes during or in connection with the performance of his work. And occupational disease means any pathological condition whether caused by physical, chemical or biological agents who arise as a c consequence of:-

- The type of work performed by the worker or
- The surrounding in which the workers is obliged to work during a certain period prior to the date in which the disease become evident

In addition to safety and health measures, a provision for the payment of compensation has also been made under Labour Proclamation No. 377/2003. It is intended to meet the contingency of invalidity and death of a worker due to an employment injury or occupational disease specified under the proclamation. Amount of compensation depends on the nature of injury and monthly wage of the employee. Dependents of the employee are eligible for compensation in case of death of the employee.

Check point

- ✓ *Explain the purpose of employee safety and health benefit*
 - ✓ *In Ethiopian Labour Proclamation No. 377/2003, part seven, stipulated certain requirements regarding working conditions with a view to provide occupational health and safety requirements. Discuss the intention and meaning of Article 92 of this proclamation*
-

Types of Medical Benefits

Today, various medical services like hospital, clinical and dispensary facilities are provided by organizations not only to employees but also to their family members. The Ethiopian Labour proclamation No. 377/2003 Article 105 deals comprehensively with the medical benefits to be provided to employees by their employers. Medical benefits under this Article of the proclamation include the following where a worker sustains employment injury:

1. General and specialized medical and surgical care
2. Hospital and pharmaceutical care
3. Any necessary prosthetic or orthopaedic appliances

In addition to these, Article 107 of the proclamation identifies various kinds of cash benefits when a worker who has sustained employment injury:

- a. Periodical payment while he is temporarily disabled
- b. Disablement pension or gratuity or compensation where he sustains permanent disablement
- c. Survivors pension gratuity or compensation to his depended where he dies

Medical benefit shall be provided to an insured employee or to a member of his family where the benefit is extended to his family. This benefit is provided in the following firms:

- a. First- aid- facility
- b. Medical service given by organization owned health centres
- c. Refund of employee pharmaceutical expenses
- d. Coverage of medical expenses
 - a. Full versus partial coverage of medical expense

- b. In patient versus out patient
- c. Local versus overseas

An insured person shall be entitled to medical benefits during any week for which contribution are payable, or in which he/she is eligible to claim sickness or maternity benefits or eligible for disable.

Voluntary arrangements: However, most of the large organizations provide health services over and above the legal requirement to their employees free of cost by setting up hospitals, clinics, dispensaries and homeopathic dispensaries. Company's elaborating health service programs include:

- i. Providing health maintenance service, emergency care, on the job treatment care for minor compliant, health counselling, medical supervision in rehabilitation, accident and sickness prevention, health education program, treatment in employee colonies etc
- ii. Medical benefits are extended to employee family members and to the retired employees and their family members
- iii. Small organizations that cannot set up hospitals or large organizations (in those places where hospitals can not be set up because of various reasons) provide the medical services through local hospitals and doctors. Sometimes they provide the facility of reimbursement of medical expenses borne by the employees.

Check point

- ✓ *Explain when and how employee medical benefits are delivered for the beneficiary based on proper Ethiopian labor proclamation*
-

ii. Employee Insurance Benefits

Insurance programs of various types represent an important part of any benefit package. Insurance plans or benefits protect employee or their dependent from financial difficulties that can arise as a result of disability or death.

Many risks encountered throughout life illness, accident, permanent disability and death, among others can be offset by buying insurance. Midsized and large employers can buy insurance more cheaply than can individual employees, so employer sponsored insurance is a preferred benefit because the rate is based upon group risk rather than individual risk.

Company sponsored medical insurance programs are designed so that the employer either pays the entire premium (contributory) or a portion of it, with the employee responsible for the balance (contributory).

Three Major forms of insurance are involved: Health insurance, Life insurance and Accident and disability insurance.

I. Health Insurance

Health insurance is one of the most costly kinds of insurance, but it is extremely popular with employees. Health insurance provides health care coverage for both employees and their dependents, protecting them from financial disaster in the wake of a serious illness. Studies indicate that employees prefer health insurance over most other benefits. Typically, health insurance includes hospitalization (room, board, and hospital service charges), surgical fees (actual surgical fees or maximum limits), and major medical fees, (maximum benefits typically \$5,000-10,000 beyond hospitalization and surgical payment). Plans for salaried employees typically are of the major medical variety and provide "last-dollar coverage." This means that the employee must pay the first \$200 of the cost or a similar deductible each year. Benefits may be based on either a specific cash allowance for various procedures or a service benefits that pays the full amount of all reasonable charge

Articles 711 of Commercial Code define health insurance as insurance against accident and illness: *"An insurance policy against accident is a contract whereby the insurer undertakes to pay a specified sum to the insured person where the insured person is the victim of an accident during the period specified in the policy, or the beneficiary named in the policy, where the insured person dies".*

Because the cost of individually obtained health insurance is much higher than that of an employer sponsored group health insurance if it were not provided by their employer. In addition to normal hospitalization and outpatient doctor bills, some plans now cover prescription drugs and dental, eye, and mental health care. Obviously, cost containment of health spending will be an important issue for companies and the nation for many years. The benefits specialist in the human resource department can make an important contribution to the bottom line by keeping spending on health insurance under control. For example many companies are now requiring employees to make larger contributions toward the cost of their health insurance. In an effort to get the rise costs under control, organization undertook major cost containment programs. Some of the Popular Cost Cutting Programs are explained as follows.

A) Traditional Health Insurance: Provided by an insurance company that acts as an intermediary between the patient and health care provider, traditional health insurance plans (also called fee for service plans) developed a fee schedule based on the cost of medical services in a specify community. They then incorporate these fees into the costs of insurance coverage. Traditional health insurance plans have several important features. First, they include a deductible that a policyholder must meet before the plan makes any reimbursement. Second, they require a monthly group rate (also called a premium) paid to the insurance company. The premium is usually paid particularly by the employer and partially by the employee. Third, they provide for coinsurance. The typical coinsurance allocation s 80/20 (80 percent of the cost is covered by the insurance plan and 20 percent is picked up by the employee). The deductible, premium, and coinsurance can be adjusted, so the employee and employer's costs of health care insurance vary depending on how the parties agree to allocate the costs. Traditional plans give employees the greatest amount of choice in selecting a physician and a hospital. However, these plans have several disadvantages. First they often do not cover regular checkups and other preventive services. Second, calculating the deductible and coinsurance allocation requires a significant amount of paper amount of paper work. Each time they visit a physician, employees must fill out claims forms and obtain bills with long, itemized lists of services. This can be frustrating for patients and costly to physicians,, who often need to hire clerical woks solely to process forms.

B) Health Maintenance Organization (HMO): A health maintenance organization is distinctly different from the traditional health care plan. An HMO is a medical organization consisting of

medical and health specialists offering both outpatient and hospital coverage for employees and their families at a flat annual fee. People covered by an HMO have unlimited access to medical services because the HMO is designed to encourage preventive health care to reduce ultimate costs. HMO members pay a monthly premium, plus a small co-payment of deductible.

Some HMOs' annual flat fee per member acts as a monetary disincentive to the HMO's particularly doctors who might otherwise be tempted to give patients unnecessary medical tests or causally refer them to expensive medical specialists.

HMOs have two major advantages. First, for a fixed fee, people covered by the HMO receive most of their medical service (including preventive care) without incurring coinsurance or deductibles or having to fill out coinsurance or deductibles or having to fill out claims forms. Second, HMOs encourage preventive health care and healthier lifestyle.

The major disadvantage, from the employee's viewpoint, is that they must use physicians employed or approved by the HMO, and these may or may not be the doctors of their choice. In addition some consumer groups have citizen HMOs for skimping on patient care to save money on medical costs.

In the case of serious illnesses, the specialists consulted must also belong to the HMO, even if there are doctors in the area with better reputations and stronger qualifications. The HMO, may service a limited geographic area which may restrict who can join the plan.

C. Preferred Provider Organizations (PPOs): A PPO is a health care plan based on agreements between doctors, hospital, and other related medical service facilities with an employer or an insurance company to provide a board set of medical service at a discounted or attractive price per participant. They provide service for a fixed fee. The fee is lower than that which doctors and hospitals normally charge their customers for the bundle of service and the monthly premium is lower than that charged by a traditional plan for the same service. In return for charging a lower fee, the doctors and hospitals that join the PPO network expect to receive a larger volume of patients. Members of the PPO can use it for preventive health care (such as checkups) without paying a doctor's usual fee for the service. PPOs collect information on the utilization of their health service, so that the employers can periodically improve the plan's design and reduce costs.

A precise definition of PPO is difficult to give, but most include a select panel of providers, an emphasis on cost efficiency, marketing to purchasers rather than users, and some flexibility in choice of providers together with financial incentives to use selected providers.

PPOs, like HMOs must provide cost efficient health care and emphasize cost containment in order to compete. PPOs combine some of the best features of HMOs (managed health care and a wide array of medical services for a fixed fee) with the flexibility of the traditional health insurance plan. They include provisions that allow their members to go outside the PPO network and use non-PPO doctors and medical facilities unlike HMOs. People who select non-PPO doctors and hospitals pay additional fees in the form of deductibles and co-payments determined by the PPO. Because PPOs have few of the disadvantages of traditional health insurance plans or HMOs, they are expected to continue growing rapidly.

Check point

- ✓ *Discuss the important features of traditional health insurance, and the merits and demerits of this plan.*
 - ✓ *What is preferred provider organization/PPO/.*
-

D. Employee Payment of Deductible: The deductible system requires that the employee pay an initial fee for each office or hospital procedure. Most major medical insurance policies have both an annual deductible and a coinsurance clause. Suppose that an insurance policy has an 80% coinsurance clause. After applying any deductibles that may be applicable, the insurance company will pay 80% of the claim and the patient will be responsible for the difference. Because the patient pays 20% of the claim, this amount is called a 20% co-payment. In effect, requiring employees to pay a deductible helps to reduce costs and claims for minor illnesses. Of course, it discourages employees from obtaining preventive treatment and early diagnosis of illness because the deductible must first be established. The following example illustrates this concept.

E. Self-funded Insurance: Self-funded plans are funded by the employee, not an insurance company. In this instance, the employer sets aside a certain amount of money to pay claims during the year. In addition, a contract often is written with a health insurance company to cover claims over the amount set aside and to administer the claims payments process. Self-funded insurance can

cut costs in several ways. First, the employer earns interest on the money set aside for claims, provided it is invested. Second by paying such a huge deductible (for example, 500,000 birr), the actual policy with the insurance carrier can be very low. Third, the agent (the carrier) is eliminated on the bulk of the claims. Self-insurance has become very popular as a cost cutting strategy. For it to work, an employer should have at least 100 or more employees over which to spread the costs.

F. Wellness/Fitness Programs: Many companies are becoming more aggressive in preventive actions to cut health care costs. A wellness program assesses employees' risk of serious illness (for example, heart disease or cancer) and then teaches them how to reduce that risk by changing some of their habits (such as diet, exercise, and avoidance of harmful substances such as alcohol, tobacco, and caffeine).

More and more companies and communities have no smoking policies in the workplace and encourage employees through contents and awards to give up smoking. Some employ health and fitness experts to advise executives and managers. Many firms sponsor employee athletic teams and tournaments in softball, basketball, etc.

Other sponsor weight loss programs while others demand it. Some firms are even paying employees to get healthy. Other follows the reverse approach by fining employees who do not have a healthy lifestyle.

G. Coordinate Health Insurance: Coordinate health insurance plans for families with two working spouses. Human resource staff can encourage spouses who have duplicate coverage under two different insurance plans to establish a cost sharing arrangement.

H. Other Techniques: To reduce the cost of prescription drugs, companies are looking at new ways to deal with pharmacies. Some options include joining discount mail-order drug plans, requiring that prescription be filled using generic drugs when they are available, and negotiating with local pharmacies to lower price on drug. Some firms are even toying with the idea of an in-company pharmacy. Another in company trend is employers providing medical care for workers at job locations or in company run clinics to lower health care costs and reduce employee downtime due to visits to doctor's offices.

Check point

- ✓ Explain the responsible party for paying for self-funded insurance
 - ✓ According to some studies, many companies are becoming more aggressive in preventive actions to cut health care costs, describe at least two methods that companies consider in such actions
 - ✓ Explain the insurance plan for two working spouses
-

II. Life Insurance

Life insurance is a benefit commonly available from organizations. When provide for all employees, it is called group life insurance. Group life insurance is one of the oldest and most widely available employee benefits. Commercial Code Article 691 defines life insurance as follow:

“A life insurance is a contract whereby the insurer undertakes against the payment of one or more premiums to pay to the subscriber or to the beneficiary a specified sum of certain conditions dependent upon the life or death of the subscriber or a third party insured”

The insuring organization collect contributions from each member, invests these contribution, guarantees both their safety and a minimum interest, and distributes benefits to the estates of the members who die.

Life insurance benefits are the traditional means of providing financial support for survivors following on employee's death. This insurance usually provides lump-sum benefits to the designated beneficiary. Most plans include coverage for retirees and dependents of employees. Many also allow employees to increase the value of the policy at attractive group rates. In the majority of plans, the employer pays the whole premium for the employee.

III. Accident and Disability Insurance

In addition to health, life and dental insurance, many organizations provide some form of accident or disability insurance or both. Disability insurance is designed to protect the employee who experiences a long term or permanent disability. Normally, a one-to-six month waiting period is

required following the disability before the employee becomes eligible for benefits. As with accidents insurance, disability insurance benefits are usually calculated as a percentage of salary. According to Federal Civil Servants (No. 515/2007), and Labour Proclamation (377/2003), a temporary worker who has sustained permanent total disability shall be entitled to compensation amounting to *five times* of his annual salary, but in the case of permanent civil servant, who has sustained permanent total or partial disability, due to employment injury shall be entitled to benefits provided for in the relevant pension law. Any payment to be made for accident and disability is exempted from taxation and may not be attached; deducted by way of set off or assigned by the beneficiary; also indicated in the same proclamation.

III. Education and Training Benefits

Training and education refer to the teaching or learning activities carried on for the primary purpose of helping members of an organization to acquire and apply the knowledge, skills abilities and attitudes needed by that organization. Broadly speaking, training is the act of increasing the knowledge and skills of an employee for doing a particular job. Many organizations support off-the-job general education for their employees. Training and educational benefits which include:

- sponsorship for off duty courses,
- educational leave,
- tuition fee,
- refunds and scholarship,
- setting up of schools,
- hostels,
- providing grants - aid to the other schools where a considerable number of students are from the children of employees, and
- Provision of reading rooms and libraries for the benefits of employees etc.

IV. Employee Paid Leaves

Paid leave means payment for time not worked. It provides breaks from regularly scheduled work hours so that employees can pursue leisure activities or take care of personnel or civic duties. Paid leave is one of the most expensive benefits for the employer.

Classification of Paid Leaves

Benefits of paid leaves includes: Sick leave with pay, vacation pay, paid rest and relief time, paid lunch periods, grievance time, bargaining time, travel time, pay for religious holidays, pay for the time spent in offering evidence in a court of law or other statutory bodies; and payment for the time spent on casting one's vote at election time. Below are the main categories of paid leaves.

Annual Leave (Paid Vacations): Employers provide paid vacation to give their employees time away from stresses and strains of the daily work routine. Vacation time allows employees to recharge themselves psychologically and emotionally and can lead to improved job performance. The purpose of annual leave is to enable an employee get rest and resume work with renewed strength.

Normally, an employee must meet a certain length-of- service requirement before becoming eligible for a paid vacation. Also, the time allowed in paid vacations generally depends on the employee's length of service. Unlike holiday policies that usually affect everyone in the same manner, vacation policies may differ among categories of employees. According to the Federal Civil Servants Proclamation No. 515/2007, Article 37, specifies that a civil servant shall be entitled to annual leave of 20 working days for his first year of service and additional leave of one working day for every additional year of service; provided however, that the duration of annual leave shall not exceed 30 working days. In the same manner, Article 77 of the Labour Proclamation No. 377/2003 indicate that a worker shall be entitled to uninterrupted annual leave with pay which shall in no case be less than fourteen (14) working days for the first one year of service and plus one working day for every additional year of service. Federal Civil Servants Proclamation (No. 515/2007) state that annual leave shall be granted with in the budget year in accordance with a leave made known to the civil servant and prepared on the basis of due consideration of the interest of the government office and as much as possible, the preference of each civil servant. However, the office may authorize the postponement of annual leave for two budget years where the government office, due to compelling reasons, is unable to grant a civil servant his annual leave within the same budget year; provided that the accumulated leave shall be granted to the civil servant in the third budget year.

There shall be no payment in lieu of annual leave, provided; however that payment may be made for unused annual leave due to termination of appointment.

Sick leave: Sick leave provides full pay for each day that an employee experiences a short-term illness or disability that interferes with his or her ability to perform the job.

According to Proclamation No. 515/2007, Article 42, any civil servant shall be entitled to sick leave where he is unable to work due to sickness and the duration of sick leave to be granted to a permanent civil servant shall not exceed eight months in a year or twelve months in four years, whether counted consecutively or separately starting from the first day of his sickness and with full pay for the first three months, with half pay for the next three months and without pay for the last two months.

A physician's written excuse is often necessary in order to be eligible for pay and to return to work if the illness is longer than three consecutive days or for more than six days within a budget year.

According to Proclamation No. 377/2003, Article 85, a worker shall be entitled to sick leave when he or she is incapable of work owing to sickness other than resulting from employment injury and the leave shall not be more than six months counted consecutively or separately in the course of any twelve months period starting from the first day of his sickness. Payment for such leave shall be granted in the following manner:

- 1) The first one month with 100% of his wage;
- 2) The next two month with 50% of his wage;
- 3) The next three months without pay

A liberal sick leave policy can cause excessive absenteeism. It may communicate that the company does not value good attendance. A human resource benefits specialist must monitor and control sick leave benefits to prevent employees from using sick leave to take care of personal business or to reward themselves with a mental health day off from work. The human resource department should consider instituting the following guidelines:

- Set up a "wellness pay" incentive programs that monetarily rewards employees who do not use any sick days. Wellness programs may also encourage employees to adopt healthier lifestyles and file for health benefits.

- Establish flexible work hours so that employees can take care of some personal business during the week there by decreasing their need to use sick days for this reason.
- All employees to take one or two personnel days each year. This helps to discourage employees from regarding sick days as time off to which they are entitled even if they do not get sick.

Maternity and Parental Leave: The demand faced by expectant employees and working parents has created pressures to further accommodate childbirth; adoption and child-rearing responsibility for both women and men. The Federal Civil Servant Proclamation (No. 515/2007, Article 41) and Labour Proclamation (377/2003, Article 88) states a pregnant civil servant or employee shall be entitled to a period of 30 consecutive days of maternity leave with pay preceding the presumed date of her confinement and a period of 60 consecutive days of maternity leave after her confinement.

According the federal civil servants proclamation no. 515, 2007, Sub article 6 of Article 41 states that any civil servant shall be entitled a paternity leave with pay for 5 working days at the time of his wife's delivery.

Leave for Personal Matters: As stated in the Federal Civil Servant Proclamation (No. 515/2007, Article 43), any civil servant shall be entitled leave for personal matters such as mourning, wedding, examination and the like for a maximum of seven days within a budget year.

Special Leave with Pay: According to the Federal Civil Servant Proclamation (No. 515/2007, Article 44), any civil servant shall be entitled to special leave with pay where:

- He is summoned by a court, any other competent authority, for the time utilized for the same purpose.
- He participates in the election of government officials, for the duration of the voting.

Sub article 1 of Article 81 of the Ethiopian labour proclamation 377/2003 states that a worker will be entitled to leave with pay for 3 working days when:

- He concludes marriage, or
- His spouse or descendants or ascendants of another relative, whether by affinity or consanguinity upon the second degree dies.

Special Leave without Pay: According to the Federal Civil Servant Proclamation (No. 515/2007, Article 45):

- A civil servant who has completed his probation, upon sufficient ground, applies for a special leave without pay; the head of the government institution may authorize the grant of such leave if it does not adversely affect the interest of the institution.
- A civil servant who has completed his probation period and runs for election shall be entitled to leave without pay during the election campaign and for the duration of the voting.

Sub article 2 of Article 81 of the Ethiopian labour proclamation 377/2003 states a worker shall be entitled to leave without pay for upon 5 consecutive days in the case of exceptional and serious events.

Paid holidays: The typical number of paid holidays has been increasing. Typical paid holidays are New Year's Day, Labour Day, Christmas, Good Friday, Mauled, Id Al Adaha (Arafa), etc. Proclamation No. 515/2007 and 377/2003 specify that any civil servant or employee shall incur no reduction in his regular pay of occupant of having not worked on a public holiday or on a day offices are closed by the order of the government.

Check point

- ✓ *Define life insurance as stated in the commercial Code Article 691*
 - ✓ *Explain the waiting periods/months that are required following the disability before the employee becomes eligible for benefits.*
 - ✓ *Many organizations support off-the-job general education for their employees. Discuss this benefits which are commonly used by managers.*
 - ✓ *Describe the main categories of paid leaves which are commonly arranged by companies in Ethiopia*
-

V. Service Related Employee Benefits

In addition to the above-discussed benefits, organizations also provide a wide range of services that employees find desirable. These services are usually provided by the organization at no cost to the employee or at a significant reduction from what might have to be paid without the organization

support. These events can have a major impact on the personnel representatives' reputation. And planning and scheduling these events requires much more time and effort than other organizational members appreciate.

Types of Service Related Employee Benefits

Employee service is something of a catchall category of voluntary benefits, including all other benefits or services provided by employers. These are such varied programs as housing service, transportation service, cafeterias service, free parking lots, ability to purchase company products at a discount, personal and financial counselling, legal advice, employee assistance programs, and sports and recreation service. The extent and attractiveness of these benefits vary considerably among organization. For example, purchase discounts would be especially attractive to employees of retail or an airline. Below, some of the most common types of employee related services are discussed below.

Housing service: Because of real estate prices skyrocketed, the idea of employers assisting employees in obtaining affordable housing is gaining favour. Housing services including company owned housing project and subsidized housing. Of all the requirements of the workers, decent and cheap housing accommodation is of great significance. The problem of housing is one of the main causes for fatigue and worry among employees and this comes in the way of discharging their duties effectively. Scarce affordable housing causes labour shortages, diminished productivity, unacceptable recruitment levels, reiterations and wage-cost distortions, and stagnant corporate real estate values. As a result, some corporations are experimenting with a variety of employer-assisted housing schemes:

1. Reducing the down-payment barrier
2. Assisting in post purchase carrying costs, and
3. Participating in programs to produce new or substantially rehabilitated housing units.

In case of organizations that are located very far from towns where housing facilities are not available, most of the organizations built quarters nearer to factory and provided cheap and decent housing facilities to their employees, while few organizations provide and/or arrange for housing loans to employees and encourage them to construct houses.

Transportation service: including parking lots and bus service. Company provide conveyance facilities to their employees from the place of their residence to the place of work at most of the industries are located outside town and all employees may not get quarter facility

Cafeteria/canteen services: One of the recent developments in this field has been the formulation of the cafeteria compensation concept depending on their age, their educational and income levels, their life style and other forms of preference, different categories of employees need and demand different combinations of benefits and services. Because of the variety of options in the benefits area, many employers have shifted to or are considering “cafeteria plan”. Cafeteria plans allow employees to pick and choose from a variety of benefits options much as a person chooses food at a cafeteria. Cafeterias plans are also called *flexible plans*. Among the benefits and service that are most commonly offered are life insurance, health insurance, pension, protective clothing and equipment, rest periods and vacation. Some benefits, such as holidays, vacation and pension enable employees to meet their self-actualization needs; they make it possible for them to be away from their job, participate in other activities and share in other experience even while they continue to receive their wages or salaries.

For example, a young, single-parent mother may place greater value on child care, health care, and similar benefits than a 55 year old make who may be more interested in retirement benefits, long term health care and in retirement benefits, long term health care, and life insurance. A typical young man generally desires to have direct wages and educational assistance, while some other employee may want to buy extra vacation days; even others would like to trade the ones they have in for cash. Cafeteria plans allow for such switches.

The cafeteria compensation concept generally involves the idea that each employee ought to design and tailor his own indirect compensation program by personally picking and choosing the benefits and service he would desire to have from among the many such benefits and service provided by his company. It may be pointed out here that no company provides all these benefits and service. Those that are provided are determined by the needs of the employees and the preferences of a company. Choice and decision generally depend upon the discretion of each individual employee and not on a management fiat or a centralized collective bargaining agreement. Flexible plans might be of interest to organizations for several reasons:

1. Employee benefits are a very significant component of overall compensation
2. Flexible benefits can allow employers to limit their contributions without alienating employees, since options give employee some control over the distribution of benefit
3. Life-style has changed in the past several years, causing employee to re-evaluate the need for certain traditional benefits.
4. Benefits can be useful in recruiting and retaining employees. However, when a mandatory benefits package is largely unresponsive to a prospective employee's needs or to the retention of present employees, the organization is wasting money
5. The high cost of benefits is causing organization to try to communicate effectively the real cost of the employee. By making specific benefits choices, the employee become intimately familiar with the costs associated with each benefits and
6. A flexible plan can have a positive impact on employee attitudes and behaviour.

The major problems with flexible plans are:

- a flexible plan requires more effort to administer,
- Union often oppose flexible plans because the employees are required to give up control over the program details or face losing some of their previously negotiated benefit improvements, and
- employees may not choose those benefits that are in their own best interests

Sports and Recreation Services: Including athletics, beauty parlours, social clubs, recreational areas, orchestras, entertainment programs, parties, picnics, libraries and reading rooms, community service activities, new Year gifts, Christmas gifts, birthday gifts, productivity /performance awards, etc. Companies provide these facilities with a view to inculcating a sense of association, belongingness, openness and freedom among employees. These activities help employees to understand others better.

Eating Facilities: Eating facilities that include the provision of company restaurants, cafeterias, canteens, lunchrooms, vending machines, and fully or partially subsidized food

Legal aid and Employee Counselling: organization provide assistance or aid regarding legal matters to employees as when necessary through company lawyers or other lawyers. Widespread

need exists for legal counselling in such areas as divorce, real estate, traffic violation, wills, taxes and so fourth. Some community-based legal services have been offered in populated areas but are usually limited to those individuals with very low-income levels; consequently, many employees are not eligible for them. In addition to this, organizations also providing counselling service to the employee regarding their personal problems through professional counsellors. Employee counselling reduces absenteeism, turnover, tardiness etc.

Check point

- ✓ *In addition to the main benefits, organizations also provide a wide range of services that employees find desirable. These services are usually provided by the organization at no cost to the employee or at a significant reduction from what might have to be paid without the organization support. Please discuss the major types of such benefits*
 - ✓ *What are the characteristics of cafeteria/canteen service? Discuss the especial advantages that employees can secured through this service*
-

Other Employee Benefit

The last category of employee benefits is other employee benefits, which include other than those already discussed in the previous tasks. These benefits usually provided as a package of items, for example loan benefits, disablements benefits, dependant benefits, funeral benefits, pension or provident fund and the like. Generally, benefits are offered on a take-it-or-leave-it basis with the exception of pension schemes in which participation is usually compulsory. In addition to normal wages, an employee, whether he is a worker in a factory or a clerk or a manager, expects in good organizations to get extra benefits including the following:

Loan benefits (Credit Societies): The objective of setting up of these societies is to encourage thrift and provide loan facilities at reasonable terms and conditions, primarily to employees. Some organizations encourage employees to form cooperative credit societies with a view to fosterling self-help rather than depending upon money leaders, whereas some organizations provide loans to employees directly. Some firms offer purchase discounts to employees in the form of buying clubs or employee discounts on company merchandise.

Non-financial Benefits: The use of a company car, company expense accounts, club memberships, helping buying and selling a home, and the use of company owned result condominiums are examples of perks available to managers, executives, and some employees. Also, financial planning and counselling, including tax preparation advices, are often offered to managers and executives.

Disablement Benefits: These benefits come under the Proclamation No.377/2003 and 515/2007 the only condition of payment of disablement is that disablement or death must be due to, or in the course of employment. Disablement benefits are two kinds- permanent total disablement and below permanent total disablement. The rate of payment varies according to the seriousness of the disablement. In permanent total disablement the benefit is paid a sum equal to five times his annual wages. Where the injury sustained by the worker is below permanent total disablement a sum proportionate to the degree of disablement is calculated.

Dependents Benefits: This also comes under the Labour proclamation 377/2003. If a worker dies as a result of an employment injury, the dependents get dependent compensation for workers not covered by the public servant pension law a sum equal to five times the annual salary of the deceased in the following manner:

- a) 50% (fifty percent) for the deceased worker's lawful husband or wife;
- b) 10% (ten percent) each for the deceased worker's children who are below the age to eighteen years old;
- c) 10% (ten percent) each for the deceased worker's parents who were being supported by him.

Funeral Benefits: In addition to dependant benefits Article 110 of Labour Proclamation state funeral benefits for dependents. Payment for funeral expense shall be not less than two-month wage of the worker subject to the provision of the collective agreement or work rule.

Product or Service Benefits: Such as company-operated stores and discounts on company product or services even free of charge. Most of the large organizations located far from the towns and which provide housing facilities near the employees' colonies and supply all the necessary goods or service at fair (discount) prices.

Child-Care Facilities: Some companies have recently instituted corporate child-care centres for employees' preschool children during the workweek, including nurseries and day care centres for

children. Corporate child/day care centres have had mixed results, having one may help recruit employees who have younger children and it may reduce absenteeism. However, use of the day care centre may be limited if its location is inconvenient. There is some evidence to suggest that middle level employees have little interest in this service.

Retirement Benefits: Industrial life generally breaks joint family system. The saving capacity of the employees is very low due to level wage, high living cost and increasing aspirations of the employees and his family members. As such employers provide some benefits to the employees after retirement and during old age, with a view to create a feeling of security about the old age to create a feeling of security about the old age. Pension and provident fund benefits are called *retirement benefits*.

Pensions: A pension represents a fixed payment, made regularly to a former employee or his surviving dependents, provided an employee has fulfilled specific conditions of employments for a specific length of time. Pension plans are considered for long service and are not incentives to work more efficiently or effectively unless the premium is tied to a stock option plan.

Funding of Pensions: *Funds* for paying pension benefits are acquired in two basic ways:

1. An unfunded plan pays pensions out of current income generated by the organization.
2. A funded plan plays benefits out of money set aside and invented specifically to pay pension benefits; this is the more popular method because a specific fund is set aside to pay benefits.

Insurance for Pensions: Insured pensions are administered through an insurance company that guarantees payment of the benefits. Uninsured pensions are administered by the employer and considered to be less stable and sound than insured pensions. However some insured pensions are not too safe

Contributions: A non-contribution pension is one in which all of the funds for the pensions are paid by the employer. In a contributory pension, both the employee and the employer fund the pension according to Article 4 of Public Civil Servants Pensions Proclamation No. 345/2003, the amount of the contribution payable to civil service fund, base on the salary of public servant by the employer six percent (6%) and by the public servant four percent (4%) and for military and policy

fund service contributions by the employer sixteen percent (16%) and by the public servant four percent (4%). Article 13 of the proclamation states as: “a public servant who has completed at least ten years of service and retires upon attaining retirement age shall receive retirement pension for life”. Regarding to the amount of retirement pension, Article 14 specifies that the retirement pension due to any civil servant shall amount to thirty percent (30%) of the average salary for the last three years preceding retirement, increased for each year of service beyond ten (10) years for a public servant by one point one two five percent (1.125%) and for a member of defence force or police by one point five percent (1.5%). However, the retirement pension to be paid shall not exceed seventy percent (70%) of the indicated the average salary.

Pension Benefits: Retirement plans come in two main types; *defined contribution* and *defined benefits plans*. A defined contribution plan is one in which the contribution rate paid by the employee is fixed and retirement benefits vary. Profit sharing, employee stock ownership plans and thrifts plan are defined contribution plans. In a defined benefit plan, the benefits paid to employees are set as are the methods used to determine them. This allows the use of statistics to determine the employer contribution. Because a defined benefit plan provides a greater assurance of benefits and predictability of benefit available at retirement, older employee generally prefer this type of plan. Many small companies are switching to defined contribution plans simply because they are cheap than defined benefit plans.

In a portable pension plan, employees can move their pension benefits from one employer to another without losing benefits. **Reimbursement of contribution:** Vesting is the right to receive benefits from a retirement plan. A person becomes vested after working and contributing for a period time. According to Article 21 of Proclamation No. 345/2003 a public servant who separates from work due to resignation prior to completing ten (10) years service shall be entitled to no benefit. If the employee leaves prior to the vesting requirement, the only funds the employee receives upon employment termination are the funds the employee has contributed. In the case of when a public servant who separates from work due to *resignation* after completing ten (10) years, but prior to completing twenty (20) years of service, the only funds the employee receives are the funds he or she has contributed. Once vested or has completed at least ten (10) years of service and retires upon attaining retirement age, however, pension rights are retained and both employee and employer funds are received.

Provident Fund: This benefit is meant for economic welfare of the employee. The most appropriate course seemed to be to provide for compulsory contributory provident funds where both the employer and the employee are required to contribute. Such a scheme would instil in the worker or employee the spirit of regular saving. In the light of such considerations particularly to mitigate hardship caused to the employee a retirement. Provident fund program provides for monetary assistance to the employees and/or their dependents during post retirement life. Thus, this facility provides security against social risks and this benefit enable employees in large private organization and non- government organization. Generally the organizations pay the provident fund amount with interest to the employee on retirement or to the dependents of employee in case of death.

Gratuity: This is another type of retirement benefits to be provided to an employee either on retirement or at the time of physical disability and to be dependents of the deceased employee. Gratuity is a reward to an employer for his long service with his present employer. According to proclamation No. 345/2003, article 15, gratuity is payable to employee who has not completed ten (10) years of service and retires as attaining retirement age. The amount of gratuity for a public servant is the salary of the month preceding retirement multiplied by the number of years of service and for a member of the defence force, or police is the salary of one and one-half month preceding retirement multiplied by the number of years of service. Any gratuity is affected in lump sum at once.

Check point

- ✓ *What kind of impact you expect from designing child care service for Ethiopian organizations*
 - ✓ *Explain the concept of gratuity based on the Ethiopia labour proclamation No. 345/2003, article 15.*
 - ✓ *Discuss where provident fund is applicable here in Ethiopia and why*
 - ✓ *A non-contribution pension is one in which all of the funds for the pensions are paid by the employer. In addition to this, according to Article 4 of Public Civil Servants Pensions Proclamation No. 345/2003, firms can consider contribution pension programs: please explain the characteristics of this system*
-

Summary

“What’s in it for me?” Nearly every individual consciously or unconsciously asks this question before engaging in any behavior. Our knowledge of motivation and people’s behavior at work tells us that people do what they do to satisfy needs. Before they do anything, they look for a payoff or reward.

A good compensation is must for every business organization and it positively related with organizational productivity as well as individual satisfaction. In modern businesses, the tendency for arranging different benefit plans for organizational workers has come increasing in order to attract, retain & motivate them.

Both internal as well as external factors affect compensation policy & practice of a given organization. The major external factors that influence wage rates include labor market conditions, area wage rates, cost of living, legal requirements, and collective bargaining if the employer is unionized. On the other hand, the major internal factors that influence wage rates include labor market conditions, area wage rates, cost of living, legal requirements, and collective bargaining if the employer is unionized.

Employee compensation can be classified as;

- intrinsic versus extrinsic rewards,
- financial versus nonfinancial rewards, and
- Performance-based versus membership-based rewards.

Financial compensation can be direct or indirect. Wage salary is the two basic component of direct compensation. Approaches to the determination of wage and salary are; the time rate system of calculating wage, the Piece-Rate System of Calculating Wage, Payment by Result System (PBR).

Indirect Compensation Indirect compensation includes benefits and services. It can be defined as all employer provided reward and service other than wage and salaries. The following are types of employee benefits and services:

1. Medical and safety benefits
2. Education and training benefits
3. Payment for time not worked
4. Employee service related benefits
5. Other employee benefits
 - a. Loan benefits
 - b. Pension or provident fund
 - c. Employee allowance
 - d. Funeral benefits
 - e. Dependant benefits and other

Self-check Questions 7

PART I:- Multiple choose

1. _____ is one of external factor which affects organizations compensation package and it is emphasized on how much other employers paid for comparable jobs within the area.
 - A. Labor market condition
 - B. Area wage rate
 - C. Cost of living
 - D. Collective bargaining
2. Among the following statements, which one is false?
 - A. An intrinsic rewards are tangible in its nature
 - B. Extrinsic rewards are intangible.
 - C. Salary is used to refer to the amount of money paid constantly irrespective of production output.
 - D. Wage is amount of payment based up on level of out put
 - E. “A” & “B”
 - F. “A” & “C”
3. Which one of the following is not among employee benefits and service?
 - A. Basic monthly salary
 - B. Payment for time not worked
 - C. Medical and safety benefits
 - D. Education and training benefits
 - E. None of the above
4. “Cafeteria benefits” are given that name because:
 - A. They refer to subsidized meals provided by employers. .
 - B. They are generally inferior to standard benefits.
 - C. They allow employees to choose their benefits rather than having a “fixed menu”.
 - D. They are available only for a limited period, and are cut off during the last few years before retirement age.
 - E. They give workers the entire responsibility for choosing benefits without any help or guidance from the employer.
5. A good compensation policy and package helps to;
 - A. Give proper return to the workers for their contributions to the organization.
 - B. Minimizes the labour dissatisfaction & volunteer turnover.

- C. Create harmonious industrial relation
 - D. All of the above
 - E. None of the above
6. _____ is used to describe the cash received in the form of base salary, overtime pay, bonuses, and sales commissions.
- A. An intrinsic reward
 - B. Direct compensation
 - C. All extrinsic rewards
 - D. Indirect compensation
7. All are none financial rewards except;
- A. Preferred office furniture
 - B. Preferred work assignment
 - C. Sales commission
 - D. Impressive title
 - E. None of the above

PRAT II:- Short answer

8. List & explain at least three external factors which affect compensation practice

9. What is the difference between wage & salary?

10. Define what we mean paid leave & list at least three paid leaves.

CHAPTER EIGHT

INDUSTRIAL RELATION

Learning objectives

At the end of the lesson you will be able to:

- ☞ Define industrial relation
- ☞ Explain the importance industrial relation
- ☞ Identify principles of good industrial relation
- ☞ Explain the meaning of trade union the reason why employees join trade union
- ☞ Elucidate the functions of trade union and the unionization process
- ☞ Define collective bargaining and classify bargaining issues
- ☞ Describe the process of collective bargaining
- ☞ Define the term grievance
- ☞ Rationalize methods of identifying and handling grievance
- ☞ Explain principles of grievance handling
- ☞ Define the term discipline and its objectives
- ☞ Understand causes of indiscipline in organization
- ☞ Explain approaches to discipline

Industrial relations were simple, direct and personal. This situation underwent a marked change with the advent of industrial revolution – size of the business increased needing investment of enormous financial and human resources, there emerged a new class of professional managers causing divorce between ownership and management, and relations between the employer and the employee became estranged and gradually antagonistic. This new set-up rendered the old philosophy of industrial relation irrelevant and gave rise to complex, indirect, and impersonal industrial relations.

Today's labor is no more an unorganized mass of ignorant workers ready to obey without resentment or protest the arbitrary and discretionary dictates of management. The management has to deal with employees' today not as individuals but also as members of organized social groups who are very much conscious about their rights and have substantial bargaining strength. Hence, the objective of evolving and maintaining sound industrial relations is not only to find our ways and means to solve conflicts to resolve differences but also to secure the cooperation among the employees in the conduct of industry.

8.1.1. Definition

In the broad sense, industrial relations cover all such relationships that, a business enterprise maintains with various sections of the society such as workers, state, customers and public who come into its contact. In the narrow sense, it refers to all types of relationships between employer and employees, trade union and management, workers and union and between workers and workers. It also includes all sorts of relationships at both formal and informal levels in the organization.

The term ‘industrial relations’ is used in a general sense to describe the formal relationships between employers and trade unions or other collective groupings of employees, together with the institutional arrangements that arise from these relationships.

Industrial relation is a complex interrelation among managers, workers and agencies of the governments”. According to Dale Yoder “industrial relations is the process of management dealing with one or more unions with a view to negotiate and subsequently administer collective bargaining agreement or labor contract”.

Industrial relation is ‘the study of all aspects of job regulation – the making and administering of the rules which regulate employment relationships – regardless of whether these are seen as being formal or informal, structured or unstructured’.

8.1.2. Importance of Industrial Relations

Maintenance of harmonious industrial relation is one vital importance for the survival and growth of enterprise. Good industrial relation results in increased efficiency and hence prosperity, reduced turnover and other tangible benefits to the organization. The significance of industrial relations can be summarized as below:

1. ***It establishes industrial democracy:*** Industrial relations means settling employees’ problems through collective bargaining, mutual cooperation and mutual agreement amongst the parties i.e., management and employees’ unions. This helps in establishing industrial democracy in the organization which motivates them to contribute their best to the growth and prosperity of the organization.
2. ***It contributes to economic growth and development:*** Good industrial relations lead to increased efficiency and hence higher productivity and income
3. ***It improves morale of the work force:*** Good industrial relations motivate one to contribute one’s best, result in higher productivity and hence income, give more job satisfaction and help improve the morale of the workers.

4. ***It ensures optimum use of scarce resources:*** Good and harmonious industrial relations create a sense of belongingness and group-cohesiveness among workers, and also a congenial environment resulting in less industrial unrest, grievances and disputes. This will ensure optimum use of resources, both human and materials, eliminating all types of wastage.
5. ***It discourages unfair practices on the part of both management and unions:*** Industrial relations involve setting up a mechanism to solve problems confronted by management and employees through mutual agreement to which both these parties are bound. This results in banning of the unfair practices being used by employers or trade unions.
6. ***It prompts enactment of sound labor legislation:*** Industrial relations necessitate passing of certain labor laws to protect and promote the welfare of labor and safeguard interests of all the parties against unfair means or practices.
7. ***It facilitates change:*** Good industrial relations help in improvement of cooperation, team work, performance and productivity and hence in taking full advantages of modern inventions, innovations and other scientific and technological advances. It helps the work force to adjust themselves to change easily and quickly.

8.1.3. Principle of Good Industrial Relations

- The willingness and ability of management and trade unions to deal with the problems freely, independently and with responsibility.
- Recognition of collective bargaining.
- Desirability of associations of workers and managements with the Government while formulating and implementing policies relating to general economic and social measures affecting industrial relations.
- Fair redressal of employee grievances by the management
- Providing satisfactory working conditions and payment of fair wage.
- Introducing a suitable system of employees' education and training.
- Developing proper communication system between management and employees.
- To ensure better working conditions, living conditions and reasonable wages.
- To develop employees to adapt themselves for technological, social and economic changes.
- To make positive contributions for the economic development of the country.

8.2. Trade unions

Trade unions have a crucial role to play in maintaining smooth industrial relations. It is true that the unions have to protect and safeguard the interests of the workers through collective bargaining. But at the same time they have equal responsibility to see that, the organization do not suffer on account of their direct actions such as strikes, even for trivial reasons. They must be able to understand and appreciate the problems of managements and must adopt a policy of 'give and take' while bargaining with the managements. Trade unions must understand that both management and workers depend on each other and any sort of problem on either side will do harm to both sides. Besides public are also affected, particularly when the institutions involved are public utility organizations.

Trade union is a continuous association of wage-earners or salaried employees for maintaining the conditions of their working lives and ensuring them a better and healthier status in industry as well as in the society”

*A **union** is an organization of workers, acting collectively, seeking to promote and protect its mutual interests through collective bargaining.*

For many managers, HRM practices in a unionized organization consists various procedures and policies laid out in the labor contract. This labor contract, agreed to by both management and the labor union, stipulates, in part, the wage rate, hours of work, and terms and conditions of employment for those covered by the negotiated agreement. Decisions about how to select and compensate employees, employee benefits offered, procedures for overtime and so forth are no longer unilateral prerogatives of management for jobs that fall under the unions' jurisdiction. Such decisions are generally made when the labor contract is negotiated.

8.2.1. Why Employees Join Unions

Individuals join unions for reasons as diverse as the people themselves. Just what are they seeking to gain when they join a union? The answer to this question varies perhaps it is a family history of union membership or an attractive union contract but the following captures the most common reasons.

Higher Wages and Benefits- The power and strength of numbers sometimes help unions obtain higher wages and benefit packages for their members than employees can negotiate individually. One or two employees walking off the job over a wage dispute is unlikely to significantly affect most businesses, but hundreds of workers going out on strike can temporarily disrupt or even close down a company. Additionally, professional bargainers employed by the union may negotiate more skillfully than any individual could on his or her own behalf.

- ✓ Greater Job Security- Unions provide their members with a sense of independence from management's power to arbitrarily hire, promote, or fire. The collective-bargaining contract will stipulate rules that apply to all members, thus providing fairer and more uniform treatment.
- ✓ Influence over Work Rules- Where a union exists, workers can help determine the conditions under which they work and have an effective channel through which they can protest conditions they believe are unfair. Therefore, a union not only represents the worker but also provides rules that define channels in which worker complaints and concerns can be registered. Grievance procedures and rights to third-party arbitration of disputes are examples of practices typically defined and regulated as a result of union efforts.
 - ✓ Since the employee, as an individual, feels especially weak, he prefers to join an organization that may afford him an opportunity to join others for the achievement of those objectives that he considers as socially desirable.
 - ✓ The employees may join the unions to ensure a just and fair dealing by management.
 - ✓ Through collective strength, they restrain the management from taking any such action which may be irrational, illogical, discriminatory or contrary to their general interests.
 - ✓ Another reason of employees joining some union may be the broader realization on their part that unions fulfill the important need for adequate machinery for proper maintenance of labor-management relations.
 - ✓ The employees may join the unions because of their feeling that this would enable them to communicate their views, ideas, feelings and frustrations to the management effectively.

Dear learner have you ever been a member of trade union? What were the major functions of the union? _____

8.2.2. Functions of Trade Unions

- ✓ To safeguard workers against all sorts of exploitation by the employers, by union leaders and by political parties.

- ✓ To increase production quantitatively and qualitatively, by laying down the norms or production and ensuring their adequate observance.
- ✓ To help in the maintenance of discipline.
- ✓ To create opportunities for worker's participation in management and to strengthen labor-management cooperation.
- ✓ To exert pressure on the employer to enforce legislative provision beneficial to the workers, to share the profits equitably, and to keep away from various types of unfair labor practices.
- ✓ To facilitate communication with the management.
- ✓ To preserve and strengthen trade union democracy.
- ✓ To train members to assume leadership position.
- ✓ To improve the network of communication between trade union and its members.
- ✓ To create public opinion favorable to government's policies and plans, and to mobilize people's participation for their effective implementation.
- ✓ To create public opinion favorable to trade unions and thereby to raise their status.
- ✓ To render all sorts of constructive cooperation in the formulation and implementation of plans and policies relating to national development.
- ✓ To protect workers from the atrocities and unfair practices of the management.
- ✓ To ensure healthy, safe and conducive working conditions, and adequate conditions of work.
- ✓ To exert pressure for enhancement of rewards associated with the work only after making a realistic assessment of its practical implications.
- ✓ To ensure a desirable standard to living by providing various types of social service – health, housing, educational, recreational, cooperative, etc. and by widening and consolidating the social security measures.
- ✓ To stress the significance of settling disputes through negotiation, joint
- ✓ To make the workers conscious of their rights and duties.

8.2.3. The Unionization Process

The process of unionizing may begin in one of two primary ways: (1) a union targeting an industry or a company, or (2) employees requesting union representation. In the first case, the local or national union identifies a firm or an industry in which it believes unionization can succeed. The logic for targeting is that if the union succeeds in one firm or a portion of the industry, then many other workers in the industry will be more willing to consider unionizing. In the second case, the

impetus for union organizing occurs when individual workers at an employer contact a union and express a desire to unionize. The employees themselves—or the union—may then begin to campaign to win support among the other employees. The unionization process involves the following steps:

Typical Unionization Process



1. **Organizing Campaign**- like other entities seeking members, a union usually mounts an organized campaign to persuade individuals to join. At this time, employers respond to unionization efforts by taking various types of opposing actions. Management representatives may use various tactics to defeat a unionization effort. Such tactics often begin when union publicity appears or during the distribution of authorization cards. Most of the time union prevention efforts that may be conducted by consultants or done by management and outside labor attorneys include: Holding mandatory employee meetings, distributing antiunion leaflets at work and mailing antiunion

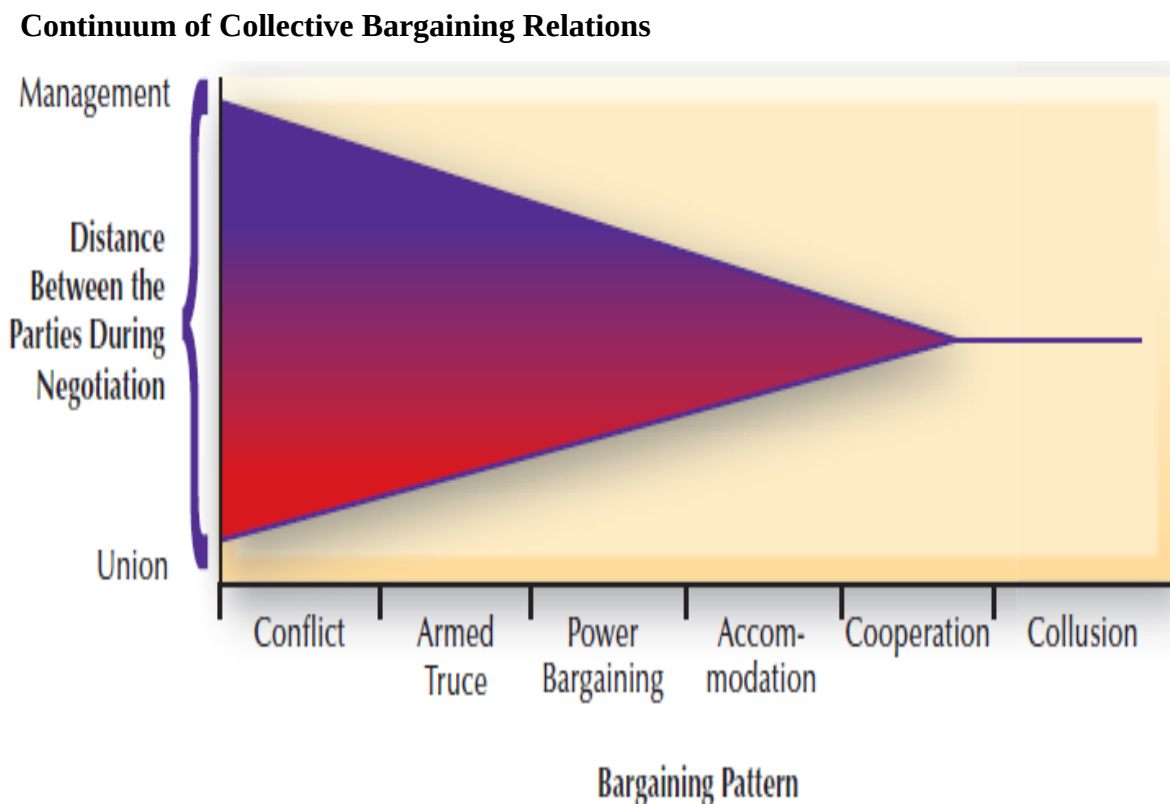
letters to employees' homes, providing and using antiunion videos, e-mails, and other electronic communications.

2. **Authorization Cards:** A union authorization card is signed by employees to designate a union as their collective bargaining agent. At least 30% of the employees in the targeted group must sign authorization cards before an election can be called. However, the fact that an employee signs an authorization card does not necessarily mean that the employee is in favor of a union. It means only that the employee would like the opportunity to vote on having a union. Employees who do not want a union might sign authorization cards because they want management to know they are disgruntled or because they want to avoid upsetting coworkers who are advocating unionization.
3. **Representation Election:** An election to determine if a union will represent the employees is must be organized and supervised by the concerned labor relation board for private-sector organizations and by other legal bodies for public-sector organizations. Before any election, the appropriate bargaining unit must be determined. A bargaining unit is composed of all employees eligible to select a single union to represent and bargain collectively for them. If an election is held, the union needs to receive only a majority of the votes. For example, if a group of 200 employees is the identified bargaining unit, and only 50 people vote, only 26 (50% of those voting plus 1) need to vote yes for the union to be named as the representative of all 200 employees. Typically, the smaller the number of employees in the bargaining unit, the higher the likelihood that the union will win.
4. **Certification and Decertification:** Official certification of a union as the legal representative for designated private-sector employees is given by the labor relation board or for public-sector employees by an equivalent body. Once certified, the union attempts to negotiate a contract with the employer. The employer *must* bargain; refusing to bargain with a certified union constitutes an unfair labor practice. When members no longer wish to be represented by the union, they can use the election process to sever the relationship between themselves and the union. Similar to the unionization process, decertification is a process whereby a union is removed as the representative of a group of employees. Employees attempting to oust a union must obtain decertification authorization cards signed by at least 30% of the employees in the bargaining unit before an election may be called. If a majority of those voting in the election want to remove the union, the decertification effort succeeds. Some reasons that employees might decide to vote out a union are

that the treatment provided by employers has improved, the union has been unable to address the changing needs of the organizational workforce, or the image of the union has declined.

8.2.4. Collective Bargaining

Collective bargaining, the last step in unionization, is the process whereby representatives of management and workers negotiate over wages, hours, and other terms and conditions of employment. This give-and-take process between representatives of the two organizations attempts to establish conditions beneficial to both. It is also a relationship based on relative power. Management/union relations in collective bargaining can follow one of several patterns. The following figure depicts them as a continuum, ranging from conflict to collusion. On the left side of the continuum, management and the union see each other as enemies.



On the right side, the two entities join together in collusion. Most positions fall between these two extremes. The power relationship in collective bargaining involves conflict, and the threat of conflict seems necessary to maintain the relationship. But perhaps the most significant aspect of collective

bargaining is that it is a continuing relationship that does not end immediately after agreement is reached. Instead, it continues for the life of the labor agreement and beyond.

Therefore, the more cooperative management is, the less hostility and conflict with unionized employees will be present to carry over to the workplace. However, this cooperation does not mean that the employer agrees to all union demands.

8.2.5. Collective Bargaining Issues

Collective bargaining is a source of solving the problems of employees in the work situation collectively. It provides a good climate for discussing the problems of workers with their employers. The employees put their demands before the employers and the employers also give certain concession to them. Thus it ensures that the management cannot take unilateral decisions concerning the work ignoring the workers. It also helps the works to achieve reasonable wages, working conditions, working hours, fringe benefits etc. It provides them a collective strength to bargain with the employer. It also provides the employer some control over the employees.

A number of issues can be addressed during collective bargaining. Although not often listed as such in the contract, management rights and union security are two important issues subject to collective bargaining.

- ✓ **Management Rights:** Virtually all labor contracts include management rights, which are rights reserved so that the employer can manage, direct, and control its business. By including such a provision, management attempts to preserve its unilateral right to make changes in areas not identified in a labor contract. A typical provision might read as follows: The employer retains all rights to manage, direct, and control its business in all particulars, except as such rights are expressly and specifically modified by the terms of this or any subsequent agreement.
- ✓ **Union Security:** A major concern of union representatives when bargaining is the negotiation of union security provisions, which are contract clauses to help the union obtain and retain members. One type of union security clause in labor contracts is the no-layoff policy, or job security guarantee. Such a provision is especially important to many union workers because of all the mergers, downsizings, and job reductions taking place in many industrial, textiles, and manufacturing firms. However, for these very reasons, management is often unwilling to consider this type of provision. A common union security provision is the dues check off clause, which provides for the automatic deduction of union dues from the payroll checks of union members.

The dues check off provision makes it much easier for the union to collect its funds, and without it, the union must collect dues by billing each member separately.

8.2.5.1. Classification of Bargaining Issues

The collective bargaining issues are divided into three. These categories are: mandatory, permissive, and illegal issues.

Mandatory Issues: Issues identified specifically by labor laws or court decisions as subject to bargaining are mandatory issues. If either party demands that issues in this category be subject to bargaining, then that must occur. Generally, mandatory issues relate to wages, benefits, nature of jobs, and other work related subjects. Mandatory subjects for bargaining include the following:

- ✓ Discharge of employees
- ✓ Grievances
- ✓ Work schedules
- ✓ Union security and dues check off
- ✓ Retirement and pension coverage
- ✓ Vacations and time off
- ✓ Rest and lunch break rules
- ✓ Safety rules
- ✓ Profit-sharing plans
- ✓ Required physical exam

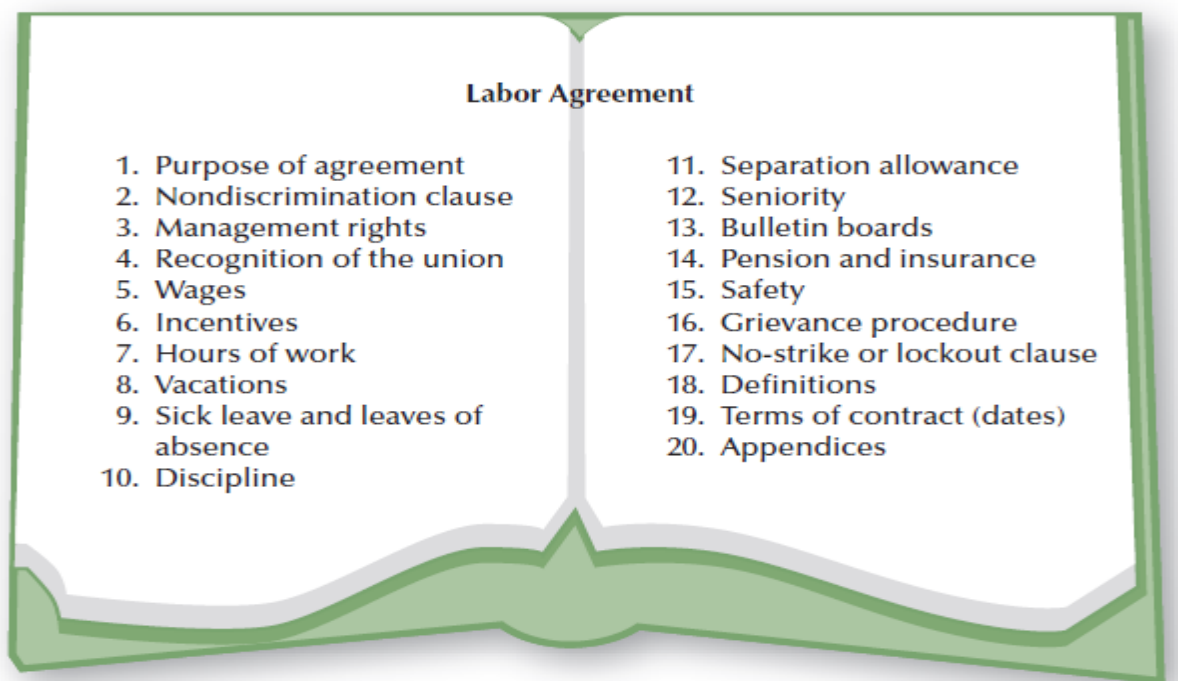
Permissive Issues: Issues that are not mandatory and that relate to certain jobs are permissive issues. For example, the following issues can be bargained over if both parties agree: benefits for retired employees, product prices for employees, and performance bonds.

Illegal Issues: A final category, illegal issues, includes those issues that would require either party to take illegal action. Examples would be giving preference to union members when hiring employees or demanding a closed-shop provision in the contract. If one side wants to bargain over an illegal issue, the other side can refuse.

8.2.6. Collective Bargaining Process

The collective bargaining process involved in negotiating a contract consists of a number of stages: preparation and initial demands, negotiations, settlement or impasse, and strikes and lockouts. Throughout the process, management and labor deal with the terms of their relationship.

- a) **Preparation and Initial Demands:** Both labor and management representatives spend considerable time preparing for negotiations. Employer and industry data concerning wages, benefits, working conditions, management and union rights, productivity, and absenteeism are gathered. If the organization argues that it cannot afford to pay what the union is asking, the employer's financial situation and accompanying data become relevant to the process. However, the union must request such information before the employer is obligated to provide it. Typical bargaining includes initial proposals of expectations by both sides.
- b) **Continuing Negotiations:** After taking initial positions, each side attempts to determine what the other side values highly so that the best bargain can be struck. Management must determine what the union has as a priority and decide exactly what to give up.
- c) **Settlement and Contract Agreement:** After reaching an initial agreement, the bargaining parties usually return to their respective constituencies to determine if the informal agreement is acceptable. A particularly crucial stage is ratification of the labor agreement, which occurs when union members vote to accept the terms of a negotiated labor agreement. Before ratification, the union negotiating team explains the agreement to the union members and presents it for a vote. If the members approve the agreement, it is then formalized into a contract. The following figure lists the typical items in a labor agreement.



- d) **Bargaining Impasse:** Regardless of the structure of the bargaining process, labor and management do not always reach agreement on the issues. If they reach an impasse, then the disputes can be taken to conciliation, mediation, or arbitration.
- e) **Strikes and Lockouts:** If a deadlock cannot be resolved, an employer may revert to a lockout—or a union may revert to a strike. During a strike, union members refuse to work in order to put pressure on an employer. Often, the striking union members picket or demonstrate against the employer outside the place of business by carrying placards and signs. The following types of strikes can occur:
- ✓ **Economic strikes:** happen when the parties fail to reach agreement during collective bargaining.
 - ✓ **Unfair labor practices:** strikes occur when union members leave their jobs over what they feel are illegal employer actions, such as refusal to bargain.
 - ✓ **Wildcat strikes:** occur during the life of the collective bargaining agreement without approval of union leadership and violate a no-strike clause in a labor contract. Strikers can be discharged or disciplined.
 - ✓ **Jurisdictional strikes:** exist when members of one union walk out to force the employer to assign work to them instead of to members of another union.
 - ✓ **Sympathy strikes:** take place when one union chooses to express support for another union involved in a dispute, even though the first union has no disagreement with the employer.

In a lockout, management shuts down company operations to prevent union members from working. This action may avert possible damage or sabotage to company facilities or injury to employees who continue to work. It also gives management leverage in negotiations.

8.3. Grievance Handling

A grievance is a sign of the employees' discontent with job and its nature. It is caused due to the difference between employee expectation and management practice.

Beach defines a grievance as, 'any dissatisfaction or feeling of injustice in connection with one's employment situation that is brought to the notice of the management.

Grievance is 'any discontent or dissatisfaction, whether exposed or not, whether valid or not, arising out of anything connected with the company which an employee thinks, believes or even feels to be unfair, unjust and inequitable'.

A grievance is a problem submitted by an employee or by a few employees of different types. It may be concerning a situation or may likely to affect the terms and conditions of employment of one worker or a few workers.

Grievances usually result in definite and considerable losses to employee morale, efficiency and productivity. The accumulation of grievance leads to strikes, lock outs and other forms of conflicts. Therefore, proper disposal of grievances deserves special and adequate consideration in any program of harmonizing industrial relations.

8.3.1. Methods of Identifying Grievances

Employee grievance may be observed in various areas like: Poor physical conditions of work place, lack of proper tools, machines and equipments, frequent changes in schedules or procedures, rigid production standards, lack of career planning and development, hostility towards labor union, defective leadership style, communication gap etc. Thus in order to deal with grievance effectively there must be a mechanism to identify grievance. The following methods can help the employer to identify the grievances:

1. **Directive observation:** Knowledge of human behavior is requisite quality of every good manager. From the changed behavior of employees, he should be able to sniff the causes of grievances. This he can do without its knowledge to the employee. This method will give general pattern of grievances. In addition to normal routine, periodic interviews with the employees, group meetings and collective bargaining are the specific occasions where direct observation can help in unfolding the grievances.
2. **Grip boxes:** The boxes (like suggestion boxes) are placed at easily accessible spots to most employees in the organization. The employees can file anonymous complaints about their dissatisfaction in these boxes. Due to anonymity, the fear of managerial action is avoided. Moreover management's interest is also limited to the free and fair views of employees.
3. **Open door policy:** This method will be more useful in absence of an effective grievance procedure; otherwise the organization will do well to have a grievance procedure. Open door policy demands that the employees, even at the lowest rank, should have easy access to the chief executive to get his grievances redressed.
4. **Exit interview:** Higher employee turnover is a problem of every organization. Employees leave the organization either due to dissatisfaction or for better prospects. Exit interviews may be conducted to know the reasons for leaving the job. Properly conducted exit interviews can provide

significant information about the strengths and weaknesses of the organization and can pave way for further improving the management policies for its labor force.

8.3.2. Principles for Grievance Handling

1. In handling grievances, a considerable amount of time must be spent in talking to employees; gathering data from them and passing on various types of information. Such talks to be most effective, should conform to definite patterns and adhere to well tested rules.
2. The manager must seek to develop an attitude towards employees that should be helpful in gaining their confidence. The management should also display a sincere interest in the problems of employees and help them to gain their confidence but also their utmost loyal by and genuine cooperation.
3. The procedure adopt by the management in handling the grievances must be apparent.
4. Grievances should be handled in terms of their total effect on the organization and not solely their immediate or individual effect.

8.3.3. Steps in Handling Grievances

It is important that grievance must be handled in a systematic manner. The following steps should be taken in handling grievances:

1. Defining, describing or expressing the nature of the grievances as clear as possible;
2. Gathering all facts that serve to explain when, how, where, to whom and why the grievance occurred;
3. Establishing tentative solutions or answers to the grievances;
4. Gathering additional information to check the validity of the solutions and thus ascertain the best possible solution;
5. Applying the solution, and
6. Following up the case to see that it has been handled satisfactorily and the trouble has been eliminated.

Dear learner how does your organization handle grievance? Please discuss its effectiveness._____

8.3.4. Importance of handling employee grievances/complaints

A grievance is like an infection. Unless it is dealt with quickly, and efficiently, it will fester and may spread quickly, causing unnecessary pain and suffering (lower productivity, reduced co-operator and commitment).

Employee grievances are an outward expression of worker dissatisfaction which, if not resolved, can result in unsatisfactory work behaviour which has adverse consequences for the organisation's competitive position. Unresolved dissatisfaction gives rise to:

- (a) Employee frustration
- (b) Deteriorating interpersonal relationships
- (c) Low morale
- (d) Poor performance seen in lower productivity and a poorer quality of output or service
- (e) Disciplinary problems including poor performance by employee, resignation and loss of good staff
- (f) Increased employee absenteeism.

If grievances are not addressed, they can adversely affect an organization and the quality of life of its employees. It is, therefore, essential to the continued prosperity and wellbeing of the company and its employees that employee complaints about management behaviour are attended as quickly as possible and as near to their source as can be. There is a clear business case for the effective professional management of employee grievances.

8.4. Employee discipline

Discipline may be defined as an attitude of mind which aims at inculcating restraint, orderly behavior and respect for and willing obedience to a recognized authority. In any industry discipline is a useful tool for developing, improving and stabilizing the personality of workers. Industrial discipline is essential for the smooth running of an organization, for increasing production and productivity, for the maintenance of industrial peace and for the prosperity of the industry and the nation. It is a process of bringing multifarious advantages to the organization and its employees.

According to Webster's Dictionary there are three meanings to the word "discipline". First, it is the training that corrects moulds, strengthens or perfects individual behavior; second, it is control gained by enforcing obedience; and third, it is punishment or chastisement.

According to Dr. Spiegel, “discipline is the force that prompts an individual or a group to observe the rules, regulations and procedures which are deemed to be necessary to the attainment of an objective; it is force or fear of force which restrains an individual or a group from doing things which are deemed to be destructive of group objectives.

Discipline is a product of culture and environment and a basic part of the management of employee attitudes and behavior. It is a determinative and positive willingness which prompts individuals and groups to carry out the instructions issued by management, and abide by the rules of conduct and standards or work which have been established to ensure the successful attainment of organizational objectives. It is also a punitive or a big stick approach which imposes a penalty or punishment in case of disciplinary violations.

8.4.1. Objectives of discipline

The main aims and objectives of discipline are:

- To obtain a willing acceptance of the rules, regulations and procedures of an organization so that organizational objectives can be attained;
- To develop among the employees a spirit of tolerance and a desire to make adjustments;
- To give and seek direction and responsibility;
- To create an atmosphere of respect for human personality and human relations;
- To increase the working efficiency morale of the employees; and
- To impart an element of certainty despite several differences in informal behavior patterns and other related changes in an organization.

8.4.2. Indiscipline

The term ‘indiscipline’ generally means the violation of formal or informal rules and regulations in an organization. Indiscipline, if unchecked, will affect the morale of the organization. Hence indiscipline is to be checked by appropriate positive means to maintain industrial peace.

8.4.2.1. Causes for indiscipline in organizations

It is more complex and difficult to identify the causes of indiscipline. The policies and procedures of organizations, the attitude of the management towards workers, the attitude of workers, individual behaviors etc. are the causes for indiscipline. The important causes for indiscipline are:

- Ineffective leadership to control, coordinate and motivate workers.
- Low wages and poor working conditions.
- Lack of timely redressal or workers’ grievances.

- Lack or defective grievance procedure.
- Character of the workers such as gambling, drinking, violent nature etc.
- Political influence.

8.4.3. Approaches to Discipline

The disciplinary system can be viewed as an application of behavior modification to a problem or unproductive employee. The best discipline is clearly self-discipline. Most people can be counted on to do their jobs effectively when they understand what is required at work. But for some people, the prospect of external discipline helps their self-discipline. One approach is positive discipline.

Positive Discipline Approach: The positive discipline approach builds on the philosophy that violations are actions that usually can be corrected constructively without penalty. In this approach, managers focus on using fact finding and guidance to encourage desirable behaviors, rather than using penalties to discourage undesirable behaviors. The hope is that employee performance will improve and future disciplinary actions will not be needed.

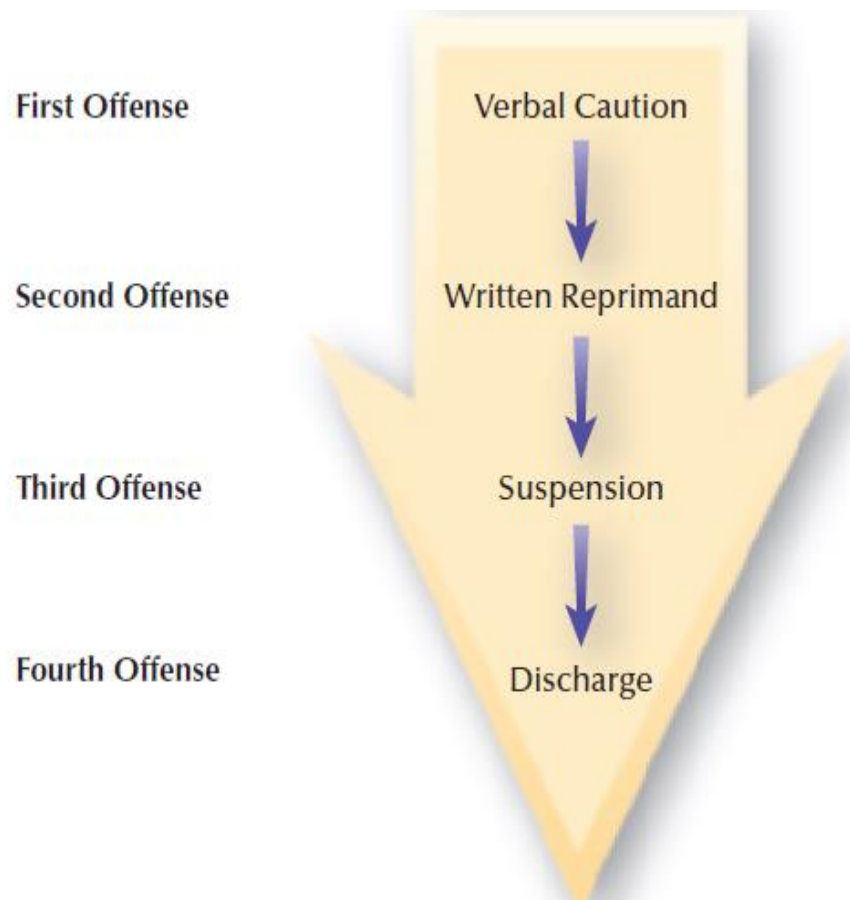
The four steps to positive discipline are as follows:

- **Counseling:** The goal of this phase is to heighten employee awareness of organizational policies and rules. Often, people simply need to be made aware of rules, and knowledge of possible disciplinary actions may prevent violations.
- **Written documentation:** If an employee fails to correct behavior, then a second conference becomes necessary. Whereas the first stage took place as a conversation between supervisor and the employee, this stage is documented in written form, and written solutions are identified to prevent further problems from occurring.
- **Final warning:** If the employee does not follow the written solutions noted in the second step, a final warning conference is held. In that conference, the supervisor emphasizes to the employee the importance of correcting the inappropriate actions. Some firms require the employee to take a day off with pay to develop a specific written action plan to remedy the problem behaviors. The decision day off emphasizes the seriousness of the problem and the manager's determination to see that the behavior is changed.
- **Discharge:** If the employee fails to follow the action plan that was developed, and further problems exist, then the supervisor can discharge the employee.

Progressive Discipline Approach: Progressive discipline incorporates steps that become progressively more stringent and are designed to change the employee's inappropriate behavior. The following figure shows a typical progressive discipline process; most progressive discipline procedures use verbal and written reprimands and suspension before resorting to dismissal.

Although it appears to be similar to positive discipline, progressive discipline is more administrative and process oriented. Following the progressive sequence ensures that both the nature and the seriousness of the problem are clearly communicated to the employee. Not all steps in progressive discipline are followed in every case. Certain serious offenses are exempted from the progressive procedure and may result in immediate termination. Typical offenses leading to immediate termination include intoxication at work, alcohol or drug use at work, fighting, and theft. However, if a firm has a progressive discipline policy, it should be followed in every case in which immediate termination is not appropriate.

Progressive Discipline Process



The final disciplinary step

The final stage in the disciplinary process may be called discharge, firing, dismissal, or termination, among other terms. Regardless of the word used, discharge is when an employee is removed from a job at an employer. Both the positive and the progressive approaches to discipline clearly provide employees with warnings about the seriousness of their performance problems before dismissal occurs.

8.4.4. Principle of Effective Discipline

Disciplinary actions have serious repercussions on the employees and on the industry, and, therefore, must be based on certain principles in order to be fair, just and acceptable to be the employee and their unions. Therefore, in any discipline maintenance system, certain principles are to be observed such as:

1. The rules of discipline, as far as possible, should be framed in cooperation and collaboration with the representatives of employees for their easy implementation. Employees in a group should be associated in the process of discipline enforcement. The group as a whole can control an individual works much more effectively than the management can through a process of remote control or by imposing occasional penalties. Informal groups are likely to exert social pressures on wrong-doers avoiding the need for negative disciplinary actions.
2. The rules and regulations should be appraised at frequent and regular intervals to ensure that they are appropriate, sensible and useful.
3. The rules and regulations should be flexible to suit different categories of employees in the organization, i.e., both the blue-collar workers and white-collar employees.
4. The rules must be uniformly enforced for their proper acceptance. They must be applied fairly and impersonally. In other words, all defaulters should be treated alike, depending upon the nature of their offence and past record. Any discrimination or favoritism in this regard is likely to create discontent among the employees. Further, there should be a definite and precise provision for appeal and review of all disciplinary actions.
5. The rules of discipline embodied in the standing orders, or in the company's manual, must be properly and carefully communicated to every employee preferably at the time of induction for their easy acceptance. It serves as a warning and a learning process and helps to improve future behaviors of the employees in the enterprise.
6. Every kind of disciplinary penalty, even if it is a rebuke or a warning, should be recorded.

7. The responsibility for maintaining employee discipline should be entrusted to a responsible person
8. Disciplinary actions should be taken in private because its main objectives is to ensure that a wrong behavior is corrected and not that the wrong doer is punished. If disciplinary actions are taken in the presence of other employees, it may offend the sense of dignity of the employee and impair his social standing with his colleagues. Similarly, an immediate supervisor should never be disciplined in the presence of his subordinates. If this happens, it would lower his status and authority, and make it difficult, if not impossible, for him to discipline his subordinates under certain circumstances.
9. Punitive actions must satisfy the principle of natural justice. The management must act without bias and without vindictiveness, and its disciplinary actions must be based on justice and fair play. The punishment should be commensurate with the gravity of the offence. An individual is presumed to be innocent until he is proved to be guilty. The burden of proof is on the employer and not on the employee.

Dear learner how does you organization handle disciplinary issues. Evaluate the practices of your organization in light of the approaches to discipline discussed in this chapter. _____

Chapter summary

Industrial relation refers to all types of relationships between employer and employees, trade union and management, workers and union and between workers and workers. The significance of

industrial relations are: It establishes industrial democracy, contributes to, economic growth and development, improves morale of the work force, ensures optimum use of scarce resources, discourages unfair practices on the part of both management and unions, It facilitates change and prompts enactment of sound labor legislation.

Trade union is a continuous association of wage-earners or salaried employees for maintaining the conditions of their working lives and ensuring them a better and healthier status in industry as well as in the society. The functions of trade unions among others include: safeguarding workers against all sorts of exploitation, help in maintaining discipline, create opportunities for worker's participation in management, exert pressure on the employer to enforce legislative provision, ensure healthy, safe and conducive working conditions, facilitate communication with the management etc. Unionization Process involves, organizing campaign, certification and decertification, representation election, authorization cards.

Collective bargaining is a source of solving the problems of employees in the work situation collectively. It provides a good climate for discussing the problems of workers with their employers. Management rights and union security are the two important issues subject to collective bargaining. The collective bargaining issues are divided into: mandatory issues, permissive issues, and illegal issues. The collective bargaining process involved in negotiating a contract consists of a number of stages: preparation and initial demands, negotiations, settlement or impasse, and strikes and lockouts.

Grievance is 'any dissatisfaction or feeling of injustice in connection with one's employment situation that is brought to the notice of the management.

Discipline is a determinative and positive willingness which prompts individuals and groups to carry out the instructions issued by management, and abide by the rules of conduct and standards or work which have been established to ensure the successful attainment of organizational objectives.

Self-check Questions 8

Part I: Choose the best answer

1. Which one of the following union security issue is concerned with deduction of union dues directly from the payroll of the union members?
 - A. Dues check off provision

- B. Job security guarantee
 - C. No layoff policy
 - D. None
2. All are the concern of industrial relation **except**
- A. The relation between employees and trade union
 - B. The relation among workers
 - C. The relation between union and management
 - D. The relation between the organization and other government agencies
 - E. None of the above
3. Which one of the following is among the reasons for joining trade unions
- A. Employees believe that they can secure more reward through unionization than negotiating individually
 - B. Employees believe that joining trade union can help them to achieve socially desirable objectives
 - C. Joining trade union helps to restrain discriminatory action
 - D. All of the above
4. One of the following is not a union prevention mechanism used by management.
- A. Holding mandatory employee meetings
 - B. Distributing antiunion leaflets at work
 - C. Mailing antiunion letters to employees
 - D. None of the above
5. Which one of the following is not mandatory issues of bargaining
- A. Safety rules
 - B. Giving preference to union members when hiring
 - C. Grievances
 - D. Work schedules
 - E. None
6. Build on assumption that violations are actions that can be corrected constructively without penalty
- A. Progressive discipline
 - B. Indiscipline
 - C. Positive discipline
 - D. None

Part II: Answer the following question

7. Differentiate the type of strike. _____

8. Explain methods of identifying grievance._____

9. Discuss process of progressive discipline._____

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CHAPTER NINE

PROMOTION, TRANSFER AND SEPARATION

Learning objectives

Dear learner at the end of this chapter, you will be able to:

- ☞ Define the term promotion, demotion, transfer and separation
- ☞ Identify the types and basis of promotion
- ☞ Explain conditions for demotion
- ☞ Differentiate types of transfer
- ☞ Elucidate policies of transfer
- ☞ Discuss types of separation

7.1. PROMOTION

The movement of personnel within an organization can be termed as promotion, transfer, demotion and separation. These collectively form a major aspect of human resource management. The actual decisions about whom to promote and whom to fire can also be among the most difficult and the most crucial that a manager has to make.

9.1.1. Definition of promotion

According to Scott and Clothier, "A promotion is the transfer of an employee to a job which pays more money or one that carries some preferred status."

According to Prof Mamoria, "Promotion is a term which covers a change and calls for greater responsibilities, and usually involves higher pay and better terms and conditions of service and, therefore, a higher status or rank."

According to Arun Monappa and Saiyadain, "Promotion is the upward reassignment of an individual in an organization's hierarchy, accompanied by increased responsibilities, enhanced status, and usually with increased income, though not always so.

From the above definitions, we can say that promotion usually implies several things to the person concerned—higher status, both at work and in the community outside, more pay and fringe benefits, perhaps greater job security and a more senior position from which a person renders better service to his organization. Employees expect to be informed about ladders of promotion, how they can prepare themselves for advancement and what will be expected of them from the higher rated jobs.

9.1.2. Types of promotion

A promotion involves an increase in status, responsibilities and pay. But in certain cases only the pay increases and the other elements remain stagnant. In other cases, the status only increases without a corresponding increase in pay or responsibilities. Depending on which elements increase and which remain stagnant, promotions may be classified into the following types.

1. Horizontal Promotion

This type of promotion involves an increase in responsibilities and pay, and a change in designation. But the employee concerned does not transgress (go beyond the limit) the job classification. For e.g. lower division clerk will be promoted to upper division clerk. In this case there is no change in the nature of the job.

2. **Vertical Promotion**

In vertical promotion, an employee crosses his/her job classification. This increases the person's responsibility and status. For example, a superintendent becomes departmental manager.

3. **Dry Promotion**

Dry promotion is a promotion as a result of which there is no increase in the employee's pay. Dry promotions are those which are given in lieu of increases in compensation. It is usually made decorative by giving a new and longer title to the employee.

9.1.3. **Basis of Promotion**

Different promotion systems are used in different organizations. Of them the following are considered the most important:

Promotion Based on Seniority- Seniority based promotion systems are based on the length of service of an employee in an organization. Seniority systems put a premium on length of service and job experience. In the case of promotion based on seniority, the employees are promoted to higher positions purely based on their length of service irrespective of their qualifications, experience, performance and track record. Trade unions prefer seniority as a basis of promotion because by-offs, recalls and discharges are usually based on seniority.

Arguments for Promotion by Seniority

- ✓ All employees are assured of promotion which will come automatically when it is due.

- ✓ Seniority is a factor which can be measured quantitatively; it is easily explained and understood and therefore, escapes charges of favoritism and discrimination.
- ✓ The management will have a known man. This reduces the risk associated with bringing an unknown person from outside.
- ✓ Seniority as a criterion for promotion makes its impact on reduction in employee turnover.
- ✓ Seniority is considered to contribute to the employees' ability on the assumption that the longer a person does a job, the more he learns about it.
- ✓ Promotion by seniority satisfies the personal aspirations of the employees. This results in better morale of the employees.

Arguments against Promotion by Seniority

- ✓ If the seniority principle is adopted, capable young men are likely to become impatient and will look for better prospects elsewhere.
- ✓ The internal sources may be inadequate to meet the growing requirements of the organizations.
- ✓ If the worth of an employee is not appreciated and given due recognition, it results in frustration and low morale of the employees.
- ✓ Promotions by seniority leads to capable young men looking for better prospects elsewhere. Consequently, the organization comes to be run by second-grade people, who have stayed because they do not have sufficient caliber to move elsewhere.
- ✓ With the fast changing world of technology it is necessary to infuse new blood into the organization. This is denied when the policy of promotion is by seniority.

Promotion Based on Merit

Under promotion based on merit, employees are promoted to higher positions purely on their performance and work record. Here, the management will look into the qualifications, experience, previous work record, performance capability etc. The service seniority of the employee would not be considered for promotion. In principle, it is felt that promotion should be based on merit. However, the use of merit as a basis for promotion can cause problems because what management regards as merit, trade unions may see as favoritism. Therefore, as far as possible, merit rating should be based on operating facts. Promotion by merit method is normally followed in majority of commercial and industrial enterprises where the main consideration for assessment is efficiency and work performance.

Arguments for Promotion by Merit

- ✓ Promotion by merit brings rewards for meritorious work. This encourages an employee to work hard and advance in the organization.
- ✓ Promotion by merit enhances organizational efficiency and maximizes utilization of talent.
- ✓ Promotion by merit acts as a motivator. This leads to increased productivity.

Arguments against Promotion by Merit

- ✓ When management adopts merit as a basis for promotion, it must evolve controls to recognize merit objectively which will refute the allegations of favoritism. This is very difficult to achieve.
- ✓ Trade unions regard merit as favoritism. They distrust the sincerity of management when it claims the right to promote solely on merit.
- ✓ Efficiency in the present job does not necessarily predict ability to do well in a job with greater responsibility.
- ✓ The devices used for judging ability such as performance appraisal ratings and confidential reports are not above subjectivity. It is this problem of bias in judging merit that makes employees oppose merit as a base for promotion.

Merit cum Seniority Promotion

Promotion based on “Merit cum Seniority” would have a blend of the advantages of both the systems discussed above. Both the service seniority and work efficiency will be taken into account in promoting an employee. These two possibly conflicting factors – seniority and merit - frequently pose problems in considering employees for promotion. From the point of view of organizational efficiency, merit seems to be the logical basis of promotion and therefore, management would like it to be the only factor. Trade unions want seniority to be considered as the basis for promotion since it is an objective and impartial method of judging employees for promotion. A sound management will pursue a policy of properly balancing these two factors i.e., seniority and merit. An employee who has service seniority with the desired level of merit and efficiency would be given priority in promotion to the next cadre as compared to others having only one of them. Merit cum seniority method has been considered as the best method of promotion as it gives due weightage to the skill efficiency and better service record of the employee.

Promotion by Selection

Promotion by selection is a process through which employees are promoted after undergoing rigorous test and screening. The service records of all the employees due for promotion are screened and scrutinized by a committee appointed for that purpose. The Committee will scrutinize the past records, merit, qualification and experience of the employees due for promotion to a cadre. Under this system employees with service seniority or better qualifications and experience need not be promoted automatically. The employees are put to various tests and interviews before a final selection is made and some employees are promoted.

Time Bound Promotion Scheme

Under this method, employees would be promoted according to standards of time set for promotions to higher cadre subject to the condition that they possess the minimum qualifications required for entry into a higher position. Neither seniority nor merit will be considered here. The employees may have to pass some departmental examinations or tests for being considered for such a promotion.

Temporary Promotion Scheme

Also known as officiating promotion scheme, under the temporary promotion scheme, officials are promoted temporarily to higher positions in case there are vacancies and if they are due for promotion. Such temporary promotion is no guarantee for a permanent promotion, though normally temporary promotions are automatically made permanent if the service of the employee during the officiating period is satisfactory. It is like keeping the employee under some sort of probation at the higher position before he is confirmed.

9.1.4. Promotion Policy

Whatever may be the type of promotion followed by the management, there should be a definite promotion policy which should be effective and protect the interests of the employees due for promotion. A concrete, comprehensive and realistic promotion policy should be evolved covering the following points:

Promotion Policy Statement

A corporate policy on promotion helps to state formally the organization's broad objectives, and to formulate both the organization's manpower and individual career plans.

Ratio of Internal Promotion Vs External Recruitment

A promotion policy statement must state the ratio of internal promotions to external recruitment at each level. Such a statement will help manpower planners to project numbers of internally available candidates for vacancies.

Decide the Basis for Promotion

A promotion policy statement must decide the basis on which promotions are to be given. Usually promotions are decided on the basis of performance appraisals.

Decide the Routes for Promotion

We have to identify the network of related jobs. Such an exercise will help in succession planning and also help aspirants to acquire the necessary formal qualifications or on-the-job training. This process would help in identifying promotion channels. Once it is finalized, it should be made known to the employees concerned.

Communicate the Promotion Policy

The organization should communicate its promotion policy to its employees. Such an exercise will help aspirants to acquire the necessary formal qualifications, encourage them to attend suitable external development programmes' etc.

Determination of Seniority

A ticklish area in the formation of a promotional policy is the determination of an employee's seniority. Should the seniority be plant-wise, unit-wise or occupation-wise? Generally, seniority is unit wise.

Advantages of a Promotion Policy-The following are the benefits of a good promotional policy:

- ✓ A good promotion policy provides an incentive to work more effectively as it recognizes an employee who comes out with better work. It must however tell employees in advance what avenues exist for advancement.
- ✓ It develops employee loyalty by rewarding him and placing him in a higher position in the organization for his efficiency.
- ✓ It facilitates and increases job satisfaction.
- ✓ It increases work effectiveness in the organization.
- ✓ It also attracts efficient employees to the organization.

- ✓ It increases employee interest in training and self-development.
- ✓ A promotion policy makes employees believe that their turn too will come and so they remain with the company. This reduces labor turnover.

7.2. DEMOTION

Demotion is a process by which the employee is downgraded and sent to a lower position from the one he is holding at present. When an employee is moved to a job with less responsibility, status or compensation he is said to be demoted. Demotion is the reverse of promotion. It is more a punishment for inefficiency or incompetence. According to D.S Beach, Demotion is “the assignment of an individual to a job of lower rank and pay usually involving lower level of difficulty and responsibility”. According to Arun Monappa and Saiyadain Demotion “is a downward assignment in the organization’s hierarchy to a lower level job which has less responsibility, pay and status. Because of this hierarchical repositioning it has a negative connotation and may lead to employee dissatisfaction”. Demotions, being a serious penalty, must be handled tactfully. The usefulness of demotion as a punitive measure is questioned on many grounds. A demoted employee will be disgruntled and his dissatisfaction may spread to co-workers which will adversely affect morale, productivity and discipline of the workforce.

Causes of Demotion

- ✓ Demotion may be used as a disciplinary weapon.
- ✓ Demotion may be resorted to when employees, because of ill health or personal reasons, cannot do their job properly.
- ✓ If a company curtails some of its activities, employees are often required to accept lower-level position until normally is restored.
- ✓ If an employee finds it difficult to meet job requirement standards, following his promotion he may be reverted to his old position.

Conditions for Demotion

- ✓ Demotions serve a useful purpose in the sense that they keep the employees alert and alive to their responsibilities and duties. Demotion will serve its purpose if it satisfies the following conditions:
- ✓ Violations of rules and regulations of the organization would subject an employee to demotion. Here it should be noted that serious violations of rules and regulations would only

warrant such a drastic action. Demotion should never be made as penalty for violation of the rules of conduct, poor attendance record or insubordination.

- ✓ There should be a proper and detailed investigation of any alleged violation of rules and regulation.
- ✓ If any violations occur, there should be a consistent and equitable application of the penalty. A hasty decision should be avoided.
- ✓ There must be a provision for review.
- ✓ Demotions have a serious impact on the employees. Therefore, demotions are made infrequently.

7.3. TRANSFER

A transfer is a change in job assignment. It does not involve a change in responsibility and status. A movement of an employee between equivalent positions at periodical intervals is called “transfer”. A transfer therefore does not involve a change of responsibility or compensation. Transfers are normally made to place employees in positions where they are likely to be more effective or where they are likely to get greater job satisfaction. Transfers may be either organization-initiated or employee initiated. An organization may initiate a transfer to place employees in positions where they are likely to be more effective or where they are better able to meet work schedules of the organization. Employee initiated transfers also known as “personnel transfers” may be initiated for several reasons. These could range from wanting a change of boss or a change of location or to avoid interpersonal conflicts with their present colleagues or to join their friends and relatives. Yoder has defined transfer as “a lateral shift causing movement of individuals from one position to another usually without involving any marked change in duties, responsibilities, skills needed or compensation.” According to Arun Monappa and Mirza Saiyadain, transfer “is a change in assignment in which the employee moves to another job at approximately the same level of responsibility, demanding about the same skill and at about the same level of pay.” According to R.S. Davar, transfer is “a lateral movement of an employee, not involving promotion or demotion. A transfer therefore does not involve a material change in responsibility or compensation. A transfer may be either temporary or permanent, depending upon the need, and may occur within a department, between departments and divisions, or between plants within a company.

A transfer may require an employee to change his work group, work place or organizational unit. It should be the aim of any company to change positions of employees as soon as the capacities increase and vacancies warrant.

7.3.1. **Types transfer**

There are different types of transfers depending on the purpose for which the transfers are made. Judging from the view-point of purpose, there are nine types of transfers.

General transfer

General transfers are normally affected during a particular period of the year wherein all employees having completed a given period of service in a post or at a place are involved. Definite rules and regulations are to be followed in affecting such transfers. Such transfers are followed in big organizations, quasi-governmental organizations and government departments.

Production transfer

Production transfers are normally made from one department to another where the need for the employee is more. This type of transfer is made to avoid lay-off of efficient and trained employees by providing them with alternative positions in the same organization. These changes help to stabilize employment in an organization and therefore require centralized control. Although it is called production transfer, similar situations can exist in nonmanufacturing enterprises or divisions too where an employee is transferred from one department to another for similar reasons.

Replacement transfer

These are transfers of long-service employees to similar jobs in other departments where they replace or 'bump' employees with shorter service. Replacement transfers are affected to replace persons leaving the organization, due to resignations, retirements, dismissal or death. Quite often such transfers are affected to change a new employee who has proved to be ineffective in the organization. Even though the objective of these transfers is to retain the efficient and trained employees in this process some short-service employees may lose their jobs.

Shift transfer

Shift transfers are transfers of workers from one shift to another on the same type of work. Workers generally dislike second or third shift as it affects their participation in community life. To minimize this, shift transfers are effected. Shift transfers also help workers to be out of routine fatigue.

Remedial transfer

Remedial transfers are transfers made to remedy some situation primarily concerned with employee on the job. Remedial transfers provide management with a procedure whereby an unsatisfactory placement can be corrected. Initial placement might be faulty or the type of job might not suit his health in such cases the worker would benefit by transfer to a different kind of work.

Versatility transfer

The objective of these transfers is to increase the versatility of the employee by shifting him from one job to another. In this way, the employee is provided a varied and broad job experience. This transfer is like a rotation transfers. Versatility transfers, besides resulting in greater satisfaction of the workers through job enlargement, also creates a work force which can be conveniently shifted to other jobs in time of necessity.

Punishment or Penal

This transfer is made as punishments to erring employees. Quite often the employees are transferred from one place to another so that they are made to work in a situation of risks and hazards. Employees are posted to such places as a matter of punishment for the errors and omissions they have committed. Sometimes, transfer is used as a concealed penalty. A trouble-maker may be transferred to a remote branch where he cannot continue his activities.

Request Transfers

This type of transfer is done on the request of the employee. It is normally done on humanitarian grounds to help the employee to look after his family and personal problems.

Mutual Transfers

When transfers turn out to be mutual between two employees they are referred to as mutual transfers. Usually the organization concedes to request of employees for transfer if another employee is willing to go to the other place.

7.3.2. Transfer Policy

It is clear that transfers are made for a number of reasons and are initiated by either the supervisor or the subordinate. If transfers are left entirely to the discretion of supervisors or employees, a number

of problems are likely to occur such as favoritisms or victimization. To avoid these problems it is necessary that every organization evolve its transfer policy. Every organization should have a just and impartial transfer policy which should be known to each employee. It is, therefore, important that the company should formulate a policy to govern the administration of all types of employee transfers, rather than decide each case solely on the characteristics of that case. The absence of a well-formulated transfer policy will breed a state of uncertainty amongst the employees. For a successful transfer policy, proper job description and job analysis should be done. Further, care should be taken to ensure that frequent or large-scale transfers are avoided by laying down adequate procedures for the purpose. A systematic transfer policy should provide for the following:

- ✓ A transfer policy should clarify the types and circumstances under which transfers will be used. The organization should specifically clarify the types of transfers and the conditions under which these will be made.
- ✓ The transfer policy must locate the authority that may initiate and implement the transfer. In other words, it should indicate who would be responsible for initiating and approving the transfers.
- ✓ A transfer policy should indicate whether the transfer could be made only within a sub-unit or also between departments, divisions and plants.
- ✓ The transferability of both jobs and individuals needs should be examined in terms of job descriptions, streams of specialization and individual background and training.
- ✓ A transfer policy should indicate the basis for transfer. Should it be on the basis of seniority or skill and competence?
- ✓ A transfer policy should prescribe whether, when an employee is transferred, his previous seniority credit will be retained.
- ✓ The transfer policy should indicate to the transferee the pay scales, the exact wages and perquisites that he would receive in the transferred job. If there is any difference, it should be specified.
- ✓ A transfer policy should provide for timely communication of the transfer decision.
- ✓ A transfer should be in writing and duly communicated to all concerned.
- ✓ Transfers should not be made frequently.

Industrial practices vary and each organization must formulate its own policy and rules in connection with transfers. In making transfers, it is advisable for the organization to pay to the employee the

actual cost of moving the household to the place of transfer. A transfer policy will help effective employee redeployment and protect employees from arbitrary transfers.

7.4. SEPARATION

Separation means cessation of service of agreement with the organization. Separation can be the result of: Resignation, Discharge, Dismissal, Retrenchment, Lay-off, Golden handshake, Retirement.

a. Resignation

A resignation is a voluntary separation. When a termination is initiated by the employee himself, it is termed a resignation. Resignations may be put in voluntarily by the employees on grounds of marriage especially in case of young girls, health, physical disability, better opportunities elsewhere, or maladjustment with company policy and affairs. The personnel department should investigate the real reasons behind such resignations. A study of exit interviews over a period of time may disclose a fiscal pattern suggesting improvements in the personnel management functions.

b. Discharge

A discharge involves permanent separation of an employee from the organization because of poor performance, violation of rules or poor code of conduct. A discharge becomes necessary when:

- ✓ The business volume is reduced thereby reducing the employment opportunities in the organization,
- ✓ The employee fails to work according to the requirements of the job, or the employee forfeits his right to a job.
- ✓ Discharges are generally made in accordance with the standing orders. The action taken should be bonafide and not a punitive measure or a case of victimization.

c. Dismissal

When the termination is initiated by the organization, it is termed as dismissal. A dismissal is the termination of the services of an employee by way of punishment for some misconduct, or for prolonged absence from duty. A dismissal is a drastic step. Therefore, it must be supported with a just and sufficient cause. It is generally done as a last resort after all attempts at reconciliation have failed. Before an employee's services are terminated, he should be given an opportunity to explain his conduct and show cause why he should not be dismissed. The principle of natural justice should

be followed to ensure that the punishment is in proportion to the offence. As a safeguard, responsibility for dismissal should not rest on the immediate supervisor. The approval of the next higher authority should generally be taken and the personnel manager should be consulted. Dismissals can be on the ground of unsatisfactory performance, misconduct, or want of qualifications for the job, or excessive absenteeism.

d. Retrenchment

Retrenchment is termination of service due to redundancy. It is a permanent termination of the services of an employee for economic reasons in a going concern. The term retrenchment is applied to continuing operations where a part of the workforce is found to be superfluous. Retrenchment has many un stabilized effects. It influences the attitudes and contributions of other employees who become disturbed by rumors, gossips, resentment and a sense of insecurity about their own fate. The principle in the procedure of retrenchment is that the last person employed in each category must be the first person to be retrenched. For this purpose, the employer prepares a list of all the workers in the category where retrenchment is contemplated, arranged according to the seniority of service of the employees in that category. When vacancies arise after retrenchment, the organization gives an opportunity to the retrenched workers to offer themselves for re-employment; and they are given preference.

e. Layoff

A lay off refers to an indefinite separation of the employee from the pay roll due to factors beyond the control of the employer. The employee is expected to be called back in the foreseeable future. The laid-off employee is not a discharged employee and is still carried on the roll as an employee. Layoff is resorted to by the employer for factors beyond his control. Such factors could be:

- ✓ Fluctuations in the market resulting in loss of sales
- ✓ Shortage of raw materials or power
- ✓ Accumulation of stock
- ✓ Breakdown of machinery
- ✓ Production delays

f. Golden Handshake

It is a method of retrenchment wherein the employees with a certain minimum service can opt for voluntary retirement and get a fat lump sum in return. Golden handshake is usually offered by the

Government to reduce the size of the bureaucracy and close down chronically loss-making public sector enterprises.

g. Retirement

For those employees who retire, it is a significant milestone. Regardless of the age at which retirement occurs, workers may need preparation through counseling. They should be informed about pension choices and insurance benefits after retirement. Employees at retiring age often feel they could continue to work effectively and there is a strong resistance from many to give up employment. For an organization, in times of staff shortage, retired employees are of great help.

Chapter summary

The movement of personnel within an organization can be termed as promotion, transfer, demotion and separation. "Promotion is the upward reassignment of an individual in an organization's hierarchy, accompanied by increased responsibilities, enhanced status, and usually with increased income.

Depending on which elements increase and which remain stagnant, promotions may be classified into: Dry Promotion, Vertical Promotion, and Horizontal Promotion. Promotion can be given on the basis of seniority, merit, merit cum seniority, promotion by selection, time bound promotion scheme, and temporary promotion scheme.

Demotion is a process by which the employee is downgraded and sent to a lower position from the one he is holding at present. When an employee is moved to a job with less responsibility, status or compensation he is said to be demoted.

A transfer is a change in job assignment which does not involve a change in responsibility and status. Transfers are normally made to place employees in positions

where they are likely to be more effective or where they are likely to get greater job satisfaction.

Judging from the view-point of purpose, the types of transfer incorporate: General Transfer, Production Transfer, Replacement Transfer, Shift Transfer, Remedial Transfer, Versatility Transfer, Punishment or Penal, Request Transfers, Mutual Transfers.

Separation refers to cessation of service of agreement with the organization. Separation can be the result of: Resignation, Discharge, Dismissal, Retrenchment, Lay-off, Golden handshake, Retirement.

Self-check Questions 9

Part I: choose the best answer

1. The promotion of junior accountant to senior accountant refers to_____ promotion.
 - A. Dry promotion
 - B. Horizontal promotion
 - C. Vertical promotion
 - D. None
2. Which one of the following basis of promotion is dependent on length of service and experience
 - A. Merit cum Seniority Promotion
 - B. Promotion Based on Merit
 - C. Promotion Based on Seniority
 - D. Time bound promotion scheme
3. Identify the disadvantage of promotion by seniority
 - A. Results in having employees that have no caliber and chance to join another organization
 - B. Maximize utilization of talent
 - C. It does not infuse new blood into the organization
 - D. A and C

4. Assume that Mr. Kebede was assigned to work in extremely hot place. After his one month stay in the place, it was found that the place is not suitable for his health. If you were the manager of the company what kind of transfer do you recommend?
- A. Shift transfer
 - B. Production
 - C. Replacement
 - D. Remedial transfer
5. A permanent separation of an employee from the organization because of poor performance or violation of rules refers to_____.
- A. Retrenchment
 - B. Dismissal
 - C. Discharge
 - D. Resignation

Part II: Answer the following questions

6. Is there transfer policy in your company? If so please discuss its effectiveness.

7. Explain the demotion practices of your company_____

CHAPTER TEN

EQUAL EMPLOYMENT OPPORTUNITY, SEXUAL HARASSMENT IN WORK PLACE, EMPOWERMENT AND WORK FORCE DIVERSITY

Learning objectives

At the end of this chapter, you will be able to:

- ☞ Define equal employment opportunity, sexual harassment, employee empowerment, and work force diversity.
- ☞ Distinguish types of employment discrimination
- ☞ Explain the concepts of equal employment opportunity
- ☞ Explain equal opportunity policies
- ☞ Differentiate types of sexual harassment
- ☞ Explain the remedies for sexual harassment problems
- ☞ Discuss the benefits of empowerment

10.1. Equal Employment Opportunity

Inequality in the treatment of people with different backgrounds has been an issue for many years, but it was the Civil Rights Act of 1964 that started a legislative movement toward leveling the playing field in employment. Initially focus was on race, gender, and religion, but these characteristics were

soon followed by age, pregnancy, and individuals with disabilities. Since then numerous Executive Orders, regulations, and interpretations by courts have affected the employer/employee relationship.

Equal employment opportunity act prohibits employers from discriminating against any individual with respect to compensation, terms, or conditions of employment because of race, color, religion, sex, or national origin.

Thus, at the core of equal employment is the concept of discrimination. The word discrimination simply means “recognizing differences among items or people. ”For example, employers must discriminate (choose) among applicants for a job on the basis of job requirements and candidates’ qualifications. However, when discrimination is based on race, gender, or some other factors, it is illegal and employers face problems. The following bases for protection have been identified by various federal, state, and/or local laws:

- ✓ Race, ethnic origin, color (including multiracial/ethnic backgrounds)
- ✓ Sex/gender (including pregnant women and also men in certain situations)
- ✓ Age (individuals over age 40)
- ✓ Individuals with disabilities (physical or mental)
- ✓ Military experience (military status employees)
- ✓ Religion (special beliefs and practices)
- ✓ Marital status (some states)
- ✓ Sexual orientation

These categories are composed of individuals who are members of a protected category under EEO laws and regulations. Protected category refers to a group identified for protection under EEO laws and regulations.

Discrimination remains a concern as workforce becomes more diverse. There are two types of illegal employment discrimination: ***disparate treatment and disparate impact.***

Disparate treatment occurs with employment-related situation sin which either: (1) different standards are used to judge individuals, or (2) the same standard is used, but it is not related to the individuals’ jobs. Disparate treatment occurs when members of one group are treated differently from others. For example, if female applicants must take a special skills test not given to male applicants, then disparate treatment may be occurring.

Disparate impact occurs when members of a protected category are substantially underrepresented as a result of employment decisions that work to their disadvantage.

10.1.1. Equal Employment Opportunity Concepts

Several basic EEO concepts have resulted from court decisions, laws, and regulatory actions. There are four key areas that help clarify EEO ideas.

Business Necessity and Job Relatedness: A business necessity is a practice necessary for safe and efficient organizational operations. Business necessity has been the subject of numerous court decisions. Educational requirements often are based on business necessity. However, an employer who requires a minimum level of education, such as a high school diploma, must be able to defend the requirement as essential to the performance of the job (job related), which may be difficult. For instance, equating a degree or diploma with the possession of math or reading abilities is considered questionable.

If employment test is clearly related to the job and tasks performed, it is not illegal simply because a greater percentage of minorities or women do not pass it. The crucial outcome is that the test must be specifically job related and cannot be judged solely on its disparate impact

Bona Fide Occupational Qualification (BFOQ): Employers may discriminate on the basis of sex, religion, or national origin if the characteristic can be justified as a “bona fide occupational qualification reasonably necessary to the normal operation of the particular business or enterprise.” Thus, a bona fide occupational qualification (BFOQ) is a characteristic providing a legitimate reason why an employer can exclude persons on otherwise illegal bases of consideration.

Burden of Proof: Another legal issue that arises when discrimination is alleged is the determination of who has the burden of proof. Burden of proof must be established to file suit against employers and establish that illegal discrimination has occurred. Based on the evolution of court decisions, current laws, and regulations the plaintiff charging discrimination must:

- ✓ Be a protected-category member, and
- ✓ Prove that disparate impact or disparate treatment existed.

Once a court rules that a preliminary case has been made, the burden of proof shifts to the employer. The employer then must show that the bases for making employment-related decisions were specifically job related and consistent with considerations of business necessity.

Dear learner, mention some of the protected groups in our country.

No *retaliation*: Employers are prohibited from retaliating against individuals who file discrimination charges. Retaliation occurs when employers take punitive actions against individuals who exercise their legal rights.

10.1.2. Equal employment opportunity policies

In order for an organization to address the issue of disadvantage in a systemic and consistent way, it needs to be guided by a policy. Increasingly, organizations are creating equal opportunity policies in order to guide managers in decision-making. Though these policies vary from organization to organization, the following ten points are good practices that employers are encouraged to adopt.

- ✓ Develop an equal opportunities policy, covering recruitment, promotion and training.
- ✓ Set an action plan, with targets, so that you and your staff have a clear idea of what can be achieved and by when.
- ✓ Provide training for all people, including managers, throughout your organization, to ensure they understand the importance of equal opportunities. Provide additional training for staff that recruit, select and train your employees.
- ✓ Assess the present position to establish your starting point, and monitor progress in achieving your objectives.
- ✓ Review recruitment, selection, promotion and training procedures regularly, to ensure that you are delivering on your policy.
- ✓ Draw up clear and justifiable job criteria, which are demonstrably objective and job related.
- ✓ Offer pre-employment training, where appropriate, to prepare potential job applicants for selection tests and interviews; consider positive action training to help ethnic minority employees to apply for jobs in areas where they are under-represented.

- ✓ Consider your organization's image: do you encourage applications from underrepresented groups and women, ethnic minority staff and people with disabilities in recruitment literature, or could you be seen as an employer who is indifferent to these groups?
- ✓ Consider flexible working, career breaks, providing childcare facilities, and so on, to help women in particular meet domestic responsibilities and pursue their occupations; and consider providing special equipment and assistance to help people with disabilities.
- ✓ Develop links with local community groups, organizations and schools, in order to reach a wider pool of potential applicants.

The willingness of organizations to adopt such guidelines varies considerably. Moreover, there is also considerable variation in the extent to which all the points are adopted. You might think of this as a sliding scale: at one extreme are those organizations that adopt a policy that meets very few of the points and at the other extreme those organizations that have addressed all ten points. Another way of looking at this is to think of different categories into which an organization might be placed according to its approach to equal employment opportunities.

Table 10.1 Types of equal opportunity organization

The negative organization	• Has no equal opportunity policy • Makes no claims of being an equal opportunity employer • Might not be complying with the law
The minimalist organization	• Claims to be an equal opportunity employer • Has no written equal opportunity policy • Has no procedure or initiatives, but will react to claims of discrimination as they arise
The compliant organization	• Has a written equal opportunity policy • Has procedures and initiatives in place to comply with some aspects equal opportunity policies
The proactive organization	• Has a written policy backed up with procedures and initiatives • Monitors the outcomes of initiatives to assess their impact • Promotes equality using full set equal opportunity policies, and might even go beyond these

10.2. Sexual harassment in the work place

Sadly, sexual harassment has always been a feature of life at work. Perhaps it is not always quite blatant today as it has been in the past, but it is still there, in more or less subtle forms, and it is just as unpleasant.

Sexual harassment refers to actions that are sexually directed, are unwanted, and subject the worker to adverse employment conditions or create a hostile work environment. Sexual harassment can occur between a boss and a subordinate, among coworkers, and when nonemployees have business contacts with employees. Most of the sexual harassment charges filed involve harassment of women by men. However, some sexual harassment cases have been filed by men against women managers and supervisors, and some have been filed by both men and women for same-sex harassment.

The definition of European Union establishes the following:

- ✓ It is an action that consists of unwanted conduct of a sexual nature or based on sex, which affects the dignity of men and women at work.
- ✓ sexual harassment can be physical or verbal in nature;
- ✓ The conduct either leads to material detriment (i.e. it affects promotion, pay, access to training, etc.) or creates an intimidating or humiliating work environment.

10.2.1. Types of Sexual Harassment

Two basic types of sexual harassment have been defined by equal employment opportunity commission (EEOC) regulations and a large number of court cases. The two types are different in nature and defined as follows:

- ✓ **Quid pro quo** is harassment in which employment outcomes are linked to the individual granting sexual favors.
- ✓ **Hostile environment** harassment exists when an individual's work performance or psychological well-being is unreasonably affected by intimidating or offensive working conditions.

In quid pro quo harassment (meaning “something for something”), an employee may be promised a promotion, a special raise, or a desirable work assignment, but only if the employee grants some sexual favors to the supervisor. The second type, hostile environment harassment, may include actions such as commenting on appearance or attire, telling jokes that are suggestive or sexual in nature, allowing revealing photos and posters to be on display, or making continual requests to get

together after work that can lead to the creation of a hostile work environment. Rude and discourteous behavior often is linked to sexual harassment.

Ways to overcome problems of sexual harassment

Persons subject to harassment can take legal action but, of course, it must be the policy of the company to make it clear that it will not be tolerated. There are no easy solutions to these problems. It may be very hard to eradicate sexual harassment completely. But an effort must be made to deal with it and the following approaches should be considered:

- ✓ Issuing a clear statement by the chief executive that sexual harassment will not be tolerated. The absolute requirement to treat all people equally, irrespective of sex, role, creed, sexual orientation or disability, should be one of the fundamental values of the organization. This should be reinforced by the explicit condemnation of harassment as a direct and unacceptable contravention of that value.
- ✓ Back up the value statement with a policy directive on sexual harassment which spells out in more detail how the company deplores it, why it is not acceptable and what people who believe they are being subjected to harassment can do about it.
- ✓ Reinforce the value and policy statements by behavior at senior level which demonstrates that they are not simply words but that these exhortations have meaning.
- ✓ Ensure that the company's policy on harassment is stated clearly in induction courses and is conveyed to everyone in the form of a strong reminder on promotion.
- ✓ Make arrangements for employees subjected to sexual harassment to be able to seek advice, support and counseling in total confidence without any obligation to take a complaint further. A counselor can be designated to provide advice and assistance covering such functions as:

- offering guidance on handling sexual harassment problems;
- assisting in resolving problems informally with the consent of the complainant
- assisting in submitting a grievance if the employee wishes to complain formally
- securing an undertaking, where appropriate, by the person who is the subject of the complaint to stop the behavior which has caused offence;

- Counseling the parties as to their future conduct where a problem has been resolved without recourse to formal procedures.
- ✓ Create a special procedure for hearing complaints about sexual harassment – the normal grievance procedure may not be suitable because the sexual harasser could be the employee's line manager.
- ✓ Handle investigations of complaints with sensitivity and due respect for the rights of both the complainant and the accused. Ensure that hearings are conducted fairly, both parties being given an equal opportunity to put their case. Care should be taken to ensure that the careers and reputations of neither party are unjustly affected.
- ✓ Where sexual harassment has taken place, crack down on it. It should be stated in the policy that it is regarded as gross industrial misconduct and, if it is proved, makes the individual liable to instant dismissal. Less severe penalties may be reserved for minor cases but there should always be a warning that repetition will result in dismissal.
- ✓ Ensure that everyone is aware that the organization does take action when required to punish those who indulge in sexual harassment.
- ✓ Provide training to managers and team leaders to ensure that the policy is properly implemented and to make them aware of their direct responsibility to prevent harassment taking place and to take action if it does.

Problems of dealing with harassment

The first problem always met in stamping out sexual harassment is that it can be difficult to make a clear-cut case. An accusation of harassment can be hard to prove unless there are witnesses. And those who indulge in this practice usually take care to carry it out on a one-to-one basis. In this situation, it may be a case of one person's word against another's. The harasser, almost inevitably a man, resorts to two defenses: one, that it did not take place ('it was all in her mind'); and two, that if anything did take place, it was provoked by the behavior of the female. In these situations, whoever deals with the case has to exercise judgment and attempt, difficult though it may be, to remove any prejudice in favor of the word of the man, the woman, the boss or the subordinate.

The second problem is that victims of sexual harassment are often unwilling to take action and in practice seldom do so. This is because of the actual or perceived difficulty of proving their case. But they may also feel that they will not get a fair hearing and are worried about the effect making such

accusations will have on how they are treated by their boss or their colleagues in future – whether or not they will have substantiated their accusation.

The third and possibly the most deep-rooted and difficult problem of all is that sexual harassment can be part of the culture of the organization – a way of life, a ‘norm’, practiced at all levels.

Workforce Empowerment

Empowerment is a concept that gained immense popularity in the 1990s, and looks set to continue as a popular organizational initiative in the twenty-first century. It is a managerial ideology in its own right as well as being used with other initiatives and strategies such as BPR, TQM and the learning organization. It is strongly associated with culture change initiatives, delayering and restructuring, and usually involves devolving power and responsibilities to teams at workplace or customer level.

Empowerment is a change-management tool which helps the organization to create an environment where every individual can use his or her abilities and energies to satisfy the customer.

Unlike industrial democracy there is no notion of workers having a right to a say: it is employers who decide whether and how to empower employees. While there is a wide range of programs and initiatives which are titled empowerment and they vary as to the extent of power which employees actually exercise, most are purposefully designed not to give workers a very significant role in decision making but rather to secure an enhanced employee contribution to the organization. Empowerment takes place within the context of a strict management agenda.

Dear learner, is there a practice of empowerment in your organization? If yes in what ways does your organization empower employees? _____

Benefits of empowerment

As shown in the following table, empowerment has various benefits both to the organization and employees.

Table 10.1 Benefits of empowerment to the organization and the individual

Benefits for organizations	Benefits for employees
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Greater awareness of business needs among employees	Increase in job satisfaction
Cost reduction from layering and employee ideas	Increase day-to-day control over tasks
Improved quality, profitability and productivity Measures	Ownership of work
Organization able to respond more quickly to market changes	Increase in self-confidence
Enhanced loyalty and commitment	Creation of teamwork
Decrease in staff turnover	Acquisition of new knowledge and skills
More effective communication	

Workforce diversity

An important watchword in the twenty-first century is **workforce diversity**. It refers to the presence of individual human characteristics that make people different from one another. More specifically, this diversity comprises key demographic differences among members of a given workforce, including gender, race and ethnicity, age, and able bodiedness. Sometimes they also encompass other factors, such as marital status, parental status, and religion. The challenge is how to manage workforce diversity in a way that both respects the individual's unique perspectives and contributions and promotes a shared sense of organization vision and identity.

Success in the new workplace requires a set of skills for working successfully with a broad mix of people from different racial and ethnic backgrounds, of different ages and genders, and of different domestic and national cultures. **Valuing diversity** in the work place is very important. It refers to managing and working with others in full respect for their individual differences. Interpersonal sensitivity and cultural respect are indispensable to valuing diversity.

Managing diversity

The concept of managing diversity in organizations emphasizes appreciation of differences in creating a setting, where everyone feels valued and accepted. An organization's success or progress in managing diversity can be monitored by organizational surveys of attitudes and perceptions, among other means. Managing diversity assumes that groups will retain their own characteristics and will

shape the firm as well as be shaped by it, creating a common set of values that will strengthen ties with customers, enhance recruitment, and the like. Sometimes, diversity management is resisted because of fear of change and discomfort with differences.

In order "to maximize the utilization of its human capital, organizations must go beyond merely creating a more diverse workplace. Once there, the value of having diverse employees must be recognized. Now is the time to move beyond viewing diversity as merely the numerical representation of certain groups. It is time for a systematic application of diversity concepts to the business of the organization. Diversity is something more than a moral imperative or a business necessity-we see it as a business opportunity. Aligning diversity with the mission and business of the organization increases employee satisfaction and retention; improves competitiveness and productivity; increases responsiveness; and adds value to the customer.

Diversity Management Best Practices

There are a number of things that organizations can do to maximize the benefit of diversity in the workplace and successfully integrate a diverse workforce. The following methods can be taken as a good practice.

1. Frame the diversity management initiative as an opportunity for integration and learning.

Framing diversity initiatives in a manner that highlights previous conflict or discrimination can have a negative impact on organization's ability to successfully manage workforce diversity.

Emphasizing a learning and integration perspective has a motivating effect on both management and employees and can ensure the long-term success of the diversity program.

2. Ensure senior management commitment and accountability

As with any organizational change initiative, senior management needs to demonstrate their commitment to workplace diversity and hold themselves and others accountable to see that diversity policies are successfully implemented within the organization.

3. Articulate how diversity is important to the overall functioning of the business

Whether it is to attract new clientele from demographic groups that are not traditionally a part of your client base or to increase innovation among your staff – consideration should be given to how the new diversity strategy will benefit the company.

4. Emphasize the value of diversity of all employees

Focusing a diversity initiative on one demographic group, such as women for example, can sometimes have a polarizing effect on those employees who are not the target of the initiative.

Diversity by definition means “a point of difference” which every individual possesses. Valuing the diversity of all employees will unite employees under one common banner.

5. Emphasize solidarity with the team or department

To minimize the effect of in-group/out-groups, engage workgroups in team-building exercises that help to facilitate communication and integration of work activity as well as create pride in one’s work group or organization.

Chapter summary

Equal employment opportunity prohibits employers from discriminating against any individual with respect to compensation, terms, or conditions of employment because of race, color, religion, sex, or national origin.

At the core of equal employment is the concept of discrimination. There are two types of illegal employment discrimination: disparate treatment and disparate impact.

Disparate treatment occurs when members of one group are treated differently from others. Disparate impact occurs when members of a protected category are substantially underrepresented as a result of employment decisions that work to their disadvantage

The four key concepts of EEO are: business necessity and job relatedness, bona fide occupational qualification (BFOQ), burden of proof and no retaliation.

An organization might be placed in to different category (the negative organization, the minimalist organization, the compliant organization and the proactive organization,) according to its approach to equal employment opportunities.

Sexual harassment refers to actions that are sexually directed, are unwanted, and subject the worker to adverse employment conditions or create a hostile work environment.

The two basic types of sexual harassments are: hostile environment and quid pro quo.

Empowerment is a change-management tool which helps the organization to create an environment where every individual can use his or her abilities and energies to satisfy the customer.

Workforce diversity refers to the presence of individual human characteristics that make people different from one another. This diversity characteristics comprises key demographic differences among members of a given workforce, including gender, race and ethnicity, age, and able bodiedness. They also encompass other factors, such as marital status, parental status, and religion.

Self-check Questions 10

Part I

Choose the best answer

1. Which one of the following cannot be used as a base to judge whether the individuals are a member of protected groups?
 - A. Physical disability
 - B. Mental disability
 - C. Pregnancy
 - D. None
2. When an organization uses employment standards/criteria that are not related to the individuals' job, it is committing_____.
 - A. Disparate treatment
 - B. Disparate impact
 - C. Protected group
 - D. A and B
3. _____ provides a legitimate reason for excluding candidates from being considered in employment.
 - A. Burden of proof
 - B. Bona fide occupational qualification
 - C. No retaliation
 - D. Business necessity
 - E. Equal employment opportunity

4. ____ refers to a kind of harassment in which employment outcomes are linked to the individual granting sexual favors.
- A. Hostile environment
 - B. Protected group
 - C. Quid pro quo
 - D. None
5. Which one the benefit of empowerment for employees?
- A. Control over tasks
 - B. Self-confidence
 - C. Acquisition of new knowledge
 - D. Job satisfaction
 - E. All of the above

Part II Answer the following questions

6. What do you think are the advantages and disadvantages of workforce diversity in a given organization? _____
- _____
- _____
- _____
- _____.
7. Have you encountered any incidents of disparate treatment or disparate impact in your employment life? If yes please mention the cases. _____
- _____
- _____
- _____
- _____.
8. Why it is difficult to identify problems of sexual harassment? _____

**ORGANIZATIONAL BEHAVIOR
STUDENT HANDBOOK**

CHAPTER ONE

OVERVIEW OF ORGANIZATIONAL BEHAVIOR

Introduction

Dear learner, in this first chapter, general overview of the course Organizational Behavior is provided. The chapter presents the major concepts that lay down the foundation of organizational behavior. The first part presents the definition of organization of behavior with detail explanations. The chapter identified the three major variables in organizational behavior framework. Moreover, it also indicated the importance of supporting intuitive thinking with systematic thinking, in addition to identifying characteristics of organizational behavior. Furthermore, the chapter also indicated the disciplines that contributed for the growth of organizational behavior. Manager's jobs are reviewed, management and organizational behavior in 21st century are also discussed, and the importance of inculcating system approached is assessed. While reading, try to understand the essence of each section before starting the study of the subsequent sections. To this end, you can use quick check and chapter end self check questions.

Learning Objectives:

Upon the completion of this chapter, you should be able to:

1. Define what organizational behavior is
2. Understand the basic units analysis of OB
3. Explain Managers job in relation to OB
4. Describe the characteristics and development of OB
5. Explain the value of the systematic study of OB.
6. Identify the contributions made by major behavioral science disciplines to OB.
7. List the major challenges and opportunities for managers to use OB concepts.

1.1. Concepts and Meaning of Organizational Behavior



Brainstorming Activity

- What is an organization?
- List the major types of organizations that you know?

To begin with, understanding of an “**organization**” is the most important prerequisite for the understanding of organizational behavior. On other words, organizational behavior could be better studied if trainees have a reasonable mastery of the concepts and principles of organization. Organizations could be seen from different perspectives. The major perspectives are the following:

- a. Organization can be thought of as a *complex relationship among human and physical resources and work*, cemented together in to a network of systems. In short, an organization is the form of every human association for the attainment of a *common purpose*.
- b. Organization is the *structure and process* by which a cooperative group of human beings allocated its tasks among its members, identifies relationship and integrates its activities towards common objectives. Organizations are *social units* (or human grouping) *deliberately constructed and reconstructed* to seek specific goals.
- c. An organization is a continuing system of differentiated and coordinated human activities utilizing and transforming and welding together a specific set of human, material, capital, and natural resources into a unique problem solving whole, whose function is to satisfy particular human needs in interaction with other systems of human activities and resources in its particular environment. Moreover, organization theorists agree on a few uniform characteristics of an organization. These characteristics are
 - ✓ Purposeful and complex human collectivities
 - ✓ Characterized by secondary (or impersonal) relationships
 - ✓ Specialized and limited goals
 - ✓ Sustained cooperatives activity
 - ✓ Dependent upon exchanges with their environment
 - ✓ Integrated within a large social system;

- ✓ Providing services and products to their environment

What will result by way of management of organized effort will be *formal organization*. *Formal organization* is a deliberately designed structure with clearly stated authority relationships. Relationships will be systematically structured in a hierarchical fashion, imparting a sense of from top – down direction. Organization is both an act of *division and collection*. Work is divided and assigned to specialized units. In organizational structure there are clear lines of authority, established policies and channels of communications, and well –defined tasks to be formed.

Along with the formal organization, we can also have what we call *informal organization*. Informal organizations are shadow organizations that evolve through the personal interactions, sentiments and social activities of individuals. We cannot see them on organizational chart.

They are not written down, they do not have job titles or formal descriptions of authority, yet they are often more influential than formal structures of authority. Informal organizational structures coexist with the formal ones. That means, with every formal organization, there is an informal organization.

Organization can be conceived purely in terms of:

- ☞ A mechanistic construct or
- ☞ A social system (the human relations school) if both formal and informal aspects are taken into account or
- ☞ As an agent of change if taken as an instrument of realizing change

Organizations can be classified based on their characters in to four broad categories:

- Social organizations, like educational institutions
- Industrial or/ and commercial concerns like business firms
- Service organizations like NGOs, institutions for charity etc
- Maintenance organizations, entrusted chiefly with regulatory activities, like ministries and commissions.

What is Organizational Behavior?

Nowadays, organizations are much more than means for providing goods and services. They create the settings in which most of us spend our lives. In this respect, they have profound influence on our behavior. Organizational behavior, in short, is the explanation of how people

behave in organizations. *Organizational behavior is the study of what people think, feel, and do in and around organizations. There are a few definitions given by different authorities.*

Before we define exactly what the field of organizational behavior represents, take a moment to think over the following question: Who was the single worst coworker/friend you've ever had? Picture fellow students who collaborated with you on class projects; colleagues from part-time or summer jobs; or peers, subordinates, or supervisors working in your current organization. What did this coworker do that earned him or her "worst coworker" status? Now take a moment to consider the single best coworker you've ever had. Again, what did this coworker do to earn "best coworker" status?

If you ever found yourself working alongside the two people, two questions probably would be foremost on your mind: "Why does the worst coworker act that way?" and "Why does the best coworker act that way?" Once you understand why the two coworkers act so differently, you might be able to figure out ways to interact with the worst coworker more effectively (thereby making your working life a bit more pleasant). If you happen to be a manager, you might formulate plans for how to improve attitudes and behaviors in the unit. Such plans could include how to screen applicants, train and socialize new organizational members, manage evaluations and rewards for performance, and deal with conflicts that arise between employees. Without understanding why employees act the way they do, it's extremely hard to find a way to change their attitudes and behaviors at work. By taking the above points into consideration, Stephen Robbins defined organizational in the following way

Organizational behavior (OB) is the field of study that seeks knowledge of behavior in organizational settings by systematically studying individual, group and organizational process, and then it applies that knowledge to make organizations work more effectively.

Stephen P. Robbins (1996) investigates OB as a field of study emphasize about individuals, groups and structure have on behavior within organizations for the purpose of applying such knowledge toward improving an organization's effectiveness. As a whole, it involves the understanding, prediction and control of human behavior and the factors, which influence the performance of people as members of an organization.

Schermerhorn R. John et.al.(2002), formally defined, organizational behavior is the study of individuals and groups in organizations. Learning about organizational behavior will help you

develop a better work-related understanding about yourself and other people. It can also expand your potential for career success in the dynamic, shifting, complex and challenging new workplaces of today...and tomorrow.

Organizational Behavior knowledge is based on behavioral sciences. It applies the scientific method to practical managerial problems. Organizational Behavior is not as some fields of science like physics and chemistry because of its relatively recent appearance (Organizational Behavior was formally established as a field by the late 1950s). However, Organizational Behavior specialists not only apply their knowledge, they conduct studies to help solve specific problems. These studies rely on the use of the scientific method, as it is the central defining characteristic of modern organizational behavior. Therefore, it is important to learn about behavior in organizational settings of various reasons:

Firstly, it is a way of thinking and humanistic orientation. Peoples and their attitudes, perceptions, learning capacities, feelings and goals are of major importance to the organization. Behavior is viewed as operating at individual, groups and organizational level.

Secondly, it is the application of scientific studies. As the scientific method has been used in conducting research on Organizational Behavior, a set of principles and guidelines on what constitute good research has emerged.

Third, it is performance oriented. It helps to answer important questions concerning goal setting, performance enhancement, job satisfaction, and individuals and groups decision – making.

Finally, it is multidisciplinary. It utilizes principles, models, theories and methods from other disciplines. Organization behavior is a field of study beginning to grow and develop in stature and impact.

To sum up our definition, OB is concerned with the study of what people do in an organization and how-that behavior affects the performance of the organization. And because OB is specifically concerned with employment-related situations, you should not be surprised to find

that it emphasizes: behavior related to jobs, work, absenteeism, employment turnover, productivity, human performance, and management.

There is increasing agreement on the components or topics that constitute the subject area of OB. While there is still considerable debate about the relative importance of each, there appears to be general agreement that OB includes the core topics of motivation, leader behavior and power, interpersonal communication, group structure and process, learning, attitude development and perception, change processes, conflict, job design, and work stress.

1.2. The Three Basic Units of Analysis In Organizational Behavior (*Model of Organizational Behavior*)



Brainstorming Activity

- 1) *Define what behavior means?*
- 2) *Explain what organizational behavior means?*
- 3) *Mention the importance of learning behaviors within organizations?*
- 4) *Write the main levels of OB?*

A model is an abstraction of reality; a simplified representation of some real world phenomenon. The model of organizational behavior is based on the three basic levels of analysis of organizational behavior: Individuals, Groups and Organizational. Organizational Behavior specialists look at behavior on three levels because individuals work in – groups within an organization setting.

As we move from the individual level to the organization level, we add systematically to our understanding of behavior in organizations. The three basic levels are analogues to building blocks; each level is constructed on the previous level. Groups are based on individuals and organizational behaviors are ultimately based on individual and group behaviors. Now let us see each level of analysis separately.

Individual level

People enter organizations with certain characteristics that will influence their behavior at work. The more obvious of these are personal or biographical characteristics such as age; gender; marital status; personality characteristics, attitudes and values, and basic ability levels. Individual perceptions and motives are also the concern of this level.

Group level

The behavior of people in – groups is more than the sum total of all individuals acting in their own way. Peoples’ behaviors when they are in groups are different from their behavior when they are alone. At the group level, it describes how people communicate with each other and coordinate their activities between themselves in workgroups.

Organizational Behavior reaches its higher level of sophistication when people add formal structure to their previous knowledge of individual and group behavior. Just as groups are more than the sum of their individual’s members, so are organizations more than the sum of their member groups. At this level, it is to examine the organizations as a whole – the way they are structured and operated in their environment, and the effects of their operations on the individuals and groups within them. The design of the formal organization, work processes, and jobs; the organization’s human resource policies and practices, and the internal culture all have its impact at this level.

There are three basic units used to analyze organizations behavior. These units are depicted in the following diagram.

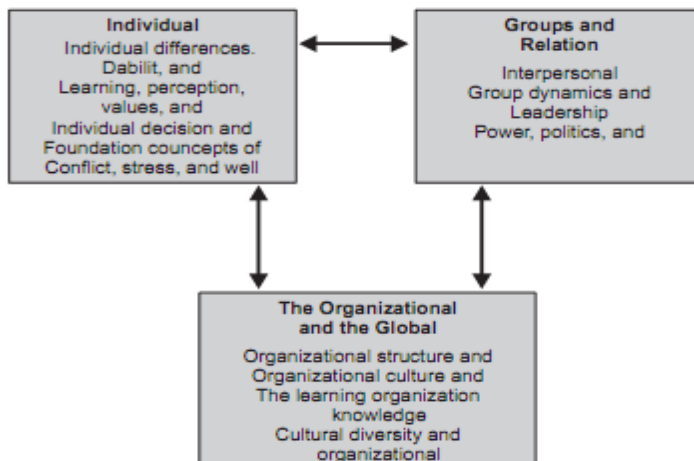


Fig 1.1: Framework for studying organizational behavior

The behavior of any organization believed to be affected by these three factors: individual, group and organization. Organizations behavior takes into account factors relating to the individual (employee) like personality, perception, attitude and values. In addition to this, organizational behavior also addresses the possible impact of behaviors exhibited by employees when they work in groups by studying their interpersonal relationship, reactions to different leadership

styles, power and organizational politics. Moreover, it assesses the nature of organizational structures and their respective impact on various dependent variables. In doing so it indicates the organizational culture, cultural diversity and ways of handling differences at organizational level. Look at the following exhibit to understand the organizational behavior model.

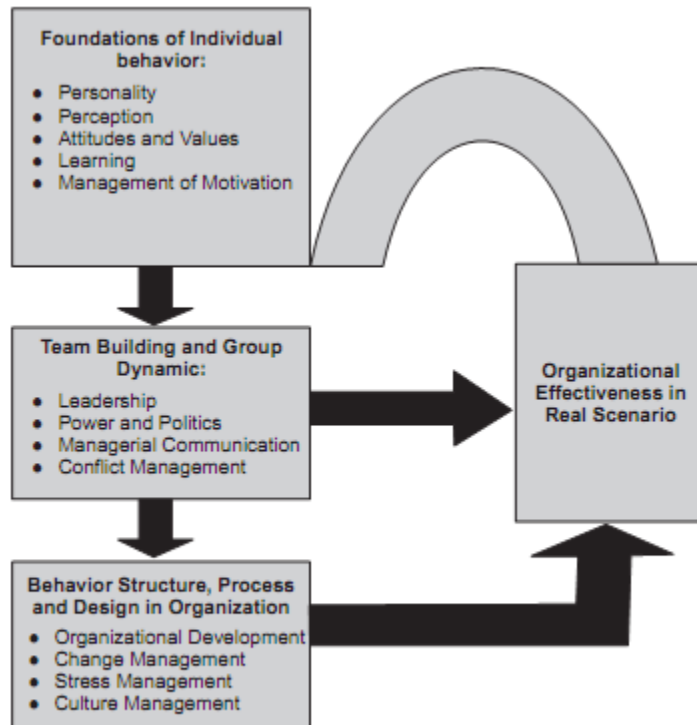


Fig. 1.12: Organization behavior model

1.3. Replacing intuition with systematic study

The field of OB seeks to replace intuitive explanations with systematic study that is the use of scientific evidence gathered under controlled conditions and measured and interpreted in a reasonably rigorous manner to attribute cause and effect. The objective of course, to draw accurate conclusion, so the field of organizational behavior it raises and conclusions is based on a large number of systematically designed research studies.

Organizational behavior systematically study actions (behavior) and attitudes, but not all action and attitude. Three types of behavior have proved to be important determinant of employee performance. *Productivity, Absenteeism*:- in terms of absence it is hard for an employee to be productive, if he/she is not at work. And *Turnover*:- high later of employee turnover increase costs and tend to place less experienced people in to job.

Organizational behavior is also concerned with employees' job satisfaction, which is an attitude. Managers should be concerned with their employees' job satisfaction for three reasons.

- a) There may be a link between satisfaction and productivity
- b) Satisfaction appears to be negatively related to absenteeism and turnover
- c) Finally, it can be argued that managers have a humanistic responsibility to provide their employee with jobs that are challenging, intrinsically rewarding and satisfying. Organizational behavior is specifically concerned with work related behavior and that taken place in organizations.

As far back as a century ago, consultants and scholars were giving increased attention to the systematic study of management. Although most attention was initially on physical working conditions, principles of administration and industrial engineering principles, by the 1940s the focus had broadened to include the essential human factor. This gave impetus to research dealing with individual attitudes, group dynamics and the relationship between managers and workers. Eventually the discipline of organizational behavior emerged as a broader and encompassing approach. Today, it continues to evolve as a discipline devoted to scientific understanding of individuals and groups in organizations and of the performance implications of organizational structures, systems and processes. To see how organizational behavior is a systematic study the following points will provide a good idea for learners.

Interdisciplinary body of knowledge: organizational behavior is an interdisciplinary body of knowledge with strong ties to the behavioral sciences-psychology, sociology, and anthropology, as well as to allied social sciences such as economics political science. Organizational behavior is unique, however in its devotion to applying and integrating these diverse insights to achieve a better understanding of human behavior in the organizations.

Use of scientific methods organizational behavior uses scientific methods to develop and empirically test generalizations about behavior in organizations. Scientific thinking is important to organizational behavior researchers and scholars for this reason the process of data collection is controlled and systematic, proposed explanations are carefully tested and only explanations that can be scientifically verified are accepted.

Focus on Application the field of organizational behavior focuses on applications that can make a real difference in how organizations and people in them perform. Outcome or dependent variables studied by researchers, for example including task performance, job satisfaction, job

involvement, absenteeism and turn over. It is in this sense organizational behavior is an applied social science that can ultimately help to improve the functioning of organizations and the work experiences of their members. Among the practical questions addressed by the discipline

- How should rewards such as merit pay raises be allocated?
- When should jobs should jobs be designed for individuals and for groups?
- What are the ingredients of successful teamwork?
- How organizational cultures be changed?
- Should decisions be made by individuals, consultative or group methods?
- What is the best way to achieve “win – win” outcomes?

Contingency Thinking rather than assume that there is one “best” or universal way to manage people and organizations. Organizational behavior recognizes that management practices must be tailored to fit the exact nature of each situation. Using a contingency approach researchers try to identify how different situations can best be understood and handled.

1.4. A review of a manager’s job and it relation to the study of OB



Brainstorming Activity

- *List down the basic managerial functions?*
- *Which managerial function is directly related with human beings?*
- *What is the relevancy of studying managerial functions for OB?*

Managers create and maintain an internal environment, commonly called the organization, so that others can work efficiently in it. A manager's job consists of planning, organizing, directing, and controlling the resources of the organization. These resources include people, jobs or positions, technology, facilities and equipment, materials and supplies, information, and money. Managers work in a dynamic environment and must anticipate and adapt to challenges.

The job of every manager involves what is known as the functions of management: planning, organizing, directing, and controlling. These functions are goal-directed, interrelated and interdependent. Planning involves devising a systematic process for attaining the goals of the organization. It prepares the organization for the future. Organizing involves arranging the necessary resources to carry out the plan. It is the process of creating structure, establishing relationships, and allocating resources to accomplish the goals of the organization. Directing involves the guiding, leading, and overseeing of employees to achieve organizational goals.

Controlling involves verifying that actual performance matches the plan. If performance results do not match the plan, corrective action is taken.

Organizational behavior provides solution as well as insight towards solution to many challenges which are faced by the organizations.

Some of the important roles performed by organizational behavior in management of business are as follows:-

1. Globalization- Due to globalization, organizations are no longer confined to one particular country. The Manager's job is changing with the expansion of the organizations across the national borders. Example, Volkswagen builds its cars in Mexico, Mercedes and BMW in South Africa. Due to globalization, the management has to deal with the problems of unfamiliar languages, laws, work ethics, management styles etc. The functions of hiring, training, etc must acquire a global perspective. Organizational Behavior helps the management to become flexible, and proactive and enables it to execute the organization on a global scale.

2. Managing work Force Diversity- Organizations are a heterogeneous mix of people in terms of age, gender, race etc. Managing the workforce diversity has become a global concern. Managers have to deal with individuals and groups belonging to different ethnic cultures. They have to exercise control and channelize behavior in the desired direction. Organizational behavior helps the managers to effectively deal with work force diversity by promoting its 566 Prabha Renuka Horo Frederick awareness, increasing diversity skills, encouraging culture and gender diversity.

3. Improving Quality and Productivity- Industries are facing the problem of excess supply. This has increased competition to a large extent. Almost every Manager is confronting the same problem of improving the productivity, quality of the goods and services their organization is providing. Programs such as business process reengineering, and total Quality Management are being implemented to achieve these ends. Organizational Behavior helps the Managers to empower their employees, as they are the major forces for implementing this change.

4. Improving customer service-Most of the employees work in service sector. The jobs in the service sector, is very demanding. It requires continuous interaction with the organizations clients i.e. the customers. Management has to ensure that the employees do everything to satisfy

the customers of the organization. The attitude and behavior of an employee affects the customer satisfaction. Organizational Behavior helps the managers to improve customer service and organizational performance.

5. Improving people skills- Organizational Behavior helps in better management of business as it helps in improving the skills of the people. It provides insight into the skills that the employees can use on the job such as designing jobs and creating effective teams.

6. Innovation and Change- Organizational Behavior helps in stimulating innovation and change. Employees can either be a hurdle or an instrument of change. It is organizational behavior which fosters ideas and techniques to promote innovation and change by improving employees creativity.

7. Work life balance- Organizations that do not help employees to achieve work life balance will not be able to retain their most talented employees. Organizational behavior helps in designing flexible jobs which can help employees deal with work life balance issues.

8. Promoting ethical Behavior- Sometimes the organizations are in a situation of ethical dilemma where they have to define right and wrong. It is Organizational Behavior which helps an important role by helping the management to create such a work environment which is ethically healthy and increases work productivity, job satisfaction and organizational citizenship behavior.

9. Creating a positive Work Environment.- Organizational behavior helps in creating a positive work environment in today's where competitive pressures are stronger than before. OB helps to develop resilience, human strength, and it fosters vitality.

1.5. The characteristics of OB

Organizational behavior seeks to improve people's quality of life at work. In the early part of the twentieth century, the growth of the railroads and the demand for manufacturing goods led many people from agriculture to manufacturing work. However, these peoples discovered a brutal work environment – noisy, hot and strictly controlled.

According to McGregor, the style of management can be put forward as two sets of suppositions, Theory X and Theory Y. theory X reflects the traditional view of management, it assumed people were lazy, dislike work and need direction, and will only work hard when they are being pushed. The central principle of Theory X is based on direction and control through a centralized system of organization and the exercise of authority.

On the other hand, today's management view of employees is more optimistic. While some hold to the old Theory X view, many are recognizing employees for their efforts and seek to create positive working conditions. McGregor calls this modern, optimistic view of employees. The Theory Y. this philosophy assumes that people have a psychological need to work and seek achievement and responsibility. It is assumed that people are not inherently lazy, but they need to work and seek responsibility and are worthy of trust. Thus, the central principle of theory Y is based on integration of individual and organization goals. Nowadays, Theory Y predominates among those interested in organizational behavior.

OB recognizes the dynamic nature of organizations. As a field of study OB pays attention to both behavior and the organizations within the behavior takes place. An organization is a structured social system consisting of groups and individuals working together to meet some agreed upon objectives. In studying organizations, OB scientists recognize that organizations are not static; they are dynamic and ever –changing entities. They recognize that organizations are open systems; that are self – sustaining systems that use energy to transform resources from the environment into some form of output. The continuous nature of the system characterizes the existence of organization.

Because of organizations dynamism and complexity OB assumes there is No one best approaches to manage organization – everyone wants to know what the best way to motivate and to lead is. However, there is no one best approach to motivate or to lead. OB scientists recognize a contingency approach that behavior is the result of a complex of interacting forces and must be dealt with accordingly. This approach takes the view that there is no one best, universal structure. There are a large numbers of variables, or situational factors, which influence organizational design and performance. The contingency approach emphasizes the need for flexibility. By adopting a contingency approach, the field of OB recognizes that behavior in organization is influenced by a wide variety of factors in combination with each other. The factors may include

background of individuals, colleagues, nature of work, the workplace, remuneration package, type of management, the surrounding environment, etc. therefore, OB specialists agree that the best motivation and the best leadership style are contingent upon the circumstances of the behavior.

OB confronts the challenges created by the changing nature of work. The world is constantly changing, and this phenomenon greatly influences the work setting. The changing demographics of the workforce make the work of OB more important. For example, there are more women working than ever before, who are better trained and educated. Secondly, globalization is another trend. The economy sooner or later need to be opened and makes the completion globally.

Thirdly, the increased use of automation and sophisticated computer technology has raised new issues and challenges for OB.



Brainstorming Activity

- | |
|--|
| - Explain the distinctive characteristics of OB. |
|--|

According to Ivancevich et al (2008) the following are some of the characteristics of organizational behavior.

1. It is a way of thinking about individuals, groups and organizations.
2. It is multidisciplinary – it uses principles, models, theories and methods from other disciplines.
3. There is a distinctly humanistic orientation – people and their attitudes, perceptions, learning capacities, feelings and goals are of major importance.
4. It is performance-orientated – it deals with the factors affecting performance and how it can be improved.
5. The use of scientific method is important in studying variables and relationships.
6. It is applications-orientated in the sense of being concerned with providing useful answers to questions which arise when managing organizations.

1.6 The Development of OB

As organizations increased in size and complexity, the need for human concern also increased. Different management theorists studied employees' needs and motives or behavior in an organization and the impact of employee behavior on productivity. Casual or common sense approaches to obtaining knowledge about human behavior are inadequate. Underlying the systematic approach is the belief that behavior is not random. It is caused and directed towards some end that the individual believes rightly or wrongly, is in his best interest. Behavior generally is predictable if we know how the person perceived the situation and what is important to him/her. While people's behavior may not appear rational to an outsider, there is reason to believe it usually is intended to be rational and it is seen as rational by them. Certainly there are differences between individuals. Placed in similar situations all people do not act alike. However, certain fundamental consistencies underlie the behavior of all individuals that can be identified and then modified to reflect individual differences.

As coined by Luthans, the early management pioneers such as Henry Fayol, Henry Ford, Alfred P. Salon and even the scientific management advocators at the end of the 19th century such as Frederic W. Taylor, recognized the behavioral side of management. However, they did not emphasize the human dimension; they let it play only a minor role in comparison with the roles of hierarchical structure, specialization, and the management functions of planning, organizing, staffing, leading and controlling.

About the time of World War I, Fayol headed up what was at that time the largest coal mining firm in Europe. Writing the generally considered first book in management, he emphasized that the purpose of organization was to get the work done in specialized, machine like functions. He did not emphasize that the organization is made up of people; it is not a machine. Yet, perhaps, the most widely recognized management expert in modern times, peter Druker, has stated, "The organization is, above all it is social. It is people." There are varied and complex reasons for the emergence of the importance of the organization as social system, but it is the famous Hawthorne studies that provide historical roots for the notion of a social organization made up of people and makes the generally recognized starting point for the field of organizational behavior.

The historical background of organizational behavior can be learned by having a through look at the following theories of management forwarded by various individuals. As forwarded by Mishra, these theories can be grouped into four main categories as Classical Approach, Neo Classical Approach, Behavioral approach and Modern Approach.

1. Classical Approach

Theories developed at the early stages were included under classical approach. The theories included in this category are bureaucratic, administrative, and scientific approaches. They emphasize on the structural or functional factors. The classical approach stresses on four S's that is, structure, specialization, scalar principle, and the span of control. This theory lays emphasis on the organizational structure. Moreover, it treats employees as economic beings like machines and money. Their maximum exploitation is suggested by applying the bureaucratic and coercive approach. Hire and fire is the basic approach of this theory. It led to a dehumanized organizational structure without considering the factors of flexibility and adaptability. The rules and regulations become the governing factors. Specialization based on the division of labor, scalar chain hierarchical organization, discipline, are the advantages of the classical approach. This approach ignores the significance of human beings in organizational growth. There is an absence of flexibility, adaptability, intrinsic rewards and personal attachment. Ignoring initiative, innovation and changes is not beneficial for the health of an organization.

Among the categories of classical theories the most recognized one is the scientific management theory. Hence, now let us have a brief look at scientific management theory as forwarded by Frederic W. Taylor.

a) Scientific Management Theory

The scientific management theory was propounded by F.W.Taylor and was carried out by Frank and Lillian Gilbreth, Henry L Gantt and Emerson. Taylor was considered as the father of the principles of scientific management. His primary concern was to increase productivity through greater efficiency in production and increase in payment for workers. As to this approach, the personal talent of the manager guided the workers who were motivated by bonus and monetary benefits. To this end, he tried to find out the basic principles of management by using time and work study, detailed analysis, investigation and planning of work allocation. It is known as

scientific management because systematized knowledge is used for work allocation and assignment of specific jobs. The salary, wages, etc are to be decided as per the work performance of individuals. Taylor described how the scientific method could be used to define the “one best way” for a job to be done.

The scientific management approach was concerned with the principles mentioned below among others:

- developing a standard method of doing a job
- scientific selection of personnel
- assigning workers to jobs depending on their abilities
- training workers on the work method
- eliminating interruptions
- offering economic incentives
- specialization
- functional foremanship
- work order and
- coordination

2. Neo Classical Approach

The classical theories concentrated on discipline and the economic well being of people. They ignored their morale and desires. Neo classical theories while accepting the merits of classical theories have given more importance to human relations and behavioral sciences. These theories modified, added, and extended the classical theories by realizing the fact that management exists in social system wherein human factors have noteworthy roles in performance. Employees can play crucial roles in decision making process provided that they are allowed to take part. Human relations and behavioral science have become two important approaches of neo classical theories.

a) Human Relations:

This theory was developed by Elton Mayo and his colleagues from 1924 to 1932 at the Hawthorne plant of western Electric Company. Below the Hawthorne study which was conducted in four phases is described in brief.

Elton Mayo and His Hawthorne Experiment: without any question, the most important contribution to the human relations movement within organizational behavior came out of the Hawthorne studies undertaken at the western electric company. The four phases of this study are:

1. **The Illumination Experiments:** this phase of the study revealed that light had no significance impact on productivity of workers. The intensity of light did not influence the productivity of telephone relays. Here attempts to predict behavior were made by studying the relationship between physical variables in the work environment such as illumination, rest periods, length of work weeks, length of work periods, and employee productivity.
2. **Relay Assembly Test:** this one provided several facilities to telephone relay assembly wherein it was observed that special attention and treatment caused employees to increase their productivity. It was termed as the Hawthorne Effect, where people feel the pride of belonging to a group. Herein, the relationship between non physical variables such as improved human relations, supervisory methods, social interaction, incentive systems, workers' authority, and productivity was studied.
3. **Interviewing Programs:** this one tested on human relations rather than on favorable physical conditions. It revealed that employees are unwilling to answer direct questions. They gave important clues towards management style when asked indirectly.
4. **The Bank Wiring Observation Room Experiments:** here sufficient freedom was given to the informal groups. It revealed that employees were not only economic beings but social and psychological beings as well. Their productivity was influenced by sentiments, beliefs and the group behavior of employees.

3. Behavioral Management Theory

The proponents of behavioral school recognized employees as individuals with concrete human needs as part of the work groups and as members of a large society. This theory believes in interpersonal relations. It states that employees are assets that can be developed not nameless robots expected to follow orders blindly.

F. Herzberg and V.Vroom suggested more rational models after Maslow who developed the need hierarchy. Robbert Owen, a successful textile mill manager in Scotland, is considered as the father of modern personnel management. He emphasized that management should show concern for employees.

Abraham Maslow- a humanistic psychologist- proposed a theoretical hierarchy of five needs; physiological, safety, social, esteem and self actualization needs. From a motivation standpoint, he argued that each step in the hierarchy must be satisfied before the next can be activated and that once a need is substantially satisfied, it no longer motivates behavior. McGregor, Likert and others emphasized democratic values and human motivation. Unlike the beliefs of classical theory, behavioral science believes that human beings like work and but it should not be super imposed rather be self realized.

Some of the major contributions of the aforementioned theory are described below.

- ✚ Individual behavior: behavior of individual employees has been considered important in the field of management. Their behavior is influenced by their respective feelings, perception, learning, and personality.
- ✚ Group behavior: the cultural and social backgrounds of employees have a significant role to play in management. People work together to accomplish the corporate objective, i.e., group objectives.
- ✚ Task: effective performance of a task is important while giving due importance to coordinated efforts and achievement.
- ✚ Participative management: employees have the right to take part in management decisions. Giving such opportunities to workers in the management process will help increase productivity and efficiency.
- ✚ Motivation: monetary and non monetary incentives should be used for motivating people. Employee development and worker satisfaction contribute greatly to production.
- ✚ Communication: two way communications is essential to establish a common flow of understanding in any organization. Formal and informal communication is exercised for managing people, although informal communication has more impact on management

success. Group communication, team spirit, man to man relations and group harmony have been realized by neo classical theorists.

4. Modern Approach

According to Mishara, the modern organizational theory has become complex for it synthesizes the classical and neo classical theories, while incorporating technological development. The modern theory is classified into quantitative, systems and contingency.

Quantitative Theory: this theory includes operations research and quantification of the problem. It analyses the problem from quantifiable angles and provides solutions to complex problems only with the help of statistical and mathematical models such as linear and non linear programming, decision tree, game theory, simulation, probability, and many others.

Systems Theory: a system is a set of interconnected and interrelated elements of management activity. It is an arrangement of components of activities performed for achieving certain objectives. Here the importance of considering an organization as composed of different work units/ sections striving to achieve a common goal and thereby the need of paying due attention to every unit is emphasized. According to this approach, if one section of the organization fails to accomplish its tasks then the overall wellbeing of the organization would be in jeopardy.

Contingency Management Theory: this theory is based on the premises that managers prefer actions or approaches depending on the variables of the situation they face. It recognizes that there is “no one best way” to manage people in organizations and no single set of simple principles that can be applied universally. A contingency approach to the study of organizational behavior is intuitively logical because organizations obviously differ in size, objectives, and environmental uncertainty. Similarly, employees differ in their values, attitudes, needs, and experiences. Therefore, it would be surprising to find that there are universally applicable principles that work in all situations, but it is one thing to say “it all depends.”

1.7. Contributing disciplines of OB

Organizational behavior is an applied behavioral science that is built on contributions from a number of behavioral disciplines. The predominant areas are psychology, sociology, social

psychology, anthropology, and political science. As we shall learn, psychology's contributions have been mainly at the individual or micro level of analysis; the other four disciplines have contributed to our understanding of macro concepts such as group processes and organization.

1. **Psychology:** is the science that seeks to measure, explain, and sometimes change the behavior of human and other animals. Psychologists concern themselves with studying and attempting to understand individual behavior. Those which contributed and continue to contribute to the knowledge of organizational behavior include learning, motivation, personality, perception, counseling psychologist, and most important, industrial and organizational psychologist.
2. **Sociology:** whereas psychologists focus their attention on the individual, sociologists study the social system in which individuals fill their roles; that is, sociology studies people in relation to their fellow human beings. Specifically sociologists have made their greatest contribution to organizational behavior through their study of group behavior in organizations, particularly formal and complex organizations. The following are among the major contributors to organizational behavior. Group dynamics, work teams, communication, power, conflict, inter group behavior and others.
3. **Social psychology:** is an area within psychology, but blends concepts from both psychology and sociology such as behavioral change, attitude change group processes and so on.
4. **Anthropology:** it studies societies to learn about human beings and their activities. The work of anthropologists on cultures and environments, for instance, has helped us understand differences in fundamental values, attitudes and between people in different countries and within different organizations. It focuses on comparative values and attitudes cross cultural analysis, organizational culture and environment.
5. **Political science:** this one deals with the behavior of individuals and groups within a political environment. Areas such as conflict, intra- organizational politics, power and others are investigated here.

1.8. Management and organizational behavior in the 21st century

There are a lot of challenges and opportunities to day for managers to use organizational behavior concepts. Some of the more critical issues confronting managers for which organizational behavior offer solutions or at least some meaningful insights towards solutions are:

- 1. Improving Quality and Productivity:** most managers are confronting the challenges to improve their organizations' productivity and the quality of the products and services they offer. Towards improving quality and productivity, managers are implementing programs like Total Quality Management (TQM) and Business Process Reengineering (BPR)-programs that require extensive employee involvement. Today's contemporary managers understand the success of any efforts at improving quality and productivity must include their employees. These employees will not only be a major force in carrying out changes but increasingly will participate actively in planning those changes.
- 2. Improving people skill:** since managers work with and get things done through others, they must have good human skills to communicate, motivate and delegate. Organizational behavior theories and concepts can help managers explain and predict the behavior of people at work. In this regard, managers are required to have the skills of effective listener, the proper way to give performance feedback, how to delegate authority, and how to create effective teams.
- 3. Managing Work Force Diversity:** one of the most important and broad based challenges currently facing organizations across the globe is adapting to people who are different. Organizations are becoming heterogeneous in terms of gender, race, and ethnicity of their employees. But the term encompasses anyone who varies from the so called norm. Managers should shift their philosophy from treating every one alike to recognizing differences and responding to those differences in ways that will ensure employee retention and greater productivity-while, at the same time not discriminating. Diversity, if positively managed, can increase creativity and innovation in organizations as well as improve decision making by providing different perspectives on problems.

- 4. Responding to Globalization:** management is no more constrained by national borders. Globalization affects a manager's people skills in at least two ways. First, managers are increasingly likely to be assigned in foreign country. He/she will be transferred to the employer's operating division or subsidiary in another country. Once there, the manager has to manage a workforce that is likely to be very different in needs, aspirations, and attitudes from the ones he/she were used to back home. Second, even in one's own country, managers find themselves working with bosses, peers, and subordinates who were born and raised in different cultures. What motivates you may not motivate them. While your style of communication may be straightforward and open, they may find this style uncomfortable and threatening. This suggests that if a manager has to work effectively with these people, he needs to understand their culture, how it is shaped them, and learns to adapt your management style to these differences.
- 5. Empowering People:** nowadays managers put employees in charge of what they do previously. They act as coaches, advisers, sponsors, or facilitators; apart from acting as bosses. In many organizations employees are becoming associates and there is a blurring between the roles of managers and workers. Decision making is being pushed to the operating level, where workers are being given the freedom to make choices about schedule, procedures, and solving work related problems. Managers encourage their employees to participate in work related decisions. Now managers are going considerably further by allowing employees' full control of their work.
- 6. Stimulating Innovation and Change:** employees can be the impetus for innovation & change or they can be a major stumbling block. The challenge for the manger is to stimulate employees' creativity and tolerance for change. Today's successful organizations must foster innovation and master the art of change or they will become candidates for extinction. Victory will go to those organizations that maintain their flexibility, continually improve their quality and beat their competition to the market place with a constant stream of innovative products and services.
- 7. Coping with Temporariness:** managers have always been concerned with change. What is different nowadays is the length of time between change implementations. They are

required to deal with flexibility, spontaneity, and unpredictability. Managing today would be more accurately described as long periods of ongoing change, interrupted occasionally by short periods of stability. The world that most managers and employees face today is one of permanent temporariness. Workers need to continually update their knowledge and skills to perform new job requirements.

- 8. Declining Employee Loyalty:** corporate employees used to believe their employers would reward their loyalty and good work with job security, generous benefits, and pay increases. But in response to global competition, unfriendly takeovers, leveraged buyouts, and the like, corporations began to discard traditional policies on job security, seniority, and compensation. On the other hand, these changes have resulted in a sharp decline in employee loyalty. An important challenge for managers would be to devise ways to motivate workers who feel less committed to their employers while maintaining global competitiveness.

1.9. Organization as a system

Mishra states that an organization is a social system wherein its members try to achieve their private goals while achieving the organization's goals. The seemingly contradictory goals are resolved by effective organizational behavior. The organization, namely a unit, a business company, government, army, a charitable institution or any association of persons, has some objectives which are attained by organizing the activities of their members. An organization is a structure, a process, and a relationship to achieve corporate objectives under the given environment. An organization is not static; rather it is dynamic and ever changing as per the needs of society, its members, corporate objectives and environmental changes. People form and develop organizations because they are unable to achieve the desired goals individually. They evolve different types of organizations according to their needs. An organization is a composition of people having different authorities and responsibilities to utilize the existing resources for achieving the organization's objectives.

Robins asserts that an organization is a consciously coordinated social unit, composed of two or more people, that functions on relatively continuous basis to achieve a common goal or set of goals.

Mooney and Reiley defined an organization as “the form of human associations for attaining common objectives.” The authority, responsibilities and the relationships between and amongst the members of an organization are also part of organizational function.

Hence, organizations are mechanisms through which many people combine their efforts together to accomplish more than any one person could do alone. Since an organization is a group of people working together to attain some common objectives, understanding, managing and controlling the behavior of individuals as well as groups is highly important to ensure the smooth operation of the unit and thereby realizing the set goals is crucial for survival and growth of the organization. Therefore, it can be concluded that organizations and organizational behavior, which deals the behavior of workers who make up the organization, are closely linked. If there is organization, obviously the need arises to have employees who will accomplish the objectives of the unit.

A system is a whole made up of parts. Each part can affect the way other parts work and the way all parts work together will determine how well the system works. This is a fundamental challenge to traditional management thinking. Traditionally we have learned to manage an organization by managing its separate pieces (sales, marketing, production, logistics, service, etc.). Managing in this way always causes sub-optimization; parts achieve their goals at the expense of the whole. Only changing the system solves the problem.

In essence, the systems perspective emphasizes that everything is connected to everything else and that it's often worthwhile to model businesses and processes in terms of flows and feedback loops. Systems thinking stress linkages and relationships and flows. It emphasizes that any given employee or unit or activity is part of a larger entity and that ultimately those entities, working together, are justified by the results they produce.

To effectively, nimbly, and proactively adapt to the demands of a rapidly changing environment, all system components – inputs, processes, outputs, and feedback – must be managed.

The organization as open system interacts with various factors operating in their environment. They acquire different types of inputs from the environment and process them into various forms of outputs which in return will be provided to the environment. This implies the organization affects and is being affected by its environment. How well it is doing can be recognized with the help of feedback which may come to the organization in the form of complaints, suggestions, showing loyalty and in many other ways. This is depicted in the figure below.

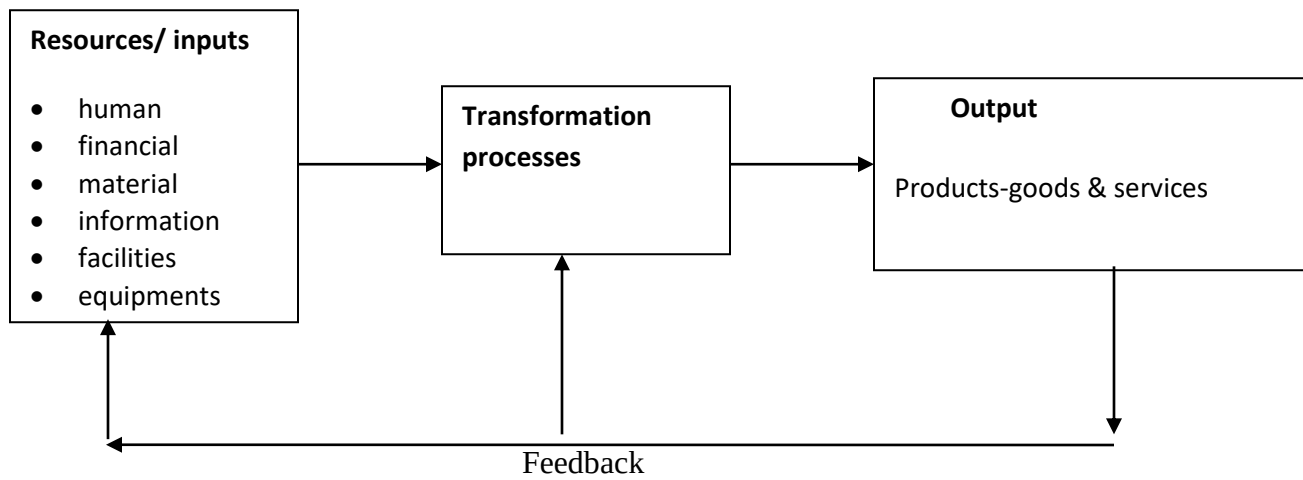


Fig. 1.2 Open system organizations interact with their environment.

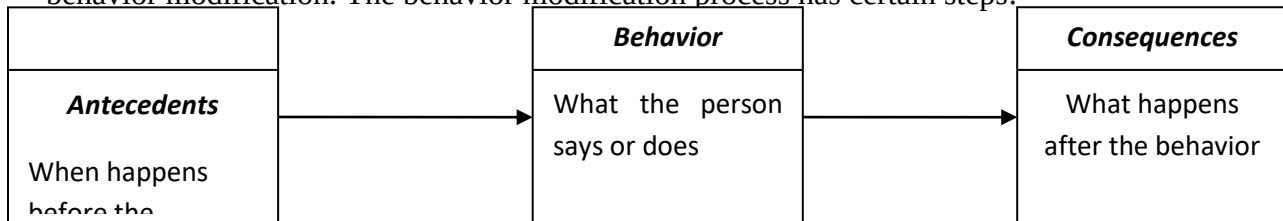
1.10. Ethics and Organizational Behavior

The word ‘ethics’ is important in organizational behavior. Ethical behavior is that accepted as morally ‘good’ and ‘right’ as opposed to ‘bad’ or ‘wrong’ in particular setting.

- Is it ethical to withhold information that might discourage a job candidate from joining your organization?
- Is it ethical to ask someone to take a job you know will not be good for his or her career progress?
- Is it ethical to ask so much of someone that they continually have to choose between “having a ‘career’ and having a ‘life’?” The public is increasingly demanding that people in organizations and the organizations themselves all act in accordance with high ethical and moral standards.

Behavior Process

People learn through their interaction with the environment. People learn from previous interactions with the environment to later behaviors in such a way that they maximize positive consequences and minimize adverse consequences. In other words, past experience teaches us how to operate on the environment so that we receive desired consequences from that environment. In the field of organizational behavior, this process is commonly known as behavior modification. The behavior modification process has certain steps:



There are two contingencies of behavior: the antecedents that precede behavior and the consequences that follow behavior. Antecedents are events preceding the behavior, informing employees that certain behaviors will have particular consequences. Antecedents signal employees to establish certain behaviors in order for certain consequences to occur. For instance, an employee may have a request from his supervisor to complete a specific task by tomorrow. This is an antecedent that signals to the employee that he should behave in a certain way to bring about certain consequences, say doing the task satisfactorily and hence praised by the supervisor. If, however, the employee fails to do the task as per the expectations of the supervisor, the employee may be penalized or at least fail to secure the confidence of the supervisor.

Unit Summary

The key to an organization's success is the institution's human resource. Organizations need human resources that work hard, think creatively and perform excellently. Rewarding , encouraging and nurturing the human resources in a timely and meaningful manner is what is required. A number of contributing disciplines stand out, such as psychology, sociology and cultural anthropology.

Organizational behavior can be defined as a field of study that investigates the impact of individuals, groups, and organizational structure on behavior within organizations for the purpose of applying such knowledge towards improving an organization's efficiency. It is the knowledge of people's behavior at work. Organizational behavior is an applied behavioral science that is built on contributions from such disciplines as psychology, sociology, social psychology, anthropology, economics, and political science.

There are three levels of analysis in organizations behavior, that is, individual, group and organizational level. Organizational researchers while studying human behavior tried to draw conclusions about casual relationships of two variables-dependent and independent. Accordingly, the primary dependent variables given by different scholars are absenteeism, productivity, turn over and job satisfaction. The independent variables include individual level variables, group level variables and organizational system variables.

The behavior of employees is the key to achieving effectiveness. People behave in many predictable and unpredictable ways. Each person has a unique behavioral pattern. Managers must observe, respond to and cope with the array of behavior patterns displayed by employees. The 'effect' is the behavior or reaction of a person who is being observed. Individuals who are being observed are likely to act in a non-routine way because they are being watched or are taking part in an experiment.

Employers and employees enter into psychological contracts. The employer believes that no worker is guaranteed a lifelong job or pay raise. If the workers performance is good and profit is earned, then employment continues and pay raises are provided. Employees today believe that employers should be honest, concerned about their families, and interested in their overall health. These assumptions are the basis of what is called the new psychological agreement.

Self- Reflective Exercise 1

Part I: Choose the best answer among the alternatives given

1. Which is NOT an important reason for understanding organizational behavior?
 - A. Most people are born and educated in organizations.
 - B. Government organizations regulate many of our activities.
 - C. Most adults spend the better part of their lives working in organizations.
 - D. Organizational behavior offers specific perspectives on the human side of management.
- _____ 2. Which one of the statements below is false?
 - A. The classical approach treats employees as economic beings like machines and money.
 - B. The classical approach includes bureaucratic, administrative and scientific approaches
 - C. F. W. Taylor's primary concern was to increase productivity through greater efficiency in production and increase payment for employees.

D. Taylor described how the scientific method could be used to define “one best way” for a job to be done.

E. None of the above

_____3. The phase of Hawthorne study in which the relationship between physical variables in the work environment such as illumination, rest periods, length of work hours, length of work weeks, and employee productivity is studied is

A. Relay assembly test

D. Interviewing program

B. The illumination experiment

E. B&C

C. The bank wiring observation room experiment

_____4. _____ theory states that employees are assets that can be developed; not nameless robots expected to follow orders blindly.

A. Scientific management theory

D. Systems theory

B. Behavioral management theory

E. None

C. Contingency theory of management

_____5. Identify the incorrect statement among the following

A. Quantitative theory analyzes organizational problems from quantifiable angles and provides solutions to complex problems with the help of statistical and mathematical models.

B. An organization can be considered as a system composed of different work units operating towards the achievement of common goal

C. Organizational behavior is the study and application of knowledge about how people act within organizations.

D. Systems theory contends that there is no ‘one best way’ to manage people in organizations

E. None

_____6. Which one of the following is not a dependent variable?

A. Absenteeism

C. personality

B. Turnover

D. Job satisfaction

E. Productivity

_____7. Realities of the new work place is manifested through

A. Changing consumer expectations

C. Changing organizations

- B. Changing workforce D. All of the above E. Only B&C

_____8. All the statements below are true except_____

- A. Managers need to develop their interpersonal or people skill if they want to be effective in their jobs.
- B. Organizational behavior focuses on how to improve productivity, reduce absenteeism and turnover and increase employee job satisfaction
- C. An organization is not dynamic; rather it is static
- D. Organizations are mechanisms through which many people combine their efforts together to accomplish more than any one person could do alone.
- E. None

_____9. A manager who hands over certificates to individuals who actively participated in the establishment of a company at the time of its opening ceremony is playing the role of

- A. Leadership C. Spokes person
- B. Liaison D. Figure head E. Monitor

_____10. A discipline that contributed towards the development of organizational behavior and which mainly seeks to measure, explain, and sometimes change the behavior of human and other animals is

- A. anthropology C. psychology
- B. sociology D. political science E. social psychology

_____11. The challenges and opportunities for organizational behavior include

- A. managing workforce diversity
- B. responding to globalization
- C. empowering people
- D. coping with temporariness
- E. all of the above

CHAPTER TWO

FOUNDATION OF INDIVIDUAL BEHAVIOR AND LEARNING IN AN ORGANIZATION

Unit Introduction

Dear learner, this chapter is entitled the foundation of individual behavior and learning in an organization.

Dealing with diversity and individual differences has to be included among the most important issues challenging all managers in the quest for high performance and organizational competitiveness. This is true not only in the US but also in Canada, EU countries and several countries in Asia.

Individual differences are important in studying organizational behavior and management for a very important reason: individual difference have a direct effect on behavior. Every person is unique because of their background, individual characteristics, needs, and how they perceive the world and other individuals. People who perceive things differently behave differently. People with different attitudes respond differently to directives. People with different personalities interact differently with bosses, co-workers, subordinates, and customers. In a multitude of different ways individual differences shape organizational behavior, and consequently, individual and organizational success. Individual differences, for example, help explain why some people embrace change and others are fearful of it. Or why some employees will be productive only if they are closely supervised, while others will be productive only if they are not. Or why some workers learn new tasks more effectively than others. There is virtually no area of organizational activity that is not affected by individual differences.

This unit highlights some of the individual differences that can explain way one person is significantly better performer than the other. Individuals in an organization or a group may differ from one another in a number of ways. These differences can be ascribed to a number of variables. It is difficult, if not impossible, to list all of the variables that may underlie individual differences. However, you can identify the most important ones as psychological and non – psychological basis of individual

differences in the work place. The psychological and non – psychological basis may indicate such factors as: abilities and skills, perception attitudes, job satisfaction, personality, learning, and motivation. Except the former ones (i.e. abilities and skills), the rest can be conceptualized as psychological factors.

Any attempt to learn why people behave as they do in organizations requires some understanding of individual differences. Each employee is different in many respects. Because of individual differences, one employee could be best performer than another employee. Managers need to ask how such differences influence the behavior and performance of subordinates.

Behavior is anything that a person does in the workplace. Talking to a manger, listening to a co-worker, filling a report, typing a memo, and placing a completed unit in inventory are all behaviors. Behavior (B) is a function of individual, organizational, and psychological variables. Thus it can be stated as $B = F(I, O, P)$. The behavior that results on the job is unique to each individual, but the underlying process is basic to all people.

Differences among people require forms of adjustments for both the individual and those for whom he works. Managers that ignore such differences often become involved in practices with hinder achieving organizational and personal goals. Effective managerial practice requires that individual behavior differences be recognized and when feasible taken into consideration while carrying out the job of managing organizational behavior.

To understand individual differences, a manager must:

- ☞ Observe and recognize the differences
- ☞ Study relationships between variables that influence individual behavior, and
- ☞ Discover relationships

A manger is in a better position to make optimal decisions if he/she knows what the attitudes, perceptions, and mental abilities of employees are as well as how these and other variables are related. It also is important to know how each variable influences performance. Begin able to observe differences, understand relationships, and predict linkages can facilitate managerial attempts to improve performance.

Unit Objectives

After completing this unit students should be able to:

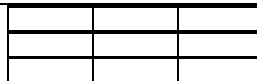
- Identify the major individual variables that influence work behavior.
- Understand how diversity is influencing the workplace
- Explain what an attitude is, and identify its basic components
- Identify the BIG-FIVE personality dimensions
- Discuss the relationship between job satisfaction and performance
- Describe the major forces influencing personality
- Discuss several important personality factors
- Identify the various types of learning in an organizational

2.1. Perception



Brainstorming Activity Let us see the following figure and try to respond the question.

- How many squares you find from the below figure? Thus, the immediate answer is 9 but the reality is different.



NB.

- 💡 There can be no behavior without perception and perception lies at the base of every individual behavior.
- 💡 Perception is a process that operates constantly between and reality.

2.1.1. What is Perception Mean?

Perception is one of the important cognitive factors of human behavior and it is essentially a psychological process.

Perception is the process whereby people select, organize and interpret sensory stimulation in to meaningful information about their work environment. Or perception is cognitive processes that enable us to interpret and understand our surroundings.

Perception is also the process of noticing and making sense of information. The information reaches us through any of the five senses (i.e. seeing, hearing, smelling, touching and testing. Or it is the process by which people select, organize, interpret, retrieve and respond to information from the world around

them. This information is gathered from the five senses of sight, hearing, touch, taste and smell. Perception and reality is not necessarily the same thing. The perceptions or responses of any two people are also not necessarily identical, even when they are describing the same event.

Trough perception people process information inputs into responses involving feelings and actions. Perception is a way of forming impressions about oneself, other people and daily life experiences. It also serves as a screen or filter through which information passes before it has an effect on people. The quality or accuracy of a person's perceptions has a major impact on his/her responses to a given situation.

However, we trust what we see, hear, touch, smell and test accurately reflects the world as it objectively is. If this were true, then everyone who noticed the same stimuli would perceive the same thing. But there are cases in which perceptions are subjective.

People in organizations are bombarded constantly by thousands of visual, auditory, tactile (sense of touch), gustatory (sense of test) and olfactory (sense of smell) stimuli.

The critical question in the study of perception is “Why the same world is viewed differently by different people?” the answer is quite obvious. That is psychologically, the world is not same for different people. The question still remains as to why? An understanding of perception clarifies this point.

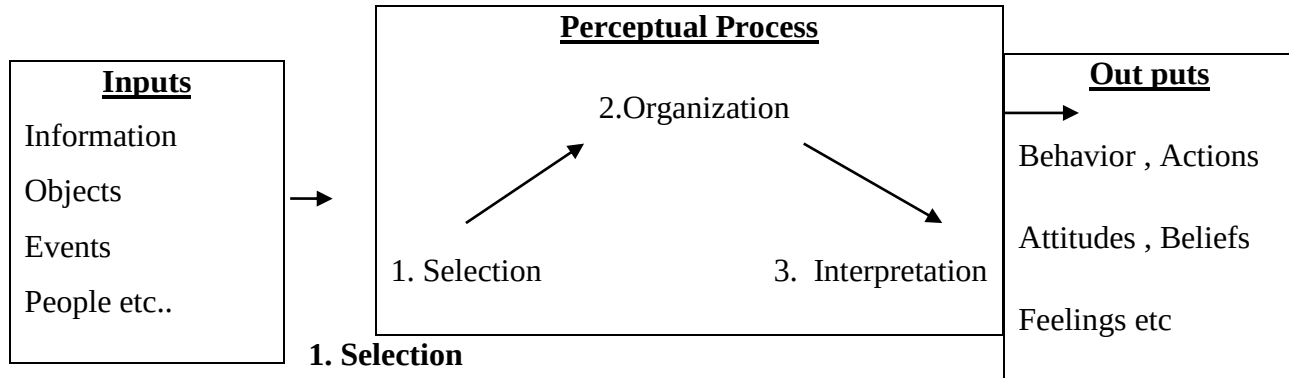
2.1.2. Perceptual Process



Brainstorming Activity

- *Mention the basic psychological principles of selectivity?*
- *What are the methods of perceptual organizations?*
- *What affect understandings of individual perceptions?*

It is widely known that outputs are a function of inputs. Similarly, perceptual inputs are the first received then processed by the perceiver and the resultant output becomes the base of the behavior.



Individuals cannot assimilate all they observe so they engage in selectivity. Perceptual selection takes account only those stimuli that are relevant and appropriate for an individual. Selection is the first fundamental step in perceptual process. There are numerous stimuli constantly confronting everyone all the time. The process of choosing certain stimuli for further processing is known as ‘selection’. Selectivity is an important means of handling the perceptual overload. Individual collect bits and pieces of information, not randomly, but selectively depending on the interest, background, experience, attitudes of the perceiver and other factors.

Selectivity perception involves two psychological principles

- A) **Figure ground principle**- in the perceptual field certain factors are considered significant and give a meaning to the person and certain others which are whether unimportant for a person or cannot be studied are left as insignificant. The meaningful and significant portion is called the ‘figure’ and the insignificant or meaningless portion is known as ‘ground’.
- B) **Relevance**; - is one important criterion for selective perception. People selectively perceive things that are relevant to their needs and desires.

2. Organization

Another associated mechanism in perception is the organization. The perceived inputs/incoming stimuli are organized into meaningful pictures to the perceiver.

Organization – organizing information that is incoming in to a meaningful whole. These process is also labeled as ‘Gestalt process’ (i.e. a Germany word essentially meaning ‘to organize’). There are ways people organize the perceived inputs, objects events; grouping, closure and simplification.

- a) **Grouping:** people or things can be grouped on the bases of similarity or proximity. The greater the similarity in the events the greater is the probability that we tend to perceive them as a group. Further, objects that have close proximity are also grouped under one head howsoever they are unrelated. Example, if in a department two people suddenly resign then people tends to perceive that their departures were closely related whereas in reality it might not be so. One might have got a foreign assignment; other might be starting his own business. The tendency to group people or things that appear to be similar in certain ways, but not in all, is a common means of organizing our perception. It should be noted that because these persons or things are similar only in certain ways but not all, perceptual distortion can take place.
- b) **Closure:** people when faced with incomplete information have a tendency to fill in the gaps themselves. When presented with a set of stimuli that are incomplete, people fill in the missing parts and make it more meaningful. The tendency to organize perceptual stimuli so that they form a complete message is known as ‘closure’.

In organizations, managers usually do not have complete information on the basis of which to judge the employees managers in such cases fill the missing message and make decisions.

- c) **Simplification:** whenever people are overloaded with information they try to simplify it to make it more meaningful and understandable. Simplification, occurs when the perceiver subtracts less salient information and concentrates on important one. Simplifications precipitate the unnecessary and unimportant information and results easy reading of a particular phenomenon. It is an essential step in organizations. Simplification is vital because in the absence of this, things may look complicated and the perceiver may be baffled.

3. Interpretation

The third and most important mechanism of perception is interpretation. Without the interpretation of the perceived world would be meaningless. It is subjective and judgment process. In organization, interpretation is influenced by many factors such as

- 🕒 **Mental setup:** the current state of an individual

- 💡 **First impressions:** perceiving the stimuli on the first sight
- 💡 **Halo effect:** perceiving the stimulus based on a single quality or it is the process of using single personality traits of an individual and drawing a general impression about him/her.
- 💡 **Stereo type:** judging people on the basis of the characteristic of the group they belong. Or selecting the stimulus based on a single category.
- 💡 **Attribution:** cause and effect attachment to their behavior
- 💡 **Inference:** shortcut judgment, judging people on limited information.
- 💡 **Situational factors:** like place, time etc

2.1.3. Factors influence Perception



Brainstorming Activity

- *List down the major factors that can affect individual perceptions?*
- *How perceptual distortion will happen?*

The factors that influence perceptual mechanism are of two kinds

- I) **Indigenous/ Internal factors:** among the internal factors the most important are the needs, desires of individuals, individual personality and the experience of people.
 - Personality is the other profound influence on perceive behavior. It is a trait saying that optimistic people perceive the things in favorable terms, pessimistic begins in negative terms.
 - Experience and knowledge – if we have successful experience it signifies accuracy and failure signifies loss of self confidence.
- II) **Exogenous / external factors:** perception is also influenced or affected by the characteristics of perceived object or event or person. This includes size of the stimulus, intensity, frequency status and contrast.

In general, the factors that contribute to perceptual differences and the perceptual process among people at work are summarized and include characteristics of the perceiver, the setting and the perceived.

The perceiver / a person's past experiences, needs or motives, personality, and values and attitudes may all influence the perceptual process. A person with a strong achievement needs tends to perceive a situation in terms of that need. If you see doing well in class as a way to help meet your achievement need, for example you will tend to emphasize that aspect when considering various classes. By the same token, a person with a negative attitude toward unions may look for antagonism even when local union officials make routine visits to the organization. These and other perceiver factors influence the various aspects of the perceptual process. Moreover, a person with high *ego (self-esteem)* needs would look at other people or situations either as ego satisfying or ego threatening, thus perhaps making the perception inaccurate. Our attitudes toward others are also influenced by our previous experiences with them. For example, if an employee was promised a bonus or a promotion on certain accomplishments and did not receive the promised rewards in spite of such accomplishments, then he/she would perceive the manager with *distrust*. Assume also when you are not in favor of somebody who in reality wants to take care of you, unless you know the exact personality of this person you may judge him/her bad person because you hate him (without any reason).

The setting the physical, social and organizational context of the perceptual setting also can influence the perceptual process. For example, you will behave with your boss differently at a social function than in the office. In an organizational setting where people are given an opportunity to interact in a friendly and social work situation, they become more trustworthy and less defensive. Assume also about a man with two different extremely opposite behaving people, one you admire very much and the other you hate to death. If you see a man with the one you admire you may respect him, if you see him with the one you hate, do you respect him as before? Why?_____. That is situational influence on perception!

The other factor is the perceived, characteristics of the perceived person, object, or event, such as contrast, intensity, figure-ground separation, size, motion and repetition or novelty, are also important in the perceptual process. This is about the object under perception. The observers might interpret an object differently because of its characteristics. But the item remains the same. The major characteristics of perceived objectives are physical characteristics such as appearance, facial expression, age, gender, manner of communication, as well as personality traits and other forms of behaviors. For example, people have no the same perception for a person in neat business suit and one

in ordinary suit. Smiling while talking and gloomy faces also indicate different things as a perceiver observes them.

2.2. Attitude

2.2.1. Definition

Attitude is an internal state of the person that is focused on objects, events, people that can exist in the person's psychological world.

An attitude is the predisposition of the individual to evaluate some object in favorable or an unfavorable manner. An individual's behavior is also a function of attitudes. An attitude is also a cognitive element it always remains inside a person. The most pervasive phenomenon is attitude.

Attitudes are different from values.

- Values are the ideas- abstract ideas positive/negative not tied to any specific object or situation that represents our beliefs about ideal conducts. Whereas attitudes are narrower, they are our feelings, thoughts and behavioral tendencies towards a specific object or situation.
- Attitude is a set of predisposition to respond to a certain set of facts. It is also evaluative statements, either favorable or unfavorable concerning the objects, people or events.
- Attitudes are determinants of behavior, because they are linked with perception, personality and motivation. An attitude is a mental state of readiness, learned and organized through experience, exerting specific influence on person's response to people, objects, and situations with which it is related. Each of us has attitudes on numerous topics: friends, jobs, religion, the government, unions, income taxes, etc.

This definition of attitude has a certain implications for the manger. First, attitudes are learned. Second, attitude defines one's predispositions toward given aspects of the world. Third, attitudes provide the emotional basis of one's interpersonal relations and identification with others. And fourth, attitudes are organized and are close to the core of personality. Some attitudes are persistent and enduring. Yet, like each of the psychological variables, attitudes are subject to change. Attitudes are intrinsic (internal) parts of a person's personality.

Attitudes, which are useful to people in a variety of ways, may serve at least four functions: adjustment, ego – defensive, values expressive, and knowledge.

The adjustment function of attitudes serves to enable people to more easily and effectively come to terms with their environment. Attitudes may assist individuals in adjusting to new or changing situations and may also provide a justification or rationale for their behaviors.

The ego – defensive function of attitudes allows people to protect themselves from having to acknowledge negative or otherwise unwanted truths about themselves. In this way threats to one's self –esteem or ego can be minimized. A lazy employee, for example, might develop an attitude that his supervisor does not like him, not because he is not a hard worker but because he frequently expresses disagreement with the supervisor. Unfortunately, ego – defensive attitudes are frequently counterproductive for both the individual who holds them and for the organization because they reinforce distorted perceptions of reality.

Attitudes provide an opportunity for individuals to express beliefs and values that are very important to them. When this is the case, attitudes are serving a value –m expressive function. Attitudes expressed about issues such as curbing corruption, curbing sexual abuses in the workplace, defining the role of church and state, developing team spirit in the workplace, fighting drug abuse, etc. are examples of value expression; the attitude the individual holds regarding these issues represents a vehicle for expressing important central values.

Finally, attitudes may fill a knowledge function. Such attitudes assist individuals in structuring their environment and bringing a greater degree of order to what otherwise might be chaotic world. Stereotypes of attitudes are representative of the knowledge function of attitudes. For example, the attitude held by some union members that management cannot be trusted reflects a way in which the holder of that attitude can simplify his world; having such an attitude allows the holder to deal with all management the same way and negates the need to evaluate the position of individual managers.

The definition of attitude entails a much less controversy than any other cognitive elements such as perception, morale, belief, values etc. in the language of layman, we may describe an attitudes as the way we feel about something. This may be a feeling towards college, football team, church, democracy, parents, supervisors or organization. The object may be anything people, things, ideas, policies and so on. The notable features of attitudes is that it varies

- In direction (favorable- unfavorable)
- Intensity (how strongly they are hold)

- The extent of consciousness (awareness of individual concerning his attitude)

2.2.2. Characteristics of Attitudes

Attitudes can be distinguished in terms of / characterized by their

Valence- it refers to the magnitude or degree of favorableness or unfavorableness towards the object or events. While measuring the attitudes we are basically concerned with the valence. If a person is relatively indifferent towards an object then his attitude has low valence. On the other hand, if a person is extremely favorable or unfavorable towards an object then his attitude will have a high valence.

Multiplicity – it refers to the number of elements constituting the attitude. For example, one student may show interest in studies, but another shows interest, in addition works hard, sincere and serious. Similarly, an employee may feel simply loyal to an organization, but another may feel loyal, respectful and dependent.

Relation to Needs- attitudes can also vary in relation to the needs they serve. For instance, attitudes of an individual toward the pictures may serve only entertainment needs. On the other hand, attitudes of an individual towards task may serve strong needs for security, achievement, recognition and satisfaction.

Centrality – one salient/ prominent/ characteristics of the attitude refers to the importance of the attitude object to the individual. The centrality indicates the importance of the object. The attitudes which have high centrality for an individual will be less susceptible to change.

2.2.3. Components of an Attitude



Brainstorming Activity

- What is cognitive dissonance?
- How cognitive dissonance will happen?
- What are the remedial tools to reduce or eliminate cognitive dissonance?

The structure of a person's attitude comprises of three vital components; affective, cognitive and overt.

- Affective component;** the *affective or feeling* component refers to the *emotions associated* with an attitude object. It basically consists of the '*feelings*' a person has towards an attitude object. It is *an emotional component* that develops as a conditioned response by association

with stimuli that have either *punishing or rewarding effects*. It is *learned* from parents, teachers and peer group members. This component is concerned with the evaluation and emotion and is often expressed as like or dislike, good or bad, pleasing or displeasing, favorable or unfavorable. The expression of warmth, love, hate, and other emotional expressions are also belonging to the affective component. In work organizations, the example of affective components of a person X attitude towards Y may be;

- X dislikes Y on personal grounds
- X dislikes Y because he is liked by employer
- X dislikes Y because he makes more money than X
- X dislikes Y because he takes good decisions despite the lack of experience and training.

II) **Cognitive Component**; represents the *belief of a person* about an attitude object. The belief may be based on a variety of learned experiences, rumors, misunderstandings or any other information. This component consists of the *person's perceptions, opinions and beliefs*. It refers to the *thought process with special emphasis on rationality and logic*. It is sometimes referred to as "*opinion*". It is important to note that there may be incongruence between the affective and cognitive components. The affective components (feelings) may be positive and the cognitive component (belief/opinion) may be negative. For instance, you may have a *positive feeling toward a person* but still that *he has negative characteristics*. Cognition is basically *what individuals know about themselves and their environment*. It implies a *conscious process of acquiring knowledge*. An important element of cognition is the *evaluative beliefs held by a person*. Evaluative beliefs are manifested in the form of *favorable or unfavorable* impressions that a person holds toward an object or person.

III) **Overt Component**: it is also known as *behavioral or 'conative'* component. This component is concerned with the way one intends to behave toward a particular attitude object. Both the affective and cognitive components (*feelings and beliefs*) influence the way a person intends to behave towards an object. For instance, if a person has a negative feelings or belief toward an object he will be likely to behave negatively toward the object. In other words, the behavioral component of attitude consists of the tendency to act or react toward an attitude object in certain specified ways.

Cognitive Dissonance: sometimes there may be discrepancies between attitudes and behaviors. This kind of discrepancies is called Cognitive dissonance (i.e. a mental state of anxiety that occurs when there is a conflict among an individual's various cognitions (for example, attitudes and beliefs) after a decision has been made. There are ways of reducing or avoiding cognitive dissonance, reducing the dissonance elements, adding consonant elements and changing dissonance elements all together.

2.2.4. Attitude formation



Brainstorming Activity

- *How attitudes are formed?*
- *Try to list some of job related attitudes found in work places?*

Attitudes are learned. Our response to people and issues evolves over time .The major influences on attitudes are:

- Direct experiencing and
- Social learning

Direct experiencing: with an object or person is a powerful influence on attitude. Attitudes that are derived from *direct experience* are stronger, are held more confidently, and are more resistant to change than are attitudes formed through *indirect experience*. One reason attitudes formed through indirect experience is easily accessed and is active in our cognitive processes. This means that the attitudes easily accessed and are active in our cognitive processes. Attitudes that are learned through direct experience are not available, and therefore we do not recall them as easily.

In social learning, the family, peer groups, religious organizations and culture shape an individual's attitude in an indirect manner. Children learn to adapt certain attitudes by the reinforcement they are given by their parents when they display behaviors that reflect an *appropriate attitude*. Peer pressure mold attitudes through group acceptance of individual who express popular attitudes and through sanctions. Culture also plays a definitive role in attitude development.

2.2.5. Source of attitude

Attitudes, like values, are acquired from parents, teachers, and peer group members. We are born with certain genetic predispositions. Then, in our early years, we begin modeling our attitudes after those we admire, respect, or maybe even fear. We observe the way family and friends

behave, and we shape our attitudes and behavior to align with theirs. People also imitate the attitudes of popular individuals and those they admire and respect.

In contrast to values, your attitudes are less stable. Advertising messages, for example, attempt to alter your attitudes toward a certain product or service: If the people at Ford can get you to hold a favorable feeling toward their cars, that attitude may lead to a desirable behavior (for them)-your purchase of a Ford product.

In organizations, attitudes are important because they affect job behavior. If workers believe, for example, that supervisors, auditors, bosses, and time- and-motion engineers are all in conspiracy to make employees work harder for the same or less money, then, it makes sense to try to understand how these attitudes were formed, their relationship to actual job behavior, and how they might be changed.

2.2.6. TYPES OF ATTITUDES

A person can have thousands of attitudes, but OB focuses our attention on a very limited number of job related attitudes. These job related attitudes positive or negative evaluations that employees hold about aspects of their work environment. Most of the research in OB has been concerned with three attitudes:

- A. Job satisfaction
- B. Job involvement
- C. Organizational commitment

A) Job Satisfaction:- Refers to an individual's general attitude towards his / her job. A person with a high level of job satisfaction holds positive attitude towards the job; a person who is dissatisfied with his /her job holds negative attitude about the job. Evidences indicates that the more important factors conducive to job satisfaction are:

- Mentally challenging work
- Equitable rewards
- Supportive working conditions and
- Supportive colleagues

Mentally Challenging Work

Employees tends to prefer jobs that give them opportunities to use their skills and abilities and offer a variety of tasks , freedom , and feedback on how well they are doing. These characteristics make work mentally challenging. Jobs that have little challenges create boredom, but too much challenge creates

frustration and feelings of failure. Under conditions of moderate challenge, most employees will experience pleasure and satisfaction.

Equitable Rewards

Employees want pay system and promotion policies that they perceive as being just, unambiguous, and in line with their expectations. When pay is seen as fair, based on the job demands, individual skill level, and community pay standards, satisfaction is likely to result. Similarly, individuals who perceive that promotion decisions are made in a fair and just manner are likely to experience satisfaction from their job.

Supportive Working Conditions

Employees are concerned with their work environment for both personal comfort and facilitating doing a good job. They prefer physical surroundings that are safe, comfortable, clean, and with a minimum degree of distractions.

Supportive Colleagues People get more out of work than merely money or tangible achievements. For most employees, work also fills the need for social interaction. Not surprisingly, therefore, having friendly and supportive co-workers leads to increased job satisfaction.

B) Job Involvement

It measures the degree to which a person identifies psychologically with his / her job and considers his or her perceived performance level important to self worth. Employee with a high level of job involvement strongly identifies with and really cares about the kind of work they do. High level of job involvement has been found to be related to fewer absences and lower resignation rates.

C) Organizational Commitment

It is a state in which an employee identifies with a particular organization and its goals, and wishes to maintain membership in the organization. So, high job involvement means identifying with one's employing organizations. As with job involvement, the research evidence demonstrates negative relationship between organizational commitment and both absenteeism and turnover.

There are two kinds of organizational commitment:

- Affective and
- Continuance

Affective Commitment – is an employee's intention to remain in an organization because of a strong desire to do so. It consists of the following factors:

- A belief in the goals and values of the organization
- A willingness to put forth effort on behalf of the organization
- A desire to remain membership of the organization

Continuance Commitment- is an employee's tendency to remain in an organization because the person cannot afford to leave. Sometimes, employees believe that if they leave, they will lose a greater deal of their investment in time, effort, and benefits and those they cannot replace these investments.

Certain organizational conditions encourage commitment, participation in decision making and job security are two such conditions. Certain job characteristics also positively affect commitment. These include autonomy, responsibility and interesting work. Organizational commitment is related to lower rates absenteeism, higher quality of work and increased productivity.

2.2.7. Attitudes and consistency

Did you ever notice how people change what they say so it doesn't contradict what they do? Perhaps a friend of yours has consistently argued that the quality of Ethiopian cloths isn't up to that of the imports and that he'd never own anything but a foreign Import. But his dad gives him late fashion cloths, and suddenly they're not so bad. Or, when going through sorority rush, 'anew freshman believes sororities are good and that pledging a sorority is important. If she fails to make a sorority, however, she may say, "I recognized that sorority life isn't all it's cracked up to be, anyway!" '

Research has generally concluded that people seek consistency among their attitudes and between their attitudes' and their behavior. This means that individuals seek to reconcile divergent attitudes and align their attitudes and behavior so they appear rational and consistent. When there is an inconsistency, forces are initiated to return the individual to an equilibrium state where attitudes and behavior are again consistent. This can be done by altering either the attitudes or the behavior or by developing a rationalization for the discrepancy.

For example, a recruiter for the ABC Company; whose job it is to visit college campuses, identify qualified job candidates, and sell them on the advantages of ABC as a place to work, would be in conflict if he personally, believes the ABC Company has poor working conditions and few

opportunities for new college graduates. This recruiter could, over time, find his attitudes toward the ABC Company becoming more positive. He may, in effect, brainwash himself by continually articulating the merits of working for ABC. Another alternative would be for the recruiter to become overtly negative about ABC and the opportunities within the firm for prospective candidates. The original enthusiasm that the recruiter may have shown would dwindle, probably to be replaced by open doubt toward the company. Finally, the recruiter might acknowledge that ABC is an undesirable place to work, but think that, as a professional recruiter, his obligation is to present the positive side of working for the company. He might further rationalize that no place is perfect to work at; therefore, his job is not to present both sides of the issue, but rather to present a rosy picture of the company.

2.3. PERSONALITY



Brainstorming Activity

- *What is personality?*
- *What factors affect individual personalities?*
- *List down some personality features observed at work places?*

Personality refers to a relatively stable pattern of behaviors and consistent internal states that explain a person's behavior tendencies. Personality refers to the sum of total ways in which an individual reacts and interacts with others. A relative stable set of feelings and behaviors that have been significantly formed by genetic and environmental factors.

2.3.1. Personality Determinants

The journey of an individual through life can take infinite number of paths. Here, the question arise "What are the determinants of individuals personality?" the major determinants of personality of an individual can be studied under 4 broad categories. An adult's personality is now generally considered to be made up of both hereditary and environmental factors moderated by situational conditions.

1. Biological: consists of heredity, the brain and the physical nature.

Heredity: - the relative effect of heredity comprises an extremely old argument in personality theory. According to heredity certain characteristics, primarily physical in nature are inherited from one's parents transmitted by genes in the chromosomes contributed by each parents. It refers to those factors that were determined at conception. Physical structure, facial attractiveness, sex, temperament, muscle

compositions and reflexes, energy level, and biological rhythms are characteristics that are generally considered to be either completely or substantially influenced by who your parents were; that is by their biological, physiological and inherent psychological makeup.

Brain: is another biological factor that influences personality is the role of brain of an individual. Psychologists are unable to prove empirically the contribution of human brain in influencing personality.

Physical features: is the most outstanding factor that contributes to personality. An individual's external appearance is proved to be having a tremendous effect on his/her personality.

2. **Cultural Factors:** it largely determines what a person is and what a person will learn. Culture is the complex of those beliefs, values and techniques for dealing with the environment which are shared among contemporaries and transmitted by one generation to the next. It requires both conformity and acceptance from its members.

3. Family and Social factors:

Socialization process: the contribution of family and social groups in combination with the culture is known as socialization. It is the process by which an individual infant acquires from the enormously wide range behavioral potentials that are open to him at birth, those behavior patterns that are customary and acceptable according to the standards of his family and social group. It initially starts with the contact with mother and latter on to the other members and the social group plays influential role in shaping an individual's personality.

Identification process: it starts when a person begins to identify himself with some other members of the family. Normally a child tries to emulate certain actions of his parents.

4. Situational Factors

Human personality is also influenced by situational factors. The effect of environment is quite strong.

Environment: Among the factors that exert pressure on over personality formation are culture in which we are raised, our early conditioning, the norm among the family, friends, and social groups and other influence that we experience. The environment we are exposed plays a critical role in shaping our personalities. Situation influences the effects of heredity and environment on personality. An individual's personality, while generally stable and consistent, does changes in different situations. The different demands of different situations call forth different aspects of one's personality. We should

not, therefore, look at personality patterns in isolation. Knowledge, skill and language are obviously acquired and represent important modification of behavior. Learned modifications in behavior are not passed on to children they must be acquired by them through their own personal experience, through interaction with the environment.

2.3.2. Personality Attributes influencing OB

Managers should learn as much as possible about personality in order to understand their employees. A number of specific personality attributes have been isolated as having potential for predicting behavior in organizations. These are:

- Locus of control
- Self esteem
- Self efficacy
- Self monitoring
- Authoritarianism
- Propensity for taking risk

Locus of control

- The degree to which people believe that they are masters of their own fate (destinies).
- An individual generalized belief about internal (self) versus external (situation or other) control.
- People who believe they control what happens to them are said to have an internal locus of control- internals.
- People who believe the circumstances or other people control their fate have an external locus of control – externals.

Internals have been found to have:

- higher job satisfaction
- to be more likely to assume managerial positions
- Prefer participative management style
- display higher work motivation
- receive higher salaries
- display less anxiety than externals

Externals in contrast,

- May prefer a more structured work setting, and
- They may be more reluctant to participate in decision making.

Self esteem

- Is an individual's general feeling of self –worth.
- Individuals' degree of liking and disliking for themselves.
- Individuals with self esteem have :
 - ✓ Positive feeling about themselves
 - ✓ Perceive themselves to have strength as well as weaknesses.
 - ✓ Believe their strengths are more important than their weaknesses

Individuals with low self esteem

- ✓ View them negatively
- ✓ Strongly affected by what others think of them
- ✓ Compliment to individuals who give them positive feedback.

In general people who have high self –esteem

- 🕒 Perform better
- 🕒 More satisfied with their jobs
- 🕒 When they are involved in job search, they seek out higher status jobs .

Self efficiency: - it refers to an individual's beliefs and expectations about his or her ability to accomplish task effectively.

Individuals with high self efficacy believe that;

1. They have the ability to get things done
2. They are capable of putting forth the effort to accomplish the task
3. They can overcome any obstacles to their success

There are four sources of self –efficacy:

1. prior experience

2. Behavior models (witnessing the success of others)
3. Persuasion form others and
4. Assessment of current physical and emotional capabilities.

There is a strong evidence that self –efficacy leads to high performance on a wide variety of physical and mental tasks. It leads to success in breaking addictions, increasing pain tolerance and recovering from illness.

Managers can help employees develop their self efficacy:

- Providing job challenges
- Coaching and counseling for improved performance
- Rewarding employees' achievements
- Empowerment (sharing power)

Self monitoring

- A personality trait that measures an individual's ability to adjust his or her behavior to external situational factors.
- It refers to the extent to which people base their behavior on cues from people and situations.
- High self –monitors pay attention to what is appropriate in particular situations and to the behavior of others people and they behave accordingly.
- Low self – monitors in contrast, are not as vigilant to situational cues, act from internal states rather than paying attention to the situation. As a result the behavior of low self – monitors is consistent across situations.
- High self monitors, because of their behavior varies with the situation, appear to be more unpredictable and less consistent.

Authoritarianism

- Refers to the belief that there should be status and power differences among peoples in organization.

- The extremely high authoritarian personality is intellectually rigid, judgmental of others, deferential to those above and exploitive of those below , distrust full and resistant to change .
- Possessing a high –authoritarian personality would be related negatively to performance where the job demands sensitivity to the feelings of others, tact, and ability to adapt to complex and challenging situation
- On the other hand, when jobs are highly structured and success depends on closer conformation to rules and regulation, the high –authoritarian employee should perform quite well.

Propensity for Taking Risk

- People differ in their willingness to take chances. This propensity to assume or avoid risk has been shown to have an impact on how long it takes managers to make a decision and how much information they require before making their choice.

2.3.3. Matching personality and job

In the previous discussion of personality attributes, our conclusions were often qualified to recognize that the requirements of the job moderated the relationship between possession of the personality characteristic and job performance.

This concern with matching the job requirements with personality characteristics is best articulated in John Holland's personality-job fit theory. The theory is based on the notion of fit between an individual's personality characteristics and his or her occupational environment. Holland presents six personality types and proposes that satisfaction and the propensity to leave a job depend on the degree to which individuals successfully match their personalities to a congruent occupational environment.

What does all this mean? The theory argues that satisfaction is highest and turnover lowest where personality and occupation are in agreement. Social individuals should be in social jobs, conventional people in conventional jobs, and so forth. A realistic person in a realistic job is in a more congruent situation than is a realistic person in an investigative job. A realistic person in a social job is in the most incongruent situation possible. The key points of this model are that (1) there do appear to be intrinsic differences in personality among individuals, (2) there are different types of jobs, and (3) people in job environments congruent with their personality types should be more satisfied and less likely to voluntarily resign than people in incongruent jobs.

2.4. Learning in an Organization



◆ Brainstorming Activity

- *What is learning?*
- *How learning can be taken place within organizations?*
- *Mention the types of learning available for an individual within organizations?*

It is a relatively permanent change in behavior that occurs as a result of experience or reinforced practice. The definition contains the following points;

- Learning involves a change
- Change must be relatively permanent
- Some form of experience is necessary for learning to occur
- The practice of learning must reinforced in order that learning occurs. If reinforcement does not accompany the practice or experience the behavior will eventually disappear.

Learning has takes place if an individual behaves, reacts, and responds as a result of experience in a manner different from the way he /she formerly behaves. Learning is acquisitions of knowledge, skills, expertise, etc and reinforcement strengthens and intensifies certain aspects of ensuring behavior. Learning is very important because it gives insight into how best to develop the talents and skills that employees need to perform effectively.

Learning is a relatively permanent change in behavior (or behavior tendency) that occurs as a result of a person's interaction with the environment. Behavior change is our only evidence of learning. We learn through our senses, such as through study, observation, and experience. Learning requires a relatively permanent change in behavior. This distinguishes learning from situational contingencies that cause short- term behavior changes.

Learning influences ability, role perception, and motivation. With respect to ability, employees develop competencies through formal and informal learning processes. They clarify role perceptions through learning. Learning is a basic assumption behind many theories of motivation. For example, employees may learn to expect certain rewards (or less favorable outcomes) following their behavior and performance. They develop or lose confidence by learning whether their efforts result in desirable

outcome. Feelings of accomplishment and other forms of need fulfillment would be difficult to impossible if employees did not receive information about their work and reactions from co-workers.

Along with its role individual behavior, learning is essential for knowledge management. Knowledge management is any structured activity that improves an organization's capacity to acquire, share and utilize knowledge that enhances its survival and success.

The definition of learning recognizes that people learn through their interaction with the environment in the form of behavior modification. Behavior modification argues that we learn from previous interaction with the environment to alter our behaviors in such a way that we maximize positive consequences and minimize adverse consequences. In other words, past experience teaches us how to "operate" on the environment so that we receive desired consequences from that environment.

Learning can be defined as a relatively permanent change in behavior or potential behavior as a result of *direct or indirect experience*. In this definition one must bear in mind that;

- i. There must be behavioral change after learning. Behavior of a person participated in learning must be different from his/her behavior before learning was undergone. (*N.B* The behavioral change may be in a better or worse manner).
- ii. The change must occur due to some kind of experience or practice. For example, the changes that are observed due to biological factors *are not learning*.

In organizations, learning influences individual workers' behavior by shaping their behavior toward work. If better changes come from learning the impact on work is good, too. Otherwise it is not good.

2.4.1. Types of Learning

People learn new behaviors through one or more of the four learning process

1. **Classical Conditioning:** it was developed by Russian psychologist Ivan Pavlov, he demonstrating classical conditioning in 1904. It is also called the law of exercise; which states that behavior can be learned by repetitive association between a stimulus and response (S-R association). It has a limited value in the study of organizational behavior. Skinner point out, classical conditioning represents an insignificant part of total human learning thus classical conditioning is passive – something happens and we react in a specific or particular fashion. Classical conditioning is elicited in response to a specific identifiable event and as such it explains simple and reflexive behaviors.

Behavior of people in organizations is emitted rather than elicited and it is voluntary rather than reflexive. The learning of these complex behaviors can be explained or better understood by looking at operant conditioning.

Ivan Pavlov's Classical Conditioning Experiment

1st Food → Salivation of dog
Unconditioned Stimuli Unconditioned Response

2nd He associate the food with the sound of the bell

Food	+	Bell	 →	Salivation
Unconditioned Stimuli		Neutral Stimuli		Unconditioned Response

3rd when he independently rings the bell the dog start to salivate

Bell→ Salivation

Conditioned Stimuli Conditioned Response

(i.e. learning can be takes place.)

2. Operant Conditioning

It was developed by **B.F. Skinner**, here behavior is the function of consequences, effects and results. Operant is defined as behavior that produces effects. It is voluntary behavior and it is determined, maintained and controlled by its consequences. In contrast, classical conditioning / respondent behavior is an involuntary response to an environmental stimulus. It suggests that individuals emit responses that are rewarded and will not emit responses that are either not rewarded or are punished. Operant conditioning acts on the environment to produce consequence. It is basically assumed that man's behavior is determined by environment and individuals learn by producing alteration/modification/ in their environment. Operant conditioning presupposes that human beings explore their environment and acts up on it. But, in classical conditioning the sequence of events is independent of subjects' behavior. In operant conditioning reinforcement is given only when the correct response is made and here behavior is instrumental in determining consequence which accrues to him. To change behavior the consequences of that behavior must be changed.

Operant conditioning is a powerful tool for managing people in organization. Because, most behaviors in organization are learned, controlled and altered by the consequences. Thus, management can use the

operant conditioning processes successfully to control and influence the behavior of employees by manipulating its reward system. In general, it can be concluded that the behavioral consequences that are rewarding increase the rate of responses, while the aversive consequences decrease the rate of a response.

3. **Observational Learning:** results in as a result of watching the behavior of another person and appraising the consequences of that behavior. It doesn't require an overt response. When Mr.X observes that Y is rewarded for superior performance, X learns the positive relationship between performance and rewards without actually obtaining the reward himself. Observational learning plays a crucial role in altering behaviors in organizations.
4. **Cognitive Learning:** here is primary emphasis is on knowledge, how events and objects are related to each other. Most of the learning that takes place in the classroom is cognitive learning. Cognitive learning is important because it increase the change that the learner will do the right thing first time, without going through a lengthy operant conditioning process.

2.4.2. Shaping Behavior- Strategies of reinforcement, punishment and extinction

Because learning takes place on the job as well as prior to it, managers are concerned with how they can teach employees to behave in ways that most benefit the organization. When we attempt to mold individuals by guiding their learning in graduated steps, we are shaping behavior.

Consider the situation in which an employee's behavior is significantly different from that sought by management. If management only reinforced the individual when he or she showed desirable responses, very little reinforcement might be taking place. In such a case, shaping offers a logical approach toward achieving the desired behavior.

We shape behavior by systematically reinforcing each successive step that moves the individual closer to the desired response. If an employee who has chronically been a half hour late for work comes in only 20 minutes late, we can reinforce this improvement. Reinforcement would increase as responses more closely approximate the desired behavior.

METHODS OF SHAPING BEHAVIOR

There are four ways in which to shape behavior: through positive reinforcement, negative reinforcement, punishment, and extinction.

When a response is followed with something pleasant, it is called **positive reinforcement**. This would describe, for instance, the boss who praises an employee for a job well done. When a response is followed by the termination or withdrawal of something unpleasant, it is called **negative reinforcement**. If your instructor asks a question and you don't know the answer, looking through your lecture notes is likely to preclude your being called on. This is a negative reinforcement because you have learned that looking busily through your notes prevents the instructor from calling on you. **Punishment** is causing an unpleasant condition in an attempt to eliminate an undesirable behavior. Giving an employee a two-day suspension from work without pay for showing up drunk is an example of punishment. Eliminating any reinforcement that is maintaining a behavior is called **extinction**. When the behavior is not reinforced, it tends to gradually be extinguished. For instance, instructors who wish to discourage students from asking questions in class can eliminate this behavior in their students by ignoring those who raise their hands to ask questions. Hand raising will become extinct when it is invariably met with an absence of reinforcement.

Both positive and negative reinforcement result in learning. They strengthen a response and increase the probability of repetition. In the preceding illustrations, praise strengthens and increases the behavior of doing a good job because praise is desired. The behavior of looking busy is similarly strengthened and increased by its terminating the undesirable consequence of being called on by the teacher. Both punishment and extinction, however, weaken behavior and tend to decrease its subsequent frequency. Reinforcement, whether it is positive or negative, has an impressive record as a shaping tool. Our interest, therefore, is in reinforcement rather than in punishment or extinction. A review of research findings on the impact of reinforcement on behavior in organizations concluded that

1. Some type of reinforcement is necessary to produce a change in behavior.
2. Some types of rewards are more effective for use in organizations than others.
3. The speed with which learning takes place and the permanence of its effects will be determined by the timing of reinforcement.

Unit Summary

Major individual variables that influence work behavior include demographic factors (i.e. age, sex, and race), abilities and skills, perception, attitudes, and personality. These combined with various organizational variables (resources, leadership, rewards, job design, structure) to shape productive, nonproductive and counterproductive work behaviors.

Attributions we make about why an event occurs influence our behavior. The process involves analyzing why something has happened (attributing a cause to the event) and fitting that explanation into a general framework that provides a basis for subsequent behavior. Thus our behavior is shaped by our perceptions of why certain things happen.

Stereotyping is a process employed to assist us in dealing more efficiently with massive information demands. It can be a useful, even necessary, perceptual process. A prejudice is a particular form of stereotyping that resists change even in the face of contrary information. Many stereotypes can be helpful; prejudice is never helpful. Perception is the process that involves the selection, organization and interpretation of environmental factors, shapes, people and other stimuli. Through the perceptual process, individuals attempt to make sense of the stimuli they observe. Once stimuli are selected they are categorized in to groups according to a number of laws: nearness, similarity, closure and figure and ground. The groupings make the interpretation and sense making process easier. They do not, however, eliminate inaccuracies or distortions. Some distortions in perception occur because of selected and divided attention and similar to me errors.

An attitude is a learned predisposition to respond favorably or unfavorably to people, objects, and situations with which it is related. An attitude consists of a cognitive component (beliefs), an affective component (feelings) and a behavioral component which consists of the individuals behavioral intentions.

Major forces influencing the nature of an individuals' personality includes heredity factors, parent-child relationships, social class and other group membership, forces and cultural factors. The latter is critical as cross-cultural interactions increase in today's global business environment. There are numerous personality factors that operate to influence behavior. Three that are frequently identified as important in explaining behavior and performance are locus of control, self-efficiency and creativity.

Self-Check Exercise 2

Part I: Choose the best answer among the alternates given

- 1) Which of the following is true of surface-level diversity?
 - A. It represents a person's or group's thought processes and feelings.
 - B. People with surface-level diversity will also share deep-level diversity.

- C. It indicates differences of values, emotions and personality traits between people.
 - D. It refers to psychographic characteristics of the members of a group.
 - E. It refers to differences in easily perceived characteristics, such as gender and race.
- _____2) Understanding the behavior of individuals and groups helps a manager
- A. Predict the actions, reactions and responses of others to his initiatives and to environmental stimuli
 - B. Influence the behavior of others
 - C. Formulate effective strategy for dealing with people.
 - D. All of the above
 - E. Only B&C
- _____3) Ability-job-fit can be ensured by employing all the following except_____
- A. Ensuring effective selection process
 - B. Conducting promotion and transfer decisions based on abilities
 - C. Fine tuning the job to better match an incumbent's abilities
 - D. Providing training for employees
 - E. None of the above
- _____4) Which one of the statements below is untrue?
- A. An individual's personality is considered to be made up of both heredity and environment, shaped by situational conditions.
 - B. Those individuals who see their lives as being controlled by others are internals
 - C. Learning can be either intentional or incidental
 - D. The learning process involves motivation, cues, responses and reinforcement
 - E. A&C
- _____5) The process by which individuals organize and interpret their sensory impressions to give meaning to their environment is referred to as
- A. personality
 - B. attitude
 - C. perception
 - D. learning
 - E. values
- _____6) Mr. Daniel while conducting an interview with an applicant to a position in his organization has made a mistake by concluding that the applicant is best suit to the position based only on the applicant's appearance without considering other job related factors. Such a mistake can be attributed to

A. contrast effect

C. stereotyping

B. projection

D. halo effect

E. selective perception

_____7) Dejene, one of the employees of XYZ Company, is dissatisfied with his current job, but he considers it as a temporary condition and not dissatisfied with the organization. Dejene's attitude shows

A. organizational commitment

C. Organizational citizenship

B. job satisfaction

D. Job involvement

E. None

PART III

CHAPTER 3: FOUNDATIONS OF GROUP BEHAVIOUR

3.1. Definition: Groups

Chapter Objectives

After studying this chapter, the student should be able to:

- define a work team and work group
- Explain the characteristics of group.
- Describe types of group.
- Explain the characteristics of formal and informal group.
- Summarize why managers need a group at work
- Contrast effective and ineffective group.
- List the factors that affect different organizational group.

Can you define a group? A group may be defined as a collection of two or more people who work with one another regularly to achieve common goals. In a true group, members are mutually dependent on one another to achieve common goals, and they interact with one another regularly to pursue those goals over a sustained period of time. Groups are good for both organizations and their members, helping to accomplish important tasks and to maintain a high-quality workforce.

What Is An Effective Group?

An **effective group** is one that achieves high levels of task performance, member satisfaction and team viability. With regard to task performance, this group achieves its performance goals—in the standard sense of quantity, quality, and timeliness of work results. For a permanent work group, such as a manufacturing team, this may mean meeting daily production targets. For a temporary group, such as a new policy task force, this may involve meeting a deadline for submitting a new organizational policy to the company president. With regard to member satisfaction, an effective group is one whose members believe that their participation and experiences are positive and meet important personal needs.

They are satisfied with their tasks, accomplishments, and interpersonal relationships. With regard to team viability, the members are sufficiently satisfied to continue working well together on an ongoing basis and/or to look forward to working together again at some future point in time. The group in this way has all-important long-term performance potential.

Characteristics of a Well-Functioning Effective Group:

- The atmosphere tends to be relaxed, comfortable, and informal.
- The group's task is well understood and accepted by the members.
- The members listen well to one another; most members participate in a good deal of task-relevant discussion.
- People express both their feelings and their ideas.
- Conflict and disagreement are present and centered on ideas or methods, not personalities or people.
- The group is aware and conscious of its own operation and function.
- Decisions are usually based on consensus, not majority vote.
- When actions are decided, clear assignments are made and accepted by members of the group.

3.2. Group and Intergroup Dynamics

Group Dynamics: Group dynamics are the forces operating in groups that affect the ways members work together. The effectiveness of any group requires more than the correct inputs. It always depends in part on how well members work together to utilize these inputs to produce the desired outputs. When we speak about people “working together” in groups, we are dealing with issues of **group dynamics**. From the perspective of an open system, group dynamics are the *processes* through which inputs are transformed into outputs.

Group dynamics refers to the attitudinal and behavioral characteristics of a group. Group dynamics concern how groups form, their structure and process, and how they function. Group dynamics are relevant in both formal and informal groups of all types. In an organizational setting, groups are a very common organizational entity and the study of groups and group dynamics is an important area of study in organizational behavior.

What Goes on Within Groups?

George Homans described a classic model of group dynamics involving two sets of behaviors—required and emergent. In a work group, **required behaviors** are those formally defined and expected by the organization. For example, they may include such behaviors as punctuality, customer respect,

and assistance to co-workers. **Emergent behaviors** are those that group members display in addition to what the organization asks of them. They derive not from outside expectations but from personal initiative. Emergent behaviors often include things that are the forces operating in groups that affect the ways members work together. People do beyond formal job requirements and that help get the job done in the best ways possible. Rarely can required behaviors be specified so perfectly that they meet all the demands that arise in a work situation. This makes emergent behaviors so essential. An example might be someone taking the time to send an E-mail to an absent member to keep her informed about what happened during a group meeting.

Homans' model of group dynamics also describes member relationships in terms of activities, interactions, and sentiments, all of which have their required and emergent forms. *Activities* are the things people do or the actions they take in groups while working on tasks. *Interactions* are interpersonal communications and contacts. *Sentiments* are the feelings, attitudes, beliefs, or values held by group members.

What Goes On Between Groups?

The term **intergroup dynamics** refers to the dynamics that take place between two or more groups. Organizations ideally operate as cooperative systems in which the various components support one another. In the real world, however, competition and intergroup problems often develop within an organization and have mixed consequences. On the negative side—such as when manufacturing and sales units don't get along, intergroup dynamics may divert energies as members focus more on their animosities toward the other group than on the performance of important tasks. On the positive side, competition among groups can stimulate them to work harder, become more focused on key tasks, develop more internal loyalty and satisfaction, or achieve a higher level of creativity in problem solving. Japanese companies, for example, often use competitive themes to motivate their organization-wide workforces. Organizations and their managers go to great lengths to avoid the negative and achieve the positive aspects of intergroup dynamics. Groups engaged in destructive competition, for example, can be refocused on a common enemy or a common goal. Direct negotiations can be held among the groups, and members can be trained to work more cooperatively. It is important to avoid win-lose reward systems in which one group must lose something in order for the other to gain. Rewards can be refocused on contributions to the total organization and on how much groups help one another. Also, cooperation tends to increase as interaction between groups increases.

The following sections provide information related to group dynamics. Specifically, the formation and development of groups is first considered. Then some major types or classifications of groups are discussed. Then the structure of groups is examined.

1 3.3. Stages of Group Development

How do you think groups develop? As applied to group development, group dynamics is concerned with why and how groups develop. There are several theories as to why groups develop. A ***classic theory***, suggests that groups develop based on activities, interactions, and sentiments. Basically, the theory means that when individuals share common activities, they will have more interaction and will develop attitudes (positive or negative) toward each other. The major element in this theory is the interaction of the individuals involved.

Social exchange theory offers an alternative explanation for group development. According to this theory, individuals form relationships based on the implicit expectation of mutually beneficial exchanges based on trust and felt obligation. Thus, a perception that exchange relationships will be positive is essential if individuals are to be attracted to and affiliate with a group.

Social identity theory offers another explanation for group formation. Simply put, this theory suggests that individuals get a sense of identity and self-esteem based upon their membership in salient groups. The nature of the group may be demographically based, culturally based, or organizationally based. Individuals are motivated to belong to and contribute to identity groups because of the sense of belongingness and self-worth membership in the group imparts.

Group dynamics as related to development concerns not only why groups form but also how. In essence, the steps in group formation imply that groups do not usually perform at maximum effectiveness when they are first established. They encounter several stages of development as they strive to become productive and effective. Most groups experience the same developmental stages with similar conflicts and resolutions.

Whether one is part of a formal work unit, a temporary task force, or a virtual team, the group itself passes through different stages in its life cycle. Furthermore, depending on the stage the group has reached, the leader and members can face very different challenges.

According to Tuckman's theory, there are five stages of group development: **forming, storming, norming, performing, and adjourning**. During these stages group members must address several issues and the way in which these issues are resolved determines whether the group will succeed in accomplishing its tasks.

1. **Forming.** This stage is usually characterized by some confusion and uncertainty. The major goals of the group have not been established. The nature of the task or leadership of the group has not been determined. Thus, forming is an orientation period when members get to know one another and share expectations about the group. Members learn the purpose of the group as well as the rules to be followed. The forming stage should not be rushed because trust and openness must be developed. These feelings strengthen in later stages of development. Individuals are often confused during this stage because roles are not clear and there may not be a strong leader. In the *forming stage* of group development, a primary concern is the initial entry of members to a group. During this stage, individuals ask a number of questions as they begin to identify with other group members and with the group itself.

Their concerns may include: “What can the group offer me?” “What will I be asked to contribute?” “Can my needs be met at the same time I contribute to the group?” Members are interested in getting to know each other and discovering what is considered acceptable behavior, in determining the real task of the group, and in defining group rules.

2. **Storming.** The *storming stage* of group development is a period of high emotionality and tension among the group members. During this stage, hostility and infighting may occur, and the group typically experiences many changes. Coalitions or cliques may form as individuals compete to impose their preferences on the group and to achieve a desired status position. Outside demands, including premature expectations for performance results may create uncomfortable pressures. In the process, membership expectations tend to be clarified, and attention shifts toward obstacles standing in the way of group goals. Individuals begin to understand one another's interpersonal styles, and efforts are made to find ways to accomplish group goals while also satisfying individual needs. In this stage, the group is likely to see the highest level of disagreement and conflict. Members often challenge group goals and struggle for power. Individuals often vie for the leadership position during this stage of development. This can be a positive experience for all groups if members can achieve cohesiveness through

resolution. Members often voice concern and criticism in this phase. If members are not able to resolve the conflict, then the group will often disband or continue in existence but will remain ineffective and never advance to the other stages.

3. Norming.

The ***norming stage*** of group development, sometimes called initial integration, is the point at which the group really begins to come together as a coordinated unit. The turmoil of the storming stage gives way to a precarious balancing of forces.

With the pleasures of a new sense of harmony, group members will strive to maintain positive balance. Holding the group together may become more important to some than successfully working on the group's tasks. Minority viewpoints, deviations from group directions, and criticisms may be discouraged as group members experience a preliminary sense of closeness. Some members may mistakenly perceive this stage as one of ultimate maturity. In fact, a premature sense of accomplishment at this point needs to be carefully managed as a "stepping stone" to the next higher level of group development.

This stage is characterized by the recognition of individual differences and shared expectations. Hopefully, at this stage the group members will begin to develop a feeling of group cohesion and identity. Cooperative effort should begin to yield results. Responsibilities are divided among members and the group decides how it will evaluate progress.

4. Performing.

The ***performing stage*** of group development, sometimes called total integration, marks the emergence of a mature, organized, and well-functioning group. The group is now able to deal with complex tasks and handle internal disagreements in creative ways. The structure is stable, and members are motivated by group goals and are generally satisfied. The primary challenges are continued efforts to improve relationships and performance. Group members should be able to successfully as opportunities and demands change over time.

Performing, occurs when the group has matured and attains a feeling of cohesiveness. During this stage of development, individuals accept one another and conflict is resolved through group

discussion. Members of the group make decisions through a rational process that is focused on relevant goals rather than emotional issues.

5. Adjourning

A well-integrated group is able to disband, if required, when its work is accomplished. The *adjourning stage* of group development is especially important for the many temporary groups that are increasingly common in the new workplace, including task forces, committees, project teams and the like. Members of these groups must be able to convene quickly, do their jobs on a tight schedule, and then adjourn—often to reconvene later if needed. The members' willingness to disband when the job is done and to work well together in future responsibilities, group or otherwise, is an important long-run test of group success.

Not all groups experience this stage of development because it is characterized by the disbandment of the group. Some groups are relatively permanent. Reasons that groups disband vary, with common reasons being the accomplishment of the task or individuals deciding to go their own ways. Members of the group often experience feelings of closure and sadness as they prepare to leave.

2 3.4. Types of Groups

One common way to classify group is by whether they are formal or informal in nature. By **formal groups**, we mean those defined by the organization's structure, with designated work assignments establishing tasks. In formal groups, the behaviour that one should engage in are stipulated by and directed toward organizational goals. In contrast, **informal groups** are alliances that are neither formally structured nor organizationally determined. These groups are natural formations in the work environment that appear in response to the need for social contact. For instance three employees from different departments who regularly eat lunch together are examples of an informal group

Types of Formal Groups

Formal work groups are established by an organization to achieve organizational goals. Formal groups may take the form of command groups, task groups, and functional groups.

Command Groups

Command groups are specified by the organizational chart and often consist of a supervisor and the subordinates that report to that supervisor. An example of a command group is an academic department chairman and the faculty members in that department.

3 Task Groups

Task groups represent those working together to complete a job task. However a task group's boundaries are not limited to its immediate hierarchical supervisor. It can cross command relationships. For instance, if a college student is accused of campus crime, it may require communication and coordination among the dean of academic affairs, the dean of students, the registrar, the director of security, and student's advisor. Such a formation would constitute a task group. It should be noted that all command groups are also task groups, but because task groups can cut across the organization, the reverse need not be true. Task groups consist of people who work together to achieve a common task. Members are brought together to accomplish a narrow range of goals within a specified time period. Task groups are also commonly referred to as task forces. The organization appoints members and assigns the goals and tasks to be accomplished. Examples of assigned tasks are the development of a new product, the improvement of a production process, or the proposal of a motivational contest. Other common task groups are ad hoc committees, project groups, and standing committees. Ad hoc committees are temporary groups created to resolve a specific complaint or develop a process. Project groups are similar to ad hoc committees and normally disband after the group completes the assigned task. Standing committees are more permanent than ad hoc committees and project groups. They maintain longer life spans by rotating members into the group.

4 Functional Groups

A functional group is created by the organization to accomplish specific goals within an unspecified time frame. Functional groups remain in existence after achievement of current goals and objectives. Examples of functional groups would be a marketing department, a customer service department, or an accounting department.

Types of Informal Groups

Informal groups emerge without being officially designated by the organization. They form spontaneously and are based on personal relationships or special interests, and not on any specific organizational endorsement. They are commonly found within most formal groups. Informal groups could be: Interest Friendship groups, groups and Reference groups.

5 Interest Groups

6 People who may or may not be aligned into common or task groups may affiliate to attain a specific objective with which each concerned. This is an interest group. Employees who band together to have their vacation schedules altered, to support a peer who has been fired, or to seek improved working conditions represent the information of a united body to further their common interest.

Interest groups usually continue over time and may last longer than general informal groups. Members of interest groups may not be part of the same organizational department but they are bound together by some other common interest. The goals and objectives of group interests are specific to each group and may not be related to organizational goals and objectives. An example of an interest group would be students who come together to form a study group for a specific class.

7 Friendship Groups

8 Groups often develop because the individual members have one or more common characteristics. We call these information friendship groups.

Friendship groups are formed by members who enjoy similar social activities, political beliefs, religious values, or other common bonds. Members enjoy each other's company and often meet after work to participate in these activities. For example, a group of employees who form a friendship group may have an exercise group, a softball team, or a potluck lunch once a month.

9 Reference Groups

A reference group is a type of group that people use to evaluate themselves. According to Cherrington, the main purposes of reference groups are social validation and social comparison. Social validation

allows individuals to justify their attitudes and values while social comparison helps individuals evaluate their own actions by comparing themselves to others. Reference groups have a strong influence on members' behavior. By comparing themselves with other members, individuals are able to assess whether their behavior is acceptable and whether their attitudes and values are right or wrong. Reference groups are different from the previously discussed groups because they may not actually meet or form voluntarily. For example, the reference group for a new employee of an organization may be a group of employees that work in a different department or even a different organization. Family, friends, and religious affiliations are strong reference groups for most individuals.

There is no single reason why individuals join groups. Because most people belong to a number of groups it is possible to predict this behavior.

10 3.5. Group Structure

Group structure is a pattern of relationships among members that hold the group together and help it achieve assigned goals. Structure can be described in a variety of ways. Among the more common considerations are group size, group roles, group norms, and group cohesiveness.

11 Group Size

Group size can vary from 2 people to a very large number of people. Small groups of two to ten are thought to be more effective because each member has ample opportunity to participate and become actively involved in the group. Large groups may waste time by deciding on processes and trying to decide who should participate next. Group size will affect not only participation but satisfaction as well. Evidence supports the notion that as the size of the group increases, satisfaction increases up to a certain point. In other words, a group of six members has twice as many opportunities for interaction and participation as a group of three people. Beyond 10 or 12 members, increasing the size of the group results in decreased satisfaction. It is increasingly difficult for members of large groups to identify with one another and experience cohesion.

12 Group Roles

In formal groups, roles are usually predetermined and assigned to members. Each role will have specific responsibilities and duties. There are, however, emergent roles that develop naturally to meet the needs of the groups. These emergent roles will often replace the assigned roles as individuals begin to express themselves and become more assertive. Group roles can then be classified into work roles, maintenance roles, and blocking roles.

Work roles are task-oriented activities that involve accomplishing the group's goals. They involve a variety of specific roles such as initiator, informer, clarifier, summarizer, and reality tester. The initiator defines problems, proposes action, and suggests procedures.

The informer role involves finding facts and giving advice or opinions. Clarifiers will interpret ideas, define terms, and clarify issues for the group. Summarizers restate suggestions, offer decisions, and come to conclusions for the group. Finally, reality testers analyze ideas and test the ideas in real situations.

Maintenance roles are social-emotional activities that help members maintain their involvement in the group and raise their personal commitment to the group. The maintenance roles are harmonizer, gatekeeper, consensus tester, encourager, and compromiser. The harmonizer will reduce tension in the group, reconcile differences, and explore opportunities. Gatekeepers often keep communication channels open and make suggestions that encourage participation. The consensus tester will ask if the group is nearing a decision and test possible conclusions. Encouragers are friendly, warm, and responsive to other group members. The last maintenance role is the compromiser. This role involves modifying decisions, offering compromises, and admitting errors.

Blocking roles are activities that disrupt the group. They make take the form of dominating discussions, verbally attacking other group members, and distracting the group with trivial information or unnecessary humor. Often times the blocking behavior may not be intended as negative. Sometimes a member may share a joke in order to break the tension, or may question a decision in order to force group members to rethink the issue. The blocking roles are aggressor, blocker, dominator, comedian, and avoidance behavior. The aggressor criticizes members' values and makes jokes in a sarcastic or semi-concealed manner.

Blockers will stubbornly resist the group's ideas, disagree with group members for personal reasons, and will have hidden agendas. The dominator role attempts to control conversations by patronizing others. They often interrupt others and assert authority in order to manipulate members. Comedians often abandon the group even though they may physically still be a part. They are attention-getters in ways that are not relevant to the accomplishment of the group's objectives. The last blocking role, avoidance behavior, involves pursuing goals not related to the group and changing the subject to avoid commitment to the group.

Role ambiguity concerns the discrepancy between the sent role and the received role. Group members receive roles by being ready and willing to undertake the tasks associated with that role. Ambiguity results when members are confused about the delegation of job responsibilities. This confusion may occur because the members do not have specific job descriptions or because the instructions regarding the task were not clear. Group members who experience ambiguity often have feelings of frustration and dissatisfaction, which ultimately lead to turnover.

Role conflict occurs when there is inconsistency between the perceived role and role behavior. There are several different forms of role conflict. Interrole conflict occurs when there is conflict between the different roles that people have. For example, work roles and family roles often compete with one another and cause conflict. Intrarole conflict occurs when individuals must handle conflicting demands from different sources while performing the tasks associated with the same role.

13 Group Norms

Norms are acceptable standards of behavior within a group that are shared by the members of the group. Norms define the boundaries of acceptable and unacceptable behavior. They are typically created in order to facilitate group survival, make behavior more predictable, avoid embarrassing situations, and express the values of the group. Each group will establish its own set of norms that might determine anything from the appropriate dress to how many comments to make in a meeting. Groups exert pressure on members to force them to conform to the group's standards. The norms often reflect the level of commitment, motivation, and performance of the group.

Performance norms determine how quickly members should work and how much they should produce. They are created in an effort to determine levels of individual effort. They can be very frustrating to

managers because they are not always in line with the organization's goals. Members of a group may have the skill and ability to perform at higher levels but they don't because of the group's performance norms. For example, workers may stop working a production machine at 20 minutes before quitting time in order to wash up, even though they produced fewer items that day than management intended.

Reward-allocation norms determine how rewards are bestowed upon group members. For example, the norm of equality dictates equal treatment of all members. Every member shares equally so rewards are distributed equally to everyone. Equity norms suggest that rewards are distributed according to the member's contribution. In other words, members who contribute the most receive the largest share of the rewards. Members may contribute through effort, skill, or ability. Social responsibility norms reward on the basis of need. Members who have special needs therefore receive the largest share of the reward.

The majority of the group must agree that the norms are appropriate in order for the behavior to be accepted. There must also be a shared understanding that the group supports the norms. It should be noted, however, that members might violate group norms from time to time. If the majority of members do not adhere to the norms, then they will eventually change and will no longer serve as a standard for evaluating behavior. Group members who do not conform to the norms will be punished by being excluded, ignored, or asked to leave the group.

14 Group Cohesiveness

Cohesiveness refers to the bonding of group members and their desire to remain part of the group. Many factors influence the amount of group cohesiveness. Generally speaking, the more difficult it is to obtain group membership the more cohesive the group. Groups also tend to become cohesive when they are in intense competition with other groups or face a serious external threat to survival. Smaller groups and those who spend considerable time together also tend to be more cohesive.

Cohesiveness in work groups has many positive effects, including worker satisfaction, low turnover and absenteeism, and higher productivity. However, highly cohesive groups may be detrimental to organizational performance if their goals are misaligned with organizational goals. Highly cohesive groups may also be more vulnerable to groupthink.

Groupthink

Groupthink occurs when members of a group exert pressure on each other to come to a consensus in decision making. Groupthink results in careless judgments, unrealistic appraisals of alternative courses of action, and a lack of reality testing. It can lead to a number of decision-making issues such as the following:

1. Incomplete assessments of the problem,
2. Incomplete information search,
3. Bias in processing information,
4. Inadequate development of alternatives, and
5. Failure to examine the risks of the preferred choice.

Evidence suggests that groups typically outperform individuals when the tasks involved require a variety of skills, experience, and decision making. Groups are often more flexible and can quickly assemble, achieve goals, and disband or move on to another set of objectives. Many organizations have found that groups have many motivational aspects as well. Group members are more likely to participate in decision-making and problem-solving activities leading to empowerment and increased productivity. Groups complete most of the work in an organization; thus, the effectiveness of the organization is limited by the effectiveness of its groups.

Social Loafing

Social loafing occurs when one or more group members rely on the efforts of other group members and fail to contribute their own time, effort, thoughts, or other resources to a group. This may create a real drag on the group's efforts and achievements. Although some scholars argue that social loafing, or free riding, is rational behavior from the individual's standpoint to restore an experience of inequity or when individual efforts are hard to observe, it nevertheless short changes the group, which loses potentially valuable resources possessed by individual members.

A number of methods for countering social loafing exist, such as having identifiable individual contributions to the group product and member self-evaluation systems. For example, if each group member is responsible for a specific input to the group, a member's failure to contribute will be noticed by everyone. If members must formally evaluate their contributions to the group, they are less likely to

loaf.

3.6. Group Decision-Making

A. **Groups versus the Individual.** Whether or not a group's decisions are better than an individual's decisions depends on a number of factors. To understand the group decision-making, we must examine its strengths and weaknesses.

1. *Strengths of Group Decision-Making.* The use of groups in decision-making provides the following benefits:

- a. Generates information and knowledge that is more complete.
- b. Offers increased diversity of views.
- c. Increases the acceptance of the solution.

2. *Weaknesses of Group Decision-Making:*

- a. Typically, it takes more time to reach a solution.
- b. Greater conformity pressures exist.
- c. Discussion can be dominated by one or a few members.
- d. Ambiguous responsibility decreases accountability.

3. *Effectiveness and Efficiency.*

a. Effectiveness. Whether or not group decisions are more effective than are those of an individual depends on the criteria used for defining effectiveness.

- 1) Accuracy: group decisions are generally more accurate than that of the average individual in the group, but less accurate than the judgments of the most accurate group member.
- 2) Speed: individual decision-making is much faster than group decision-making.
- 3) Creativity: groups tend to be more creative than are individuals.

4) Degree of acceptance: group decisions tend to be more readily accepted than are those of an individual.

b. Efficiency. Groups are far less efficient than are individual decision-makers. One of the few exceptions to this is when a decision requires a large quantity of diverse input.

B. Groupthink and Group shift. These two phenomena of group decision-making have the potential to affect the group's ability to appraise alternatives subjectively and to arrive at quality decision solutions.

1. *Groupthink*: occurs when group members become so enamored of seeking concurrence with the norm that the desire for consensus overrides the realistic appraisal of alternative courses of action and limits the full expression of deviant, minority, or unpopular views. It describes a deterioration of an individual's mental efficiency, reality testing, and moral judgment as a result of group pressures.

a. Symptoms of Groupthink.

- 1) Group members rationalize away any resistance to the assumptions they have made, no matter how strong the evidence may be that those assumptions are incorrect.
- 2) Members apply direct pressures on those who momentarily express doubts about any of the group's shared views or who question the validity of arguments supporting the alternative favored by the majority.
- 3) Members who have doubts or hold differing points of view keep silent about their misgivings and may even internally minimize the importance of their doubts.
- 4) The illusion of unanimity: unless a group member speaks out, his or her silence is taken as concurrence.

b. Optimal Conditions for Groupthink. Not all groups experienced groupthink; it appears most often when these three conditions are met.

- 1) A clear group identity exists.

- 2) Members hold a positive image of their group that they wish to protect.
 - 3) The group perceives a collective threat to this positive image.
- c. Minimizing Groupthink. Groupthink is not a dissenter-suppression mechanism as much as it is a means for a group to protect its positive image. To reduce the chance of groupthink, managers use the following techniques.
- 1) Keep group size below ten to maintain feelings of personal responsibility in group members.
 - 2) Encourage group leaders to actively seek input from all members and avoid expressing their own opinions, especially in the early stages of the deliberation.
 - 3) Appoint one group member to act as the "devil's advocate," that is, a person whose role is to overtly challenge the majority opinion and offer diverse perspectives.
2. *Group shift*. A special case of groupthink, group shift is a situation in which the discussion in a group leads to a significant shift in the positions of its members toward more extreme positions from those initially held by the members before the discussion. Thus, group discussions tend to exaggerate the initial positions of the group members and of the group itself.
- a. Increased Risk-Taking. Often group shift causes groups to be far less risk adverse than they initially were. Some of the reasons for this increase in the acceptance of risk may be the following.
- 1) Discussion in a group creates familiarity among its members, which would increase their comfort level with each other. As they become more comfortable in expressing their opinions, they also tend to become more bold and daring.
 - 2) At a societal level, most developed countries value risk, and therefore value individuals who exhibit risk-taking behavior. Group discussions may motivate members to show that they are at least as willing to accept risk as are their peers.

- 3) The most probable explanation for this increase is that group decision-making diffuses responsibility. The lack of personal accountability allows for greater risk-taking.

3. **Group Decision-Making Techniques.** One of the most common forms that groups take when making decisions is that of *interacting groups*. The three techniques presented below are designed to reduce many of the problems inherent in the traditional interacting group.

Interacting Groups: *groups in which the members meet face-to-face and rely on both verbal and nonverbal interaction to communicate with each other.*

- a. *Brainstorming.* The technique designed to generate a list of creative alternatives. This somewhat ineffective technique does not lead to a solution, and may in fact lead to fewer creative alternatives than an individual could come up with, due to *production blocking* (distractions to thought caused by the technique itself).
- b. *Nominal Group Technique (NGT).* This technique restricts discussion or interpersonal communication during the decision-making process. This is why it is referred to as a "nominal" (*in name only*) group technique.
 - 1) Group members are all physically present, but operate independently.
 - 2) A problem is presented and the following steps take place.
 - a) Each member independently writes down ideas on the problem without discussing it in the group.
 - b) Sequentially, each member will present one idea to the group until all ideas have been presented and recorded. No discussion is allowed until all ideas have been recorded.
 - c) Group discusses ideas for clarity and evaluates them.
 - d) Each group member silently and independently rank orders the ideas.
 - e) The idea with the highest aggregate ranking determines the final decision.

3) The use of NGT does not restrict independent thinking; groups that use this technique tend to outperform brainstorming groups.

c. *Computer-Assisted Group or Electronic Meeting.* This variant of the nominal group technique utilizes sophisticated computer technology. Far larger groups (up to 50 individuals) can be gathered together to use this technique. NGT steps are taken, but the answers are recorded via keyboard onto computer terminals. The results are then displayed on a projection screen. Proposed benefits of electronic meetings are that inputs are anonymous, inputs are of greater honesty, and the process is faster. Early research, however, has found that these meetings actually lead to decreased effectiveness, slower task completion, and lower

CHAPTER 4: UNDERSTANDING WORK TEAMS

After studying this chapter, the student should be able to:

- Explain the characteristics of a team
- Describe a self- managed team.
- Explain the characteristics of a virtual team.
- Summarize why managers want to create boundary less organizations.
- Contrast cross sectional team and virtual team
- List the factors that affect team development
- Explain the features of problem solving team
- **4.1. Groups versus Teams**

You know what differentiates groups from teams? Do you belong to a certain team in any organization? Teams are task-oriented work groups; like groups they can be formally designated or informally evolved. We can formally define teams as follows:

- **Teams** are groups of people who work actively together to achieve a purpose for which they are all accountable.
- A **team** is a small group of people with complementary skills, who work actively together to achieve a common purpose for which they hold themselves collectively accountable.

Both formal and informal teams make important and valuable contributions to the organization and are important to the member need satisfaction.

When we think of the word “teams,” a variety of popular sporting teams usually comes to mind. Work groups can also be considered as teams to the extent that they meet the demands of this definition. Teams are one of the major forces behind today’s revolutionary changes in organizations. Management scholar Jay Conger calls the team-based organization the management system of the future, the business world’s response to the need for speed in an ever more competitive environment. He cites the example of an American jet engine manufacturer that switched to cross-functional teams instead of traditional functional work units. The firm cut the time required to design and produce new engines by

50 percent. Conger says: “Cross-functional teams are speed machines. Clearly, we need to know more about such teams and teamwork in organizations.

4.2. The Nature of Teamwork

Teamwork occurs when group members work together in ways that utilize their skills well to accomplish a purpose. All teams need members who believe in team goals and are motivated to work with others actively to accomplish important tasks—whether those tasks involve recommending things, making or doing things, or running things. Indeed, an essential criterion of a true team is that the members feel “collectively accountable” for what they accomplish.

This sense of collective accountability sets the stage for real **teamwork**, where team members actively working together in such a way that all their respective skills are well utilized to achieve a common purpose. A commitment to teamwork is found in the willingness of every member to “listen and respond constructively to views expressed by others, give others the benefit of the doubt, provide support and recognize the interests and achievements of others.”

Teamwork of this type is the central foundation of any high performance team. But developing it is a challenging leadership task, regardless of the setting. It takes a lot more work to build a well-functioning team, than to simply assign members to the same group and then expect them to do a great job.

High performance teams have specific characteristics that allow them to excel at teamwork and achieve special performance advantages. First, *high performance teams have strong core values* that help guide their attitudes and behaviors in directions consistent with the team’s purpose. Such values act as an internal control system for a group or team and can substitute for much of the outside direction that a supervisor might otherwise provide. Second, *high performance teams turn a general sense of purpose into specific performance objectives*. Whereas a shared sense of purpose gives general direction to a team, commitment to specific performance results—such as reducing the time of getting the product to market by half, makes this purpose truly meaningful.

Specific objectives provide a focus for solving problems and resolving conflicts, and they set standards for measuring results and obtaining performance feedback. They also help group members understand the need for “collective” versus purely individual efforts. Third, members of *high performance teams have the right mix of skills*, including technical skills, problem-solving and decision-making skills, and interpersonal skills. Finally, *high performance teams possess creativity*. In the new workplace, teams must use their creativity to assist organizations in continuous improvement of operations—including

productivity and customer service—and in continuous development of new products, services, and market.

4.3. Types of Teams

A major challenge in any organization is to turn formal groups into true high performance teams in any of the following settings.

First, there are *teams that recommend things*. Established to study specific problems and recommend solutions to them, these teams typically work with a target completion date and disband once their purpose has been fulfilled. They are temporary groups including task forces, ad hoc committees, project teams, and the like. Members of these teams must be able to learn quickly how to work well together, accomplish the assigned task, and make good action recommendations for follow up work by other people.

Second, there are *teams that run things*. These management teams consist of people with the formal responsibility for leading other groups. These teams may exist at all levels of responsibility, from the individual work unit composed of a team leader and team members to the top management team composed of a CEO and other senior executives. Teams can add value to work processes at any level and offer special opportunities for dealing with complex problems and uncertain situations. Key issues addressed by top management teams, for example, include identifying overall organizational purposes, goals, and values, crafting strategies, and persuading others to support them.

Third, there are teams that make or do things. These are functional groups and work units that perform ongoing tasks, such as marketing or manufacturing.

Members of these teams must have good long-term working relationships with one another, solid operating systems, and the external support needed to achieve effectiveness over a sustained period of time. And they need energy to keep up the pace and meet the day-to-day challenges of sustained high performance. Several kinds of teams exist. One classification scheme uses a sports analogy. Some teams work like baseball team with set responsibilities, other teams work like football teams through coordinated action, and still other teams work like double tennis with primary yet flexible responsibilities. Although each type of team may have a useful role in the organization, the individual expert should not be overlooked.

Teams are very useful in performing work that is complicated, complex, interrelated, and/or more voluminous than one person can handle. Obviously, people working in organizations cannot do everything because of the limitations of arms, legs, time, expertise, knowledge, and other ration. Teams

are appropriate where knowledge, talent, skills, and abilities are dispersed across organizational members and require integrated effort for task accomplishment.

The recent emphasis on team-oriented work environments is based on empowerment with collaboration, not on power and competition.

That means teams are necessary as a driving principle of total quality efforts in organizations. Total quality efforts often require the formation of teams-especially cross-functional teams composed of people from different functions, such as manufacturing and design, who are responsible for specific organizational processes. Although teams are an essential feature of a total quality work environment, there is a danger of insufficient training and direction if too many teams are formed very quickly.

The following are the common types of teams:

1. Problem-Solving Teams

One way organizations can use teams is in creative problem solving. The term **employee involvement team** applies to a wide variety of teams whose members meet regularly to collectively examine important workplace issues. They discuss ways to enhance quality, better satisfy customers, raise productivity, and improve the quality of work life. In this way, employee involvement teams mobilize the full extent of workers' know-how and gain the commitment needed to fully implement solutions.

A special type of employee involvement group is the **quality circle** or QC for short. Quality circles are one form of team in a total quality program. Quality circles (QCs) are small groups of employees who work voluntarily on company time typically one hour per week-to address quality-related problems such as quality control, cost reduction, production planning and techniques, and even product design. It is a small group of persons who meet periodically (e.g., an hour or so, once a week) to discuss and develop solutions for problems relating to quality, productivity, or cost. QCs are popular in organizations around the world, but cannot be seen as panaceas for all of an organization's ills. To be successful, members of QCs should receive special training in group dynamics, information gathering, and problem analysis techniques. Leaders of quality circles should also be trained in participation and team building. Any solutions to problems should be jointly pursued by QC members and organizational management. QCs work best in organizations that place a clear emphasis on quality in their mission and goals, promote a culture that supports participation and empowerment, encourage trust and willingness to share important information, and develop a "team spirit."

Membership in a QC is typically voluntary and fixed once a circle is formed, although some changes may occur as appropriate. QCs use various problem-solving techniques in which they receive training

to address the work-related problems.

QCs were popularized as a Japanese management method when an American, Edward Deming, exported his thinking about QCs to Japan following World War II. QCs became popular in the United States in the 1980s, when companies such as Ford, Hewlett-Packard, and Eastman Kodak implemented them.

QCs must deal with substantive issues if they are to be effective; otherwise, employees begin to believe the QC effort is simply a management maneuver. QCs do not necessarily require final decision authority to be effective if their recommendations are always considered seriously and implemented when appropriate. One study found QCs to be effective for a period of time, and then their contributions began to diminish. This may suggest that QCs must be reinforced and periodically reenergized to maintain their effectiveness over long periods of time.

Quality teams are different from QCs in that they are more formal, designed and assigned by upper-level management. Quality teams are not voluntary and have more formal power than QCs. Although QCs and quality teams are not intended to provide members with social benefits, all teams in an organization have the potential to afford team members a number of social benefits.

2. Cross-Functional Teams

In today's organizations, teams are essential components in the achievement of more horizontal integration and better lateral relations. The **cross-functional team**, consisting of members representing different functional departments or work units, plays an important role in this regard. Traditionally, many organizations have suffered from what is often called the **functional silos problem**.

This problem occurs when members of functional units stay focused on matters internal to the function and minimize their interactions with members of other functions. In this sense, the functional departments or work units create artificial boundaries or "silos" that discourage rather than encourage more integrative thinking and active coordination with other parts of the organization.

The new team-based organizations are designed to help break down this problem and improve lateral communication. Members of cross-functional teams can solve problems with a positive combination of functional expertise and integrative or total systems thinking. They do so with the great advantages of better information and more speed. Boeing, for example, used this concept to great advantage in designing and bringing to market the 777 passenger jet. A complex network of cross-functional teams brought together design engineers, mechanics, pilots, suppliers, and even customers to manage the "design/build" processes.

3. Virtual Teams

Until recently, teamwork was confined in concept and practice to those circumstances in which members could meet face-to-face. Now, the advent of new technologies and sophisticated computer programs known as groupware has changed all that. **Virtual teams** introduced in the last chapter as ones whose members meet at least part of the time electronically and with computer support, are a fact of life. The real world of work in businesses and other organizations today involves a variety of electronic communications that allow people to work together through computer mediation, and often separated by vast geographical space. *Groupware*, in popular forms such as Lotus Domino, Microsoft Exchange and Netscape Suite Spot, allows for virtual meetings and group decision making in a variety of forms and situations. This is further supported by advancements in conferencing and collaboration, including audio, data, and video conferencing alternatives.

Virtual teams offer a number of potential advantages. They bring cost-effectiveness and speed to teamwork where members are unable to meet easily face-to-face. They also bring the power of the computer to bear on typical team needs for information processing and decision making. With the computer as the “go-between” for virtual team members, however, group dynamics can emerge with a slightly different form than found in face-to-face settings.

Although technology can help to overcome great distance in making communication possible among a group of people, it may also create teams whose members do not share much, if any, direct “personal” contact. Whereas this may have an advantage of focusing interaction and decision making on facts and objective information rather than emotional considerations, it also may increase risks as decisions are made in a limited social context. Virtual teams may suffer from less social rapport and less direct interaction among members.

Just as with any form of teamwork, virtual teams rely on the efforts and contributions of their members as well as organizational support to achieve effectiveness. Teamwork in any form always takes work. The same stages of development, the same input considerations, and same process requirements are likely to apply in a virtual team as with any team. Where possible, the advantages of face-to-face and virtual teamwork should be combined for maximum benefit. The computer technology should also be appropriate and team members should be well trained in using it.

4. Self-Managing Teams

A high-involvement work group design that is increasingly well-established today is known as the **self-managing team**. These are small groups empowered to make the decisions needed to manage themselves on a day-to-day basis.

Although there are different variations of this theme, members of a true self managing work team make decisions on scheduling work, allocating tasks, training for job skills, evaluating performance, selecting new team members, and controlling quality of work. Members are collectively held accountable for the team's overall performance results.

How Self-Managing Teams Work?

Self-managing teams, also called ***self-directed teams or empowered teams***, are permanent and formal elements in the organizational structure. They replace the traditional work group headed by a supervisor. What differentiates self-managing teams from the more traditional work group is that the team members assume duties otherwise performed by a manager or first-line supervisor. The team members, not a supervisor, perform and are collectively accountable for such activities as planning and work scheduling, performance evaluation, and quality control.

A self-managing team should probably include between 5 and 15 members.

The teams must be large enough to provide a good mix of skills and resources, but small enough to function efficiently.

Members must have substantial discretion in determining work pace and in distributing tasks. This is made possible, in part, by **multiskilling**, whereby team members are trained in performing more than one job on the team. In self-managing teams, each person is expected to perform many different jobs—even all of the team's jobs, as needed. The more skills someone masters, the higher the base pay. Team members themselves conduct the job training and certify one another as having mastered the required skills.

Quality circles and quality teams, as we discussed earlier, are one way to implement teamwork in organizations. Self-managed teams are broad-based work teams that deal with issues beyond quality.

Empowerment may be thought of as an attribute of a person or of an organization's culture. As an organizational culture attribute, empowerment encourages participation, an essential ingredient for teamwork. Empowerment may give employees the power of a lightning strike, but empowered employees must be properly focused through careful planning and preparation before they strike.

Foundations for Empowerment: Organizational and individual foundations underlie empowerment

that enhances task motivation and performance. The organizational foundations for empowerment include a participative, supportive organizational culture and a team-oriented work design. A participative, supportive work environment is essential because of the uncertainty that empowerment can cause within the organization. Empowerment requires that lower-level organizational members be able to make decisions and take action on those decisions. As operational employees become empowered, it can create real fear, anxiety, or even terror among middle managers in the organization. Senior leadership must create an organizational culture that is supportive and reassuring for these middle managers as the power dynamics of the system change. If not supported and reassured, the middle managers can become a restraining, disruptive force to empowerment.

A second organizational foundation for empowerment concerns the design of work. The old factory system relied upon work specialization and narrow tasks with the intent of achieving reutilized efficiency. This approach to the design of work had some economic advantages, but it also had some distressing disadvantages leading to monotony and fatigue. This approach to the design of work is inconsistent with empowerment and teamwork, because it leads the individual to feel absolved of much responsibility for a whole piece of work. Team-oriented work designs are a key organizational foundation for empowerment, because they lead to broader tasks and a greater sense of responsibility. For example, Volvo builds cars using a team-oriented work design in which each person does many different tasks, and each person has direct responsibility for the finished product. Such work designs create a context for effective empowerment so long as the empowered individuals meet necessary individual prerequisites.

The three individual prerequisites for empowerment include (1) the capability to become psychologically involved in participative activities, (2) the motivation to act autonomously, and (3) the capacity to see the relevance of participation for one's own well-being. First, people must be psychologically equipped to become involved in participative activities if they are to be empowered and become effective team members. Not all people are so predisposed. For example, Germany has an authoritarian tradition that runs counter to participation and empowerment at the individual and group level. General Motors encountered significant difficulties implementing quality circles in its German plants, because workers expected to be directed by supervisors, not to engage in participative problem solving. The German efforts to establish supervisory/worker boards in corporations is an effort to alter this authoritarian tradition.

A second individual prerequisite to empowerment and teamwork is the motivation to act autonomously.

People with dependent personalities are predisposed to be told what to do and to rely on external motivation rather than internal, intrinsic motivation. These dependent people are not effective team members. The prerequisite of a motivation to act autonomously creates a dynamic tension or paradox for people; they are asked to act autonomously and independently while also subordinating themselves to the team. This is the heart of the conflict between individual autonomy and group membership. Managing the conflict requires balancing the processes of developing individual identity and blending one's identity with other people.

Finally, if empowerment is to work, people must be able to see how it provides a personal benefit to them. The personal payoff for the individual need not be short term. It may be a long-term benefit that they see. Thus, empowerment becomes of instrumental value to the person in achieving work satisfaction; in receiving greater rewards through enhanced organizational profitability; or in reshaping the design of work, and ultimately the organization, to a more humanistic "fit."

Self-managed teams are one way to implement empowerment in organizations. A one-year study of self-managed teams suggests they have a positive impact on employee attitudes but not on absenteeism or turnover. Evaluative research is helpful in achieving a better understanding of this relatively new way of approaching teamwork and the design of work. Research can help in establishing expectations for self-managed teams. For example, it is probably unreasonable to expect these teams to be fully functional and self-directed in short periods of time. It may take two or three years for new teams to be fully self-directed.

Other evaluations of self-managed teams are more positive. Southwest Industries, a high-technology aerospace manufacturing firm, embarked on a major internal reorganization that included the creation of self-managed teams to fit its high-technology production process. The overall success of Southwest's team approach included a 30 percent increase in shipments, a 30 percent decrease in lead time, a 40 percent decrease in total inventory, a decrease in machinery downtime, and almost a one-third decrease in production costs.

Operational Implications of Self-Managing Teams: The expected benefits of self-managing teams include productivity and quality improvements, production flexibility and faster response to technological change, reduced absenteeism and turnover, and improved work attitudes and quality of work life. But these results are not guaranteed. Like all organizational changes, the shift to self-managing teams can encounter difficulties. Structural changes in job classifications and management levels will have consequent implications for supervisors and others used to more traditional ways.

Simply put, with a self-managing team you don't need the formal first-line supervisor anymore. Note also that many of the supervisor's traditional tasks are reallocated to the team.

For persons used to more traditional work, the new arrangement can be challenging; for managers learning to deal with self-managing teams rather than individual workers, the changeover can be difficult; for any supervisors displaced by self-managing teams, the implications are even more personal and threatening.

Given this situation, a question must be asked: *Should all work groups operate as self-managing teams?* The best answer is "No." Self-managing teams are probably not right for all organizations, work situations, and people. They have great potential, but they also require a proper setting and support. At a minimum, the essence of any self-managing team—high involvement, participation, and empowerment, must be consistent with the values and culture of the organization.

5. Multicultural Teams

The backgrounds of group members may be quite different in the global workplace. Homogeneous groups in which all members share similar backgrounds are giving way to token groups in which all but one member come from the same background, bicultural groups in which two or more members represent each of two distinct cultures, and multicultural groups in which members represent three or more ethnic backgrounds. Diversity within a group may increase the uncertainty, complexity, and inherent confusion in group processes, making it more difficult for the group to achieve its full, potential productivity. The advantages of culturally diverse groups include the generation of more and better ideas while limiting the risk of groupthink, to be discussed in Chapter four.

4.5. Importance of Work Teams

What benefits do you think work teams have? Two sets of social benefits are available to team or group members. One set of social benefits accrues from achieving psychological intimacy. The other comes from achieving integrated involvement.

Social Benefits

Psychological intimacy is emotional and psychological closeness to other team or group members. It results in feelings of affection and warmth, unconditional positive regard, opportunity for emotional expression, openness, security and emotional support, and giving and receiving nurturance. Failure to achieve psychological intimacy results in feelings of emotional isolation and loneliness. This may be especially problematic for chief executives who experience loneliness at the top. Although

psychological intimacy is valuable for emotional health and well-being, it need not necessarily be achieved in the work setting.

Integrated involvement is closeness achieved through tasks and activities. It results in enjoyable and involving activities, social identity and self-definition, being valued for one's skills and abilities, opportunity for power and influence, conditional positive regard, and support for one's beliefs and values. Failure to achieve integrated involvement results in social isolation. Whereas psychological intimacy is more emotion-based, integrated involvement is more behavior and activity-based. Integrated involvement contributes to social psychological health and well-being.

Psychological intimacy and integrated involvement each contribute to overall health. It is not necessary to achieve both in the same team or group.

Teams and groups have two sets of functions that operate to enable members to achieve psychological intimacy and integrated involvement. These are task and maintenance functions.

Task and Maintenance Functions

An effective team carries out various task functions to perform its work successfully and various maintenance functions to ensure member satisfaction and a sense of team spirit. Teams that successfully fulfill these functions afford their members the potential for psychological intimacy and integrated involvement. Table 3.1 presents nine task and nine maintenance functions in teams or groups.

Task functions are those activities directly related to the effective completion of the team's work. For example, the task of initiating activity involves suggesting ideas, defining problems, and proposing approaches and/or solutions to problems. The task of seeking information involves asking for ideas, suggestions, information, or facts. Effective teams have members who fulfill various task functions as they are required.

Some task functions are more important at one time in the life of a group, and other functions are more important at other times. For example, during the engineering test periods for new technologies, the engineering team needs members who focus on testing the practical applications of suggestions and those who diagnose problems and suggest solutions.

Table: 2. 3 Task and Maintenance Functions in Teams or Groups

Task Functions	Maintenance Functions
Initiating activities	Supporting others
Seeking information	Following others' leads
Giving information	Gate keeping communication
Elaborating concepts	Setting standards
Coordinating activities	Expressing member feelings
Summarizing ideas	Testing group decisions
Testing ideas	Consensus testing
Evaluating effectiveness	Harmonizing conflict
Diagnosing problems	Reducing tension

The effective use of task functions leads to the success of the team, and the failure to use them may lead to disaster. For example, the successful initiation and coordination of an emergency room (ER) team's activities by the senior resident saved the life of a knife wound victim. The victim was stabbed one-quarter inch below the heart, and the ER team acted quickly to stem the bleeding, begin intravenous fluids, and monitor the victim's vital signs. The accompanying Organizational Reality feature profiles the elite Mass General emergency trauma team.

Maintenance functions are those activities essential to the effective, satisfying interpersonal relationships within a team or group. For example, following another group member's lead may be as important as leading others. Communication gatekeepers within a group ensure balanced contributions from all members. Because task activities build tension into teams and groups working together, tension-reduction activities are important to drain off negative or destructive feelings. Maintenance functions enhance togetherness, cooperation, and teamwork, enabling members to achieve psychological intimacy while furthering the success of the team. Both task and maintenance functions are important for successful teams.

Chapter Five: Organizational Design and Structure

Chapter Overview

This chapter examines some of the various means in which organizations can be structured for maximum effectiveness.

Chapter Objectives

After studying this chapter, the student should be able to:

- Identify the six key elements that define an organization's structure.

- Explain the characteristics of a bureaucracy.
- Describe a matrix organization.
- Explain the characteristics of a virtual organization.
- Summarize why managers want to create boundary less organizations.
- Contrast mechanistic and organic structural models.
- List the factors that favor different organizational structures.
- Explain the behavioral implications of different organizational designs.

Suggested Lecture Outline

II. INTRODUCTION

Organizations are made up of more than one person. In order to be effective, these people must be able to work together in such a way that each adds to the work of the other without taking anything away. The solution to this problem is structure.

III. ORGANIZATIONAL STRUCTURE

A. **Definition.** An organizational structure defines how job tasks are formally divided, grouped, and coordinated. There are six key elements used to determine the proper structure for an organization: work specialization, departmentalization, chain of command, span of control, centralization and decentralization, and formalization.

B. Six Key Structural Elements.

1. *Work Specialization.* Also known as *division of labor*, this is the degree to which activities in the organization are subdivided into separate jobs. The essence of work specialization is that an entire activity is broken down into a number of steps, with each step (job) being completed by a separate individual, rather than one individual completing the entire activity.
 - a. Benefits of Increasing Work Specialization. Breaking activities into the smallest and simplest tasks and combining these into jobs provided a number of benefits.

- 1) Greater work efficiency: workers could be matched to jobs based on their skill levels. Employee skills gained by performing a task successfully increased through repetition. Less time was spent switching from task to task in a given job.
 - 2) Lower costs: organizations do not have to pay for higher-level skills that are not utilized on the job.
 - 3) Greater training efficiency: it is easier and less costly to find and train workers for specific and repetitive tasks. This is especially true of highly sophisticated and complex operations.
 - 4) Encourages the creation of specialized equipment: the increased efficiency and productivity gained through work specialization freed up capital. That allowed for the creation of labor saving specialized equipment and inventions.
- b. Costs of Increasing Work Specialization. When work specialization is carried too far, the human costs of specialization, (boredom, fatigue, stress, low productivity, poor quality, increased absenteeism, and high turnover), more than offset the economic advantages.
- c. Job Enlargement. In situations where increased work specialization had decreased productivity, organizations found that adding new or various tasks, even to the point of complete work packages, to a job's scope increased productivity. When workers with interchangeable skills were placed on work teams, they often achieved significantly higher output and increased employee satisfaction.
2. *Departmentalization.* This is the basis by which jobs are grouped together so that common tasks can be coordinated. Jobs can be grouped on a number of bases: functional, product, geography, process, consumer or any reasonable combination of these bases. A recent organizational trend is to emphasize the use of cross-functional teams, where members are pulled from specialized departments into a common team (see Chapter 9).

- a. Functional. One of the most popular ways to group jobs is by the functions performed. Functional departmentalization seeks to *achieve economies of scale* by placing people with common skills and orientations into common units.
 - b. Product. Workers can be organized by the type of product the organization produces. This type of grouping provides the major advantage of *increased accountability for product performance*, since all activities related to a specific product are under the direction of a single manager.
 - c. Geography. Departments can be built based on geography or territory. If an organization's customers are scattered over a large geographic area and *have similar needs based on their location*, then this form of departmentalization can be valuable.
 - d. Process. Each department specializes in *one specific phase* in the production as each phase requires different skills; this method offers a basis for homogenous categorizing of activities.
 - e. Customer. The assumption underlying customer departmentalization is that the various groups of *customers have common sets of problems and needs* that can best be met by having specialists for each type of customer.
3. *Chain of Command*. This describes the unbroken line of authority that extends from the top of the organization to its lowest echelon and clarifies who reports to whom. While it has become less important in recent years, it still is a valid concern when structuring organizations.
- a. Authority. This refers to the rights inherent in a managerial position to give orders and expect the orders to be obeyed. Typically, the level of authority is matched to the responsibilities of a given position.
 - b. Unity-of-Command. This principle helps preserve the concept of an unbroken line of authority: it states that a person should have one and only one superior to whom the person is directly responsible. While this principle is often broken in modern

organizations, the result may be increased conflicting demands or priorities given to workers.

4. *Span of Control*. This is the number of employees a manager is expected to effectively and efficiently direct (often known as the number of “direct reports”). This span, to a large degree, determines the number of levels and managers an organization has.
 - a. Wide/Large Span of Control. All other things being equal, the wider or larger the span, the more cost-efficient the organization. Managerial effectiveness however, may be diminished by larger spans of control.
 - 1) The use of wider spans of control has become more prevalent in recent years due to the desire to reduce costs, cut overhead, speed up decision-making, increase flexibility, get closer to customers, and empower employees by reducing the number of managerial layers in an organization.
 - 2) Wider spans of control do increase training costs as workers must be much more knowledgeable about their jobs in order to allow managers to reduce the closeness of control.
 - b. Narrow/Small Span of Control. Keeping the span of control to five or six employees allows for close control by management. But there are three potential drawbacks:
 - 1) Increased costs due to the additional levels of management.
 - 2) Vertical communication in the organization becomes more complex and slower. Larger hierarchies tend to slow the decision-making process down and may isolate upper management.
 - 3) Overly tight supervision may discourage employee autonomy.
5. *Centralization and Decentralization*. This refers to the degree to which decision-making is concentrated at a single point in the organization. The concept only includes formal authority: the rights inherent in one's position.

- a. Primary Difference. Centralized organizations have all key decisions made at the upper levels of the organization while decentralized organizations have decisions made at the lowest possible level.
 - b. Benefits of Decentralization. The current trend in organizations is toward decentralization, in order to get the following benefits:
 - 1) Actions tend to be taken more quickly to solve problems.
 - 2) More people provide input into decisions.
 - 3) Employees are less likely to feel alienated from those who make decisions that affect their work lives.
6. *Formalization*. This is the degree to which jobs in the organization are standardized.
- a. Formal Organizations. In these organizations, the job incumbent has a minimum amount of discretion over what is to be done, when it is to be done, and how it is to be done. There is consistent and uniform output driven by explicit job descriptions, organizational rules, and clearly defined procedures.
 - b. Informal Organizations. Here job behaviors are relatively non-programmed employees have a great deal of freedom to exercise discretion in their work. This may increase job motivation, employee satisfaction, and consideration of alternative means of completing tasks.

IV. COMMON ORGANIZATIONAL DESIGNS

- A. **Simple Structure**. The structure has a low degree of departmentalization, wide spans of control, authority is centralized in a single person, and there is little formalization. Simple structures tend to be “flat” organizations, with only two or three vertical levels. Often used for small organizations and organizations in times of temporary crises.

1. *Advantages.* The strength of the structure is its simplicity: it's fast, flexible, and expensive to maintain. Accountability is clear.
2. *Disadvantages.* The structure is difficult to maintain for anything other than small organizations. The focus of all decision-making on one person can result very quickly in information overload as the organization increases in size.

B. **Bureaucracy.** Standardization is the key concept that underlies all bureaucracies. Bureaucracies are characterized by routine operating tasks achieved through specialization, formalized rules and regulations, tasks that are grouped into functional departments, centralized authority, narrow spans of control, and decision-making that follows the chain of command.

1. *Advantages.* Bureaucracies can perform standardized activities in a highly efficient manner due to economies of scale, minimum duplication of personnel and equipment, and specialized employees. They do not require talented low- to mid-level managers: the formalized rules and procedures are substitutes for managerial discretion.
2. *Disadvantages.* Bureaucracies tend to create subunit conflicts due to specialization of workers and departments. Functional unit goals can override the overall goals of the organization. There tends to be an obsessive concern with following the rules and little ability to react to unique situations.

C. **Matrix Structure.** This organizational structure combines two forms of departmentalization: functional and product. The most obvious structural characteristic of a matrix is that it **breaks the unity-of-command concept**. Employees in a matrix have two bosses, (their functional department manager and their product manager), thus making a dual chain of command.

1. *Advantages.* The matrix attempts to gain the strengths of both functional and product departmentalization while avoiding each of their weaknesses. A matrix facilitates coordination, especially when organizations have a multiplicity of complex and interdependent activities. The direct and frequent contact between different specialties in the matrix can make for better communication; faster data flow; more flexibility; and

enhanced focus on organizational goals instead of departmental ones. It also facilitates the effective allocation of specialists.

2. *Disadvantages.* This type of structure tends to create confusion, foster power struggles, and place undue stress and insecurity on individuals. Ambiguity is significantly increased, which often leads to the greater potential for conflict.

V. NEW ORGANIZATIONAL DESIGN OPTIONS

- A. **Team Structure.** The primary characteristics of the team structure are that it breaks down departmental barriers and decentralizes decision-making to the level of the work team (see Chapter 9). Often in larger organizations, the team structure complements the overall bureaucratic structure.
- B. **Virtual Organization.** Also known as a *network* or *modular* organization, this highly flexible structure typically features a small core organization that outsources major business functions. It is highly centralized with little or no departmentalization. The structure allows for the employment of highly skilled workers only for as long as they are needed (thus reducing costs while improving quality), reduces long-term risks, and minimizes bureaucratic overhead. This organizational option is often used by large firms who contract out the manufacturing process or other business functions in which they do not have a competitive advantage. Managers in virtual organizations spend most of their time coordinating and controlling external relations, typically by way of computer-network links.
- C. **Boundary less Organization.** Also known as the *T-form* organization, based on its necessary and heavy reliance on technology, this type of organization seeks to eliminate vertical and horizontal boundaries and break down the external barriers between the company and its customers and suppliers. The goal is to reduce internal boundaries by eliminating the chain of command, having limitless spans of control, and replacing departments with cross-functional and cross-hierarchical empowered teams. External

barriers are removed by globalization, strategic alliances, customer-organization links, and telecommuting.

VI. FORCES THAT DETERMINE APPROPRIATE STRUCTURE

A. **Models of Organizational Design.** There are two extreme models of organizational design, the mechanistic and the organic, which may aid in the discussion of these forces.

1. *The Mechanistic Model.* Generally synonymous with bureaucracy, in that it has extensive departmentalization, high formalization, a limited information network (normally downward communication), and little participation by low-level members in decision-making.
2. *The Organic Model.* Similar to the boundary less organization, this structure is flat, uses cross-hierarchical and cross-functional teams, has low formalization, possesses a comprehensive information network (using lateral and upward communication as well as downward), and involves high participation in decision-making.

B. **The Four Forces That Influence Structure.** An organization's strategy, size, use of technology and environmental uncertainty all have an influence on the appropriate structure for the organization.

1. *Strategy.* An organization's structure is a means to help management to achieve its objectives. Because objectives are derived from an organization's overall strategy, strategy and structure are closely linked. Structure should follow strategy. There are three strategic dimensions that affect structural design: innovation, cost minimization, and imitation.
 - a. Innovation. The degree to which an organization plans to introduce new products or services. Organizations pursuing an innovation strategy need to create flexible and organic structures.
 - b. Cost Minimization. These organizations tightly control costs, refrain from incurring unnecessary innovation or marketing expenses, and cut price by selling a basic

product. Firms following this strategy need the efficiency and stability of the mechanistic structure.

- c. Imitation. These organizations try to capitalize on the best of both of the previous strategies. Imitators try to minimize risk, while maximizing the opportunity for profit. These firms are market followers who move into new products or new markets only after viability has been proven by the innovators. Imitators, combine both the mechanistic and organic structures: keeping the tight control and low cost of the mechanistic structure, while creating organic subunits to pursue new undertakings.
2. *Organizational Size*. The size of an organization significantly affects its structure. Larger firms tend to be more mechanistic. They develop more specialization, departmentalization, vertical levels, and rules and regulations. But size affects structure at a decreasing rate: once an organization has become fairly mechanistic (around 2,000 employees), additional increases in size have little effect on organizational structure.
 3. *Technology*. This generic term refers to how an organization transfers its inputs into outputs. Technologies become focused on either routine or nonroutine activities.
 - a. Routine Technologies. Characterized by automated and standardized operations. These technologies tend to be associated with taller and more departmentalized structures. There is strong evidence that routine technologies are linked to highly formalized organizations that include rules, manuals, job descriptions, and other formalized documentation
 - b. No routine Technologies. These technologies are customized and associated with more informal or organic organizations.
 4. *Environmental Uncertainty*. An organization's environment is a key determinant of structure.
 - a. Static Environments. These environments have no new competitors, no new technological breakthroughs by current competitors, or little activity by public

pressure groups to influence the organization. There is little uncertainty in these environments. Organizations in static environments tend to take the mechanistic form.

- b. Dynamic Environments. These environments are characterized by rapidly changing government regulations affecting business, new competitors, difficulties in acquiring raw materials, continually changing product preferences by consumers, and other unstable elements. Managers are forced to contend with great deals of uncertainty in these environments. Firms in dynamic environments require flexibility, and therefore organic structures, in order to gain organizational effectiveness.

VII. ORGANIZATIONAL DESIGNS AND EMPLOYEE BEHAVIOR

It is impossible to generalize any link between organizational structures and employee performance and/or satisfaction due to the high variance caused by individual differences. These individual differences must become the focus of the discussion.

- A. **Work Specialization.** Work specialization contributes to higher employee productivity at the price of reduced job satisfaction, but not for everyone. While the point at which the human costs of specialized work overtakes the economies of specialization seems to be reached more quickly now than in the past, there are still those who enjoy routine labor. The negative behavioral outcomes from high specialization are most likely to surface in professional jobs occupied by individuals with high needs for personal growth and diversity.
- B. **Span of Control.** There is no evidence to suggest a relationship between span of control and employee performance or satisfaction. Individual differences may be confounding the results of research in this area. One assumption, based on several the contingency theories (presented in Chapter 11), is that factors such as employees' experience and abilities along with the degree of structure in their tasks, would explain when wide or narrow spans of control are likely to contribute to performance and job satisfaction.
- C. **Centralization.** There is fairly strong evidence that the degree of centralization is linked to job satisfaction. Decentralized organizations tend to have a greater amount of participative

decision-making, which is positively related to job satisfaction. This relationship is strongest with employees who have low self-esteem.

VIII. IMPLICATIONS FOR MANAGERS

- A. Shaping Attitudes. Structure does contribute to explaining and predicting employee attitudes. Structure reduces ambiguity and clarifies relationships. It may also shape attitudes and motivate workers to higher levels of performance.
- B. Behavioral Constraints. Structure constrains employee behaviors to the extent that it limits and controls what they do. Mechanistic structures significantly restrict acceptable employee behaviors, while organic structures provide employees a much greater freedom of action.

Chapter Six: Organizational Culture

Chapter Overview

This chapter examines organizational culture: the effects culture has on members within the organization; how members learn the culture; and how it can be changed.

Chapter Objectives

After studying this chapter, the student should be able to:

- Define the common characteristics making up organizational culture.
- Contrast strong and weak cultures.
- Identify the functional and dysfunctional effects of organizational culture on people.
- List the factors that maintain organization's culture.
- Identify and describe the phases of organizational socialization.
- Clarify how employees learn an organization's culture.
- Explain how an ethical culture can be established.
- Characterize a customer-responsive culture.

Suggested Lecture Outline

IX. INTRODUCTION

In Chapter 3, we found that individuals have relatively enduring and stable traits that help predict their attitudes and behaviors. Organizations also have personalities, which are referred to as “cultures.” Organizational cultures govern how that organization's members behave.

X. ORGANIZATIONAL CULTURE

A. **Defined.** *A system of shared meaning held by members that distinguishes the organization from other organizations.* There are seven primary characteristics that capture the essence of an organization's culture. These characteristics are measured on a scale of high to low and provide a composite picture of an organization's culture. This becomes the basis for the feelings of shared understanding that members have about the organization, how things are done in it, and the way members are supposed to behave.

1. *Innovation and Risk Taking.* The degree to which employees are encouraged to be innovative and take risks.
2. *Attention to Detail.* The degree to which employees are expected to exhibit precision, analysis, and attention to detail.

3. *Outcome Orientation*. The degree to which management focuses on results or outcomes rather than on the techniques and processes used to achieve those outcomes.
4. *People Orientation*. The degree to which management decisions take into consideration the effect of outcomes on people within the organization.
5. *Team Orientation*. The degree to which work activities are organized around teams rather than individuals.
6. *Aggressiveness*. The degree to which people are aggressive and competitive rather than easy-going.
7. *Stability*. The degree to which organizational activities emphasize maintaining the status quo in contrast to growth.

B. Organizational Culture versus Job Satisfaction.

1. Organizational culture describes how employees *perceive* the characteristics of an organization's culture, not whether or not they like those characteristics. It is a descriptive term.
2. Job satisfaction seeks to measure affective responses to the work environment: it is concerned with how employees *feel* about the organization. It is an evaluative term.

C. Layers of Organizational Culture. Culture is a system of *shared* meaning, therefore individuals of dissimilar backgrounds or at varying levels in the organization should describe the organization's culture in similar terms despite their differences. This doesn't mean however that an organization's culture is completely uniform.

1. *Dominant Culture*. This is the overall organizational culture as expressed by the core values held by the majority of the organization's members. When people are asked to portray an organization's culture, they normally describe the dominant culture: a macro view that gives an organization its distinct personality.
2. *Subcultures*. These subsets of the overall culture tend to develop in larger organizations to reflect the common problems, situations, or experiences that are unique to members of certain

departments or geographical areas. The subculture retains the core values of the dominant culture but modifies them to reflect their own distinct situation.

D. Strong versus Weak Cultures. Strong cultures have a greater impact on employee behavior and are more directly related to reduce turnover.

1. *Strong Culture.* This exists when an organization's core values are both intensely held and widely shared. The greater the number of members who accept the core values and the greater their commitment to these values, the stronger the culture is. A strong culture creates an internal climate of high behavioral control and builds cohesiveness, loyalty, and organizational commitment.
2. *Weak Culture.* In this case, the organization's core values are not widely held or intensely felt. These cultures have little impact on member behavior.

E. Organizational Culture versus National Culture. National culture has a greater impact on employee behavior than does an organization's culture. There may be self-selection biases during the hiring process whereby companies hire people most likely to fit into their organizational culture, rather than a person who more accurately reflects the national culture, which may make employees more likely to follow the organizational culture than a typical person from own national culture.

F. Functions and Liabilities of Organizational Culture.

1. *The Functions of Organizational Culture.* Overall, culture benefits organizations by increasing organizational commitment and the consistency of employee behavior. It also aids employees by reducing ambiguity. There are five basic functions of culture that help achieve these benefits:
 - a. Defines Boundaries. Culture creates distinctions between one organization and another.
 - b. Identity. Culture conveys a sense of identity for its members.
 - c. Commitment. Culture generates commitment to something that is larger than one's own self-interest.

- d. Social Stability. Culture is the social glue that helps hold the organization together by providing appropriate standards for socially acceptable employee behavior.
 - e. Control Mechanism. Culture serves as a control mechanism that guides and shapes the attitudes and behavior of employees. It helps employees make sense of the work environment: it defines the rules of the game. In today's organizations, where direct and close managerial control appears to no longer be an option, culture is one of the ways to enforce organizational standards and to maintain effectiveness.
2. *Culture as a Liability*. Because culture is difficult to change in the short run and defines proper behavior, it may create barriers in the organization.
- a. Barrier to Change. When the cultural values are not aligned with those that will increase an organization's effectiveness in dynamic environments, they can create a barrier to implementing the necessary organizational changes.
 - b. Barrier to Diversity. There is a managerial conflict that exists because of culture. Organizations seek to hire people of diverse backgrounds in order to increase the quality of decision-making and creativity. But strong cultures, by their very nature, often seek to minimize diversity. Balancing the need for diversity with the need for a strong culture is an ongoing managerial challenge.
 - c. Barrier to Acquisitions and Mergers. One of the primary concerns in mergers and acquisitions in recent years has been the cultural compatibility between the joining firms as the main cause for the failure of these combinations has been cultural conflict.

XI. CREATING AND SUSTAINING CULTURE

A. **The Creation of Culture**. The ultimate source of an organization's culture is its founder(s). Founders have a vision of what the organization should be and they are unconstrained by previous customs or ideologies. The new organization's small size facilitates the founder's imposition of his or her vision on all organizational members. Founders create culture in three ways:

1. *Employees Selection*. Founders hire and keep only those employees who think and feel the same way the founders do.

2. *Socialization.* Founders indoctrinate and socialize their employees toward the founders' way of thinking and feeling.
3. *Modeling.* The founder acts as a role model and encourages to employees identify with him or her and to internalize the founder's beliefs, values, and assumptions. Any organizational success is attributed to the founder's vision, attitudes, and behavior. In a sense, the organization becomes an extension of the founder's personality.

B. **Sustaining Culture.** Once a culture exists, OB practices within the organization serve to maintain it by giving employees a similar set of experiences. These practices include the selection process, performance evaluation criteria, training and development activities, and promotional procedures: those who support the culture are rewarded and those who do not are penalized.

1. *Employee Selection.* The selection process needs to identify potential employees with relevant skill sets; one of the more critical facets of this process is ensuring that those selected have values that are consistent with those of the organization. Employees whose values and beliefs are misaligned with those of the organization tend to not be hired, or self-select out of the applicant pool.
2. *Actions of Top Management.* The verbal messages and actions of top management establish norms of behavior throughout the organization. These norms include the desirability of risk taking, level of employee empowerment, appropriate attire, and outlining successful career paths.
3. *Employee Socialization.* New employees must adapt to the organizational culture in a process called socialization. While socialization continues throughout an employee's career, the initial socialization is the most critical. There are three stages in this initial socialization. The success of this socialization will affect employee productivity, commitment, and turnover.
 - a. Prearrival. This encompasses all the learning that occurs before a new member joins the organization. Each individual arrives with his or her own unique set of values, attitudes, and expectations both surrounding the work and the organization. That knowledge, plus how proactive their personality is, are the two critical predictors of how well the new employees will adjust to the new culture.

- b. Encounter. This is when the new employee sees what the organization is really like and confronts the possibility that expectations and reality may diverge. If the employee's expectations prove to be reasonably accurate, the encounter stage merely provides a reaffirmation of the perceptions gained earlier. But when expectations and reality differ, new employees must undergo socialization that will detach them from their previous assumptions and replace them with another set the organization deems desirable. At the extreme, a new member may become disillusioned with the actualities of the job and resign: an indication of the failure of the selection process. The greater the number of friendship ties a newcomer has in the organization, the more likely he or she is to be committed.
- c. Metamorphosis. In this final stage, relatively long-lasting changes take place as the employee has adjusted to the work itself and internalized the workgroup's values and norms. The more management relies on socialization programs that are formal, collective, fixed, serial, emphasize divestiture, the greater the likelihood that the newcomer's differences and perspectives will be stripped away and replaced by standardized and predictable behaviors. Successful metamorphosis should have a positive effect on new employee productivity, organizational commitment, and turnover.

C. **Culture Creation Model.** The original culture is derived from the founder's philosophy, which in turn strongly influences the criteria used in hiring. The actions of top management set the general climate of what is acceptable behavior. How well employees are socialized will depend on management's selection of socialization method and the closeness of the new employees' values to those of the organization.

XII. HOW CULTURE IS LEARNED

A. **Transmission.** Culture is transmitted to employees in a number of forms: stories, rituals, material symbols, and language.

1. *Stories.* Stories typically revolve around key events such as rule breaking, unlikely successes, workforce reductions, reactions to past mistakes, and methods of organizational coping that involve the organization's founders or other key personnel. These are morality tales: the stories are designed to teach lessons of how things *should* be done in the organization.

2. *Rituals.* These are repetitive sequences of activities that express and reinforce the key values of the organization. These rituals run the gambit from simple public “attaboys” to formal retirement ceremonies.
3. *Material Symbols.* Material symbols such as the size of offices, the elegance of furnishings, perquisites, awards and trophies, and the attire worn, all convey to employees who is important, the degree of egalitarianism desired by top management, and the kinds of appropriate behavior.
4. *Language.* Specialized languages, acronyms or jargon serve as a means to identify and segregate members of a culture or subculture. Once assimilated, the specialized language acts as a common denominator that unites members of a given culture or subculture

XIII. MANAGING CULTURAL CHANGE

A. **The Difficulty of Cultural Change.** Culture is relatively stable and rooted in the deeply held values to which employees are strongly committed. Culture is embedded in every aspect of the organization. While changing an organization's culture may be difficult, there are times when it is necessary. Four conditions indicate when the organizational environment is ripe for change:

1. *A Dynamic Crisis Exists or Is Created.* Crises such as a surprising financial setback, the loss of a major customer, or a dramatic technological breakthrough by a competitor may act as a shock that undermines the status quo and calls into question the relevance of the current culture. Some executives purposely create a crisis in order to stimulate cultural change.
2. *A Turnover in Leadership.* Replacing top leadership with people from outside the organization can provide an alternative set of key values and is likely to increase the chances that new cultural values will be introduced.
3. *Younger and Smaller Organizations.* These organizations have less-entrenched cultures; their cultures are easier to change than are those of larger and better-established organizations.
4. *Weaker Cultures.* The stronger a culture of the more difficult it will be to change. Weak cultures are relatively easy to change.

- B. **Cultural Change Timeline.** Even if these factors are favorable, cultural change is a lengthy process should be measured in years rather than months.

XIV. CREATING AN ETHICAL ORGANIZATIONAL CULTURE.

- A. **Favorable Conditions.** A strong organizational culture that is high in risk tolerance, low-to-moderate in aggressiveness, and focuses on means as well as outcomes is the one most likely to shape high ethical standards.

- B. **Practices that Encourage Development of an Ethical Culture.** Top management can:

1. *Be a Visible Role Model.* When senior management is seen as taking the ethical highroad, it provides a positive behavioral guideline for all employees.
2. *Communicate Ethical Expectations.* The creation and use of an organizational code of ethics helps reduce ethical ambiguities and enforce the organization's primary values.
3. *Provide Ethical Training.* Training acts to reinforce the organization's standards of conduct, clarifies ethical practices, and addresses possible ethical dilemmas.
4. *Visibly Reward Ethical Acts and Punish Unethical Ones.* Performance appraisals must include the means taken to achieve goals as well as the ends themselves. Employees tend to act in ways that will gain them the greatest rewards (see Expectancy Theory in Chapter 5); tie ethical actions into the reward structure to modify behaviors.
5. *Provide Protective Mechanisms.* Organizations must create formal mechanisms that allow employees to discuss ethical dilemmas or report unethical behavior without fear of reprimand (such as ethical counselors, ombudsman, or ethical officers) to facilitate the change to an ethical culture.

XV. CREATING A CUSTOMER-RESPONSIVE CULTURE

- A. **Purpose.** Creating an organizational culture that builds a strong and loyal customer base is generally rewarded with revenue growth in better financial performance.

- B. **Key Variables in Shaping Customer-Responsive Cultures.**

1. *Type of Employees.* Successful, service-oriented organizations hire employees who are outgoing and friendly.
2. *Low Formalization.* Service employees need to have the freedom to meet changing customer-service requirements. Rigid rules, procedures, and regulations make this difficult.
3. *Widespread Use of Empowerment.* Related to low formalization, employees need discretion to do what is necessary to please the customer.
4. *Good Listening Skills.* Employees must have the ability to listen and understand messages sent by the customer.
5. *Role Clarity.* Service employees act as “boundary spanners” between the organization and its customers. They have to please both management and customers, which may lead to role ambiguity and conflict, reducing job satisfaction and hindering performance. Managers should clarify employee roles as to the best way to perform the jobs and activities.
6. *Organizational Citizenship Behavior.* Employees should be conscientious in their desire to please the customer. They need to be able to take initiative to provide service beyond customer expectations.

C. **Suggested Managerial Actions.** To create a more customer-responsive culture, managers should do the following:

1. *Selection.* Building a customer-responsive culture starts with hiring the correct service contact people. Organizations should seek personalities and attitudes consistent with a high service orientation.
2. *Training.* Organizations with large numbers of existing employees should focus on training. The training should encompass improvement of product knowledge, active listening, showing patience, and displaying emotions.
3. *Structural Design.* Organizations that wish to become customer-oriented should reduce the numbers of rules and regulations so that employees are empowered to change their behavior to meet the needs and requests customers.

4. *Empowerment.* Employees should be given discretion to make day-to-day decisions about job-related activities. As with structural design, this allows customer service representatives to satisfy consumers completely and immediately.
5. *Leadership.* Leaders must model customer-centric behaviors if they wish their employees to act responsively toward their customers.
6. *Performance Evaluation.* Behavior-based performance evaluations are consistent with improved customer service. The focus of such appraisals is based of how employees behave or act (effort, commitment, teamwork, friendliness, and problem solving) rather than on measurable outcomes.
7. *Reward Systems.* Organizations that wish to deliver good service need to reward employees who provide it. Pay and promotions should be contingent on outstanding customer service.

XVI. IMPLICATIONS FOR MANAGERS

- A. **New Organizations.** Creating the desired cultures in organizations is relatively easy: the founder merely needs to model the behaviors desired and select appropriate employees.
- B. **Existing Organizations.** Changing organizational culture is a time-consuming activity. Strong cultures are relatively stable and have permanent characteristics, which may be either a benefit or detriment to the organization depending on how dynamic their environment becomes. Change is possible, but it takes great effort and a long-term focus.

Chapter 7 Organizational Change and Development

Chapter Overview

This chapter focuses on change in organizations and presents two views of change. After describing causes for the resistance to change the chapter shifts to organizational development efforts, process improvement, stress, and creating a learning organization.

Chapter Objectives

After studying this chapter, the student should be able to:

- Describe forces that act as stimulants to change.
- Contrast two views of change.
- Summarize Lewin's three-step change model.
- Describe factors that lead to resistance to change and how resistance can be reduced.
- Explain the values underlying most organizational development (OD) efforts.
- Contrast continuous improvement processes and process reengineering.
- Describe potential sources of, and ways of managing, work stress.
- List characteristics of a learning organization.
- Explain how organizational change may be culture-bound.

Suggested Lecture Outline

XVII. INTRODUCTION

Change is an environmental constant for modern organizations. Managers must be able to help organizations change, understand the reasons for resistance of change, and move organizations in new relevant directions.

XVIII. FORCES FOR CHANGE

A. Six Specific Forces That Act As Stimulants for Change.

1. *Changing Nature of the Work Force.* The environment is steadily becoming more multicultural and the work force is aging. Skill sets of employees are in constant need of updating, increasing training costs.
2. *Technology.* Computers are now fundamental to almost every organization. Data has become digitized, raising issues with accessibility and privacy.
3. *Economic Shocks.* Monetary crises, fuel prices, stock market fluctuations, and historically low interest rates all create a much more dynamic environment than existed in the recent past.
4. *Competition.* The global economy also means global competition. Low labor cost countries are performing more and more of the manufacturing processes for the world while high labor cost countries shift to a service-based economy. Speed of development and implementation is increasing. Successful firms must be nimble.
5. *Social Trends.* The way people perform typical daily actions has changed dramatically in a short period of time. Larger numbers of people interact and shop over the Internet, changing the existing social dynamic.
6. *World Politics.* Large segments of the globe that were historically closed off for investment and development have now opened their doors. Terrorism, war, and religious intolerance are on the rise. All of which have dramatic impacts on organizations.

XIX. CHANGE AGENTS

- A. **Definition.** These are managers or non-managers, current employees of the organization, newly hired employees, or outside consultants who act to initiate or implement change in organizations.
- B. **Outside Consultants.** Unlike internal staff specialists and managers who may be more thoughtful and cautious because they have to live with the consequences of their actions, outside consultants are prone to initiating changes that are more drastic because they don't have to live with the

consequences. Outside consultants do however provide an objective perspective often unavailable to insiders.

XX. TWO VIEWS OF CHANGE

A. **The “Calm Waters” View.** This has been the prevalent view of change for most of recorded history. End-points were known and the path to achieve them was relatively clear. This view of change is no longer appropriate.

1. *Lewin's Three-Step Change Process.* This model treats change as a break in the organization's equilibrium state. The status quo has been disturbed and change is necessary to establish a new equilibrium state.

a. Unfreezing. Pressure is required to overcome the inertia of the current status quo. Pressure can be exerted on organizations in three ways:

- 1) **Driving Forces.** The forces that direct behavior away from the status quo can be increased.
- 2) **Restraining Forces.** The forces that hinder movement from the existing equilibrium (or maintain the current status quo) can be decreased.
- 3) **Combination Approaches.** Pressure can be exerted by increasing the driving forces and decreasing the restraining forces.

b. Changing (Reforming). Once the organization is fluid, (that is, the forces maintaining the status quo have dissipated), managers can reform the organization to meet the new conditions.

c. Refreezing. Instituting a change is insufficient to make it permanent. Forces need to be applied to make the changed state into the new equilibrium state. Organizational systems need to be realigned around the new reality and managers need to ensure employees accept it.

2. *Applicability.* This view of change and Lewin's model has little applicability in the modern environment where change is the norm rather than the exception.

B. **The “White Water Rapids” View.** Aligned with our dynamic environment (see Chapter 14), this view of change believes that changing conditions and uncertainty are the norm. Periods of stability (status quo) are the exception and should be avoided. Organizations under this view of change must be ready to act instantaneously to new conditions with few guidelines and insufficient data.

C. **Assessment of the Views of Change.** While the world has become much more dynamic, not all managers and organizations face a world of constant and chaotic change. But their number is dwindling rapidly.

XXI. RESISTANCE TO CHANGE

A. **Causes.** Individuals and organizations tend to resist change. In doing so, they provide a degree of stability and predictability to behavior. Resistance to change can be a source of functional conflict, which may create better decisions. But resistance, if taken too far, can hinder adaptation and progress. There are both individual and organizational reasons for resistance to change.

1. *Individual Reasons for Resistance.* While an individual's level of resistance to change can be based on his or her characteristics (such as personality), there are some general reasons.

- a. Habit. People tend to be comfortable in a routine. They like to reduce complexity and habitual actions do just that. When confronted with change people tend to use their programmed, or habitual, responses, which become a source of resistance.
- b. Security. People wish to feel secure (see Maslow's hierarchy of needs in Chapter 5). Change often threatens perceived security. Individuals, resist change to avoid insecurity.

2. *Organizational Reasons for Resistance.* Like people, there are forces within organizations that cause them to resist change.

- a. Structural Inertia. Organizations have built-in mechanisms to produce stability, including the selection, training, and socialization processes and the degree of formalization given by rules

and regulations. Organizational culture (see Chapter 15) can be a very powerful source structural inertia.

- b. Limited Focus of Change. Organizations are made up of interdependent subsystems. The change in one subsystem has potential impacts throughout the organization. The effects of changes in subsystems may be nullified by forces in the larger system.

B. Overcoming Resistance to Change. There are five actions that can be taken by change agents to lessen the resistance to change.

1. *Education and Communication*. Resistance can be reduced by communicating with employees to help them see the logic of the change. Doing so reduces misinformation and can help managers sell the need for the change.
2. *Participation*. Involving people in the change decision builds buy-in and reduces resistance. This may come at a cost of a lower quality solution and a greater consumption of time.
3. *Building Support and Commitment*. To combat employees' fear and anxiety, change agents can utilize counseling, therapy, new-skills training, or provide a leave of absence. If the emotional commitment to change can be raised it will reduce resistance.
4. *Selecting People Who Accept Change*. Organizations that have selected individuals whose personality easily accepts and adapts to change have far lower levels of resistance than organizations that have not used this criterion for selection. Personalities that accept change are those that are open, risk-taking, flexible, and have a high self-concept.
5. *Coercion*. If all else fails, change agents can apply direct threats or force on those who resist. This technique (as mentioned in Chapter 12) has limited effectiveness and may actually increase resistance to change.

XXII. MANAGING CHANGE THROUGH ORGANIZATIONAL DEVELOPMENT

A. **Definition.** Organizational development (OD) is a generalized concept. It encompasses a collection of planned-change interventions built on humanistic-democratic values that seek to improve organizational effectiveness and employee well-being. OD values human organizational growth, collaborative and participative processes, and a spirit of inquiry. OD holds to the following underlying values:

1. *Respect for People.* People are believed to be responsible, conscientious, and caring and should be treated with dignity and respect.
2. *Trust and Support.* Effective organizations are characterized by trust, authenticity, openness, and supportive climate.
3. *Power Equalization.* Effective organizations deemphasize hierarchical authority and control.
4. *Confrontation.* Problem should be openly confronted.
5. *Participation.* Involving people in decision-making regarding a change increases their commitment to implementing the change.

B. **Five OD Interventions for Change.**

1. *Sensitivity Training.* Also known as, laboratory training encounter groups or T-groups (training groups), all refer to a method of changing behavior through unstructured group interaction. This is a process-oriented activity, where individuals learn by observing and participating rather than by being told. The objectives are to provide subjects with increased awareness of their own behavior and how others perceive them, greater sensitivity to the behavior of others, and increased understanding of group processes. Specific results include the ability to empathize with others, improved listening skills, greater openness, increased tolerance of individual differences, and improved conflict-resolution skills.
2. *Survey Feedback.* This tool assesses attitudes held by organizational members and helps identify discrepancies among member perceptions and in solving differences. Surveys can be done on almost any topic within the organization. The data from the questionnaires are tabulated and broken down by the most effective level. The survey results can help find problems and

clarifying issues. The surveys themselves help organizational members determine if the people within the structure are listening to their inputs.

3. *Process Consultation*. This refers to the use of an outside consultant to assist a manager to perceive, understand, and act upon process events such as workflow, informal relationships, and formal communication channels. Process consultation (PC) is task-directed and assumes that organizational effectiveness can be improved by dealing with interpersonal problems and increasing involvement. Consultants guide managers to jointly diagnose problem areas; consultants do not provide the answers themselves.
4. *Intergroup Development*. Seeks to change the attitudes, stereotypes, and perceptions that groups have of each other. Its focus is the functional conflict that exists between groups. Intergroup development uses problem solving in group settings to help clarify the nature of the conflict.
5. *Appreciative Inquiry*. Appreciative inquiry (AI), unlike other OD approaches, accentuates the positive aspects of situations rather than looking for problems. AI focuses on a forward-looking approach rather than a blame-setting backward-looking approach typically associated with problem solving. There are four steps in AI:
 - a. Discovery. Groups of employees meet to identify the strengths of the organization.
 - b. Dreaming. Groups speculate on the possible futures for the organization.
 - c. Design. Participants focus on finding a common vision of how the organization will look and agree on its unique qualities.
 - d. Destiny. Group members discuss how the organization is going to fulfill its dream. They may create action plans and implementation strategies.

XXIII. CONTEMPORARY ISSUES IN ORGANIZATIONAL CHANGE.

- A. **Technology in the Workplace**. While technology itself has changed the way that people work, there are two specific issues related to process technology and work that are important here: continuous process improvement and process reengineering.

1. *Continuous Process Improvement.* Quality management seeks constant attainment of customer satisfaction through the continuous improvement of all organizational processes (see Chapter 1). The goal is to reduce variability. By doing so, you increase the uniformity of the product or service, which results in lower costs and higher quality. This search for continuous improvement can be stressful on employees.
 2. *Process Reengineering.* This is a process whereby management rethinks and redesigns existing processes from scratch. Process reengineering tends to be very stressful on the employees who stay in the organization and for those who are forced out due to restructuring. There are three key elements:
 - a. Managers must identify an organization's distinctive competencies (things an organization does better than do its competitors and which makes it unique from its competitors).
 - b. Managers must assess core processes that add value to the organization and its customers. A process is anything that converts an input to an output.
 - c. Organizations must reorganize horizontally based on process. This involves the use of cross-functional and self-managed teams. The focus is on the process itself and not the business functions. May result in the loss of middle management positions.
- B. **Work Stress.** Stress is a dynamic condition in which an individual is confronted with an opportunity, demand, or resource related to what the individual desires and for which the outcome is perceived to be both uncertain and important. Stress has been increasing dramatically in the work environments.
1. *Types of Workplace Stress:*
 - a. Challenge Stress. This type of stress, associated with challenges in the work environment (such as having many projects), may help performance to some extent.
 - b. Hindrance Stress. This stress comes from having to deal with obstacles to achieving goals such as red tape and politics. It has more negative implications than does challenge stress.
 2. *Stressors.* Stress often results from demands and resources.

- a. Demands. These are the responsibilities, pressures, obligations, and even uncertainties that individuals face in the workplace. The greater the number of demands, typically the greater the stress level.
 - b. Resources. Things in an individual's control that can be used to resolve the demands. The scarcer the resources, the higher the stress, given the same level of demands.
3. *Managing Stress*. Realistically, stress can never be totally eliminated from a person's life. And while not all stresses are dysfunctional, it is often wise to reduce stress to minimum levels. Stress reduction techniques include:
- a. Employee Selection. By selecting employees with abilities that match their positions, the job stress is reduced.
 - b. Organizational Communications. Ambiguity-induced stress can be kept to a minimum by improving communications.
 - c. Goal-Setting Programs. Reduces stress by clarifying job responsibilities and providing clear performance objectives.
 - d. Job Redesign. If stress can be traced directly to boredom or work overload, job redesign can reduce stress.
 - e. Counseling. Employees, who have stress in their personal lives, may be offered counseling as a form of stress relief.
 - f. Time Management Programs. These may prove helpful for both work-related and home-related stress.
 - g. Physical Activity Programs. Exercise has been shown to reduce stress-inducing chemicals in the body.

C. Creating a Learning Organization.

1. *Definition.* This is an organization that has developed a continuous capacity to adapt and change. Learning organizations represent an ideal to strive toward rather than a realistic description of structured activity.
2. *Types of Learning.*
 - a. Single-Loop Learning. When errors are detected, the correction process relies on past routines and present policies. This is the type of learning done by typical organizations.
 - b. Double-Loop Learning. When an error is detected, it is corrected in ways that involve the modification of the organization's objectives, policies, and standard routines. This type of learning challenges deeply rooted assumptions and norms within an organization. It provides opportunities for radically different solutions to problems and dramatic jumps in improvement. This type of learning is used by learning organizations.
3. *Five Basic Characteristics of a Learning Organization.*
 - a. People are willing to put aside their old ways of thinking.
 - b. They learn to be open with each other.
 - c. They understand how the organization really works.
 - d. They can form a plan or vision and everyone can agree on.
 - e. And they can work together to achieve that vision.
4. *Learning Organizations Solve Three Fundamental Problems of Traditional Organizations.* When organizations embrace the five basic characteristics, they will reduce or eliminate the following three problems.
 - a. Fragmentation. Arises from specialization, which creates “walls,” “silos,” and “chimneys” that set different functions into independent and often warring fiefdoms.
 - b. Competition. An overemphasis on competition often undermines collaboration.

- c. Reactiveness. This occurs when management's attention is focused on problem solving rather than innovation creation.
5. *Managing Learning*. In order to oversee the learning process, organizations need to do the following:
- a. Establish a Strategy. Management needs to make explicit its commitment to change, innovation, and continuous improvement.
 - b. Redesign the Organization's Structure. Managers should flatten structure; increase the use of cross-functional teams, and work to reduce boundaries between people.
 - c. Reshape the Organization's Culture. Managers need to set the tone for the organization's culture by becoming more risk-taking, open, and growth-oriented. They need to admit that failures can be desirable traits by rewarding those who took chances and made mistakes. Management needs to encourage functional conflict to improve decision-making.
6. *Managing Change: It's Culture-Bound*. Culture influences beliefs and beliefs have a lot to do with acceptance of change. The following five issues may help managers focus their change efforts by increasing their awareness of the cultural environment.
- a. Locus of Control. When people have an internal locus of control, they believe they control their environment and are much more likely to embrace change efforts. Individuals with an external locus of control feel the environment controls them and they are less likely to put effort toward change.
 - b. Time Orientation. Societies that focus on the long-term will have more patience while waiting for positive outcomes from change. Societies with a shorter-term focus are less likely to wait for results and will seek change programs that promise fast results.
 - c. Present Orientation. Cultures that are fixated on the past rather than on the present are more likely to resist change efforts.

- d. Power Distance. High-power-distance cultures tend to autocratically implement changes. Low-power-distance cultures value democratic methods and are more likely to use participation in change efforts.
- e. Idea Champion Approaches and Culture. Idea champions (individuals in the organization who are tasked with implementing a given change) may vary their technique based on the culture they face.
 - 1) Collectivistic cultures prefer appeals for cross-functional support.
 - 2) High-power-distance cultures desire champions to work closely with those in authority to approve innovative activities before any work is conducted.
 - 3) High-uncertainty-avoidance societies need idea champions to work within the organization's rules and procedures to develop innovations.

XXIV. IMPLICATIONS FOR MANAGERS

Change is inherent in the modern workplace and successful managers must learn to deal with change and to successfully implement changes in their organizations. The world is a constantly changing place, and managers must seek to ac

**LEADERSHIP AND CHANGE MANAGEMENT
STUDENT HANDBOOK**

Chapter One

Introduction to Leadership

Introduction

Leadership is one of the most important aspect of studies of human behaviour in organization. It is the leader who creates working environment which is suitable for employee & organizational success. The success of an organization depends upon the efficiency of the leader. It is the attribute, positive approach, and the ability to solve problems that make a person leader.

For many people, leadership stems from a desire to make a difference in the lives of others and the world. It means believing in yourself and those you work with, loving what you do, and infusing others with energy and enthusiasm to accomplish a vision for a better future. There are leaders making a difference every day, not only in businesses but in nonprofit organizations, the military, educational systems and governmental agencies, sports teams and volunteer committees, big cities and small rural communities, as well.

1.1. Leadership Definition

- Leadership is the exercise of influence by one member of a group or organization over other members to help the group or organization achieve its goals. Formal leaders have formal authority to influence others by virtue of their job/position responsibilities. Informal leaders lack formal authority but influence others by virtue of their special skills or talents.
- **Leadership** is formally defined as the process of influencing others to behave in preferred ways to accomplish organizational objectives.
- Leadership is the *incremental influence* one individual exerts over another, above and beyond mechanical compliance with routine directives.
- **Leadership** is an influence relationship among leaders and followers who intend real changes and outcomes that reflect their shared purposes.
- Leadership occurs when one individual influences others to do something voluntarily rather than because they were required to do it or because they feared the consequences of noncompliance. It is this voluntary aspect of leadership that distinguishes it from other influence processes, such as power and authority.
- Chanda defined leadership in such a way that it is an art of influencing and inspiring subordinates to perform their duty willingly, competently and enthusiastically for the achievement of group objective.

Leadership involves influence, it occurs among people, those people intentionally desire significant changes, and the changes reflect purposes shared by leaders and followers. *Influence* means that the relationship among people is not passive; however, also inherent in this definition

is the concept that influence is multidirectional and non coercive. Leadership is reciprocal, in most organizations; superiors influence subordinates, but subordinates also influence superiors.

Also, leadership is a *people* activity and is distinct from administrative paperwork or planning activities. Leadership occurs *among* people; it is not something done *to* people. Since leadership involves people, there must be *followers*. Followers are an important part of the leadership process, and all leaders are sometimes followers as well. Good leaders know how to follow, and they set an example for others.

▪ **Learning the Art and Science of Leadership**

It is important to remember that leadership is both an art and a science. It is an art because many leadership skills and qualities cannot be learned from a textbook. Leadership takes practice and hands-on experience, as well as intense personal exploration and development. However, leadership is also a science because a growing body of knowledge and objective facts describes the leadership process and how to use leadership skills to attain organizational goals.

▪ **Becoming a Leader:**

The **leaders** of a group, team or organization are the individuals who influence others behaviour. Leader effectiveness is the extent to which a leader actually does help a group, team or organization to achieve its goals. Leaders are either appointed by someone external to the group and they are elected by group members themselves. Some people take up role of leader by using their influences.

A more fruitful way to think about leadership concerns the distinction between occupying a leadership position and being effective in that position. Leadership ought to be evaluated in terms of the performance of the group over time. It relates directly to the ability to build and maintain a group that performs well compared to its competition.

1.2. Leadership Vs Management

Although it is common to use the term ‘leader’ and ‘manager’ interchangeably, however nowadays many writers point to a difference between the two. Managers and leaders are not inherently different types of people. There are managers at all hierarchical levels in today’s organizations who are also good leaders, and most people can develop the qualities needed for effective leadership. Both management and leadership are essential in organizations and must be integrated effectively to lead to high performance. That is, leadership cannot replace management; it should be in addition to management.

Leadership is a facet of management and vice versa. Leadership is just one of the many assets a successful manager must possess. The principal aim of a manager is to maximize the output of the

organization through administrative implementation. To achieve this, managers must undertake the following functions:

- Organization
- Planning
- Staffing
- Controlling
- Directing

Leadership is an important component of the directing function. A manager must manage as well as lead.

▪ **Some of the bold differences are;**

1. Management is about path following, leadership on the other hand is focused on path finding
2. Management is about doing things right, while leadership is about doing the right thing
3. Management is controlling people and getting them to do things, while leadership is influencing people to do things willingly
4. Management involves making detailed steps and timetable for achieving results, then marshalling resources to make it happen. Leadership on the other hand emphasized on communicating the vision so that others understand and agree with it.
5. Management produces predictability and order so that others, such as customers or shareholders can rely on consistent result. Leadership produces change that is often a quantum leap, such as new products or new approaches to managing people that makes the organization more competitive.
6. Management is organized along hierarchical position and authority. It simply makes the person a boss. This however does not make one a leader. Leadership differs in that it makes the subordinates want to achieve high goals.
7. The process of management generally encourages emotional distance, but leadership means being emotionally connected to others.
8. Management means providing answers and solving problems, leadership requires the courage to admit mistakes and doubts, to listen, and to trust and learn from others.

1.3. What Makes Effective Leader

Leadership is an intangible quality and its effectiveness can best be measured or judged by the behaviour and attitudes of followers. Personal backgrounds and personalities are poor indicators of judging successful leaders.

The functional leadership model assumes that leaders are not born but can be trained. Training is usually in the form of experience and feedback from superiors and peer groups. Your leadership style depends on the nature of the situation itself. There are seven principles, which, if practised sincerely and consistently will produce the desired effectiveness are;

1. **Know your job.** To gain respect you must be competent at your job. You must be able to answer cadets who come to you for advice *or* to answer a question. It is your job to keep yourself up to date on organization regulations and activities.

2. **Be Sensitive.** You must be aware of your environment and sensitive to the feelings of others who are affected by your actions. Sensitivity allows you to detect the subtle changes in individuals that indicates problems. You must develop a sense of self awareness since your actions, tone of voice and attitudes will be noticed by your team.
3. **Be Firm.** Stand up for what you believe is right. This does not mean being inflexible, obstinate or pig-headed. A good leader will use all the information available and make a decision. They will not allow themselves to be swayed by individuals who criticise their decisions for personal reasons.
4. **Ability to Inspire others:-** this may be an internal “charisma” which is an inborn trait and may not be learnable.
5. **Problem solving skill:-** an effective leader has to develop the patience and ability to look the problem from various angles and get down to the cause of the problem and tries to solve the problem rather than the symptom of the problem
6. **Ability to understand human behaviour:-** a leader must understand the needs, desires, and behaviour of their subordinates and show respect for such desires. He must emotionally supportive and is careful enough to avoid ego threatening behaviour. He must give credit to subordinates when the efforts are successful.
7. **Willingness to take risk:-** good leader always charter the unknown. They must accept and seek new challenges. However, the risk must be calculated ones and the outcomes of action be reasonably predicted. He must be willing to tolerate frustration and defeat & able to learn from it.

1.4. Importance of leadership for good governance & development

Need for Leadership

Why is leadership necessary? Most organizations are highly structured and have relatively clear lines of authority, stated objectives, and momentum to carry them forward. Why, then, is there a need for incremental influence beyond the routine directives and formal job requirements? Four reasons have been proposed to explain the need for ongoing leadership.

- **Incomplete organizational structure.**

The first reason why leadership is necessary is because there is a degree of incompleteness in every organization design. Social organizations cannot be designed to be like machines, which are simply turned on and allowed to run untouched. Leaders are needed to structuring the tasks, decide who

should do what, and delegate work assignments, level. Leaders help the people they lead to accomplish their collective goals.

- **External change.**

The second reason why leadership is necessary is because the organization exists in a changing environment. As the external environment changes, leaders are needed to identify the strategic mission of the organization and help it adapt to its changing environment.

- **Internal change.**

The third reason for leadership stems from the dynamics of internal change in the organization. Leadership is needed to coordinate the efforts of diverse organizational units, particularly during periods of rapid growth or decline. Leadership is necessary to solve internal conflicts and settle differences of opinion.

- **Motivate and inspire.**

The fourth reason why organizations require leadership stems from the need to motivate people and maintain their involvement in the organization. Individuals are not permanent fixtures within the organization. Instead, they come and go, and when they are present, their needs and Intel interests change. Effective leadership provides meaning and purpose by creating a vision of where the organization is going. This ability to inspire and motivate others and transform them into committed contributors to the organization is the function of leadership that has captured the interest of philosophers and scholars and propelled the study of leadership.

CHAPTER – TWO

LEADERSHIP THEORIES AND STYLES

1.1. Leadership style

Leadership style is the manner and approach of providing direction, implementing plans, and motivating people. As seen by the employees, it includes the total pattern of explicit and implicit actions performed by their leader (Newstrom, Davis, 1993)

The role of leadership in management is largely determined by the organizational culture of the company. It has been argued that managers' beliefs, values, and assumptions are critical to the overall style of leadership they adopt. There are several different leadership styles that can be identified within each of the following management techniques. Each has its own set of good and not-so-good characteristics, and each uses leadership in a different way.

The focus on finding leadership style (behavior patterns of leaders) is on the relationship between leaders' action and the reaction of subordinates emotionally and behaviorally. A manager's leadership style is composed of three parts:

- i. How the manager chooses to motivate subordinates

Motivation approach

<u>Positive</u>	<u>Negative</u>
Responsibility	Threats
Recognition	Coercion
Praise	Fines
Security	Suspensions
Monetary Rewards	Termination

- ii. His/her decision-making style: the degree of decision-making authority the manager grants to subordinates.
- iii. His/her areas of emphasis (orientation) in the work environment: Task orientation, employee orientation

Based on the above points there are three types of leadership styles: Autocratic, Democratic, and Laissez-faire.

1. Authoritarian/Autocratic Leadership Style

It is closely associated with the classical approach to management. The manager who follows this style is dogmatic and leads by the ability to withhold or give rewards and punishment, i.e. motivation is through incentives and fear. In this style, decision-making is solely by the manager, in other words, the leader retains all authority and responsibility. In the extreme case, the manager makes the decision and announces it to the work group. There is no opportunity for input into the decision-making process by the subordinates and communication is primarily downward. Variations of this approach find the manager making the decision and then “Selling” it to employees or making the decision and allowing the group the opportunity to ask questions. The autocratic leader is task-oriented and places little value on showing consideration to subordinates as a leadership technique. The Autocratic manager uses Theory X assumption as his philosophical base for leadership. Generally, an authoritarian approach is not a good way to get the best performance from a team.

There are, however, some instances where an autocratic style of leadership may not be inappropriate. Some situations may call for urgent action, and in these cases an autocratic style of leadership may be best. In addition, most people are familiar with autocratic leadership and therefore have less trouble adopting that style. Furthermore, in some situations, subordinates may actually prefer an autocratic style.

The Characteristics of an Autocratic Style

- Work methods that are dictated by the autocratic leader.
- Limited employee participation in most aspects of work.
- Unilateral decision-making by the leader.
- The leader plans, organizes, controls, and coordinates without consent of the subordinates.
- Emphasis is on getting the job done without regard for input from others.

Assumptions

An Autocratic Leader operates on the following assumptions:

- An average human being has inherent dislikes of work and will avoid it, if he can.
- His assumptions are that if his subordinate was intelligent enough, he would not be in that subordinate position.

- He assumes that unintelligent subordinates are immature, unreliable and irresponsible persons. Therefore, they should be constantly watched in the course of their work.
- As he has no regard for his subordinates, he get the work done by his subordinates through negative motivation. i.e., through threats of penalty and punishment.

There are situations where managers are compelled/ forced to use this leadership style.

Some are:

- a. When there is a need to influence subordinates in favor of organizational objectives which has an effect on individuals.
- b. When subordinates are new, they need to be directed.
- c. When the situation calls for unilateral decision-making – perhaps there is no enough time for quality input from subordinates or the subordinates may lack information.

Limitations

- Employees'/subordinates' ideas will not be used to solve organizational problems, which in some cases subordinates may have better ideas than the superior about a particular problem.
- Subordinates would be demotivated, i.e. It may suppress individual initiative
- Poor implementation of decisions

2. Democratic/Participative Leadership Style

In this leadership style, the manager involves subordinates in making organizational decisions, shares problems with them and shares authority to reach a decision.

Subordinates take part in the decision-making process through consultation. The leader delegates a great deal of authority while retaining ultimate responsibility. Active two-way communication (upward and downward) exists. The democrat leader uses Theory Y assumption as his/her philosophical base for leadership.

When to Use the Democratic Style

- Managing employees who are committed to their jobs.
- Managing employees who are interested in more responsibility.
- Managing experienced and well-trained employees.

Assumptions

- a. Involvement in decision-making process improves the understanding of the issues which involved by those who must carry out the decisions in an organization.
- b. People are more committed to actions where they are involved in the relevant decision making.
- c. People are less competitive and more collaborative when they are working on joint goals.
- d. When people make decisions together, the social commitment to one another is greater and thus increases their commitment to the decision.
- e. Several people deciding together make better decisions than one person alone.

Advantages

- A Participative Leader seeks to involve other people in the process likely including subordinates, peers, superiors and other stakeholders.
- Employees actively involved in decision-making.
- Higher employee morale.
- Stronger employee commitment to established goals.
- Team proposes decision; leader has final decision in an organization.
- Joint decision with team as equals share can be taken by leaders in an organization.
- Leader will provide full delegation of decision to team in an organization.

Limitations

- 1) Subordinates may be too involved to influence the manager even when there is no need.
- 2) The manager may not be able to influence the subordinates to the extent needed.
- 3) It is time consuming process to come to consensus opinion in an organization.
- 4) Not everyone likes to participate in decision-making process in an organization.

3. Laissez-Faire/Free-Rein Leadership Style

In this leadership style, leaders generally give the group complete freedom, provide the necessary materials, participate only to answer questions, and avoid decision-making whenever possible. The leader either sets limits and the followers work out their own problems, or the individuals set their own goals. In this style, leaders depend largely on subordinates to set their own goals and the means of achieving them, and they see their role as one of aiding the operations of followers by furnishing them information and acting primarily as a contact with the groups external environment, i.e. the

leader's role is to serve as a logistics specialist or representative of the group to outside groups. In general, this approach leaves the team floundering with little direction or motivation.

Again, there are situations where the Laissez-Faire approach can be effective. The Laissez-Faire technique is usually only appropriate when leading a team of highly motivated and skilled people, who have produced excellent work in the past. Once a leader has established that his team is confident, capable and motivated, it is often best to step back and let them get on with the task, since interfering can generate resentment and detract from their effectiveness. By handing over ownership, a leader can empower his group to achieve their goals.

Limitations

- Group may drift aimlessly in the absence of direction from leader.
- It may make things out of control.

Advantages

- It gives quite freedom for subordinates
- It gives much responsibility and self guidance for subordinates
- It permits self-starters to do things as they see fit without leader
- Very useful in businesses where creative ideas are important

Leadership Attitudes

Another way of looking at different leadership styles is in terms of **task orientation** versus **employee orientation**.

- * Task Orientation or Directive Behavior. This reflects how much a leader is concerned with the actual task at hand and ensuring that those following him complete it.
- * Employee Orientation or Supportive Behavior. This reflects how much a leader is concerned for the people around him, providing support and encouragement for them.

The combination of these two effects leads to the following diagram:

1. Country Club Management SUPPORTING	3. Team Management COACHING
2. Impoverished Management DELEGATING	4. Authority/Obedience Management DIRECTING

This diagram can be used in two ways:

- * As a guide to how effective your leadership style is. Your general attitude to the leadership of the group will fall into one of these categories.
- * As a guide to how best to lead different individuals using different styles to make the most efficient use of both their, and your, time and talents.

Analyzing your style

How do you lead your group? What is your attitude to both them and the task at hand?

- * **Impoverished Management** (low concern for the task, low concern for people). This style is characterized by minimal effort on your part, just enough to get the job done and maintain the group structure.

"I'll just let them get on with it, I'm sure they'll do fine, they don't really want me interfering anyway"

- * **Country Club Management** (low concern for the task, high concern for people). You take good care of your group, ensuring a comfortable, friendly atmosphere. You hope this will lead to the work getting done.

"It stands to reason, if they're happy they'll work harder and the work will take care of itself."

- * **Authority/Obedience Management** (high concern for task, low concern for people). You are probably a bit of a task master. The most important thing is the work. You lead from behind by driving the group in front of you.

"We're here to work, the work needs to be done. If they're working hard enough they won't have time to feel unhappy, they're not here to enjoy themselves."

- * **Team Management** (high concern for task, high concern for people). You see the completion of the task and the well being of the group as interdependent through a common stake in the organization's future. This leads to relationships built on trust and respect, and work accomplishment from committed employees.

"We're in this together. We need to support and help each other to get this job done."

It is generally accepted that group leaders who have a Team Management style are the most effective, though this is not always the case.

Style choice

If you have a group of widely differing levels of ability, confidence, and commitment, you might want to lead them each with a different style.

- * **Directing**

A team member who has a lot of enthusiasm for the job but not much actual ability, for example a new start, will need to be directed. You will not need to spend much time giving encouragement or coaxing them along. You will however have to tell them what to do next after they complete every task, and how to do the tasks set.

*** Coaching**

After being in the group for a while, somebody might begin to lose confidence and therefore motivation, as they still can't seem to do the work they want to do. At this stage you will need to coach them along. You will still need to tell them what to do at virtually every point along the way, while taking care to encourage them and praise them at every turn.

*** Supporting**

Gradually the team member's technical ability will increase until they are at a stage where they can actually do everything required of them, however they may still lack the confidence to actually do it off their own backs. You should no longer have to tell them what to do, although they may think otherwise. You should seek their opinions on the next stage, and be seen to take notice of their ideas.

*** Delegating**

A technically competent person's confidence will gradually grow until they feel able to work completely on their own. You should now be able to delegate specific areas of work to them and feel little need to tell them either what to do or to praise them as frequently for doing it. The time that you don't have to spend "leading" these members of the group can be spent with the less experienced group members, or on the work that you need to do.

1.2. Leadership theories

Interest in leadership increased during the early part of the twentieth century. Early leadership theories focused on what qualities distinguished between leaders and followers, while subsequent theories looked at other variables such as situational factors and skill level. While many different leadership theories have emerged, most can be classified as one of four major types:

2.2.1 Great man theory

Great Man theories assume that the capacity for leadership is inherent – that great leaders are born, not made. These theories often portray great leaders as heroic, mythic, and destined to rise to leadership when needed. The term “Great Man” was used because, at the time, leadership was thought of primarily as a male quality, especially in terms of military leadership.

2.2.2 Trait Theory

Similar in some ways to “Great Man” theories, trait theory assumes that people inherit certain qualities and traits that make them better suited to leadership. Trait theories often identify particular personality or behavioral characteristics shared by leaders. For example;

- | | |
|---------------------------|---|
| - Height | - Dominant (desire to influence others) |
| - Weight | - Persistent |
| - Appearance | - Self-confident |
| - Intelligence | - Tolerant of stress |
| - Disposition | - Willing to assume responsibility |
| - Adaptable to situations | |
| - Cooperative | |

The idea in trait theory was to see whether certain traits would predict the individuals who would emerge (be identified by members of the group) as leaders.

In searching for measurable leadership traits, researchers took two approaches:

1. They attempted to compare the traits of those who emerged as leaders with the traits of those who did not.
2. They attempted to compare the traits of effective leaders with those of ineffective leaders.

Studies that were conducted on the first category have failed to distinguish/uncover any traits that clearly and consistently distinguish leaders from followers. Leaders as a group have been found to be somewhat taller, brighter, more extroverted, persistent and more self-confident than non-leaders. However, millions of people have these traits, but most of them obviously will never attain a leadership position. In addition, many established leaders did not and do not have these traits. (Napoleon, for example, was quite short, and Lincoln was moody and introverted.) Interestingly enough, studies have also found that people who are too intelligent compared with other group members do not emerge as leaders-perhaps because they are too different or too far removed from the group.

Studies that were conducted on the second category have generally failed to isolate traits that are strongly associated with successful leadership.

Generally, the efforts to identify universal leadership traits ran into difficulties for the following reasons:

- Not all leaders possess all the traits and many non-leaders may possess most of the traits.
- It gives no guidance as to the magnitude of each trait for a person to be a leader.
- No agreement has been reached as to what their relationships are to the actual instances of leadership.
- Traits tend to be a chicken-and-egg proposition i.e. Successful leaders may display traits such as good vocabulary, education and self-confidence after they have assumed leadership positions.

2.2.3 Behavioral Leadership Theory

Behavioral theories of leadership are based upon the belief that great leaders are made, not born. Rooted in [behaviorism](#), this leadership theory focuses on the actions of leaders, not on mental qualities or internal states. According to this theory, people can *learn* to become leaders through teaching and observation.

When it became evident that effective leaders did not seem to have any distinguishing traits or characteristics, researchers tried to isolate the behaviors that made leaders effective. In other words, rather than try to figure out what effective leaders were, researchers tried to determine what effective leaders did, how they delegated tasks, how they communicated with and tried to motivate their subordinates, how they carried out their tasks, and so on. This tries to answer the questions “What do effective leaders do? What ineffective leaders don't do? How do subordinates react emotionally and behaviorally (performance) to what the leader does?”

Two major dimensions of leader behavior emerged from this body of research; one deals with how leaders get the job done and the other deals with how leaders treat and interact with their subordinates.

2.2.4 Contingency Leadership Theory

Contingency theories of leadership focus on particular variables related to the environment that might determine which particular style of leadership is best suited for the situation. According to this theory, no leadership style is best in all situations. Success depends upon a number of variables, including the leadership style, qualities of the followers, and aspects of the situation.

Situational leadership theory grows out of an attempt to explain the inconsistent findings about traits and styles /behaviors. Situational theory proposes that the effectiveness of a particular style of leader behavior depends on the situation. As situations change, different styles become appropriate. This directly changes the idea of one best style of leadership. In other words, the contingency/situational theory holds that appropriate leader traits or behaviors are contingent or dependent on relevant situational characteristics. More specifically, the contingency leadership theory states that, leadership is the result of the interaction of:

- a. Leaders: behavior and competence
- b. Followers: behavior and competence
- c. Situations: situational variables such as job characteristics, organizational policies, leaders member relations (the extent to which a leader has the support of group members), position power (the amount of power that the organization gives the leader to accomplish necessary tasks).

1.3. Transformational, transaectional and servant leaders.

A. Transformational leaders: -Transformational leaders lead employees by aligning employee goals with the leader's goals. Thus, employees working for transformational leaders start focusing on the company's well-being rather than on what is best for them as individual employees.

Transformational leaders have four tools in their possession, which they use to influence employees and create commitment to the company goals.

First, transformational leaders are charismatic. Charisma refers to behaviors leaders demonstrate that inspire confidence, commitment, and admiration toward the leader. Charismatic individuals have a "magnetic" personality that is appealing to followers.

Second, transformational leaders use inspirational motivation or come up with a vision that is inspiring to others. Third is the use of intellectual stimulation, which means that they challenge organizational norms and status quo, and they encourage employees to think creatively and work harder. Finally, they use individualized consideration, which means that they show personal care and concern for the well-being of their followers.

B. *Transactional leaders:-* transactional leaders ensure that employees demonstrate the right behaviors because the leader provides resources in exchange. Leaders are focus on the role of supervision, organization, and group performance. These theories base leadership on a system of reward and punishment. Managerial theories are often used in business; when employees are successful, they are rewarded; when they fail, they are reprimanded or punished.

While transformational leaders rely on their charisma, persuasiveness, and personal appeal to change and inspire their companies, transactional leaders use three other methods. Contingent rewards mean rewarding employees for their accomplishments. Active management by exception involves leaving employees to do their jobs without interference, but at the same time proactively predicting potential problems and preventing them from occurring. Passive management by exception is similar in that it involves leaving employees alone, but in this method, the manager waits until something goes wrong before coming to the rescue.

Which leadership style do you think is more effective, transformational or transactional? Research shows that transformational leadership is a powerful influence over leader effectiveness as well as employee satisfaction. In fact, transformational leaders increase the intrinsic motivation of their followers, build more effective relationships with employees, increase performance and creativity of their followers, increase team performance, and create higher levels of commitment to organizational change efforts. However, except for passive management by exception, the transactional leadership styles are also effective, and they also have positive influences over leader performance as well as employee attitudes. To maximize their effectiveness, leaders are encouraged to demonstrate both transformational and transactional styles. They should also monitor themselves to avoid demonstrating passive management by exception or leaving employees to their own devices until problems arise.

Why is transformational leadership more effective? The key factor may be trust. Trust is the belief that the leader will show integrity, fairness, and predictability in his or her dealings with others. Research shows that when leaders demonstrate transformational leadership behaviors, followers are more likely to trust the leader. The tendency to trust in transactional leaders is substantially lower. Because transformational leaders express greater levels of concern for people's well-being,

and appeal to people's values, followers are more likely to believe that the leader has a trustworthy character.

C. *Servant leaders*:- Servant leadership focuses on increasing services to others rather than to oneself less likely to engage in self-serving behaviors that hurt others.

Servant leadership approach defines the leader's role as serving the needs of others. According to this approach, the primary mission of the leader is to develop employees and help them reach their goals. Servant leaders put their employees first, understand their personal needs and desires, empower them, and help them develop in their careers. Unlike mainstream management approaches, the overriding objective in servant leadership is not necessarily getting employees to contribute to organizational goals. Instead, servant leaders feel an obligation to their employees, customers, and the external community. Employee happiness is seen as an end in itself, and servant leaders sometimes sacrifice their own well-being to help employees succeed.

Even though servant leadership has some overlap with other leadership approaches such as transformational leadership, its explicit focus on ethics, community development, and self-sacrifice are distinct characteristics of this leadership style. Research shows that servant leadership has a positive effect on employee commitment, employee citizenship behaviors toward the community (such as participating in community volunteering), and job performance. Leaders who follow the servant leadership approach create a climate of fairness in their departments, which leads to higher levels of interpersonal helping behavior.

Note:- *While each leadership approach focuses on a different element of leadership, effective leaders will need to change their style based on the demands of the situation as well as using their own values and moral compass.*

1.4. Leadership skills and competencies

▪ What is a Skill?

What is a Skill? "A skill is "an acquired talent that a person develops related to a specific task" Nahavandi (2000) A skill can be defined as "an ability which can be developed, not necessarily inborn, and which is manifested in performance, not merely potential" Katz (1955)

What are Leadership Skills?

Leadership skills are those skills which a leader must possess to enable him/her influence and inspire the followers to attain desired objectives and goals. Leadership skills are acquired through learning, observing and imitating other successful leaders.

The belief that certain personal characteristics and skills contribute to leadership effectiveness in many situations is the **universal theory** of leadership. Old as well as new research concludes convincingly that effective leaders are made of the right stuff.

I. Personality Traits Of Effective Leaders

Possessing certain characteristics contributes to leadership effectiveness in many situations as long as the leader's style fits the situation reasonably well.

A. General Personality Traits

A general personality trait in the context used here is a trait that would be observable within or outside the context of work. The same general traits are related to success and satisfaction in both work and personal life.

- **Self-Confidence:-** In almost every leadership setting, it is important for the leader to be realistically self-confident. Self-confidence is akin to being cool under pressure.
- **Humility:-** Being humble at the right times also contributes to leadership effectiveness. Part of humility is admitting that you don't know everything, and admitting your mistakes to team members and outsiders
- **Trustworthiness:-** Group members consistently believe that leaders must display honesty, integrity, and credibility, thus engendering trust. Leaders themselves believe that honesty makes a difference in their effectiveness. The popular cliché "Leaders must walk the talk" holds true. Also helpful is telling the truth and conducting yourself in the way that you ask others to conduct themselves.
- **Extroversion:-** Being extroverted contributes to leadership effectiveness, and extroverts are more likely to want to assume a leadership role and participate in group activities.
- **Assertiveness:-** It refers to being forthright in expressing demands, opinions, feelings, and attitudes. Being assertive helps leaders perform tasks such as confronting group members, demanding higher performance, and making legitimate demands on higher management.

- **Emotional Stability**:-it refers to the ability to control one's emotions sufficiently that one's emotional responses are appropriate to the occasion. Stability helps because group members expect and need consistency in the way they are treated.
- **Enthusiasm**:-Group members respond positively to enthusiasm, partly because enthusiasm may be perceived as a reward for constructive behaviour. Enthusiasm also helps build good relationships with team members.
- .
- **High Tolerance for Frustration**. Leaders' encounter so many frustrations that they need **high tolerance for frustration** or the ability to cope with the blocking of goal attainment.

B. Task-Related Personality Traits

Certain personality traits of effective leaders are closely associated with task accomplishment even though they appear to be more accurately classified as traits than as behaviour.

- **Passion for the Work and the People**. A dominant characteristic of effective leader is their passion for their work, and to some extent for the people who help them accomplish the work. Passion for the work is especially evident in entrepreneurial leaders and small-business owners who are preoccupied with growing their business. Being passionate about the nature of the business can be a major success factor in its survival.
- **Emotional Intelligence**. How well a person manages his or her emotions and those of others influences leadership effectiveness. **Emotional intelligence** refers to qualities such as understanding one's feelings, empathy for others, and the regulation of emotions to enhance living. Four key factors are included in emotional intelligence, according to a recent conception:
 - 1 **self-awareness** helps you understand your impact on others
 - 2 **self-management** is the ability to control one's emotions and act with honesty and integrity in a consistent and adaptable manner;
 - 3 **social awareness** includes having empathy for others and having intuition about organizational problems
 - 4 **relationship management** includes the interpersonal skills of communicating clearly and convincingly, disarming conflicts, and building strong personal bonds

- ***Flexibility and Adaptability.*** A leader must be flexible and adaptable enough to cope with change, especially because a leader is someone who facilitates change. **Flexibility**, or adjusting to situations, has long been recognized as an important leadership characteristic.
- ***Internal Locus of Control.*** People with an **internal locus of control** believe that they are the primary cause of events happening to them. A leader with an internal locus is perceived as more powerful than one with an external locus because he or she assumes responsibility for events.
- ***Courage.*** Leaders need the courage to take risks and to take the initiative. Courage in the present context refers to behaviours such as prudent risk taking, facing responsibility, and a willingness to put one's reputation on the line.

1.5. Good Vs Bad leaders.

Good Leadership

In order to produce the absolute best products and services in the marketplace, all employees must treat their work and their customers with great respect and care. Everyone knows this. It follows then that good leadership requires treating employees with great respect and care — the better the respect and caring, the better the outcome.

What then characterizes good (or great!) leadership?

- Listening to your employees including subordinate managers/bosses — addressing their complaints, suggestions, concerns, and personal issues at work.
- Coaching people when necessary to raise them to a higher standard.
- Trusting them to do the work.
- Not giving orders or setting visions, goals and objectives, but instead soliciting this from them so that everyone is fully involved in how the company will be successful.
- Providing direction when needed to ensure that everyone is on the same page (the one they devised). A good leader communicates the vision that was set by all. If it is a vision of little interest, then another one must be found.

14.1.1 Bad Leadership

14.1.2 Bad leadership is characterized by attempting to control employees through orders, policies, rules, goals, targets, reports, visions, bureaucracy, and changes all designed to almost force employees to work and to create and deliver what management considers to

be satisfactory products and services. In this mode, management on its own decides what to do, when to do it, and how to do it and listens only perfunctorily, if they listen at all, to what employees have to say.

What characterizes bad leadership?

- Dishing out orders, policies, rules, goals, targets, reports, visions and changes to force employees to work the way management believes it should be done.
- Failing to listen or only perfunctorily listening to complaints and suggestions.
- Exhibiting the “Do as I say, not as I do” mentality
- Providing inadequate support
- Withholding information
- Treating employees as if they don’t want to do a better job, don’t care about their work, don’t want to accept responsibility, or don’t really want to work.
- Treating them as if they are lucky to have a job
- Being afraid to discipline and never disciplining anyone
- Staying in your office or in meetings at your level or above
- Us versus them mentality—“Why aren’t they performing better?”— “What’s wrong with that person? Why don’t they know their job? They should know their job.”

These actions or inactions are bad because they *lead* employees to believe that management disrespects them and does not care a whit for them. It also puts employees in the state of having to guess what management wants and management must be right about everything because no one else is allowed to make decisions. Bad leadership shuts off the natural creativity, innovation, and productivity of each employee and slowly but surely demotivates and demoralizes them. With the “I know better than you” and the “be quiet and listen to me” mentality often projected from management, the majority will act like robots waiting for instructions, even if that is not what management intended.

Most bad leadership is the result of a top-down, command and control style of management, where the employee is rarely if ever listened to. This style is prevalent in the workplace and ignores every employee's basic need to be heard and to be respected. It also results in a knowledge barrier and top management becoming ignorant of what is really going on in the workplace and the marketplace, which in turn makes their directives misguided at best and irrelevant at worst.

14.1.3

CHAPTER THREE

OVERVIEW OF CHANGE MANAGEMENT

INTRODUCTION

Change is inevitable. Nothing is permanent except the change. It is the duty of the management to manage change properly. Organizations must keep a close watch on the environment and incorporate suitable changes if the situation so demands. Change is a continuous phenomenon. Organizations must be proactive in affecting change. Even in most stable organizations change is necessary just to keep the level of stability.

3.1 Meaning and implications

Change refers to any alteration which occurs in over all work environment of an organization. It may relate to change in technology, organizational structure, working processes, work environment, organizational policy and even the roles people play. Introduction of change in one part in an organization forces change in other part. If the change is beneficial people accept it willingly. If it is not desirable, there is great resistance. If it is of no consequence to the people, they may adopt an attitude of indifference. If they consider the change detrimental to their growth and prosperity, they may resist through counter pressure. This reaction is based not necessarily on the reality or facts but on their perception. The change therefore should be sufficiently strong enough to overcome the counter pressure. Due to advancement of technology and social environment change has become a necessity. If the change takes place, a balance or equilibrium is achieved by the organization.

Thus people learn to expect various environment relationships within the organization. They learn adaptation. The essence is that when people feel that there is need to change, and when they change, they actually are adjusting to changed situation thus equilibrium is achieved with the changed environment. This process carries on and is never ending because change takes place continuously.

The Need for Change

In the past two decades, institutional theorists have been able to offer more insights into the processes that explain institutional stability than those that explain institutional change. However, rapid environmental changes are causing fundamental transformations that are having a dramatic

impact on organizations and presenting new opportunities and threats for leadership. As a result, the literature on organizational change is increasingly viewed as an alteration of not only structures, systems, and processes, but also as a cognitive leadership reorientation.

A key first step in managing change is to identify and analyze the need for change before embarking on any implementation plan. A comprehensive analysis that gives a clear and accurate assessment of prevailing conditions in the organization's internal and external environments should be a prerequisite step before any change in the management process is initiated.

3.2 Forces for Organizational Change

1. External Forces

An organization is an open system which has to interact with environment and is solely dependant on it. Any change in environment makes it necessary for the organization to incorporate change in the internal systems, sub-systems and processes. This change has a chain reaction on the other internal elements of organization. For example any change in consumer preferences, may change product feature, cost, technology, marketing strategy and the like. Organization must interact with external environment in order to survive. Organization gets input from environment (men, material, process, finance, information etc.) Transform it and export output (product and services) to environment. Organization takes what environment gives and in the process passes on what the environment wants. Thus organizations are responding to the social requirements. If the response is positive, then the change takes place and growth is achieved. If on the contrary response is negative it will adversely affect the growth. So there are various factors that must be considered to implement change.

External environment is task related and general in nature. Task related environment has a direct influence on the health of the organization. It consists of customers, competitions, suppliers, labor and stakeholders. All these factors induce change in the organization. General environment consists of political, legal, economic, socio-cultural and technological forces. Change in government policies or fiscal policies have a direct impact on the organization. A change in needs, expectation and desires of society for housing has changed a financial sectors outlook and loans are easily available to all sections of society.

2. Internal Forces of Change

Once the organizations adapt to the external change, the managers have to take appropriate steps as far as internal systems are concerned. Change of process, modification to human behavior, training and development of work force based on new technology and adopting new policies, which are beneficial to the organization. Workers are more educated and are aware of their duties and rights. This may necessitate change in corporate policies towards wage and salary implementation, promotion policy and management's obligation towards them. Changes in internal environment may be brought about by customers, shareholders, board of directors and employees. These however, have to be in line with the external factors and not arbitrary.

Forces for Change	
External Forces	Internal Forces
Competition Laws and regulations	Strategy modifications
New technologies	New equipment
Labor market shifts	New processes
Business cycles	Workforce composition
Social change	Job restructuring
	Compensation and benefits
	Labor surpluses and shortages
	Employee attitude

3.3 Process of organizational change

Kurt Lewin proposed Three Stage Model of the change process for moving the organization from present position to the changed position. This is as under:

1. **Unfreezing:** Process of unfreezing makes individuals ready for change. Lewin believes that employees must be informed in advance of impending change and that they should not be surprised. Unfreezing entails unfreezing the old behavior or situation. Unfreezing involves creating motivation and readiness to change by creating an environment of disconfirmation of existing psychological safety in the changed pattern of behavior. This

can be achieved by making announcements, meetings and promoting the idea throughout the organization through bulletin, boards, personal contacts and group conferences. The unfreezing process basically cleans the slate so that fresh behavioral patterns, customs, traditions can be imprinted which can then become a new way of doing things.

2. **Changing.** This step focuses on learning new behaviors. Change results from individuals being uncomfortable with the identified negative behaviors and being presented with new behaviors, role models, and support. In this phase, something new takes place in a system, and change is actually implemented. This is the point at which managers initiate change in such organizational targets as tasks, people, culture, technology, and structure. When managers implement change, people must be ready.
3. **Refreezing:** It is related to integrate the new behaviors into the person's personality and attitude. It is referred to stabilization. The change behavior must necessarily fit into the social surroundings. Refreezing takes place when the new behavior is adopted in a normal way of life. New behavior must replace the old on a permanent basis. New behaviors must be re-enforced continuously so that it does not diminish. Change process is not a one time process but it is continuous hence unfreezing, change and refreezing must also be continuous.

3.4 Resistance to Change

Resistance is the reluctant employee's reaction of opposition to organizational change. Resistance regularly occurs in organizations in the form of sabotaging production machines, absenteeism, filing unfounded grievances, and an unwillingness to cooperate.

This resistance can be caused by self-interest, habit, fear, peer pressure, and/or organizational culture.

- (i) **Self-interest:** Some individuals resist change because they have a personal self-interest in the way things are done. They enjoy the work flow or their position and change threatens these. For example, working in an office affords individuals an opportunity to interact socially, compare work situations, and examine problems with others. Sales people work alone from their homes. Once a month they meet to compare notes and

projects. The move from the office to the home based operation was openly resisted for months.

- (ii) **Habit:** The comfort of working the same way day after day has a certain appeal to people. For many individuals, life is a pattern of getting up, going to work, coming home, and going to bed. Steinway piano workers liked to work on specific tasks to produce the best piano possible. People become accustomed to sameness; they get in the habit of doing tasks a certain way. Changes in personnel, work flow, structure, or technology threaten the continuation of a pattern or set of habits.
- (iii) **Fear:** Change introduces uncertainty and degree of fear. People fear having to learn a new way or to become accustomed to a new leader, and possibly failing. Employees are sometimes provided with an opportunity to relocate and take a different, better-paying job in the firm. But this change is considered risky and introduces the possibility of failing.
- (iv) **Peer Pressure:** Peers often apply pressure to resist change.
- (v) **Organizational culture.** Of the three forces, culture may be the most important in shaping and maintaining an organization's identity. Culture is a primary force in guiding employees' behavior. As a general rule, employees stay with an organization because the work helps them meet their life goals and because their personalities, attitudes, and beliefs fit into the organizational culture. Indeed, many employees identify with their organization and take its gains and losses personally. As a result, they may feel threatened by efforts to make radical changes in the organization's culture and 'the way we do things.'

3.5 Managing Resistance to Change

Resistance to change is not desirable. It is counterproductive for growth and destructive in nature. Managers must evolve policies to affect change. According to Barney and Griffin, "the primary reason cited for organizational problems is the failure by managers to properly anticipate or respond to forces for change."

Change ultimately affects people in the organization. It is always better to explain to them why change is necessary, what benefits are likely to accrue as a result of change and how these benefits are to be shared by employees and the organization. Free flow of information and two-way communication is necessary. If proper communication is not maintained negative attitudes are likely to be formed while change is being implemented. There is a general impression that benefits from change accrue to the organization and management at the cost of workers. This is a false impression and must be corrected by appropriate authority. It must be remembered that without full cooperation of workers, no change can be planned, implemented and the benefits, enjoyed. No growth of the organization can take place unless workers bring it about. Management must understand that workers are the key element of any organization and that they must be involved from planning stage of change. This will result in increased productivity of the organization. Participation should not be simply a mechanical act of calling upon employees to “Participate”. It should be clearly understood that there is no one simple panacea to be used in all situations. Participation is not being universally followed.

TABLE 8-1**Six Methods for Dealing with Resistance to Change**

Method	Commonly Used in Situations	Advantages	Drawbacks
Education + communication	Where there is a lack of information or inaccurate information and analysis.	Once persuaded, people will often help with the implementation of the change.	Can be very time-consuming if lots of people are involved.
Participation + involvement	Where the initiators do not have all the information they need to design the change, and where others have considerable power to resist.	People who participate will be committed to implementing change, and any relevant information they have will be integrated into the change plan.	Can be very time-consuming if participators design an inappropriate change.
Facilitation + support	Where people are resisting because of fear and anxiety.	No other approach works as well with employee adjustment problems.	Can be time-consuming and expensive, yet still fail.
Negotiation + agreement	Where someone or some group will clearly lose out in a change, and where that group has considerable power to resist.	Sometimes, it is a relatively easy way to avoid major resistance.	Can be too expensive in many cases if it prompts others to negotiate.
Manipulation + co-optation	Where other tactics will not work or are too expensive.	It can be relatively quick and inexpensive solution to resistance problems.	Can lead to future problems if people feel manipulated.
Coercion	Where speed is essential, and the change initiators possess considerable power.	It is speedy and can overcome any kind of resistance.	Can be risky if it leaves people angry at the initiators.

Source: Adapted and reprinted by permission of *Harvard Business Review*. "Six Methods for Dealing with Change," from "Choosing Strategies for Change," by John P. Kotter and Leonard A. Schlesinger, March–April 1979. Copyright © 1979 by the President and Fellows of Harvard College; all rights reserved.

TYPES OF CHANGE

1. **Strategic Change:** Strategic change requires when mission is changed. A single mission of defence forces participating under UNO banner may require changes in use of weapon system, co-operation at international level, serving under a person not of an Indian origin

and the very thought of employing various strategic and tactical doctrines. The multinational companies have to adapt to the culture of the nation where they are providing product and services. Various cultural factors, have to be considered in this regard. This is generally carried out as ‘planned change’.

2. **Structural Change:** Decentralization of authority and introducing flatter organizational structure enable employee to experience a sense of autonomy in work environment. Decentralization leads to empowerment of lower level employees to take appropriate decisions pertaining to their job parameters. It has major impact on the social climate of the organization on one hand and development of team spirit on the other. Structural changes promote acquisition of new skills and improves ability of subordinates to take on the spot decisions even in critical situation.
3. **Process-oriented Change:** Process changes are necessary to keep pace with the development in technology, automation, information technology, free market environment and availability of trained manpower. The organization must take advantages of these processes. This however needs heavy investment and entails various operational changes but cuts down time and energy. This would bring about change in work environment, organizational culture and modify behavior pattern of employees.
4. **Cultural Change:** Due to electrifying changes in communication, an individual is exposed to social changes. This has necessitated to introduce a right culture in the organization. It is the responsibility of the top management to ensure proper organizational philosophy, instill culture and value system among employees and practice ethical approach in business. These are important inputs for improved performance, group cohesion, devotion to duty and for development of ‘we’ feeling in the organization. This can be achieved by close interaction, training in behavioural sciences and building a sense of belonging to the organization. These changes are people – oriented and therefore have to be continuous for achievement of organizational mission.

CHAPTER FOUR

TYPES OF CHANGE

4.1. Planned Vs Unplanned Change

4.1.1 Planned Change

Planned change originates with a decision made by the organization itself with the deliberate purpose of improving its functioning. It is also common to engage an outside resource to help in the processes of making these improvements. Planned change is typically initiated to respond to new external demands imposed upon the organization. Planned change will often affect many unforeseen segments of the organization.

Planned change is change resulting from a deliberate decision to alter the organization. Companies that wish to move from a traditional hierarchical structure to one that facilitates self-managed teams must use a proactive, carefully orchestrated approach.

Planned change occurs when leaders in the organization recognize the need for a major change and proactively organize a plan to accomplish the change. Planned change occurs with successful implementation of a Strategic Plan, plan for reorganization, or other implementation of a change of this magnitude.

4.1.2. Unplanned change

Unplanned change is change that originates outside of the organizational system and to which the organization must respond. This adaptive response is often focused on the alteration of relatively clearly defined and narrow segments of the organization. It is spontaneous, evolutionary, fortuitous, or accidental.

Unplanned change is imposed on the organization and is often unforeseen. Changes in government regulations and changes in the economy, for example, are often unplanned. Responsiveness to unplanned change requires tremendous flexibility and adaptability on the part of the organizations.

Unplanned change usually occurs because of a major, sudden surprise to the organization, which causes its members to respond in a highly reactive and disorganized fashion. Unplanned change might occur when the Chief Executive Officer suddenly leaves the organization, significant public relations problems occur, poor product performance quickly results in loss of customers, or other disruptive situations arise.

Managers must be prepared to handle both planned and unplanned forms of change in organizations.

Steps in Planned Change

Once managers and an organization commit to planned change, they need to create a logical step-by-step approach in order to accomplish the objectives. Planned change requires managers to follow an eight-step process for successful implementations, which is illustrated in Figure 4.1

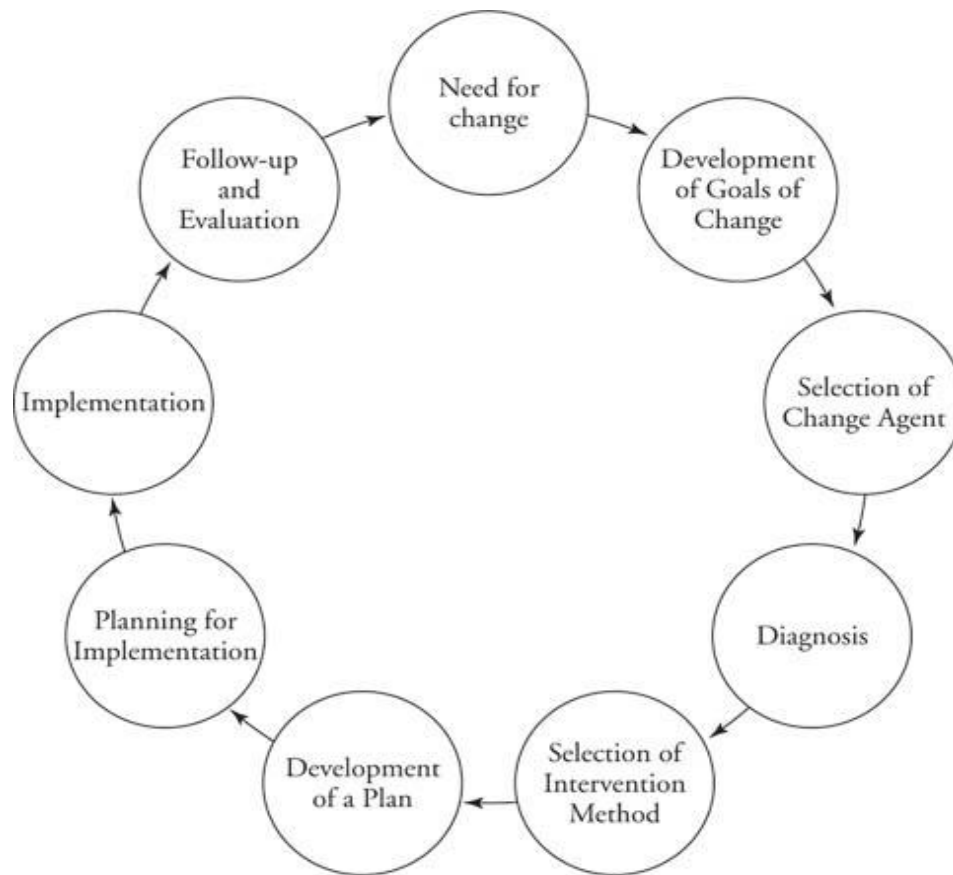


Figure 4. 1 Stages of planned change.

1. **Recognize the need for change.** Recognition of the need for change may occur at the top management level or in peripheral parts of the organization. The change may be due to either internal or external forces.
2. **Develop the goals of the change.** Remember that before any action is taken, it is necessary to determine why the change is necessary. Both problems and opportunities must be evaluated. Then it is important to define the needed changes in terms of products, technology, structure, and culture.
3. **Select a change agent.** The change agent is the person who takes leadership responsibility to implement planned change. The change agent must be alert to things that need revamping, open to good ideas, and supportive of the implementation of those ideas into actual practice.
4. **Diagnose the current climate.** In this step, the change agent sets about gathering data about the climate of the organization in order to help employees prepare for change. Preparing people for change requires direct and forceful feedback about the negatives of the present situation, as compared to the desired future state, and sensitizing people to the forces of change that exist in their environment.
5. **Select an implementation method.** This step requires a decision on the best way to bring about the change. Managers can make themselves more sensitive to pressures for change by using networks of people and organizations with different perspectives and views,

visiting other organizations exposed to new ideas, and using external standards of performance, such as competitor's progress.

6. **Develop a plan.** This step involves actually putting together the plan, or the “what” information. This phase also determines the when, where, and how of the plan. The plan is like a road map. It notes specific events and activities that must be timed and integrated to produce the change. It also delegates responsibility for each of the goals and objectives.
7. **Implement the plan.** After all the questions have been answered, the plan is put into operation. Once a change has begun, initial excitement can dissipate in the face of everyday problems. Managers can maintain the momentum for change by providing resources, developing new competencies and skills, reinforcing new behaviors, and building a support system for those initiating the change.
8. **Follow the plan and evaluate it.** During this step, managers must compare the actual results to the goals established in Step 4. It is important to determine whether the goals were met; a complete follow-up and evaluation of the results aids this determination. Change should produce positive results and not be undertaken for its own sake.

4.2. Revolutionary Vs Evolutionary Change

i. Revolutionary/ Transformational Change

Revolutionary or transformational change is profound. When we think revolutionary change, we envision complete overhaul, renovation and reconstruction. Change is fundamental, dramatic and often irreversible. From an organizational perspective, revolutionary change reshapes and realigns strategic goals and often leads to radical breakthroughs in beliefs or behaviors. When an organization decides to engage in revolutionary change, radical transformations to products or services often follow. ***In efforts to stay ahead of the curve and reach evolution, outstanding organizations often pursue revolutionary change.***

An example of transformational (or radical, fundamental) change might be changing an organization's structure and culture from the traditional top-down, hierarchical structure to a large amount of self-directing teams. Another example might be Business Process Re-engineering, which tries to take apart (at least on paper, at first) the major parts and processes of the organization and then put them back together in a more optimal fashion. Transformational change is sometimes referred to as quantum change

Old state and worldview are forced to die. New state is unknown. It emerges from visioning, trial and error and learning. New state requires fundamental shift in mindset, organizing principles, behavior and/or culture, designed to support new business directions. Critical mass of organization must operate from new mindset and behaviour for transformation to succeed.

Advantages

- Low risk of the change failing to take effect.
- Change will occur quickly.
- Change will have any resources needed.
- Political cover. For example if another department doesn't like the change for some reason, and they escalate to their management, whoever mandated the change feels ownership over it and will be unlikely to back down. (Aside: this is not necessarily a good thing if the change is at the expense of the larger organization.)
- Looks good on résumés and annual reports.
- Feels planned. Mandates that come from the same person often fit together—for example a change this year to create a new Service Desk, followed by a change next year to implement a new Service Desk tool.

Disadvantages

- Change may not become part of the culture before focus shifts. The change may roll back a few months after leadership changes focus.
- Loss of political capital: because the change was less inclusive up front, political capital is lost.
- Job security for the leader: if the change does not provide the benefit expected, or otherwise fails, the people who mandated the change may lose their job. (Aside: setting this expectation is definitely a bad way to manage, as it creates huge incentives for leaders to make the change *look like* it worked.)
- Opportunity cost: other improvements may be needed but everyone is tied up working on the mandated improvement.
- Not necessarily a "good fit" for the organization: the current situation was likely not understood well, so the solution applied often leaves pain points or gaps.
- Often [treats people like robots](#).

ii. Evolutionary/ Incremental change

By contrast, evolutionary change is incremental and takes place gradually, over time. Slow, gradual change often takes place to ensure the survival of the organization. It's incremental in that it happens step by step, little by little. Organizations undergoing evolutionary change may have been prompted by outside pressure, as in keeping up with technology or addressing the needs of stakeholders more effectively. In other cases, evolutionary change may be spurred by competition.

Evolutionary change is change by convincing people. One or more "change agents" see an opportunity for the organization to improve, and they pursue it by talking with other people and building a proposal/prototype that is iteratively shopped around

Examples of incremental change might include continuous improvement as a quality management process or implementation of new computer system to increase efficiencies. Many times, organizations experience incremental change and its leaders do not recognize the change as such.

Advantages

- Highly likely that, if the change is implemented, it will become part of the culture. More people have been involved in the design. More people identify with the change.
- Likely that the change fits the organization, understanding the current situation.
- More brains around the problem, leading to more thoughtful solutions.

Disadvantages

- Very risky up front. High likelihood that people will not understand or will not buy in to the change. Hard to build momentum.
- Haphazard. Changes may be introduced that do not move the organization towards where it needs to go. This is compounded if there is not an organizational "True North" or target condition.
- Can be "design-by-committee" where a sense of central direction is lost. Especially true if there is not one clear owner/change agent.
- Hard to find people who are good at making evolutionary change. It is a skill. What's more, these people rarely take credit for their work so you might not know who they are.

4.2.1. Business Process Reengineering(BPR)

Introduction

Business process reengineering (BPR) has been receiving attention from industries as well as the academic community, because it is likely to change management practice and working processes in organizations in the future. However it is commonly agreed that BPR is important but also problematic. BPR is known by many names, such as 'core process redesign', 'new industrial engineering' or 'working smarter'. All of them imply the same concept which focuses on integrating both business process redesign and deploying IT to support the reengineering work.

15 What is a process?

If you have ever waited in line at the grocery store, you can appreciate the need for process improvement. In this case, the "process" is called the check-out process, and the purpose of the process is to pay for and bag your groceries. The process begins with you stepping into line, and ends with you receiving your receipt and leaving the store. You are the customer (you have the money and you have come to buy food), and the store is the supplier.

The *process* steps are the activities that you and the store personnel do to complete the transaction. In this simple example, we have described a business process. Imagine other business processes: requesting a new telephone service from your telephone company, developing new products, administering the social security process, building a new home, etc.

[Davenport & Short \(1990\)](#) define business process as "a set of logically related tasks performed to achieve a defined business outcome". A process is "a structured, measured set of activities designed to produce a specified output for a particular customer or market. It implies a strong emphasis on how work is done within an organization" ([Davenport 1993](#)). In their view, processes have two important characteristics: (i) They have customers (internal or external), (ii) They cross organizational boundaries, i.e. they occur across or between organizational subunits.

Processes are generally identified in terms of beginning and end points, interfaces, and organization units involved, particularly the customer unit. High impact processes should have process owners. Examples of processes common among UN offices include: developing a programme strategy, procurement process for programme supplies and office supplies, processing of payments, etc.

What we by Business process re-engineering (BPR)?

Generally the topic of BPR involves discovering how business processes currently operate, how to redesign these processes to eliminate the wasted or redundant effort and improve efficiency, and how to implement the process changes in order to gain competitiveness. The aim of BPR, according to Sherwood-Smith (1994), is "seeking to devise new ways of organizing tasks, organizing people and redesigning IT systems so that the processes support the organization to realize its goals".

[Michael Hammer & James Champy](#) define reengineering as "the *fundamental* rethinking and *radical* redesign of *business processes* to achieve *dramatic* improvements in critical, contemporary measures of performance, such as cost, quality, service, and speed.

What BPR is...

- Starting from scratch and fundamentally changing the way we do business
- Innovative
- Leveraging best practices and enablers
- Multi-dimensional, integrated solution
- Cross-functional, inter-departmental change
- A migration to from activity management process

What BPR isn't...

- Overlaying new software on top of the same business processes
- Evolutionary
- Incremental improvements
- Downsizing
- Merely reorganizing and restructuring
- Single dimension solution
- Continuing to maintain status quo

Why we need BPR?

If performed properly, business process reengineering can achieve various different objectives within an organization. Depending upon the goals of the company, some of these objectives may include:

- **improving efficiency** e.g. reducing time to market and providing quicker response to customers,
- **increasing effectiveness** e.g. delivering a higher quality and achieving cost saving in the long run,
- **providing more meaningful work** for employees, e.g. realizing the vision of a company at all levels of the organization,
- **increasing flexibility and adaptability to change**, e.g. strategizing against the ever changing economy and technology enabling new business growth.

16 Steps in Business Process Re-engineering

Hammer and Champy suggested a methodology for BPR, which was refined by Champer's Consultant Company. The six phases of the methodology are next presented:

1. Introduction into Business Reengineering

The first step in reengineering is to prepare and communicate the "case for action" and the "vision statement". The "case for action" is a description of the organization's business problem and current situation; it presents justification for the need for change. The "vision statement" describes how the organization is going to operate and outlines the kind of results it must achieve. This qualitative and quantitative statement can be used during a BPR effort, as a reminder of reengineering objectives, as a metric for measuring the progress of the project, and as a prod to keep reengineering action going.

The articulation and the communication of the case for action and the vision statement is the leader's (CEO) responsibility, who should inform firstly the senior management team and secondly the rest of the organization.

2. Identification of Business Processes

During this phase, the most important business processes are identified and are described from a global perspective using a set of process maps. Process maps give a picture of the work flows through the company. They show high-level processes, which can be decomposed into sub-processes on separate sub-process maps. Process maps are also used as a means of communication to help people discuss reengineering. The output of this phase is a number of

process maps reflecting how these high-level processes interact within the company and in relation to the outside world.

3. Selection of Business Processes

It is unrealistic to reengineer all the high level processes of an organization at the same time. Therefore, it has to be decided which are the processes to be redesigned. This is a very important part of a BPR effort. Candidate for reengineering are the most problematic processes those with great impact to customers or processes with more chances to be successfully reengineered, processes that contribute to organization's objectives and so on.

According to an organization's strategic objectives more criteria could be defined for selecting processes for redesign, such as whether a process contributes to the organization's strategic direction, has an impact on customer's satisfaction e.t.c.

4. Understanding of Selected Business Processes

Before proceeding to redesign, the reengineering team needs to gain a better understanding of the existing selected processes, concerning what they do, how well or how poorly they perform, and the critical issues that govern their performance. Detailed analysis and documentation of current processes is not within the scope of this phase. The objective is the provision of a high level view of the process under consideration, in order the team members to have the intuition and insight required to create a totally new and superior design.

5. Redesign of the Selected Business Processes

This is the most creative phase of the methodology, because new rules and new ways of work should be invented. Imagination and inductive thinking should characterize this phase.

6. Implementation of Redesigned Business Processes

The last phase covers the implementation phase of the BPR project. Hammer/Champy do not talk about implementation as much about project planning. They believe that the success of the implementation depends on whether the five preliminary phases have been properly performed.

Critical Success and Failure factors in BPR

Based on comparative experiences with Business Process Re-engineering in a significant number of private- and public sector enterprises, Accenture has developed the following sets of critical success and fail factors:

16.1 Success factors for BPR:

- **Clear Vision.** Develop a clear vision of the goals and objectives of the organization and of its success.
- **Senior Management Commitment.** Gain strong commitment from senior management from initial planning through implementation, including identifying an executive sponsor.
- **Project Planning.** Conduct sufficient project planning and preparation with defined scope, roles, and tools for each phase.
- **Change Management.** Utilize an effective and structured change management process, including developing a strong communication plan.
- **Staff Support.** Build staff support and buy-in for the proposed solution.
- **Team Commitment.** Gain team member commitment to the project and build a team with the right mix of skills.
- **Understand Business Issues.** Develop a clear understanding of business issues (client needs, performance, and standardization) and the BPR Solution.
- **"Quickly" Review As-Is.** Document and review high-level "as is" business process with a caution against spending too much time on "exceptions to the rule" and specific cases.
- **Always Have a Goal.** Show progress and demonstrate results by having short, medium and long-term targets.
- **Follow-up, follow-up, follow-up** To make sure that things get done!

16.2 Fail factors for BPR

- **Lack of Alignment.** BPR effort is not tied to organization goals, objectives and/or client expectations.
- **Lack of Commitment.** Teams cannot ensure success if they lose senior management support or if team members do BPR "on the side" while they are performing day-to-day tasks.
- **Lack of Communication.** Not everyone is informed early and the staffs concerned by the changes are not engaged throughout the process. Not everyone is on the same page.
- **Improper/Insufficient Planning.** Changing scope or focus will damage integrity and commitment.
- **Lack of Understanding of Business Challenges.** Business case is not clear or is weak, and thus the changes will not address the real needs of the business.
- **Ignore the End Users.** If the solution designed does not take the needs of the end user into account, change will not be successful. End users will resist and cannot or will not implement the new process.
- **Ignore the Clients *.** If the processes are not designed to produce the value the client is seeking for, the results will not be satisfactory and clients may go elsewhere.
- **Team Member Selection.** Without dedicated, strategic thinkers that can champion change, the improvement process will not succeed.
- **Lack Enabling Technology.** If decisions are made on the basis of the existing technologies (e.g. the bank cannot provide electronic interface), one will not be able to design the optimal process (e.g. one could change bank in this example).

- **Easily Overcome by Challenges.** If the team gets bogged down by a specific step in the process and does not keep the bigger picture in mind, the team will lose motivation and may get stuck in a particular phase.

4.2.2. Other kinds of Change

Remedial Versus Developmental Change

Change can be intended to remedy current situations, for example, to improve the poor performance of a product or the entire organization, reduce burnout in the workplace, help the organization to become much more proactive and less reactive, or address large budget deficits. Remedial projects often seem more focused and urgent because they are addressing a current, major problem. It is often easier to determine the success of these projects because the problem is solved or not.

Change can also be developmental – to make a successful situation even more successful, for example, expand the amount of customers served, or duplicate successful products or services. Developmental projects can seem more general and vague than remedial, depending on how specific goals are and how important it is for members of the organization to achieve those goals. Some people might have different perceptions of what is a remedial change versus a developmental change. They might see that if developmental changes are not made soon, there will be need for remedial changes. Also, organizations may recognize current remedial issues and then establish a developmental vision to address the issues. In those situations, projects are still remedial because they were conducted primarily to address current issues.

Organization-wide Versus Subsystem Change

Examples of organization-wide change might be a major restructuring, collaboration or “rightsizing.”

Usually, organizations must undertake organization-wide change to evolve to a different level in their life cycle, for example, going from a highly reactive, entrepreneurial organization to one that has a more stable and planned development. Experts assert that successful organizational change requires a change in culture – cultural change is another example of organization-wide change.

Examples of a change in a subsystem might include addition or removal of a product or service, reorganization of a certain department, or implementation of a new process to deliver products or services.

CHAPTER 5

CONFLICTS AND CONFLICT MANAGEMENT

Introduction

Conflict is a basic fact of life in groups and organizations. Organizations contain people with divergent personalities, perceptions, goals, ideas, values and behaviours. Hence, conflict is an inevitable feature of organizations.

Conflict is a naturally occurring phenomenon; inevitable; inherent in any system; not always bad and in fact an optimum level of conflict energizes the system. Fosters creativity and innovation, and acts as a catharsis. At the same time if conflict is allowed to develop beyond control, it could tend to become destructive, resulting in such aversive consequences such as strikes, sabotage and other dysfunctional behaviours.

The effective manager must understand the nature of conflict that is beneficial to the organization and conflict that is not. He must deal with conflict in ways that promote both individual and organizational goals. The management of conflict is an essential prerequisite to sound human relations.

5.1. Meaning and Nature of Conflict

Conflict is a reality of social life and exists at all levels of society. Actually conflicts are as old as the world itself. We learn from history about individuals being in conflict with each other because of various reasons. The trend has not changed even today. Individuals, villages, tribes, political parties, nations and other types of groupings engage in conflicts. Practically each of us has in one way or the other been involved in conflicts either at family level, workplace, and many other places.

Generally, a conflict exists when there is an interaction between two or more individuals, groups or organizations where at least one side sees their thinking, ideas, perceptions, feelings or will contradicting with that of the other side and feels that they cannot get what they want because of the other side.

Definition

- Conflict is a process that begins when one party perceives that another party has negatively affected, or is about to negatively affects, something that the first party cares about. In other words conflict is **a disagreement through which the parties involved perceive a threat to their needs, interests or concerns.**
- Conflict can be substantive or emotional. Substantive conflict is any disagreement over goals, resources, rewards, policies, procedures, and job assignments. Emotional conflict results from feelings of anger, distrust, dislike, dislike, fear and resentment, as well as relationship problems.
- A conflict exists when two people wish to carry out acts which are mutually inconsistent. They may both want to do the same thing, such as eat the same apple, or they may want to do different things where the different things are mutually incompatible, such as when they both want to stay together but one wants to go to the cinema and the other to stay

at home. A conflict is resolved when some mutually compatible set of actions is worked out. The definition of conflict can be extended from individuals to groups (such as states or nations), and more than two parties can be involved in the conflict.

Within this simple definition there are several important understandings that emerge:

Disagreement - Generally, we are aware there is some level of difference in the positions of the two (or more) parties involved in the conflict. But the true disagreement versus the perceived disagreement may be quite different from one another. In fact, conflict tends to be accompanied by significant levels of misunderstanding that exaggerate the perceived disagreement considerably. If we can understand the true areas of disagreement, this will help us solve the right problems and manage the true needs of the parties.

Parties involved - There are often disparities in our sense of who is involved in the conflict. Sometimes, people are surprised to learn they are a party to the conflict, while other times we are shocked to learn we are not included in the disagreement. On many occasions, people who are seen as part of the social system (e.g., work team, family, and company) are influenced to participate in the dispute, whether they would personally define the situation in that way or not. People very readily "take sides" based upon current perceptions of the issues, past issues and relationships, roles within the organization, and other factors. The parties involved can become an elusive concept to define.

Perceived threat - People respond to the perceived threat, rather than the true threat, facing them. Thus, while perception doesn't become reality per se, people's behaviors, feelings and ongoing responses become modified by that evolving sense of the threat they confront. If we can work to understand the true threat (issues) and develop strategies (solutions) that manage it (agreement), we are acting constructively to manage the conflict.

Needs, interests or concerns - There is a tendency to narrowly define "the problem" as one of substance, task, and near-term viability. However, workplace conflicts tend to be far more complex than that, for they involve ongoing relationships with complex, emotional components. Simply stated, there are always procedural needs and psychological needs to be addressed within the conflict, in addition to the substantive needs that are generally presented. And the durability of the interests and concerns of the parties transcends the immediate presenting situation. Any efforts to resolve conflicts effectively must take these points into account.

Nature of conflict in an organization

Every organization has its objective. It is further broken down as departmental objectives, group goals and lastly individual goals. When individual interacts with another individual there is perceptual and communication problems that causes misunderstanding and leads to individual conflict situation. It is also true of groups. Group conflicts indicate the way of inter-group behaviour in an organization. Inter-group conflict occurs due to group competition and group cohesiveness. This leads to a feeling of '**we**' and '**they**'. "We are always right and they are always wrong". Aims and objectives of various organizations differ drastically that give rise to greater competition hence a high level of conflict.

Conflict can arise between ***employer and employees, management and workers, one***

department and another, stakeholders, shareholders, producer and customers and between various trade unions that are often politically motivated.

Different views of conflict

Conflict is normally defined in terms of 'incompatibility' and 'frustration'. Gordon's (1991) definition outlines conflict as; "the result of incompatible potential relationships. The process begins when one party perceives that another party has impeded, or will frustrate, one or more of its concerns." The definition is suitably broad so that it will be flexible enough to encompass all types of conflict. As with all elements of organizational behavior, conflict, and its position within organizations, has gone through a myriad of theories relating to the suitable course of action to quell its negative effects. However, there have been three main theories that have stood the test of time relating to conflict within the organization.

- a. **Traditional View**: The view survived from the 1930's into the 1940's. This theory claims that all forms of conflict holds negative effects for an organization and that it is brought about by a lack of communication between the staff. It claims that conflict could be avoided by focusing on the causes of the conflict and by attempting to correct these elements. As with most traditional theories this method is widely disputed but its acceptance is still relatively strong within some organizations. The view that all conflict is bad certainly offers a simple approach to looking at the behavior of people who create conflict. Since all conflict is to be avoided, we need merely direct our attention to the causes of conflict and correct these malfunctioning in order to improve group and organizational performance. Although research studies now provide strong evidence to dispute that this approach to conflict reduction results in high group performance, many of people still evaluate conflict situations utilizing this outmoded standard. So, too, do many senior executives and boards of directors.
- b. **Human Relations View**: The view is become popular from the 1940's up to the 1970's. This view encompasses some of the more positive aspects of conflict. The theory recognizes that conflict is an inevitable outcome of any organization and that there may be intrinsic positive value by determining group performance. The human relations position argued that conflict was a natural occurrence in all groups and organizations. Since conflict was inevitable, the human relations school advocated acceptance of conflict. Proponents rationalized its existence: It can not be eliminated, and there are even times when conflict may benefit a group's performance.
- c. **The Interactionist View**: The theory that is generally accepted today is the Interactionist view. This theory actively encourages certain types of conflict within the organization on the grounds that a completely cooperative, harmonious group of 'yes-men' may lead the organization into a static, non-responsive entity, which is unable to deal with change and advances in the market. From this, it is suggested that managers with the organization should maintain a level of controlled conflict within the organization which may keep the organization active, creative and capable of dealing with adversity in their environment. However, the theory does not suggest that all conflict is good either. "To say all conflict is good or bad is inappropriate and naïve. Whether a conflict is good or bad depends on the type of conflict"

Types of Conflict

Conflict occurs among different classes of people and produces different kinds of results. We will consider only four types of conflicts that are based on where the conflict happens and two types of conflicts based on the kind of effect the conflicts produce.

1) Conflicts based on location includes:

- **Intrapersonal Conflict:** This occurs within a person as he takes a decision on the use of time, choice of partner, moral issues, goals and aspirations etc. This is capable of producing anxiety and tension within the person going through this kind of conflict.
- **Interpersonal Conflict:** This is a conflict that occurs between two or more individuals. It may result from differences in opinion, motives and actions. This kind of conflict is what is seen when two people are having disagreement among themselves.
- **Intra group Conflict:** This may occur between individuals within a group. This is similar to interpersonal conflicts except that it occurs within a particular group. This kind of conflict can be seen when for example two members of the choir are having disagreement about something which has to do with the choir.
- **Intergroup Conflict:** This is a conflict that occurs between groups of people such as solidarity groups, activity groups and church denominations. This kind of conflict occurs when for example members of the choir are in disagreement with members of the Ushering team or one country at war with another country.

2) Conflicts based on the effects produced include;

- **Functional or Constructive Conflict:** This kind of conflict improves the quality of decisions, stimulates creativity and innovation through which problems can be aired and tensions released. This kind of conflict is also referred to as positive conflict because it is a conflict that helps the people involve to improve their relationship for good. An example of this kind of conflict is when people argue from different points of view on the same matter with an open mind, they end up arriving at a new position which is an improvement on their previous myopic views. This kind of conflict helps you understand the sensitivity of the other person on a particular issue, which will help you avoid conflicts in such matters in the future.
- **Dysfunctional or Destructive Conflict:** This type of conflict leads to retarded communication, reduction in group cohesiveness and a subordination of goals to primacy of in-fighting among members. This kind of conflict produces bitterness, envy, anger and unforgiveness. This type of conflict is usually protracted with no immediate and permanent solution at sight.

For most people, when you mention the word conflict, what comes to their minds is the dysfunctional or destructive type of conflict. Nevertheless we now know that there are constructive and destructive types of conflict but the choice of which to practice is entirely dependent on you.

5.2.Sources of Conflict

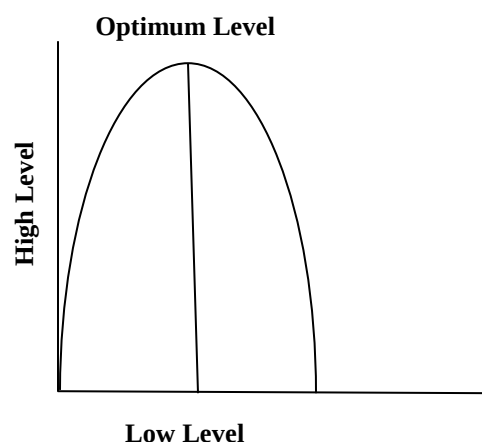
There many different things, ideas or situations that initiate conflict, in this unit we will consider a few of the major causes of conflict, which includes:

- **Value conflicts:** caused by parties having different criteria to evaluate ideas, or by different lifestyles, ideologies, or religions. it can also be within yourself, you're not living according to your values or when your values and perspectives are threatened by fear of the unknown or from lack of fulfillment.
- **Organizational Structure:-** Conflict tends to take different forms, depending upon the organizational structure. For example, if a company uses a matrix structure as its organizational form, it will have decisional conflict built in, because the structure specifies that each manager report to two bosses. For example, global company ABB Inc. is organized around a matrix structure based on the dimensions of country and industry. This structure can lead to confusion as the company is divided geographically into 1,200 different units and by industry into 50 different units.
- **Limited Resources:-** Resources such as money, time, and equipment are often scarce. Competition among people or departments for limited resources is a frequent cause for conflict. For example, cutting-edge laptops and gadgets such as a BlackBerry or iPhone are expensive resources that may be allocated to employees on a need-to-have basis in some companies. When a group of employees have access to such resources while others do not, conflict may arise among employees or between employees and management. While technical employees may feel that these devices are crucial to their productivity, employees with customer contact such as sales representatives may make the point that these devices are important for them to make a good impression to clients. Because important resources are often limited, this is one source of conflict many companies have to live with.
- **Task Interdependence:-** Another cause of conflict is task interdependence; that is, when accomplishment of your goal requires reliance on others to perform their tasks. For example, if you're tasked with creating advertising for your product, you're dependent on the creative team to design the words and layout, the photographer or videographer to create the visuals, the media buyer to purchase the advertising space, and so on. The completion of your goal (airing or publishing your ad) is dependent on others.
- **Incompatible Goals:-** Sometimes conflict arises when two parties think that their goals are mutually exclusive. Within an organization, incompatible goals often arise because of the different ways department managers are compensated. For example, a sales manager's bonus may be tied to how many sales are made for the company. As a result, the individual might be tempted to offer customers "freebies" such as expedited delivery in order to make the sale. In contrast, a transportation manager's compensation may be based on how much money the company saves on transit. In this case, the goal might be to eliminate expedited delivery because it adds expense. The two will butt heads until the company resolves the conflict by changing the compensation scheme. For example, if the company assigns the bonus based on profitability of a sale, not just the dollar amount, the cost of the expediting would be subtracted from the value of the sale. It might still make sense to expedite the order if the sale is large enough, in which case both parties would support it. On the other hand, if the expediting negates the value of the sale, neither party would be in favor of the added expense.

- **Personality Differences:-** Personality differences among coworkers are common. By understanding some fundamental differences among the way people think and act, we can better understand how others see the world. Knowing that these differences are natural and normal lets us anticipate and mitigate interpersonal conflict—it's often not about “you” but simply a different way of seeing and behaving. For example, Type A individuals have been found to have more conflicts with their coworkers than Type B individuals.
- **Communication Problems:-** Sometimes conflict arises simply out of a small, unintentional communication problem, such as lost e-mails or dealing with people who don't return phone calls. Giving feedback is also a case in which the best intentions can quickly escalate into a conflict situation. When communicating, be sure to focus on behavior and its effects, not on the person. For example, say that Jeff always arrives late to all your meetings. You think he has a bad attitude, but you don't really know what Jeff's attitude is. You do know, however, the effect that Jeff's behavior has on you. You could say, “Jeff, when you come late to the meeting, I feel like my time is wasted.” Jeff can't argue with that statement, because it is a fact of the impact of his behavior on you. It's indisputable, because it is your reality. What Jeff can say is that he did not intend such an effect, and then you can have a discussion regarding the behavior.

5.3. Level of Conflict

Low level of conflict creates conditions of inertia and boredom in the system and excessive conflict results in destruction and dysfunctional tendencies. Managers have to monitor the level of conflict in the system and if there is too little or no conflict at all, the managers may even have to induce some level of conflict to energize the system. As the level of conflict tends to go beyond the optimum level the manager must act to resolve the conflict in a manner that will be beneficial to the organization.



Stages of Conflict Episode



The above model presents conflict as a series of stages namely latent conflict; perceived conflict; felt conflict; manifest conflict and conflict aftermath.

Latent Conflict:- Each episode of conflict starts with a 'latent conflict' but the actual conflict has not emerged. Factors such as competition for scarce resources, competition for positions in the organization exist which could become conflicts. At this stage the seed of dissatisfaction has been sown.

Perceived conflict:- This conflict results in due to the parties misunderstanding of each other's true position. One party perceives the other to be likely to prevent or frustrate his goals. For example, a sales manager may need additional budget for promotional activities which a financial manager may not release. The sales manager may attribute lack of finance as a potential cause for a fall in sales. Thus a conflict between the two may brew. At this stage the conflict does not surface.

Felt conflict:- When the conflict makes one tense or anxious, the conflict is a felt conflict because the difference is personalized or internalized. At this stage, the conflict is actually felt and cognized. As stated earlier, the funds are not released by the finance manager and the problem is being surfaced and there is a likelihood of confrontation.

Manifest conflict:- This is the stage for open confrontation. In this stage, there is not only recognition or acknowledgement of conflict but also manifestation of conflict by covert or overt behaviour. It is a stage of open dispute. It takes the form of conflictual behaviour including aggression, sabotage, apathy etc. all of which reduce organization's effectiveness. Both parties devise their strategies to face each other. In the above example, a sales manager may make his point for additional funds for promotional activities especially during festival season. A finance manager may openly turn down the request since he might have allotted additional funds for procurement of better raw material for the production department. A sales manager may argue that better raw

material has no meaning unless the facts are brought to the notice of customers, which can only be done through promotional campaign.

Conflict resolution:- When conflict is resolved in some form, it is called conflict resolution.

Conflict aftermath:- The aftermath of conflict may be either positive or negative for the organization depending on how the conflict is resolved. If the conflict is genuinely resolved, it can lead to more enduring relationship between parties; if the conflict is merely suppressed but not resolved, the latent of conflict may be aggravated and explode in more violent and serious forms. This is called ‘conflict aftermath’

5.4. Conflict Management

Conflict management refers to the long-term management of intractable conflicts involving institutionalized provisions and regulative procedures for dealing with conflicts whenever they occur. It describes the way we respond to and deal with conflicts before, during and after it has occurred. It is the label for the variety of ways by which people handle grievances—standing up for what they consider to be right and against what they consider to be wrong. Briefly stated, conflict management is about using managerial tactics to contain a conflict, to put a lid on it, and control the environment. Conflict management is often considered to be distinct from conflict resolution. Because many conflicts cannot be really resolved, we use the term conflict management rather than conflict resolution. Good conflict management enables parties to co-exist amicably and deal with their disputes without necessarily resolving the underlying conflict.

Conflict resolution consists in dealing with the conflict in a way that brings the conflict to a closure, an end, a resolution that will please either parties or one of the parties in conflict. But the conflict management and conflict resolution approaches are now bypassed by a new approach called conflict transformation. The latter approach readily suits the process of discipleship and Christ-likeness better.

Conflict management strategies and not conflict resolution strategies will be needed in a situation where two people have parallel opinions on an issue, that is, their opinions cannot be reconciled, and none of the parties involved is willing to give up his opinion for there to be progress. Conflict management involves the control, but not resolution of a long-term or deep-rooted conflict. This is the approach taken when complete resolution seems to be impossible, yet something needs to be done. In cases of resolution-resistant or even intractable conflict, it is possible to manage the situation in ways that make it more constructive and less destructive. The goal of conflict management is to intervene in ways that make the ongoing conflict more beneficial and less damaging to all sides. For example, sending peacekeeping forces into a region enmeshed in strife may help calm the situation and limit casualties. However, peacekeeping missions will not resolve the conflict. In some cases, where non-negotiable human needs are at stake, conflict management is the most feasible step.

CONFLICT RESOLUTION

This aims at identifying the causes of the conflicts on ground and finding new ways of reconciling the groups involved and building a new social relationship. Incompatible interests are not the

only thing that is a problem in more severe conflicts. Conflicts last longer and are more deeply rooted than disputes. They tend to arise over non-negotiable issues such as fundamental human needs, intolerable moral differences, or high-stakes distributional issues regarding essential resources, such as money, water, or land. To truly resolve a conflict, the solution must go beyond just satisfying the parties' interests as in dispute settlement. To end or resolve a long-term conflict, a relatively stable solution that identifies and deals with the underlying sources of the conflict must be found. This is a more difficult task than simple dispute settlement, because resolution means going beyond negotiating interests to meet all sides' basic needs, while simultaneously finding a way to respect their underlying values and identities. However, some of the same intervention processes used in dispute settlement (i.e. mediation) is also used to achieve resolution.

True conflict resolution requires a more analytical, problem-solving approach than dispute settlement. The main difference is that resolution requires identifying the causal factors behind the conflict, and finding ways to deal with them. On the other hand, settlement is simply aimed at ending a dispute as quickly and amicably as possible. This means that, it is possible to settle a dispute that exists within the context of a larger conflict, without resolving the overall conflict. This occurs when a dispute is settled, but the underlying causes of the conflict are not addressed. Almost every year, despite the several peace meetings and settlements between Christians and Moslems in the northern part of Nigeria, every time there is a conflict, the problem still comes up again and again. This is so because we are so much in a hurry to have temporary peace than to seek a permanent solution which is resolving the situation by dealing with the underlying problem(s) that causes the conflict to always resurface.

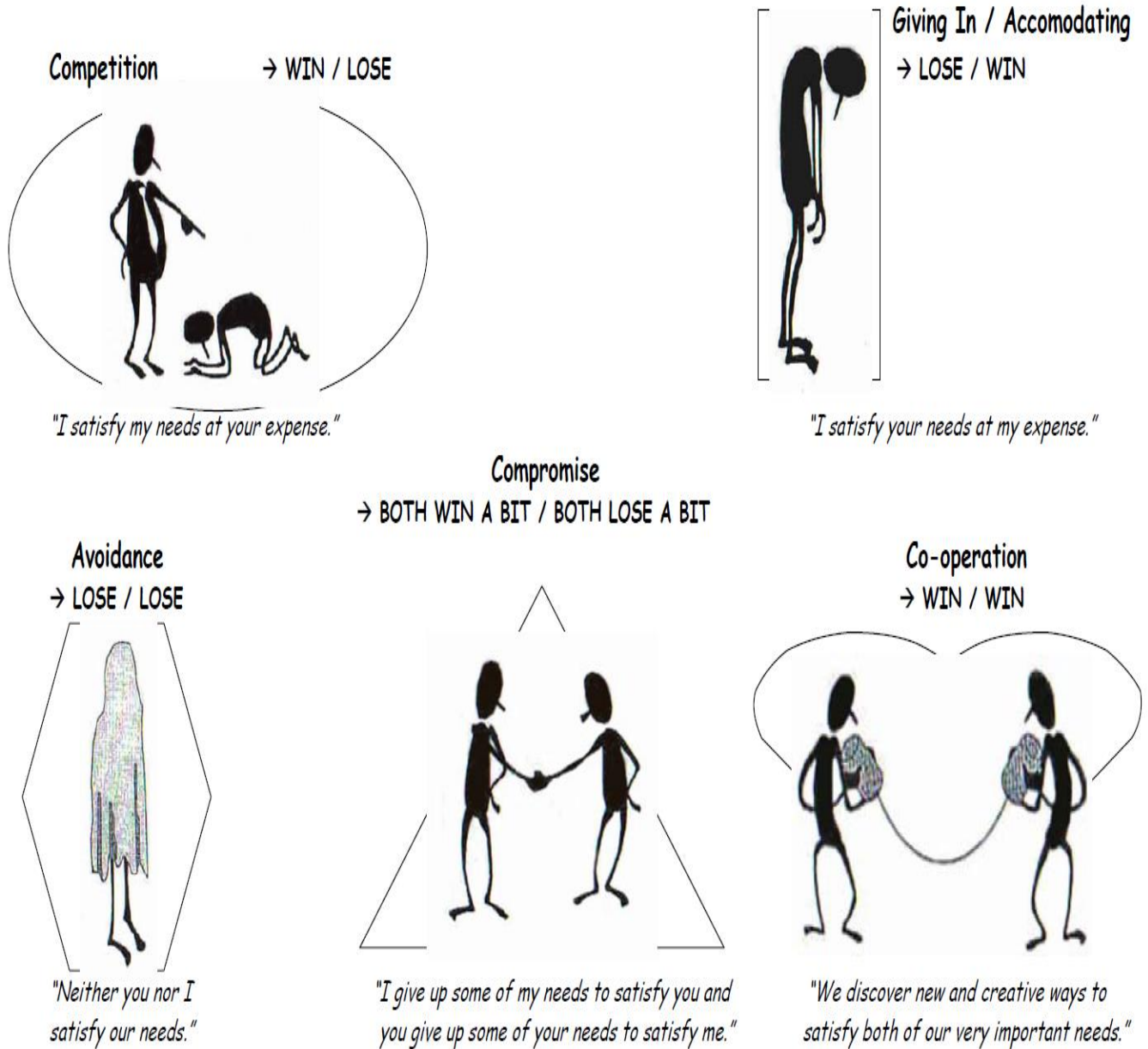
There are many reasons why underlying causes of conflict may not be addressed. Often, the underlying causes of conflict are embedded in the institutional structure of society. Achieving complete resolution of a conflict can require making significant socioeconomic or political changes that restructure society in a more just or inclusive way. Changing societal structures, such as the distribution of wealth in society, is a difficult thing to do and can take decades to accomplish. Thus, fully resolving conflict can be a long laborious process. As a result there are other conceptions of ways to deal with, but not necessarily "resolve" conflicts.

CONFLICT TRANSFORMATION

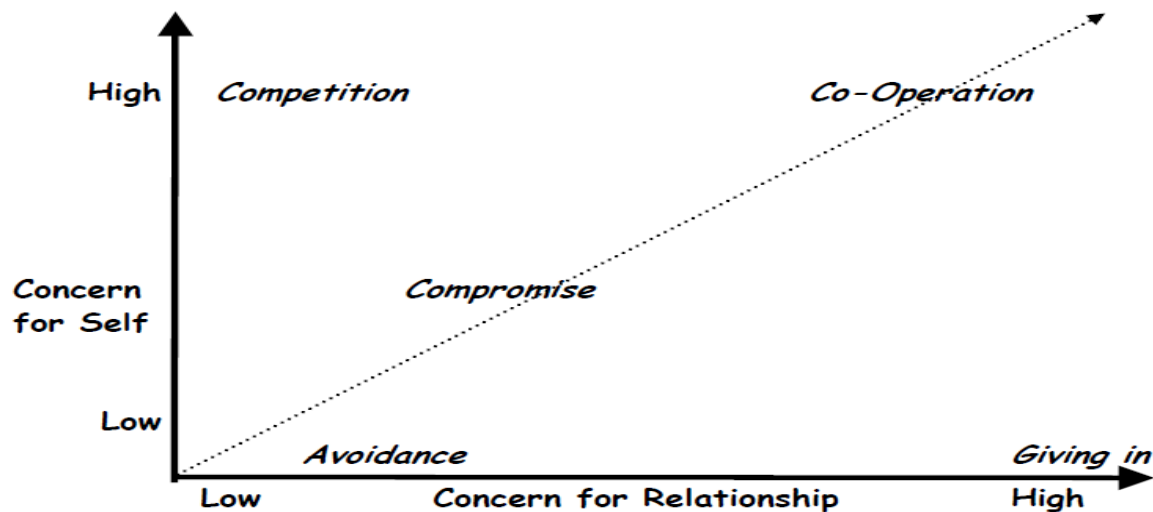
A number of conflict theorists and practitioners, including John Paul Lederach, advocate the pursuit of "conflict transformation", as opposed to "conflict resolution" or "conflict management." Conflict transformation is different from the other two, Lederach asserts, because it reflects a better understanding of the nature of conflict itself. "Conflict resolution" implies that conflict is bad, and is therefore something that should be ended. It also assumes that conflict is a short-term phenomenon that can be "resolved" permanently through mediation or other intervention processes. "Conflict management" correctly assumes that conflicts are long-term processes that often cannot be quickly resolved. The problem with the notion of "management," however, is that it suggests that people can be directed or controlled as if they were physical objects. In addition, "management" suggests that the goal is the reduction or control of volatility, rather than dealing with the real source of the problem.

Conflict transformation, as described by Lederach, does not suggest that we simply eliminate or control conflict, but rather that we recognize and work with its "dialectic nature." First, Lederach argues that social conflict is a natural occurrence between humans who are involved in relationships. Once conflict occurs, it changes or transforms those events, people, and relationships that created the initial conflict. Thus, the cause-and-effect relationship goes both ways -- from the people and the relationships to the conflict and back to the people and relationships. In this sense, "conflict transformation" is a term that describes the natural process of conflict. Conflicts change relationships in predictable ways, altering communication patterns and patterns of social organization, altering images of the self and of the other.

Five Basic Styles in Conflict Situations



Different Behaviours in Conflict Handling



Avoidance <i>"Neither you nor I satisfy our needs."</i>	→	Lose & Lose Party A does not value either his/her own or Party B's interests and needs very highly, and/or denies that there is a conflict.
Giving in / Accommodate <i>"I satisfy your needs at my expense."</i>	→	Lose & Win Party A does not value his/her own ideas and interests very highly, but places a high value on those of Party B (or the common goal).
Competition <i>"I satisfy my needs at your expense."</i>	→	Win & Lose Party A places a very high value on his/her own opinions and desires, and very little on those of Party B
Compromise <i>"I give up some of my needs to satisfy you, and you give up some of your needs to satisfy me."</i>	→	$\frac{1}{2}$ Win & $\frac{1}{2}$ Win The basic premise is that the parties differences can not be reconciled and must therefore be traded off
Co-operation <i>"We discover new, creative (and sometimes even healing) ways to satisfy of our very important needs"</i>	→	Win & Win Full value is placed on both parties' interests, views and desires. Both parties appreciate each <i>both</i> and strive for consensus, i.e. agreement on the chosen course of action. In this way both parties feel satisfied, because their needs are met and the relationship is strengthened.

Competing: When one party seeks to satisfy his or her own interests, regardless of the impact on the other parties to the conflict, he or she is competing. This means overpowering other groups in the conflict and promoting the concerns of one's own group at the expense of the other group. One way to accomplish this aim is by resorting to authority to satisfy the concerns of one's own group. Thus, the head of a group of account executives may appeal to the director of advertising to protect the group's turf from the intrusions by other account execs.

Collaborating: This strategy attempts to satisfy the concerns of all groups of ~~all groups~~ by working through differences and seeking solutions so that everyone gains as a result. A marketing department and a manufacturing department that meets on a regular basis to plan mutually acceptable production schedules are collaborating.

Avoiding: This approach requires staying neutral at all costs or refusing to take an active role in conflict resolution procedures. The finance department that sticks its head in the sand and hopes that dissension about budgetary allocations will blow over is exhibiting avoidance.

Accommodating: This allows other groups to satisfy their own concerns at the expense of one's own group. Differences are smoothed over to maintain superficial harmony. A purchasing department that fails to meet budgetary guidelines because it deliberately overspends on raw materials to satisfy the demands of production groups is trying to use accommodation to cope with the conflict.

Compromising: It is in the mid-range of both cooperativeness and assertiveness. This approach seeks partial satisfaction of all groups through exchange and sacrifice, settling for acceptable rather than optimal resolution. Contract bargaining between union representatives and management involves significant compromise by both sides.

When Different Styles of Intentions Should Be Applied

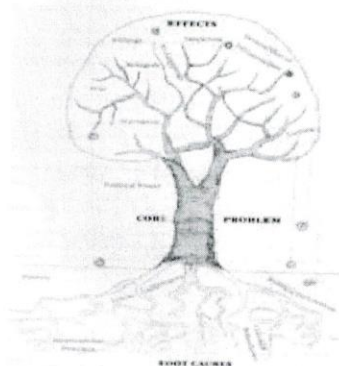
Style	Application
Competing	When <u>quick</u>, <u>decisive action</u> is <u>required</u>; to <u>cope with crises</u>. On <u>important issues</u> where <u>unpopular solutions</u> must be <u>implemented</u>, such as <u>cost cutting</u> or <u>employee discipline</u>. On issues vital to <u>organizational welfare</u> when your group is <u>certain</u> that its position is <u>correct</u>. Against groups who take advantage of <u>noncompetitive behavior</u>.
Accommodating	When your group is <u>wrong</u> and <u>wants both</u> <u>show reasonableness</u> and to encourage the expression of a more <u>appropriate view</u>. When issues are <u>more important to groups other</u> than yours, to satisfy others and maintain cooperation. To build <u>credits</u> or <u>bank favors</u> for <u>later issues</u>. To <u>minimize losses</u> when your group is <u>outmatched and losing</u>. When <u>harmony</u> and <u>stability</u> are <u>especially important</u>.
Avoiding	When a conflict is <u>trivial</u> or <u>more important conflicts</u> are <u>pressing</u>. When there is <u>no chance</u> that your group will <u>satisfy its own needs</u>. When the <u>costs of potential disruption</u> outweigh the <u>benefits of resolution</u>. To let groups <u>cool down</u> and <u>gain perspective</u>. When <u>others can resolve</u> the conflict <u>more effectively</u>.

Collaborating	To find an <u>integrative solution</u> when <u>conflicting concerns</u> are <u>too important to be compromised</u>. When the <u>most important objective is to learn</u>. To gain <u>commitment</u> through the <u>development of consensus</u>. To work through <u>conflicting feelings</u> in <u>individuals and between groups</u>.
Compromising	When <u>group concerns</u> are <u>important but not worth the disruption of more assertive styles</u>. When <u>equally powerful groups</u> are <u>committed to pursuing mutually exclusive concerns</u>. To achieve <u>temporary or transitional settlements</u>. To arrive at <u>expedient resolutions</u> under <u>time pressure</u>. As a <u>backup when neither competing nor problem-solving styles are successful</u>

Source: Adapted from John A. Wagner, III and John R. Hollenbeck, "Management of Organizational Behavior", 2nd edition (1995), p. 470.

As indicated in the table above, the appropriateness of each of the five approaches depends on the situation surrounding the conflict and often, the time pressure for a negotiated settlement.

Conflict Tree



Trainer likened conflict to a tree with three main parts or elements: Roots, Trunk and Branches:

- **The roots** are the structural or causal factors. Although they are the invisible contents of the tree, the roots are the anchor and source of life for the tree. Examples of root causes are injustice, poverty, economic deprivation, ignorance, ethnic prejudice and intolerance, corruption, poor governance both at state and chieftaincy levels. Just as all roots left in a soil do not necessarily produce a tree, roots of conflicts only provide potentials for conflict. Other contributing factors like good soil, a gardener, etc. will be needed to produce the Conflict Tree.
- **The Trunk** is the largest visible content of the tree. It is where all of the roots have converged. It is difficult to distinguish the link of the trunk to a particular string of the roots. The trunk gives onlookers some clue about the name and nature of the tree. However, the tendency to associate conflict only to the visible core problem can be deceptive since this is just a converged expression of many roots with particular differences. As a convergence of the roots, the trunk comprises dimensions of the conflict. Depending on who is analyzing the conflict and from what vantage point the analyst who is conducting the study may emphasize a particular dimension of the conflict over the others.

The Branches, leaves and fruits are the multitude of smaller conflicts or dimensions of the conflict emerging out of the trunk. They are sometimes referred to as effects of the conflict. For example, conflicts between excombatants and their communities, the rise in prostitution, family conflicts emerging out of long years of separation, chieftaincy disputes as a result of two or more chiefs being appointed by the different authority who occupied the communities during the civil war, land disputes as a result of lands being sold by different so-called owners during the civil war, etc are all branches from the Conflict Tree in Sierra Leone.

Over an extended period of time the effects or fruits of a particular conflict can fall into the fertile soil, germinate and develop another tree separate from the original tree. Once this has happen one may need to address problems associated with the new tree outside of the earlier one. Sometimes the old tree is even dead and gone but the new tree grows in strength. This is one complexity of conflicts.